

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)

Chapter 1 Multinational Financial Management: Opportunities and Challenges

1.1 The Global Financial Marketplace

1) Financial globalization has NOT resulted in:

- A) continuing imbalances of balance of payments.
- B) an increase in quantity and speed in the flow of capital across the world.
- C) capital markets less open and a decrease in the availability of capital for many organizations.
- D) uniform ways of ownership, control, and governance across the world.

Answer: D

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

2) Financial globalization has NOT resulted in:

- A) continuing imbalances of balance of payments.
- B) an increase in quantity and speed in the flow of capital across the world.
- C) capital markets more open and an increase in the availability of capital for many organizations.
- D) an increase in the flow of capital into and out of industrialized markets.

Answer: C

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

3) The institutions of global finance are:

- A) central banks.
- B) commercial banks.
- C) investment banks.
- D) All of the above are institutions of global finance.

Answer: D

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

4) A well-established, large U.S.-based MNE will probably NOT be able to overcome which of the following obstacles to maximizing firm value?

- A) an open marketplace
- B) high-quality strategic management
- C) access to capital
- D) none of the above

Answer: D

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Conceptual

AACSB: Application of knowledge

5) A well-established, large, China-based MNE will probably be most adversely affected by which of the following elements of firm value?

- A) an open marketplace
- B) high-quality strategic management
- C) access to capital
- D) access to qualified labor pool

Answer: A

Diff: 2

L.O.: 1.1 The Global Financial Marketplace

Skill: Conceptual

AACSB: Application of knowledge

6) A well-established, large, Brazil-based MNE will probably be most adversely affected by which of the following elements of firm value?

- A) an open marketplace
- B) high-quality strategic management
- C) access to capital
- D) access to qualified labor pool

Answer: C

Diff: 2

L.O.: 1.1 The Global Financial Marketplace

Skill: Conceptual

AACSB: Application of knowledge

7) A major cost avoided in the eurocurrency markets is the payment of deposit insurance fees, such as:

- A) Federal Deposit Insurance Corporation — FDIC.
- B) Office of the Comptroller of the Currency — OCC.
- C) International Monetary Fund — IMF.
- D) World Bank — WB.

Answer: A

Diff: 2

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

8) The modern eurocurrency market was born shortly after:

- A) World War II.
- B) World War I.
- C) Korean War.
- D) Bosnian War.

Answer: A

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

9) The reference rate of interest in the eurocurrency market is the:

- A) London Interbank Offered Rate.
- B) Prima rate.
- C) Federal funds rate.
- D) Treasury rate.

Answer: A

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

10) Interest spreads in the eurocurrency market are **small** for many reasons EXCEPT:

- A) Eurocurrency loans are secured loans.
- B) Eurocurrency deposits and loans are made in amounts of \$500,000 or more on an **unsecured** basis.
- C) The eurocurrency is a wholesale market.
- D) Borrowers are usually large corporations or government entities.

Answer: A

Diff: 2

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

11) Multinational enterprises (MNEs) are firms, both for-profit companies and not-for-profit organizations, that have operations in more than one country, and conduct their business through foreign subsidiaries, branches, or joint ventures with host country firms.

Answer: TRUE

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

12) Ownership, control, and governance **changes radically** across the world. The publicly traded company is not the dominant global business organization—the **privately held or family-owned business is the prevalent structure**—and their goals and measures of performance differ dramatically.

Answer: TRUE

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

13) The securities at the heart of the global capital markets are the Mortgage Backed Securities (MBS). The health and security of the global financial system rely on the quality of these securities.

Answer: FALSE

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

14) The U.S. dollar has been the focal point of currency trading since the 1940s. As a result, most of the world's currencies are quoted against the dollar.

Answer: TRUE

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

15) Several of the world's major currency exchange rates follow a specific quotation convention that is the result of tradition and history. The exchange rate between the U.S. dollar and the euro is always quoted as "**dollars per euro**."

Answer: TRUE

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

16) Several of the world's major currency exchange rates follow a specific quotation convention that is the result of tradition and history. The exchange rate between the U.S. dollar and the British pound is always quoted as "**dollars per pound**."

Answer: TRUE

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

17) Several of the world's major currency exchange rates follow a specific quotation convention that is the result of tradition and history. The exchange rate between the U.S. dollar and the Japanese yen is always quoted as "dollars per Japanese yen."

Answer: FALSE

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

18) Your authors suggest that one way to characterize the global financial marketplace is through its **assets, institutions, and linkages**.

Answer: TRUE

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

19) Eurocurrencies are domestic currencies of one country on deposit in a second country.

Answer: TRUE

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

20) A eurodollar deposit is a demand deposit.

Answer: FALSE

Diff: 2

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

21) Eurocurrency markets serve two valuable purposes: .1) Eurocurrency deposits are an **efficient and convenient** money market device for **holding excess corporate liquidity**; and 2) the Eurocurrency market is a major source of **short-term bank loans** to finance corporate working capital needs, including the financing of imports and exports.

Answer: TRUE

Diff: 2

L.O.: 1.1 The Global Financial Marketplace

Skill: Conceptual

AACSB: Application of knowledge

22) The key factor attracting both depositors and borrowers to the Eurocurrency loan market is the narrow interest rate spread within that market.

Answer: TRUE

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Conceptual

AACSB: Application of knowledge

23) The Eurocurrency market continues to thrive because it is a large international money market relatively free from governmental regulation and interference. Recent events may lead to greater regulation.

Answer: TRUE

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Recognition

AACSB: Application of knowledge

24) The theme dominating global financial markets today is the complexity of risks associated with financial globalization. List and explain examples of the complexity of risks affecting the leading and managing of multinational firms in the rapidly moving marketplace.

Answer: The following is a sampling of this complexity of risks: 1) The international monetary system is under constant scrutiny. The rise of the Chinese renminbi is changing much of the world's outlook on currency exchange, reserve currencies, and the roles of the dollar and the euro. 2) Large fiscal deficits, including the current eurozone crisis, plague most of the major trading countries of the world, complicating fiscal and monetary policies, and ultimately, interest rates and exchange rates. 3) Many countries experience continuing balance of payments imbalances, and in some cases, dangerously large deficits and surpluses. 4) Ownership, control, and governance vary radically across the world. 5) Global capital markets that normally provide the means to lower a firm's cost of capital, and even more critically, increase the availability of capital, have in many ways shrunk in size and have become less open and accessible to many of the world's organizations. 6) Financial globalization has resulted in the ebb and flow of capital in and out of both industrial and emerging markets, greatly complicating financial management.

Diff: 1

L.O.: 1.1 The Global Financial Marketplace

Skill: Conceptual

AACSB: Application of knowledge

25) Business involves the interaction of individuals and individual organizations for the exchange of products, services, and capital through markets. The global capital markets are critical for the conduct of this exchange. The authors suggest that one way to characterize the global financial marketplace is through its assets, institutions, and linkages. Explain how each of the three dimensions characterize the global financial marketplace.

Answer: 1) The financial assets at the heart of the global capital markets are the debt securities issued by governments. These low-risk or risk-free assets (e.g., U.S. Treasury Bonds) form the foundation for the creation, trading, and pricing of other financial assets like bank loans, corporate bonds, and equities (stock). In recent years, a number of additional securities have been created from existing securities-derivatives, whose value is based on market value changes of the underlying securities. The health and security of the global financial system relies on the quality of these assets. 2) The institutions of global finance are the central banks, which create and control each country's money supply; the commercial banks, which take deposits and extend loans to businesses, both local and global; and the multitude of other financial institutions created to trade securities and derivatives. These institutions take many shapes and are subject to many different regulatory frameworks. The health and security of the global financial system relies on the stability of these financial institutions. 3) The links between the financial institutions, the actual fluid or medium for exchange, are the interbank networks using currency. The ready exchange of currencies in the global marketplace is the first and foremost necessary element for the conduct of financial trading, and the global currency markets are the largest markets in the world. The exchange of currencies, and the subsequent exchange of all other securities globally via currency, is the international interbank network.

Diff: 2

L.O.: 1.1 The Global Financial Marketplace

Skill: Conceptual

AACSB: Application of knowledge

1.2 The Theory of Comparative Advantage

1) The theory that suggests **specialization by country** can increase worldwide production is:

- A) the theory of **comparative advantage**.
- B) the theory of foreign direct investment.
- C) the international Fisher effect.
- D) the theory of working capital management.

Answer: A

Diff: 1

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT a reason governments interfere with comparative advantage?

- A) Governments attempt to achieve full employment.
- B) Governments promote economic development.
- C) national self-sufficiency in defense-related industries
- D) All are reasons governments interfere with comparative advantage.

Answer: D

Diff: 1

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

3) Which of the following **factors of production** DO NOT flow freely between countries?

- A) **raw materials**
- B) financial capital
- C) (non-military) technology
- D) All of the above factors of production flow freely among countries.

Answer: A

Diff: 1

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

4) Which of the following would NOT be a way to implement comparative advantage?

- A) IBM exports computers to Egypt.
- B) Computer hardware is designed in the United States but manufactured and assembled in Korea.
- C) Water of the greatest purity is obtained from wells in Oregon, bottled, and exported worldwide.
- D) All of the above are examples of ways to implement comparative advantage.

Answer: D

Diff: 2

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Conceptual

AACSB: Application of knowledge

5) Of the following, which would NOT be considered a way that government interferes with comparative advantage?

- A) tariffs
- B) managerial skills
- C) quotas
- D) other non-tariff restrictions

Answer: B

Diff: 1

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

6) The concept of absolute comparative advantage's origins lie in:

- A) Adam Smith's work of 1776.
- B) David Ricardo's work of 1776.
- C) *The Wealth of Nations* book, published in 1887.
- D) *On the Principles of Political Economy and Taxation* book, published in 1817.

Answer: A

Diff: 3

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

7) The concept of **relative comparative advantage**'s origins lie in:

- A) Adam Smith's work of 1776.
- B) David Ricardo's work of 1776.
- C) *The Wealth of Nations* book, published in 1887.
- D) *On the Principles of Political Economy and Taxation* book, published in 1817.

Answer: D

Diff: 3

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

8) Comparative advantage is one of the underlying principles driving the growth of global business.

Answer: TRUE

Diff: 1

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

9) The theory of comparative advantage owes its origins to Ben Bernanke as described in his book *The Wealth of Bankers*.

Answer: FALSE

Diff: 1

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

10) International trade might have approached the comparative advantage model in the 19th century, and it does so even more today.

Answer: FALSE

Diff: 2

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

11) Comparative advantage shifts over time as less developed countries become more developed and realize their latent opportunities.

Answer: TRUE

Diff: 2

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

12) Comparative advantage in the 21st century is based more on services and their cross border facilitation by telecommunications and the Internet.

Answer: TRUE

Diff: 1

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

13) Comparative advantage was once the cornerstone of international trade theory, but today it is archaic, simplistic, and irrelevant for explaining investment choices made by MNEs.

Answer: FALSE

Diff: 2

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

14) When discussing comparative advantage, it is apparent that today at least two of the factors of production, capital and technology, now flow directly and easily between countries, rather than only indirectly through traded goods and services.

Answer: TRUE

Diff: 1

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

15) It would be safe to make the statement that modern telecommunications now take business activities to labor rather than moving labor to the places of business.

Answer: TRUE

Diff: 1

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Conceptual

AACSB: Application of knowledge

16) As the general principle of comparative advantage is still valid, complete specialization remains a realistic case.

Answer: FALSE

Diff: 2

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Recognition

AACSB: Application of knowledge

17) Although international trade might have approached the comparative advantage model during the nineteenth century, it certainly does not today, for a variety of reasons. Develop an argument as to why this is not happening today.

Answer: Countries do not appear to specialize only in those products that could be most efficiently produced by that country's particular factors of production. Instead, governments interfere with comparative advantage for a variety of economic and political reasons, such as to achieve full employment, economic development, national self-sufficiency in defense-related industries, and protection of an agricultural sector's way of life. Government interference takes the form of tariffs, quotas, and other non-tariff restrictions. The classical model of comparative advantage also did not really address certain other issues such as the effect of uncertainty and information costs, the role of differentiated products in imperfectly competitive markets, and economies of scale.

Diff: 1

L.O.: 1.2 The Theory of Comparative Advantage

Skill: Conceptual

AACSB: Application of knowledge

1.3 What Is Different About International Financial Management?

1) Which of the following domestic financial instruments have NOT been modified for use in international financial management?

A) currency options and futures

B) interest rate and currency swaps

C) letters of credit

D) All of the above are domestic financial instruments that have also been modified for use in international financial markets.

Answer: D

Diff: 1

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT always understood by MNE management?

- A) culture, history, and institutions
- B) political risk
- C) foreign exchange risk
- D) financial instruments

Answer: A

Diff: 2

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

3) In determining why a firm becomes multinational there are many reasons. One reason is that the firm is a market seeker. Which of the following is NOT a reason why market-seeking firms produce in foreign countries?

- A) satisfaction of local demand in the foreign country
- B) to export to foreign markets
- C) political safety and small likelihood of government expropriation of assets
- D) All of the above are market-seeking activities.

Answer: C

Diff: 1

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

4) _____ investments are designed to promote and enhance the growth and profitability of the firm. _____ investments are designed to deny those same opportunities to the firm's competitors.

- A) Conservative; Aggressive
- B) Defensive; Proactive
- C) Proactive; Defensive
- D) Aggressive; Proactive

Answer: C

Diff: 2

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

5) In determining why a firm becomes multinational there are many reasons. One reason is that the firm is a raw material seeker. Which of the following is NOT a reason why raw material seeker extract raw materials in foreign countries?

A) They extract raw materials wherever they can be found to export from the host country.

B) They extract raw materials wherever they can be found for sale in the host country.

C) They extract raw materials wherever they can be found for further processing in the host country.

D) All of the above.

Answer: D

Diff: 1

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

6) MNEs must modify **finance theories** like cost of capital and capital budgeting because of **foreign complexities**.

Answer: TRUE

Diff: 1

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

7) Relative to MNEs, purely domestic firms tend to have GREATER political risk.

Answer: FALSE

Diff: 1

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

8) Domestic firms tend to make GREATER use of financial derivatives than MNEs because they can bear the greater risk presented by these financial instruments.

Answer: FALSE

Diff: 2

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

9) Because countries have different financial regulations and customs, it is common for MNEs to apply their domestic rules and regulations when doing financial business in a foreign country.

Answer: FALSE

Diff: 1

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Conceptual

AACSB: Application of knowledge

10) A number of financial instruments that are used in domestic financial management have been modified for use in international financial management. Examples are foreign currency options and futures, interest rate and currency swaps, and letters of credit.

Answer: TRUE

Diff: 2

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

11) Domestic firms do not have foreign exchange risk.

Answer: FALSE

Diff: 2

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

12) Large international firms are better able to exploit product differentiation than are their local competitors.

Answer: TRUE

Diff: 1

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

13) For firms competing in a world characterized by oligopolistic competition, strategic motives can be subdivided into proactive and defensive investments.

Answer: TRUE

Diff: 1

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

14) Defensive measures are designed to enhance growth and profitability of the firm itself.

Answer: FALSE

Diff: 1

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

15) In determining why a firm becomes multinational there are many reasons. One reason is that the firm is a knowledge seeker. They operate in foreign countries to exploit existing technological expertise.

Answer: FALSE

Diff: 1

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

16) The five strategic motives driving the decision to invest abroad and become an MNE (market seekers, raw material seekers, production efficiency seekers, knowledge seekers, and political safety seekers) are mutually exclusive.

Answer: FALSE

Diff: 1

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Recognition

AACSB: Application of knowledge

17) In the recent past, much of the business development in multinational firms was led by cross-functional teams, teams of professionals who are competent over a broader array of functional fields. Develop an argument as to why this is the case.

Answer: Teams are increasingly virtual and unique, each team custom-tailored for the business proposal or opportunity, and often drawing upon the available talent across geographies, markets, and cultures. Organizational agility, a phrase often used to describe decision-making rather than the decision-makers, requires different skills. This requires business professionals who are fundamentally competent over a broader array of functional fields — and that would include more than a passing of knowledge of multinational finance and how it impacts investments and operations. Knowledge of the financial dimensions of the business in the international business environment is more and more a concern for all.

Diff: 2

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Conceptual

AACSB: Application of knowledge

18) List and explain three strategic motives why firms become multinationals and give an example of each.

Answer: The authors provide 5 strategic motives for firms to become multinationals: market seekers, raw materials seekers, production efficiency seekers, knowledge seekers, and political safety seekers. Market seekers are looking for more consumers for their products such as automobiles or steel. Knowledge seekers may be looking for an educated work force similar to the way firms seeking R and D set up shop in university towns. Raw materials seekers may be after commodities such as oil or copper. Production efficiencies may occur in countries like Mexico that have capable workers and lower wages. Political safety seekers are looking for countries that will not expropriate their assets, so they may stay away from countries that in the past have engaged in such activities.

Diff: 2

L.O.: 1.3 What Is Different about International Financial Management?

Skill: Conceptual

AACSB: Application of knowledge

1.4 The Globalization Process

1) The phase of the globalization process characterized by **imports from foreign suppliers and exports to foreign buyers** is called the:

- A) domestic phase.
- B) multinational phase.
- C) **international trade phase.**
- D) import-export banking phase.

Answer: C

Diff: 1

L.O.: 1.4 The Globalization Process

Skill: Recognition

AACSB: Application of knowledge

2) The authors describe the **multinational phase** of globalization for a firm as one characterized by the:

- A) **ownership of assets and enterprises in foreign countries.**
- B) potential for international competitors or suppliers even though all accounts are with domestic firms and are denominated in dollars.
- C) imports from foreign suppliers and exports to foreign buyers.
- D) requirement that all employees be multilingual.

Answer: A

Diff: 1

L.O.: 1.4 The Globalization Process

Skill: Recognition

AACSB: Application of knowledge

3) A firm in the International Trade Phase of Globalization:

- A) makes all foreign payments in foreign currency units and all foreign receipts in domestic currency units.
- B) receives all foreign receipts in foreign currency units and makes all foreign payments in domestic currency units.
- C) **bears direct foreign exchange risk.**
- D) none of the above

Answer: C

Diff: 1

L.O.: 1.4 The Globalization Process

Skill: Conceptual

AACSB: Application of knowledge

4) Of the following, which was **NOT** mentioned by the authors as an increase in the demands of financial management services due to increased globalization by the firm?

A) evaluation of the credit quality of foreign buyers and sellers

B) foreign consumer method of **payment preferences**

C) credit risk management

D) evaluation of foreign exchange risk

Answer: B

Diff: 2

L.O.: 1.4 The Globalization Process

Skill: Recognition

AACSB: Application of knowledge

5) The twin agency problems limiting financial globalization are caused by these two groups acting in their own self-interests rather than the interests of the firm.

A) rulers of sovereign states and unsavory customs officials

B) corporate insiders and attorneys

C) corporate **insiders and rulers of sovereign states**

D) attorneys and unsavory customs officials

Answer: C

Diff: 2

L.O.: 1.4 The Globalization Process

Skill: Recognition

AACSB: Application of knowledge

6) Typically, a firm in its domestic stage of globalization has all financial transactions in its domestic currency.

Answer: TRUE

Diff: 1

L.O.: 1.4 The Globalization Process

Skill: Conceptual

AACSB: Application of knowledge

7) Typically, a **"greenfield" investment abroad is considered an investment having a greater foreign presence than a joint venture with a foreign firm.**

Answer: TRUE

Diff: 1

L.O.: 1.4 The Globalization Process

Skill: Recognition

AACSB: Application of knowledge

8) The authors argue that financial inefficiency caused by influential insiders may prove to be an increasingly troublesome barrier to international finance.

Answer: TRUE

Diff: 2

L.O.: 1.4 The Globalization Process

Skill: Conceptual

AACSB: Application of knowledge

9) The authors describe a process for development of a MNE that begins with a *purely domestic phase*, followed by the *multinational phase*, and topping out with the *international trade phase*.

Answer: FALSE

Diff: 2

L.O.: 1.4 The Globalization Process

Skill: Recognition

AACSB: Application of knowledge

10) Today it is widely assumed that there are NO LIMITS to financial globalization.

Answer: FALSE

Diff: 2

L.O.: 1.4 The Globalization Process

Skill: Recognition

AACSB: Application of knowledge

11) The growth in the influence and self-enrichment of organizational insiders is seen as an impediment to the growth of financial globalization in general.

Answer: TRUE

Diff: 2

L.O.: 1.4 The Globalization Process

Skill: Recognition

AACSB: Application of knowledge

12) Describe the structural and managerial changes and challenges experienced by a firm as it moves its operations from domestic to global (globalization process).

Answer: A firm's initial strategy is to develop a sustainable competitive advantage in the U.S. market (domestic phase). As firms become visible and viable competitors in the U.S. market, strategic opportunities arise to expand the firm's market reach by exporting product and services to one or more foreign markets and/or by importing inputs (international trade phase). If companies are successful in their international trade activities, the time will come when the globalization process will progress to the next phase. Companies will soon need to establish foreign sales and service affiliates. This step is often followed by establishing manufacturing operations abroad or by licensing foreign firms to produce and service (multinational phase). Once companies own assets and enterprises in foreign countries, they have entered the multinational phase of their globalization.

Diff: 3

L.O.: 1.4 The Globalization Process

Skill: Conceptual

AACSB: Application of knowledge

13) The objectives and responsibilities of the modern multinational have grown significantly more complex in the twenty-first century. Develop an argument as to why this is the case.

Answer: It is accepted that the purpose of the corporation is to certainly create profits and value for its stakeholders, but the responsibility of the corporation is to do so in a way that inflicts no costs on society, including the environment. This developing controversy has been somewhat hampered to date by conflicting terms and labels—corporate goodness, corporate responsibility, corporate social responsibility (CSR), corporate philanthropy, and corporate sustainability, to list but a few. Confusion can be reduced by using a guiding principle—that sustainability is a goal, while responsibility is an obligation. It follows that the obligation of leadership in the modern multinational is to pursue profit, social development, and the environment, all along sustainable principles.

Diff: 2

L.O.: 1.4 The Globalization Process

Skill: Conceptual

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 2 The International Monetary System

2.1 History of the International Monetary System

1) Under the gold standard of currency exchange that existed from 1879 to 1914, an ounce of gold cost \$20.67 in U.S. dollars and £4.2474 in British pounds. Therefore, the exchange rate of pounds per dollar under this fixed exchange regime was:

- A) £4.8665/\$.
- B) £0.2055/\$.
- C) always changing because the price of gold was always changing.
- D) unknown because there is not enough information to answer this question.

Answer: B

Diff: 2

L.O.: 2.1 History of the International Monetary System

Skill: Analytical

AACSB: Analytical thinking

2) World War I caused the suspension of the gold standard for fixed international exchange rates because the war:

- A) cost too much money.
- B) interrupted the free movement of gold.
- C) lasted too long.
- D) used gold as the main ingredient in armament plating.

Answer: B

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

3) The post WWII international monetary agreement that was developed in 1944 is known as the:

- A) United Nations.
- B) League of Nations.
- C) Yalta Agreement.
- D) Bretton Woods Agreement.

Answer: D

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

4) Another name for the International Bank for Reconstruction and Development is:

- A) the Recon Bank.
- B) the European Monetary System.
- C) the Marshall Plan.
- D) the World Bank.

Answer: D

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

5) The International Monetary Fund (IMF):

- A) in recent years has provided large loans to Russia, South Korea, and Brazil.
- B) was created as a result of the Bretton Woods Agreement.
- C) aids countries with balance of payment and exchange rate problems.
- D) is all of the above.

Answer: D

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

6) One of the innovations introduced by Bretton Woods was the creation of the Special Drawing Right or SDR. The **SDR** is an international reserve asset created by the:

- A) U.S. Department of the Treasury.
- B) International Bank of Reconstruction and Development (IBRD).
- C) World Bank (WB).
- D) International Monetary Fund (**IMF**).

Answer: D

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

7) Which of the following led to the eventual **demise of the fixed currency exchange** rate regime worked out at Bretton Woods?

- A) widely divergent national monetary and fiscal policies among member nations
- B) differential rates of inflation across member nations
- C) several unexpected economic shocks to member nations
- D) all of the above

Answer: D

Diff: 2

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

8) Which of the following statements is NOT true?

A) The **Gold Standard** Era was characterized by **growing openness in trade, but limited capital mobility**.

B) The time period between World Wars I and II (the inter war years) witnessed significant reductions in trade barriers and a rapid acceleration in international trade.

C) The Bretton Woods Era (post WWII) realized the increasing benefits of open economies. Furthermore, trade was increasingly dominated by capital.

D) Since March 1973, exchange rates have become much more volatile and less predictable than previous periods.

Answer: B

Diff: 2

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

9) A review of the evolution of the Global Monetary System shows that capital flows dominate trade in which of the following eras EXCEPT:

A) Classical Gold Standard.

B) Fixed Exchange Rates, 1945-1973.

C) The Floating Era, 1973-1997.

D) The Emerging Era, 1997-Present.

Answer: A

Diff: 2

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

10) Since 2009 the IMF's exchange rate regime classification system uses a "de facto classification" methodology. Under this system, a country that has given up their own sovereignty over monetary policy is considered to have:

A) a residual agreement.

B) hard pegs.

C) soft pegs.

D) floating arrangements.

Answer: B

Diff: 2

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

11) Since 2009 the IMF's exchange rate regime classification system uses a "de facto classification" methodology. Under this system, countries with "fixed exchange rates" are considered to have:

- A) a residual agreement.
- B) soft pegs.
- C) hard pegs.
- D) floating arrangements.

Answer: B

Diff: 2

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

12) A small economy country whose GDP is heavily dependent on trade with the United States could use a(n) _____ exchange rate regime to minimize the risk to their economy that could arise due to unfavorable changes in the exchange rate.

- A) pegged exchange rate with the United States
- B) pegged exchange rate with the Euro
- C) independent floating
- D) managed float

Answer: A

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Conceptual

AACSB: Application of knowledge

13) Since 2009 the IMF's exchange rate regime classification system uses a "de facto classification" methodology. Under this system, currencies that are predominantly market-driven are considered to be:

- A) soft pegs.
- B) hard pegs.
- C) floating arrangements.
- D) a residual agreement.

Answer: C

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

14) Among IMF member countries since 2010, the dominating exchange rate regime has been:

- A) hard peg.
- B) soft peg.
- C) floating arrangements.
- D) residual agreement.

Answer: B

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

15) Under the terms of Bretton Woods, countries tried to maintain the value of their currencies to within 1% of a hybrid security made up of the U.S. dollar, British pound, and Japanese yen.

Answer: FALSE

Diff: 2

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

16) Members of the International Monetary Fund may settle transactions among themselves by transferring Special Drawing Rights (SDRs).

Answer: TRUE

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

17) Today, the United States has been ejected from the International Monetary Fund for refusal to pay annual dues.

Answer: FALSE

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

18) From the time of its creation through September 2017, the euro peaked versus the USD in April 2008 at around \$1.60/€.

Answer: TRUE

Diff: 2

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

19) Since March 1973, when exchange rates become more volatile and less predictable than during the "fixed" exchange rate period, the nominal exchange rate index of the U.S. dollar peaked in 2011.

Answer: FALSE

Diff: 2

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

20) The euro is an example of a rigidly fixed system, acting as a single currency for its member countries. However, the euro itself is an independently floating currency against all other currencies.

Answer: TRUE

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

21) Although the contemporary international monetary system is typically referred to as a "floating regime," it is clearly not the case for the majority of the world's nations.

Answer: TRUE

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

22) The IMF's methodology for classifying exchange rate regimes today is based on the official policy statement of the respective governments, *de jure* classification.

Answer: FALSE

Diff: 1

L.O.: 2.1 History of the International Monetary System

Skill: Recognition

AACSB: Application of knowledge

23) Most Western nations were on the gold standard for currency exchange rates from 1876 until 1914. Today we have several different exchange rate regimes in use, but most larger economy nations have freely floating exchange rates today and are not obligated to convert their currency into a predetermined amount of gold on demand. Currently several parties still call for the "good old days" and a return to the gold standard. Develop an argument as to why this is a good idea.

Answer: The gold standard forces a nation to maintain sufficient reserves of gold to back its currency's value. This helps control inflation, as a country cannot print additional money without sufficient gold to back it up. The gold standard eases international transactions as there is little uncertainty about exchange rates for trade with foreign countries.

Diff: 3

L.O.: 2.1 History of the International Monetary System

Skill: Conceptual

AACSB: Application of knowledge

24) The mobility of international capital flows is causing emerging market nations to choose between a free-floating currency exchange regime and a currency board (or taken to the limit, dollarization). Describe how each of the regimes would work and identify at least two likely economic results for each regime.

Answer: With free float the exchange rate is market determined and beyond the control of the country's central bank or government. The economic results are likely to be an independent monetary policy, free movement of capital, but less stability in the exchange rate. Such instability may be more than an emerging market country's small financial market can bear. A currency board on the other hand is an implied legislative commitment to fix the foreign exchange rate with a specific currency, generally the country's major trading partner.

Dollarization is taking this policy to the extreme whereby the emerging market nation forgoes its currency for that of its major trading partner. An example of Dollarization is Panama using U.S. dollars as the official Panamanian currency. With such a regime, independent monetary policy is lost and political influence on monetary policy is eliminated. However, the benefits accruing to countries as a result of the ability to print its own money, seigniorage, is lost.

Diff: 2

L.O.: 2.1 History of the International Monetary System

Skill: Conceptual

AACSB: Application of knowledge

2.2 Fixed Versus Flexible Exchange Rates

1) Based on the premise that, other things equal, countries would prefer a fixed exchange rate, which of the following statements is NOT true?

A) Fixed rates provide stability in international prices for the conduct of trade.

B) Fixed exchange rate regimes necessitate that central banks maintain large quantities of international reserves for use in the occasional defense of the fixed rate.

C) Fixed rates are inherently inflationary in that they require the country to follow loose monetary and fiscal policies.

D) Stable prices aid in the growth of international trade and lessen exchange rate risks for businesses.

Answer: C

Diff: 2

L.O.: 2.2 Fixed Versus Flexible Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

2) According to the terminology associated with changes in currency values, which of the following choices is the case when a currency's value relative to other currencies is changed by a government?

- A) depreciation and revaluation
- B) devaluation and appreciation
- C) devaluation and revaluation
- D) depreciation and appreciation

Answer: C

Diff: 2

L.O.: 2.2 Fixed Versus Flexible Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

3) Based on the premise that, other things equal, countries would prefer a fixed exchange rate: Variable rates provide stability in international prices for the conduct of trade.

Answer: FALSE

Diff: 1

L.O.: 2.2 Fixed Versus Flexible Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

4) If exchange rates were fixed, investors and traders would be relatively certain about the current and near future exchange value of each currency.

Answer: TRUE

Diff: 1

L.O.: 2.2 Fixed Versus Flexible Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

5) According to the terminology associated with changes in currency values, depreciation is a case when a currency's value relative to other currencies is changed by a government.

Answer: FALSE

Diff: 1

L.O.: 2.2 Fixed Versus Flexible Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

6) By and large, high capital mobility is forcing emerging market nations to choose between the two extremes of a free-floating exchange rate or a hard peg regime.

Answer: TRUE

Diff: 1

L.O.: 2.2 Fixed Versus Flexible Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

2.3 The Impossible Trinity

1) Which of the following is NOT an attribute of the "ideal" currency?

- A) monetary independence
- B) full financial integration
- C) exchange rate stability
- D) All are attributes of an ideal currency.

Answer: D

Diff: 1

L.O.: 2.3 The Impossible Trinity

Skill: Conceptual

AACSB: Application of knowledge

2) The authors discuss the concept of the "Impossible Trinity" or the inability to achieve simultaneously the goals of exchange rate stability, full financial integration, and monetary independence. If a country chooses to have a pure float exchange rate regime, which two of the three goals is a country most able to achieve?

- A) monetary independence and exchange rate stability
- B) exchange rate stability and full financial integration
- C) full financial integration and monetary independence
- D) A country cannot attain any of the exchange rate goals with a pure float exchange rate regime.

Answer: C

Diff: 2

L.O.: 2.3 The Impossible Trinity

Skill: Conceptual

AACSB: Application of knowledge

3) China today is a clear example of a nation that has chosen the following policies **EXCEPT**:

- A) control and manage the value of its currency.
- B) conduct an independent monetary policy.
- C) full financial integration in an attempt to stimulate its domestic economy.
- D) restrict the flow of capital into and out of the country.

Answer: C

Diff: 2

L.O.: 2.3 The Impossible Trinity

Skill: Conceptual

AACSB: Application of knowledge

4) List and explain the three attributes (often referred as the impossible trinity) an ideal currency would possess if existed in today's world.

Answer: If the ideal currency existed in today's world, it would possess the following three attributes, often referred to as the *impossible trinity*: 1) Exchange rate stability: the value of the currency is fixed (and relatively certain) in relationship to other major currencies. 2) Full financial integration: complete freedom of monetary flows would be allowed. 3) Monetary independence: domestic monetary and interest rate policies would be set by each individual country to pursue desired national economic policies. These qualities are termed the *impossible trinity* because the forces of economics do not allow a country to simultaneously achieve all three goals.

Diff: 1

L.O.: 2.3 The Impossible Trinity

Skill: Conceptual

AACSB: Application of knowledge

2.4 A Single Currency for Europe: The Euro

1) Which of the following is NOT a required convergence criterion to become a full member of the European Economic and Monetary Union (EMU)?

A) National birthrates must be at 2.0 or lower per person.

B) The fiscal deficit should be no more than 3% of GDP.

C) Nominal inflation should be no more than 1.5% above the average inflation rate for the three members with the lowest inflation rates in the previous year.

D) Government debt should be no more than 60% of GDP.

Answer: A

Diff: 2

L.O.: 2.4 A Single Currency for Europe: The Euro

Skill: Recognition

AACSB: Application of knowledge

2) According to the authors, what is the single **most important mandate of** the European Central Bank?

A) Promote international trade for countries within the European Union.

B) Price, in euros, all products for sale in the European Union.

C) **Promote price stability within the European Union.**

D) Establish an EMU trade surplus with the United States.

Answer: C

Diff: 2

L.O.: 2.4 A Single Currency for Europe: The Euro

Skill: Conceptual

AACSB: Application of knowledge

3) Which of the following is a way in which the euro affects markets?

- A) Countries within the Euro zone enjoy cheaper transaction costs.
- B) Currency risks and costs related to exchange rate uncertainty are reduced.
- C) Consumers and business enjoy price transparency and increased price-based competition.
- D) all of the above

Answer: D

Diff: 1

L.O.: 2.4 A Single Currency for Europe: The Euro

Skill: Conceptual

AACSB: Application of knowledge

4) For the three years from early 2002 to early 2005, the euro maintained a strong and steady rise in value against the U.S. dollar (USD). After a brief respite in 2005, the euro continued its climb against the USD into 2008. Which of the following were NOT a contributing factor in the ascent of the euro and the **decline in the dollar?**

- A) severe U.S. balance of payments **deficits**
- B) a general weakening of the dollar after the attacks of September 11, 2001
- C) large U.S. balance of payment surpluses
- D) All of the above were contributing factors.

Answer: C

Diff: 1

L.O.: 2.4 A Single Currency for Europe: The Euro

Skill: Conceptual

AACSB: Application of knowledge

5) The countries that use the euro as their currency have:

- A) agreed to use a single currency (*exchange rate stability*), allow the free movement of capital in and out of their economies (*financial integration*), but give up individual control of their own money supply (*monetary independence*).
- B) gained control over their own money supply (*monetary independence*), allowed the free movement of capital in and out of their economies (*financial integration*), but give up *exchange rate stability*.
- C) agreed to use a single currency (*exchange rate stability*), allow individual control of their own money supply (*monetary independence*), but give up the free movement of capital in and out of their economies (*financial integration*).
- D) none of the above

Answer: A

Diff: 2

L.O.: 2.4 A Single Currency for Europe: The Euro

Skill: Recognition

AACSB: Application of knowledge

6) The Euro currency is fixed against other currencies on the international currency exchange markets, but allows member country currencies to float against each other.

Answer: FALSE

Diff: 1

L.O.: 2.4 A Single Currency for Europe: The Euro

Skill: Recognition

AACSB: Application of knowledge

7) The European Central Bank is a strong and independent central bank that has completely replaced the individual central banks of the countries that use the euro as their currency.

Answer: FALSE

Diff: 2

L.O.: 2.4 A Single Currency for Europe: The Euro

Skill: Recognition

AACSB: Application of knowledge

8) The members of the EU do have relative freedom to set their own *fiscal policies*—government spending, taxation, and the creation of government surpluses or deficits. They are expected to keep deficit spending within limits.

Answer: TRUE

Diff: 2

L.O.: 2.4 A Single Currency for Europe: The Euro

Skill: Recognition

AACSB: Application of knowledge

9) List and explain three benefits the euro would generate for the states participating in the European Economic and Monetary Union.

Answer: The euro would generate a number of benefits for the participating states: 1) Countries within the eurozone enjoy cheaper transaction costs; 2) Currency risks and costs related to exchange rate uncertainty are reduced; and 3) All consumers and businesses both inside and outside the eurozone enjoy price transparency and increased price-based competition. The primary "cost" of adopting the euro, the loss of monetary independence.

Diff: 1

L.O.: 2.4 A Single Currency for Europe: The Euro

Skill: Conceptual

AACSB: Application of knowledge

2.5 Emerging Markets and Regime Choices

1) Beginning in 1991, Argentina conducted its monetary policy through a currency board. In January 2002, Argentina abandoned the currency board and allowed its currency to float against other currencies. The country took this step because:

A) the Argentine Peso had grown too strong against major trading powers thus the currency board policies were hurting the domestic economy.

B) the United States required the action as a prerequisite to finalizing a free trade zone with all of North, South, and Central America.

C) the Argentine government lost the ability to maintain the pegged relationship as in fact investors and traders perceived a lack of equality between the Argentine Peso and the U.S. dollar.

D) all of the above

Answer: C

Diff: 2

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Recognition

AACSB: Application of knowledge

2) In January 2002, the Argentine Peso changed in value from Peso1.00/\$ to Peso1.40/\$; thus, the Argentine Peso _____ against the U.S. dollar.

A) strengthened

B) weakened

C) remained neutral

D) all of the above

Answer: B

Diff: 1

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Analytical

AACSB: Analytical thinking

3) In January 2000 Ecuador officially replaced its national currency, the Ecuadorian sucre, with the U.S. dollar. This practice is known as:

A) bi-currencyism.

B) securitization

C) a Yankee bailout.

D) dollarization.

Answer: D

Diff: 2

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Conceptual

AACSB: Application of knowledge

4) You have been hired as a consultant to the central bank for a country that has for many years suffered from repeated currency crises and depends heavily on the U.S. financial and product markets. Which of the following policies would have the greatest effectiveness for reducing currency volatility of the client country with the United States?

- A) dollarization
- B) an exchange rate pegged to the U.S. dollar
- C) an exchange rate with a fixed price per ounce of gold
- D) an internationally floating exchange rate

Answer: A

Diff: 2

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Conceptual

AACSB: Application of knowledge

5) Which of the following is NOT an argument against dollarization?

- A) Dollarization causes a loss of sovereignty over domestic monetary policy.
- B) Dollarization removes currency volatility against the dollar.
- C) Dollarization causes the country to lose the power of seigniorage.
- D) The central bank of the dollarized country loses the role of lender of last resort.

Answer: B

Diff: 2

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Recognition

AACSB: Application of knowledge

6) The ability of a country to profit from its ability to print money is known as:

- A) profiteering.
- B) dollarization.
- C) seigniorage.
- D) inflation.

Answer: C

Diff: 2

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Recognition

AACSB: Application of knowledge

7) Which of the following factors make it difficult for emerging market economies to choose a specific currency regime?

A) weak fiscal, financial, and monetary institutions

B) the tendency for commerce to allow currency substitution and the denomination of liabilities in dollars

C) the emerging market's vulnerability to sudden stoppages of outside capital flows

D) all of the above

Answer: D

Diff: 2

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Conceptual

AACSB: Application of knowledge

8) Of the following, which is NOT a trade-off that must be dealt with in any exchange rate regime?

A) cooperation vs. independence

B) rules vs. discretionary action

C) dollars vs. pounds

D) All of the above are rate regime trade-offs.

Answer: C

Diff: 1

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Recognition

AACSB: Application of knowledge

9) The following are examples of degrees of internationalization of an international currency EXCEPT:

A) First degree of internationalization is when an international currency becomes readily accessible for trade.

B) A second degree of internationalization is when an international currency is used for international investment.

C) A third degree of internationalization is when an international currency is used for international investment.

D) A third degree of internationalization is when an international currency takes the role of a reserve currency.

Answer: C

Diff: 1

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Recognition

AACSB: Application of knowledge

10) A currency board exists when a country's central bank commits to back its money supply entirely with foreign reserves at all times.

Answer: TRUE

Diff: 1

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Recognition

AACSB: Application of knowledge

11) A currency board exists when a country's central bank commits to back a fraction of its money base with foreign reserves at all times.

Answer: FALSE

Diff: 1

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Recognition

AACSB: Application of knowledge

12) Dollarization is a common solution for countries suffering from currency revaluation.

Answer: FALSE

Diff: 1

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Recognition

AACSB: Application of knowledge

13) All exchange rate regimes must deal with the trade-off between rules and discretion as well as between cooperation and independence.

Answer: TRUE

Diff: 1

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Recognition

AACSB: Application of knowledge

14) Regime structures like the gold standard required no cooperative policies among countries, only the assurance that all would abide by the "rules of the game."

Answer: TRUE

Diff: 1

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Recognition

AACSB: Application of knowledge

15) Bretton Woods required less in the way of cooperation among countries than did the gold standard.

Answer: FALSE

Diff: 1

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Conceptual

AACSB: Application of knowledge

16) The People's Republic of China has two official currencies, the Chinese renminbi (RMB) and

the yuan (CNY).

Answer: FALSE

Diff: 1

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Conceptual

AACSB: Application of knowledge

17) Dollarization is the use of the U.S. dollar as the official currency of the country. List and explain the arguments for and against dollarization. Provide example/s of countries that used the dollar as its official currency.

Answer: The arguments for dollarization are: 1) country that dollarizes removes any currency volatility (against the dollar) and would theoretically eliminate the possibility of future currency crises, 2) expectations of greater economic integration with other dollar-based markets, both product and financial. This last point has led many to argue in favor of regional dollarization. Three major arguments exist against dollarization. The first is the loss of sovereignty over monetary policy. This is, however, the point of dollarization. Second, the country loses the power of seigniorage, the ability to profit from its ability to print its own money. Third, the central bank of the country, because it no longer has the ability to create money within its economic and financial system, can no longer serve the role of lender of last resort. This role carries with it the ability to provide liquidity to save financial institutions that may be on the brink of failure during times of financial crisis.

Diff: 1

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Conceptual

AACSB: Application of knowledge

18) Explain how all exchange rate regimes must deal with the trade-off between rules and discretion, as well as between cooperation and independence. List and classified two International Monetary Systems based on these four quadrants.

Answer: 1) Vertically, different exchange rate arrangements may dictate whether a country's government has strict intervention requirements (rules) or if it may choose whether, when, and to what degree to intervene in the foreign exchange markets (discretion). 2) Horizontally, the trade-off for countries participating in a specific system is between consulting and acting in unison with other countries (cooperation) or operating as a member of the system, but acting on their own (independence).

Regime structures like the gold standard required no cooperative policies among countries, only the assurance that all would abide by the "rules of the game." Under the gold standard, this assurance translated into the willingness of governments to buy or sell gold at parity rates on demand. The Bretton Woods Agreement, the system in place between 1944 and 1973, required more in the way of cooperation, in that gold was no longer the "rule," and countries were required to cooperate to a higher degree to maintain the dollar-based system. Exchange rate systems, like the European Monetary System's (EMS) fixed exchange rate band system used from 1979 to 1999, were hybrids of these cooperative and rule regimes.

Diff: 1

L.O.: 2.5 Emerging Markets and Regime Changes

Skill: Conceptual

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 3 The Balance of Payments

3.1 Fundamentals of BOP Accounting

1) Which of the following is NOT a major subaccount of the Balance of Payments?

- A) the financial account
- B) the accounts payable
- C) the capital account
- D) the current account

Answer: B

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following international transactions would NOT be counted as a balance of payments (BOP) transaction?

- A) An American tourist purchases cheese in Milwaukee, Wisconsin.
- B) The U.S. subsidiary of a British firm pays profits (dividends) back to its parent firm in London.
- C) A Canadian lumber baron purchases a U.S. corporate bond through an investment broker in Seattle.
- D) All of the above are considered BOP transactions.

Answer: A

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Recognition

AACSB: Application of knowledge

3) The *balance of payments* as applied to a course in international finance may be defined as:

- A) the amount still owed by an exporting firm after making an initial down payment.
- B) the amount still owed by governments to the International Monetary Fund.
- C) the measurement of all international economic transactions between the residents of a country and foreign residents.
- D) the amount of a country's merchandise trade deficit or surplus.

Answer: C

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Conceptual

AACSB: Application of knowledge

- 4) Balance of payment (BOP) data may be important for any of the following reasons:
- A) BOP data helps to forecast a country's market potential, especially in the short run.
 - B) The BOP is an important indicator of a country's foreign exchange rate.
 - C) Changes in a country's BOP may signal a change in controls over payment of dividends and interest.
 - D) all of the choices provided above

Answer: D

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Conceptual

AACSB: Application of knowledge

- 5) A country experiencing a serious BOT _____ is more likely to _____ exports than otherwise.

- A) surplus; contract
- B) surplus; expand
- C) deficit; expand
- D) none of the above

Answer: A

Diff: 2

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Analytical

AACSB: Analytical thinking

- 6) Which of the following would NOT be considered a typical BOP transaction?
- A) Toyota U.S.A. is a U.S. distributor of automobiles manufactured in Japan by its parent company.
 - B) The U.S. subsidiary of European financial giant, Credit Suisse, pays dividends to its parent in Zurich.
 - C) A U.S. tourist purchases gifts at a museum in London.
 - D) All are examples of BOP transactions.

Answer: D

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Conceptual

AACSB: Application of knowledge

7) Which of the following is **NOT an item to be considered in BOP calculations**?

- A) A foreign resident purchases a U.S. Treasury Bill.
- B) A U.S.-based firm manages the development of an oil field in Kazakhstan.
- C) A consumer buys a **VCR made in Korea from a Florida Wal-Mart store.**
- D) A U.S. citizen living in Minnesota travels to Winnipeg, Canada, and buys a case of LaBatt's Canadian beer.

Answer: C

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Conceptual

AACSB: Application of knowledge

8) The *balance of payments*:

- A) determines the eligibility of countries for IMF aid.
- B) adds up the value of all assets and liabilities of a country on a specific date.
- C) records all international transactions for a country over a period of time.
- D) all of the above

Answer: C

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Recognition

AACSB: Application of knowledge

9) An American tourist purchases a leather jacket while in Italy. Which of the following statements is *true*?

- A) The leather purchase would be considered an import for the U.S. BOP.
- B) This transaction would be properly accounted for in the *Current Account* of the U.S. BOP.
- C) The leather purchase is considered an import of a good, and thus, considered part of the balance of trade as well.
- D) All of these statements are true.

Answer: D

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Recognition

AACSB: Application of knowledge

10) Which of the following statements about the balance of payments is NOT true?

A) The BOP is the summary statement of all international transactions between one country and all other countries.

B) The BOP is a flow statement, summarizing all international transactions that occur across the geographic borders over a period of time, typically a year.

C) Although the BOP must always balance in theory, in practice there are substantial imbalances as a result of statistical errors and misreporting of current account and financial account flows.

D) All of the above are true.

Answer: D

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Recognition

AACSB: Application of knowledge

11) When the world went to a system of floating exchange rates, the Balance of Payments became a relic of a system of fixed exchange rates and is no longer watched by serious economic groups.

Answer: FALSE

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Conceptual

AACSB: Application of knowledge

12) The BOP should always balance.

Answer: FALSE

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Recognition

AACSB: Application of knowledge

13) Changes in the BOP may predict the imposition or removal of foreign exchange controls.

Answer: TRUE

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Conceptual

AACSB: Application of knowledge

14) A country experiencing a serious trade deficit is not as likely to expand imports as it would be if running a surplus.

Answer: TRUE

Diff: 2

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Analytical

AACSB: Analytical thinking

15) The authors identify a tip for understanding BOP accounting. They recommend that you "follow the cash flow."

Answer: TRUE

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Recognition

AACSB: Application of knowledge

16) The BOP must be in balance, but the current account need not be.

Answer: FALSE

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Recognition

AACSB: Application of knowledge

17) Expenditures by U.S. tourists in foreign countries for foreign goods or services are factored into BOP calculations.

Answer: FALSE

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Recognition

AACSB: Application of knowledge

18) Like a balance sheet, the Balance of Payments adds up the value of all assets and liabilities of a country on a specific date.

Answer: FALSE

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Recognition

AACSB: Application of knowledge

19) Because current and financial/capital account balances use double-entry bookkeeping it is unusual to find serious discrepancies in the debits and credits.

Answer: FALSE

Diff: 1

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Recognition

AACSB: Application of knowledge

20) The measurement of all international economic transactions that take place between the residents of a country and foreign residents is called the *balance of payments* (BOP). List and explain three reasons why host-country BOP data is important to managers and investors.

Answer: BOP data is also important for the following reasons: 1) The BOP is an important indicator of pressure on a country's foreign exchange rate, and thus of the potential for a firm trading with or investing in that country to experience foreign exchange gains or losses. Changes in the BOP may predict the imposition or removal of foreign exchange controls. 2) Changes in a country's BOP may signal the imposition or removal of controls over payment of dividends and interest, license fees, royalty fees, or other cash disbursements to foreign firms or investors. 3) The BOP helps to forecast a country's market potential, especially in the short run. A country experiencing a serious trade deficit is not as likely to expand imports as it would be if running a surplus. It may, however, welcome investments that increase its exports.

Diff: 2

L.O.: 3.1 Fundamentals of BOP Accounting

Skill: Conceptual

AACSB: Application of knowledge

3.2 The Accounts of the Balance of Payments

1) Which of the following is NOT a part of the *Current Account* of BOP?

- A) net export/import of goods
- B) balance of trade
- C) net portfolio investment
- D) net export/import of services

Answer: C

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT part of the *Financial Account* of the BOP?

- A) net foreign direct investment
- B) net import/export of services
- C) net portfolio investment
- D) other Financial items

Answer: B

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

3) Which of the following is NOT part of the *balance of payments* account?

- A) the current account
- B) the financial/capital account
- C) the official reserves account
- D) All of the above are BOP accounts.

Answer: D

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

4) The _____ includes all international economic transactions with income or payment flows occurring within the year.

- A) capital account
- B) current account
- C) financial account
- D) IMF account

Answer: B

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

5) If your company were to import and export textiles, the transactions would be recorded in the current account subcategory of:

- A) services trade.
- B) income trade.
- C) goods trade.
- D) current transfers.

Answer: C

Diff: 2

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

6) The travel services provided to international travelers by United Airlines would be recorded in the current account subcategory of:

- A) services trade.
- B) income trade.
- C) goods trade.
- D) current transfers.

Answer: A

Diff: 2

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

7) Anaconda Copper Inc. created a subsidiary in Chile last year to mine copper ore. The

proportion of net income paid back to the parent company as a dividend would be recorded in the current account subcategory of:

- A) services trade.
- B) income trade.
- C) goods trade.
- D) current transfers.

Answer: B

Diff: 2

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

8) The subcategory that typically dominates the current account is:

- A) goods (merchandise) trade.
- B) services trade.
- C) income trade.
- D) transfer accounts.

Answer: A

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

9) In 2016 the United States posted a current account deficit. The bulk of the negative value came from:

- A) a net transfer deficit.
- B) an income balance deficit.
- C) a goods trade deficit.
- D) an income trade deficit.

Answer: C

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

10) Over the last two decades the surplus on U.S. services trade has typically been _____ the deficit on U.S. goods trade.

- A) greater than
- B) equal to
- C) less than
- D) The relationship is constantly shifting from greater than to less than.

Answer: C

Diff: 2

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

11) The _____ of the balance of payments measures all international economic transactions

of financial assets.

- A) current account
- B) merchandise trade account
- C) services account
- D) capital and financial accounts

Answer: D

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

12) The financial account consists COMPLETELY of which four components?

- A) stock investment, bond investment, derivative investment, and mutual fund investment
- B) direct investment, stock investment, net financial derivatives, and bond investment
- C) direct investment, portfolio investment, net financial derivatives, and other asset investment
- D) mutual fund investment, portfolio investment, derivative investment, and stock investment

Answer: C

Diff: 2

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

13) When categorizing investments for the financial account component of the balance of payments the _____ is an investment where the investor has no control whereas the _____ is an investment where the investor has control over the asset.

- A) direct investment; portfolio investment
- B) direct investment; indirect investment
- C) portfolio investment; indirect investment
- D) portfolio investment; direct investment

Answer: D

Diff: 2

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

14) In general, there is consensus that _____ should be free, but there is no such consensus that _____ should be free.

- A) international investment; international goods trade
- B) international investment; international trade
- C) international trade; international goods trade
- D) international trade; international investment

Answer: D

Diff: 2

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

15) The two major concerns about foreign direct investment are:

- A) national defense and taxes.
- B) who controls the assets and who receives the profits.
- C) who receives the profits and taxes.
- D) who pays the taxes and who receives the taxes.

Answer: B

Diff: 2

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

16) Portfolio investment is capital invested in activities that are _____ rather than made for _____.

- A) short term; the long term
- B) long term; profit
- C) profit motivated; control
- D) control motivated; profit

Answer: C

Diff: 2

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

17) Consider the following: A foreign automobile company builds a manufacturing plant in Tennessee and European investors buy U.S. Treasury Bonds.

A) Both activities would be considered direct investment.

B) Both activities would be considered portfolio investment.

C) The auto manufacturer is engaging in portfolio investment, and the European investors are engaged in direct investing.

D) The auto manufacturer is engaging in direct investment, and the European investors are engaged in portfolio investing.

Answer: D

Diff: 2

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

18) China is currently experiencing a surplus in its current account and its capital/financial accounts. Which of the following is NOT a contributing factor for this unusual situation?

A) The exceptional growth in the Chinese economy contributes to the current account surplus.

B) The positive prospects for China's continued growth contribute to the capital/financial account surplus.

C) China's inevitable acquisition of Taiwan is driving the market for Chinese investment.

D) All of the above are contributing factors for China's twin surpluses.

Answer: C

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

19) If China wished to reduce their accumulation of foreign exchange reserves they could:

A) allow their currency, the yuan, to float freely in the market place.

B) reduce their current account surplus by importing more goods than they export.

C) undertake both of the activities identified in choices A and B.

D) dig a big hole and bury the reserves.

Answer: C

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

20) The largest single component of the United States current account is:

- A) current transfers.
- B) income payments and receipts.
- C) goods (merchandise) imports and exports.
- D) services imports and exports.

Answer: C

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

21) In general, as a country's income increases, so does the demand for imports.

Answer: TRUE

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

22) For at least the last decade, the United States has consistently run a surplus in services trade income.

Answer: TRUE

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

23) Expenditures by U.S. students abroad and foreign students pursuing studies in the United States would be considered a services trade and part of the U.S. current account.

Answer: TRUE

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

24) International debt security purchases and sales are defined as portfolio investments for financial account purposes because by definition debt securities do not provide the buyer with ownership or control.

Answer: TRUE

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

25) Significant amounts of United States Treasury issues are purchased by foreign investors; therefore, the U.S. must earn foreign currency to repay this debt.

Answer: FALSE

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

26) In the United States and most developed countries, the current account and the combined financial/capital accounts tend to be inversely related in that when one is positive, the other tends to be negative.

Answer: TRUE

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

27) The biggest problem that China faces in maintaining a stable value for their currency, the yuan, is their lack of foreign exchange reserves.

Answer: FALSE

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

28) As of year-end 2016, the United States still held the world's largest foreign exchange reserve, but the total was rapidly being approached by China.

Answer: FALSE

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

29) China's current political plan includes reducing their foreign exchange reserve balance by allowing the yuan to float freely and by switching their goods balance from one of a net surplus to a net deficit.

Answer: FALSE

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Recognition

AACSB: Application of knowledge

30) An excess of merchandise exports over merchandise imports results in a balance of trade deficit.

Answer: FALSE

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

31) The transition to floating exchange rate regimes in the 1970s (described in Chapter .3) changed the focus from the total BOP to its various subaccount like the current and financial account balances.

Answer: TRUE

Diff: 1

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

32) What is a country's balance of (merchandise) trade, and why is it so widely reported in the financial and popular press?

Answer: The balance of trade (BOT) is the largest and most important subset of a country's current account. It measures the difference in a country's imports and exports over a specified time period. It is often reported because it is intuitively easy to understand (i.e., we either sell more or buy more from foreign countries) and it is a reasonable representation of the total current account balance. (For example, for the U.S. the BOT was -\$343B in 1999 while the current account balance was -\$807B in 2017.

Diff: 3

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

33) What is the Official Reserves Account (ORA), and why is it more important for countries under a fixed exchange rate regime than for ones under a floating exchange rate regime?

Answer: The ORA is the total reserves held by official monetary authorities within the country. Under a fixed exchange regime, a country's currency is convertible into a fixed amount of another country's currency. To keep the relationship between currencies at equilibrium, it may become necessary for the government to buy or sell official reserves until the equilibrium is restored. Under a variable rate regime this is not necessary as exchange rates are allowed to change and official reserves no longer serve the same purpose as under the fixed rate regime.

Diff: 3

L.O.: 3.2 The Accounts of the Balance of Payments

Skill: Conceptual

AACSB: Application of knowledge

3.3 The BOP Impacts on Key Macroeconomic Rates

1) Under an international regime of fixed exchange rates, countries with a BOP _____ should consider _____ their currency while countries with a BOP _____ should consider _____ their currency.

- A) deficit, revaluing; surplus, revaluing
- B) deficit, devaluing; surplus, devaluing
- C) surplus, devaluing; deficit, revaluing
- D) surplus, revaluing; deficit, devaluing

Answer: D

Diff: 2

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Analytical

AACSB: Analytical thinking

2) Use the following terms for this question:

C = consumption

I = capital investment spending

G = government spending

X = exports of goods and services

M = imports of goods and services

BOP = balance of payments

GDP = gross domestic product

NPV = net present value

INF = inflation

R = real rate of return

The static equation for the nations GDP is:

- A) $GDP = C + I + G + (X + M) \times INF$
- B) $GDP = C + I + G + X + M$
- C) $GDP = C + I + G + X - M$
- D) $GDP = C + I + X - M + R$

Answer: C

Diff: 2

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Analytical

AACSB: Analytical thinking

3) Use the following terms for this question:

(X-M) = Current Account Balance

(CI-CO) = Capital Account Balance

(FI-FO) = Financial Account Balance

(I-S) = Investment-Saving Balance

FXB = Reserve Balance

BOP = balance of payments

GDP = gross domestic product

C = consumption

I = capital investment spending

G = government spending

The static equation for the BOP is:

A) $BOP = (X-M) - (CI-CO) - (FI-FO) + FXB$

B) $BOP = (X-M) + (I-S) + (FI-FO) + FXB$

C) $BOP = (X-M) + (CI-CO) + (FI-FO) + FXB$

D) $BOP = GDP - [C + I + G] + (FI-FO)$

Answer: C

Diff: 2

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Analytical

AACSB: Analytical thinking

4) Imports have the potential to lower a country's inflation rate because of each of the following EXCEPT:

A) the import of lower priced goods limits what domestic competitors can charge for goods.

B) the import of lower priced services limits what domestic competitors can charge for services.

C) the higher prices of foreign goods spurs domestic competitors to cut prices.

D) all of the above

Answer: C

Diff: 2

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Recognition

AACSB: Application of knowledge

5) Under a fixed exchange rate system, the government bears the responsibility to ensure that the BOP is near zero. If the sum of the current and capital accounts do not approximate zero, the government is expected to intervene in the foreign exchange market by buying or selling official foreign exchange reserves. If the sum of the first two accounts is GREATER THAN ZERO, a _____ demand for the domestic currency exists in the world. To preserve the fixed exchange rate, the government must then intervene in the foreign exchange market and _____ domestic currency for foreign currencies or gold so as to bring the BOP back near zero.

- A) surplus; sell
- B) surplus; buy
- C) deficit; sell
- D) deficit; buy

Answer: A

Diff: 2

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Conceptual

AACSB: Application of knowledge

6) Under a fixed exchange rate system, the government bears the responsibility to ensure that the BOP is near zero. If the sum of the current and capital accounts do not approximate zero, the government is expected to intervene in the foreign exchange market by buying or selling official foreign exchange reserves. If the sum of the first two accounts is LESS THAN ZERO, a _____ demand for the domestic currency exists in the world. To preserve the fixed exchange rate, the government must then intervene in the foreign exchange market and _____ domestic currency for foreign currencies or gold so as to bring the BOP back near zero.

- A) surplus; sell
- B) surplus; buy
- C) deficit; sell
- D) deficit; buy

Answer: D

Diff: 2

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Conceptual

AACSB: Application of knowledge

7) An increase in GDP should lead to a decrease in imports.

Answer: FALSE

Diff: 1

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Recognition

AACSB: Application of knowledge

8) The effect of an imbalance in the BOP is the same for countries on a fixed exchange rate regime as for those on a floating exchange rate regime.

Answer: FALSE

Diff: 1

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Recognition

AACSB: Application of knowledge

9) Under a floating exchange rate system, the government bears the responsibility to ensure that the BOP is near zero.

Answer: FALSE

Diff: 1

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Recognition

AACSB: Application of knowledge

10) A country with a managed float that wishes to WEAKEN its currency may choose to raise domestic interest rates to attract additional capital from abroad.

Answer: FALSE

Diff: 1

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Conceptual

AACSB: Application of knowledge

11) A country's overall level of interest rates should have an impact on the financial account of the BOP. Relatively low real interest rates should normally stimulate an outflow of capital seeking higher interest rates in other country currencies.

Answer: TRUE

Diff: 1

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Conceptual

AACSB: Application of knowledge

12) Imports have the potential to lower a country's inflation rate. In particular, imports of HIGHER-priced goods and services place a limit on what domestic competitors charge for comparable goods and services.

Answer: FALSE

Diff: 1

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Recognition

AACSB: Application of knowledge

13) Very often governments seek to alter the market's valuation of their currency by influencing relative interest rates, thus influencing the economic fundamentals of exchange rate determination rather than through direct intervention in the foreign exchange markets. Describe how this strategy works. Describe the case of the U.S. or China where the opposite effect, to the suggest here, have occurred.

Answer: A country may choose to raise domestic interest rates to attract additional capital from abroad (the short-term portfolio component of these capital flows). This step will alter market forces and create additional market demand for the domestic currency in order to restore an imbalance caused by the deficit in the current account. The process also raises the cost of local borrowing for businesses so the policy is seldom without domestic negative consequences. Relatively low real interest rates should normally stimulate an outflow of capital seeking higher interest rates in other country currencies. However, in the case of the United States, the opposite effect has occurred. Despite relatively low real interest rates and large BOP deficits on the current account, the U.S. BOP financial account has experienced offsetting financial inflows due to relatively attractive U.S. growth rate prospects, high levels of productive innovation, and perceived political safety. Thus, the financial account inflows have helped the United States to maintain its lower interest rates and to finance its exceptionally large fiscal deficit. However, it is beginning to appear that the favorable inflow on the financial account is diminishing while the U.S. balance on the current account is worsening.

Diff: 1

L.O.: 3.3 The BOP Impacts on Key Macroeconomic Rates

Skill: Conceptual

AACSB: Application of knowledge

3.4 Trade Balances and Exchange Rates

1) Of the following, which is NOT a part of J-Curve adjustment path?

A) the currency contract period

B) the exchange rate pass-through period

C) the quantity adjustment period

D) Each of the above is part of the J-Curve adjustment path.

Answer: D

Diff: 1

L.O.: 3.4 Trade Balances and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT likely to occur in the quantity adjustment phase of the J-Curve adjustment path?

- A) Imports become relatively more expensive.
- B) Exports become relatively less expensive.
- C) The balance of trade gets worse.
- D) All of the above are true.

Answer: C

Diff: 2

L.O.: 3.4 Trade Balances and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

3) When a currency is devalued, the immediate impact may be an increase in a country's trade deficit. However, this situation tends to correct itself in 2 to 5 weeks.

Answer: FALSE

Diff: 2

L.O.: 3.4 Trade Balances and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

4) The immediate impact of a devaluation of the domestic currency is to decrease the value of the spot exchange rate $\text{\$/fc}$.

Answer: FALSE

Diff: 2

L.O.: 3.4 Trade Balances and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

5) Countries occasionally intentionally devalue their currencies. So what is the logic and likely results of intentionally devaluing their domestic currency? International economic analysis characterizes the trade balance adjustment process as occurring in three stages. List and explain the three stages too.

Answer: International economic analysis characterizes the trade balance adjustment process as occurring in three stages: 1) the currency contract period; 2) the pass-through period; and 3) the quantity adjustment period. Assuming that the trade balance is already in deficit prior to the devaluation, a devaluation at time results initially in a further deterioration in the trade balance before an eventual improvement. The path of adjustment, as shown, takes on the shape of a flattened "j."

In the *currency contract period*, a sudden unexpected devaluation of the domestic currency will deteriorate the trade balance simply because all the contracts for exports and imports are already in effect. Firms operating under these agreements are required to fulfill their obligations, regardless of whether they profit or suffer losses. In the *pass-through period*, as exchange rates change, importers and exporters eventually must pass these exchange rate changes through to **their own product prices**. Import prices rise and export prices are now cheaper compared to foreign competitors' because the dollar is cheaper. The third and final period, the *quantity adjustment period*, achieves the balance of trade adjustment that is expected from a domestic currency devaluation or depreciation. As the import and export prices change as a result of the pass-through period, consumers both in the United States and in the U.S. export markets adjust their **demands to the new prices**. Imports are relatively more expensive; therefore, the quantity demanded decreases. Exports are relatively cheaper; therefore, the quantity demanded increases. The balance of trade—the expenditures on exports less the expenditures on imports—improves.

Diff: 2

L.O.: 3.4 Trade Balances and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

3.5 Capital Mobility

1) The authors identify four distinct periods of capital mobility since 1860. Which do they term as a "period of global economic destruction"?

A) 1860 - 1914

B) 1914 - 1945

C) 1945 - 1971

D) 1971 - 2007

Answer: B

Diff: 2

L.O.: 3.5 Capital Mobility

Skill: Recognition

AACSB: Application of knowledge

2) _____ is the cross-border purchase of assets that are then managed in a way that hides the movement of money and its ownership.

- A) Capital flight
- B) Capital mobility
- C) Irrational exuberance
- D) Money laundering

Answer: D

Diff: 1

L.O.: 3.5 Capital Mobility

Skill: Recognition

AACSB: Application of knowledge

3) This was an era dominated by industrialized nation economies that were dependent on gold convertibility to maintain confidence in the system.

- A) The Gold Standard, 1860-1914
- B) The Interwar Years, 1914-1945
- C) The Bretton Woods Era, 1945-1971
- D) The Floating Era, 1971-1997

Answer: A

Diff: 1

L.O.: 3.5 Capital Mobility

Skill: Recognition

AACSB: Application of knowledge

4) This dollar-based fixed exchange rate system gave rise to a long period of economic recovery and growing openness of both international trade and capital flows in and out of more and more countries.

- A) The Gold Standard, 1860-1914
- B) The Interwar Years , 1914-1945
- C) The Bretton Woods Era, 1945-1971
- D) The Floating Era, 1971-1997

Answer: C

Diff: 1

L.O.: 3.5 Capital Mobility

Skill: Recognition

AACSB: Application of knowledge

5) An era of retrenchment, in which major economic powers returned to policies of isolationism and protectionism, restricting trade and nearly eliminating capital mobility.

- A) The Gold Standard, 1860-1914
- B) The Interwar Years , 1914-1945
- C) The Bretton Woods Era, 1945-1971
- D) The Floating Era, 1971-1997

Answer: B

Diff: 1

L.O.: 3.5 Capital Mobility

Skill: Recognition

AACSB: Application of knowledge

6) A _____ is any restriction that limits or alters the rate or direction of capital movement into or out of a country.

- A) capital budget
- B) capital control
- C) balance of trade deficit
- D) balance of trade surplus

Answer: B

Diff: 1

L.O.: 3.5 Capital Mobility

Skill: Recognition

AACSB: Application of knowledge

7) Long-term capital flows reflect the following factors EXCEPT:

- A) short-term interest rate differentials.
- B) fundamental economic expectations.
- C) growth prospects.
- D) perceptions of political stability.

Answer: A

Diff: 1

L.O.: 3.5 Capital Mobility

Skill: Conceptual

AACSB: Application of knowledge

8) Capital controls may take a variety of forms EXCEPT:

- A) currency boards.
- B) taxes.
- C) quotas.
- D) prohibitions.

Answer: A

Diff: 1

L.O.: 3.5 Capital Mobility

Skill: Recognition

AACSB: Application of knowledge

9) The Bretton Woods era realized a great expansion of international trade in goods and services.

Answer: TRUE

Diff: 2

L.O.: 3.5 Capital Mobility

Skill: Recognition

AACSB: Application of knowledge

10) Longer-term capital flows reflect short-term interest rate differentials and exchange rate expectations.

Answer: FALSE

Diff: 2

L.O.: 3.5 Capital Mobility

Skill: Conceptual

AACSB: Application of knowledge

11) One of the motivations for capital controls is to insulate an economy from foreign political risks.

Answer: FALSE

Diff: 2

L.O.: 3.5 Capital Mobility

Skill: Conceptual

AACSB: Application of knowledge

12) Dutch Disease is a term applied to a problem in the 1970 whereby the Netherlands were experiencing massive and sudden inflows of capital from abroad. What was the cause of this sudden influx of capital, and what types of potential problems did it have for the Dutch or could it have for any small single resource country?

Answer: With the rapid growth of the natural gas industry in the Netherlands in the 1970s, there was growing fear that massive capital inflows would drive up the demand for the Dutch guilder and cause a substantial currency appreciation. A more expensive guilder would then reduce the international competitiveness of other Dutch manufacturing industries, causing their relative decline to that of the natural resource industry. This is a challenge faced by a number of resource-rich economies of relatively modest size and relatively small export sectors.

Diff: 2

L.O.: 3.5 Capital Mobility

Skill: Conceptual

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 4 Financial Goals and Corporate Governance

4.1 Business Ownership

1) Foreign stock markets are frequently characterized by controlling shareholders for the individual publicly traded firms. Which of the following is NOT identified by the authors as typical controlling shareholders?

- A) the government (for example, privatized utilities)
- B) institutions (such as banks in Germany)
- C) family (such as in France)
- D) All of the above were identified by the authors as controlling shareholders.

Answer: D

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT typically associated with the *public ownership* of business organizations?

- A) the state
- B) the government
- C) families
- D) civil society

Answer: C

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

3) Which of the following is NOT typically associated with the *private ownership* of business organizations?

- A) the government
- B) families
- C) individuals
- D) publicly traded, widely-held organizations

Answer: A

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

4) *State Owned Enterprises* (SOEs):

- A) are a form of public ownership.
- B) are created for commercial activities rather than civil or social activities.
- C) are the dominant form of business organization in some countries.
- D) are all of the above.

Answer: D

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

5) The problems that may arise due to the separation of ownership and management in large business organizations are known as:

- A) separation anxiety.
- B) the agency problem.
- C) corporate disconnect theory.
- D) none of the above

Answer: B

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

6) Privatization is a term used to describe:

- A) firms that are purchased by the government.
- B) government operations that are purchased by corporations and other investors.
- C) firms that do not use publicly available debt.
- D) non-public meetings held by members of interlocking directorates.

Answer: B

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

7) "Maximize corporate wealth":

- A) is the primary objective of the non-Anglo-American model of management.
- B) as a management objective treats shareholders on a par with other corporate stakeholders such as creditors, labor, and local community.
- C) has a broader definition than just financial wealth.
- D) all of the above

Answer: D

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

8) The Shareholder Wealth Maximization Model (SWM):

A) combines the interests and inputs of shareholders, creditors, management, employees, and society.

B) is being usurped by the Stakeholder Capitalism Model as those types of MNEs dominate their global industry segments.

C) clearly places shareholders as the primary stakeholder.

D) is the dominant form of corporate management in the European-Japanese governance system.

Answer: C

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

9) The Stakeholder Capitalism Model (SCM):

A) clearly places shareholders as the primary stakeholder.

B) combines the interests and inputs of shareholders, creditors, management, employees, and society.

C) has financial profit as its goal and is often termed impatient capital.

D) is the Anglo-American model of corporate governance.

Answer: B

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

10) In the Anglo-American model of corporate governance, the primary goal of management is to:

A) maximize the wealth of all stakeholders.

B) maximize shareholder wealth.

C) minimize costs.

D) minimize risk.

Answer: B

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

11) In finance, an efficient market is one in which:

A) prices are assumed to be correct.

B) prices adjust quickly and accurately to new information.

C) prices are the best allocators of capital in the macro economy.

D) all of the above

Answer: D

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

12) Systematic risk can be defined as:

- A) the total risk to the firm.
- B) the risk of the individual security.
- C) the risk of the market in general.
- D) the risk that can be systematically diversified away.

Answer: C

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

13) Unsystematic risk can be defined as:

- A) the total risk to the firm.
- B) the risk of the individual security.
- C) the added risk that a firm's shares bring to a diversified portfolio.
- D) the risk of the market in general.

Answer: B

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

14) The study of how shareholders can motivate management to accept the prescriptions of the shareholder wealth maximization model is called:

- A) market efficiency.
- B) the SWM model.
- C) agency theory.
- D) the SCM model.

Answer: C

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

15) Under the Shareholder Wealth Maximization Model (SWM) of corporate governance, poor firm performance is likely to be faced with all but which of the following?

- A) sale of shares by disgruntled current shareholders
- B) shareholder activism to attempt a change in current management
- C) as a maximum threat, initiation of a corporate takeover
- D) prison time for executive management

Answer: D

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

16) Which of the following is a reason why managers act to maximize shareholder wealth in Anglo-American markets?

- A) the use of stock options to align the goals of shareholders and managers
- B) the market for corporate control that allows for outside takeover of the firm
- C) performance-based compensation for executive management
- D) all of the above

Answer: D

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

17) Which of the following is NOT true regarding the stakeholder capitalism model?

- A) Banks and other financial institutions are less important creditors than securities markets.
- B) Labor unions are more powerful than in the Anglo-American markets.
- C) Governments interfere more in the marketplace to protect important stakeholder groups.
- D) All of the above are TRUE.

Answer: A

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

18) The stakeholder capitalism model:

- A) typically avoids the flaw of impatient capital.
- B) tries to meet the desires of multiple stakeholders.
- C) may leave management without a clear signal about tradeoffs among the several stakeholders.
- D) all of the above

Answer: D

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

19) Which of the following is generally NOT considered to be a viable operational goal for a firm?

- A) maintaining a strong local currency
- B) maximization of after-tax income
- C) minimization of the firm's effective global tax burden
- D) correct positioning of the firm's income, cash flows and available funds as to country and currency

Answer: A

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

20) Which of the following operational goals for the international firm may be incompatible with the others?

- A) maintaining a strong local currency

- B) maximization of after-tax income
- C) minimization of the firm's effective global tax burden
- D) Each of these goals may be incompatible with one or more of the others.

Answer: D

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

21) The primary operational goal for the firm is to:

- A) maximize after-tax profits in each country where the firm is operating.
- B) minimize the total financial risk to the firm.
- C) maximize the consolidated after-tax profits of the firm.
- D) maximize the total risk to the firm.

Answer: C

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

22) With shareholder wealth maximization as the manager's goal, capital may be termed:

- A) impatient.
- B) patient.
- C) borrowed.
- D) bought.

Answer: A

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

23) If share price rises from \$12 to \$15 per share, and pays a dividend of \$1 per share, what was the rate of return to shareholders?

- A) 26.67%
- B) -13.33%
- C) 33.33%
- D) 16.67%

Answer: C

Diff: 3

L.O.: 4.1 Business Ownership

Skill: Analytical

AACSB: Analytical thinking

24) PolyProduction Inc. has two classes of common stock. Class A has 5 million shares with 10 votes per share. Class B has 5 million shares with 1 vote per share. If the dividends per share are equal for both class A and B stock, then Class A shareholders have _____ of the votes and _____ of the dividends.

A) 90.91%; 90.91%

B) 90.91%; 50.00%

C) 50.00%; 50.00%

D) 83.33%; 33.33%

Answer: B

Diff: 3

L.O.: 4.1 Business Ownership

Skill: Analytical

AACSB: Analytical thinking

25) In the U.S. and U.K. stock markets are characterized by ownership of firms concentrated in the hands of a few controlling shareholders. In contrast, the rest of the world tends to have more widespread ownership of shares.

Answer: FALSE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

26) *State Owned Enterprises (SOEs)* by their very name cannot be traded on stock exchanges because they are government owned.

Answer: FALSE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

27) According to recent research, family-owned firms in some highly-developed economies typically outperform publicly-owned firms.

Answer: TRUE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

28) According to the authors, dual classes of voting stock are the norm in non-Anglo-American markets.

Answer: TRUE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

29) In recent years the trend has been for markets to increasing focus on the shareholder wealth

form of wealth maximization.

Answer: TRUE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

30) Non-Anglo-American markets are dominated by the "one-vote-one-share" rule.

Answer: FALSE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

31) The stakeholder capitalism model (SCM) holds that total risk (operational and financial) is more important than just systematic risk.

Answer: FALSE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

32) In recent years the trend has been for markets to increasing focus on the global stakeholders.

Answer: FALSE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

33) Patient Capitalism is characterized by short-term focus by both management and investors.

Answer: FALSE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

34) Agency theory states that unsystematic risk can be eliminated through diversification.

Answer: FALSE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

35) The stakeholder capitalism model does not assume that equity markets are either efficient or inefficient.

Answer: TRUE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

36) The stakeholder capitalism model assumes that only systematic risk "counts" or is a prime concern for management.

Answer: FALSE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

37) Dividend yield is the change in the share price of stock as traded in the public equity markets.

Answer: FALSE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

38) The goal of all international corporations is to maximize shareholder wealth.

Answer: FALSE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

39) Systematic risk can be eliminated through portfolio diversification.

Answer: FALSE

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

40) A recent study shows that privately held firms use less financial leverage and enjoy lower costs of debt than publicly traded firms.

Answer: TRUE

Diff: 2

L.O.: 4.1 Business Ownership

Skill: Recognition

AACSB: Application of knowledge

41) In the *stakeholder capitalism model (SCM)* the assumption of market efficiency is absolutely critical.

Answer: FALSE

Diff: 2

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

42) One of the most challenging issues in the financial management of the enterprise is the possible separation of ownership from management resulting in the so-called principal agent problem. Define the agency problem, explain possible ways to alleviate the agency problem and discuss differences in across global markets.

Answer: The separation of ownership from management raises the possibility that the two entities may have different business and financial objectives. This is the so-called principal agent problem. There are several strategies for aligning shareholder and management interests, the most common of which is for senior management to own shares or share options. What is then good for the managers' own personal wealth is similar to that of general shareholders.

The United States and United Kingdom are two country markets characterized by wide-spread ownership of shares. Management may own some small portion of stock in their firms, but largely management is a hired agent that is expected to represent the interests of shareholders. In contrast, many firms in many other global markets are characterized by controlling shareholders such as government, institutions (e.g., banks in Germany), family (e.g., in France, Italy, and throughout Asia and Latin America), and consortiums of interests (e.g., keiretsus in Japan and chaebols in South Korea). A business that is owned and managed by the same entity does not suffer the agency problem.

Diff: 1

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

43) Describe the management objectives of a firm governed by the shareholder wealth maximization model and one governed by the stakeholder wealth maximization model. Give an example of how these two models may lead to different decision-making by executive management.

Answer: Shareholder wealth maximization attempts to do just that, typically through the maximization of share price. Stakeholder wealth maximization is much more difficult because of the necessity to satisfy many stakeholders all having approximately equal claim on the objectives of management. These stakeholders may include shareholders, creditors, customers, employees, and community. Differing decisions may occur in a situation that involves significant social costs. For example, in the U.S. the decision to shift production from a local factory to a foreign one may be in large based on the change in NPV as the result of the move with only minor consideration of the impact that a change in location would have on the community at large or the local employees. A manager of a stakeholder driven firm may place equal or greater emphasis on the local employees and community and choose to maintain the current facility rather than move even if the foreign operation provided a much greater NPV. Ultimately, the latter may cause an inefficient allocation of scarce resources and lead to an overall lower standard of living.

Diff: 3

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

44) Define patient and impatient capitalism and discuss how each may lead to different decision-making in the shareholder wealth maximization model.

Answer: Patient capitalism may be defined as a focus on long-term shareholder wealth maximization and is often associated with management focusing on long-term investments with less emphasis placed on short-term or trendy objectives. On the other hand, impatient capitalism could be described as a destructive focus on the short term by both management and investors. These differences in the time horizon could lead to different and perhaps inferior decisions by existing management and ultimately be costly to the shareholders.

Diff: 3

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

45) What are the most important distinctions that make *state owned enterprises* (SOEs) different from other forms of government organizations?

Answer: *State owned enterprises* are created distinctly for the purpose of commercial activities, rather than the multitude of other social, civil, and regulatory activities of government. SOEs are today, in many countries, the dominant form of business entity.

Diff: 2

L.O.: 4.1 Business Ownership

Skill: Conceptual

AACSB: Application of knowledge

4.2 Publicly Traded versus Privately Held: The Global Shift

1) The number of publicly traded firms:

A) peaked in the U.S. in 1996.

B) peaked worldwide in 1996.

C) increased significantly in 2009 as a result of the international financial crisis.

D) all of the above

Answer: A

Diff: 1

L.O.: 4.2 Publicly Traded versus Privately Held: The Global Shift

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT a source of new stock exchange listing additions?

A) initial public offerings

B) movements of share listings from one exchange to another

C) spinouts from larger firms

D) All of the above are sources.

Answer: D

Diff: 1

L.O.: 4.2 Publicly Traded versus Privately Held: The Global Shift

Skill: Recognition

AACSB: Application of knowledge

3) Which of the following is NOT a delisting category?

A) forced delistings

B) mergers

C) acquisitions

D) All of the above are categories of delistings.

Answer: D

Diff: 1

L.O.: 4.2 Publicly Traded versus Privately Held: The Global Shift

Skill: Recognition

AACSB: Application of knowledge

4) U.S. listings of publicly traded firms as a percentage of worldwide listings of such firms INCREASED from 11% in 1996 to approximately 33% in 2015.

Answer: FALSE

Diff: 1

L.O.: 4.2 Publicly Traded versus Privately Held: The Global Shift

Skill: Recognition

AACSB: Application of knowledge

5) Companies that are delisted cease to trade.

Answer: FALSE

Diff: 1

L.O.: 4.2 Publicly Traded versus Privately Held: The Global Shift

Skill: Recognition

AACSB: Application of knowledge

6) Since movements between exchanges typically are a zero sum within a country, and spinouts and bulletin board movements are few in number, real growth in listings comes from IPOs.

Answer: FALSE

Diff: 1

L.O.: 4.2 Publicly Traded versus Privately Held: The Global Shift

Skill: Recognition

AACSB: Application of knowledge

7) The decline of share listings in the United States has led to considerable debate over whether these trends represent a fundamental global business shift away from the publicly traded corporate form, or something that is more U.S.-centric combined with the economic times. Develop an argument to why the decline happened.

Answer: One recent study argued that it was not really the increasingly burdensome U.S. regulatory environment that was to blame, but rather a proliferation of factors that caused the decline in market making, sales, and research support for small and medium-sized equities. Beginning with the introduction of online brokerage in 1996 and online trading rules in 1997, more and more equity trading in the United States shifted to electronic communication networks which allowed all market participants to trade directly with the exchange order books, and not through brokers or brokerage houses. Although this increased competition reduced transaction costs dramatically, it also undermined the profitability of the retail brokerage houses, which had always supported research, market making, and sales and promotion of the small- to medium-sized equities. Without this financial support, the smaller stocks were no longer covered and promoted by the major equity houses. Without that research, marketing, promotion and coverage, their trading volumes and values fell.

Diff: 1

L.O.: 4.2 Publicly Traded versus Privately Held: The Global Shift

Skill: Conceptual

AACSB: Application of knowledge

4.3 Corporate Governance

1) Which of the following broad topics is NOT identified as an area to be established as good corporate governance practice by the Organization for Economic Cooperation and Development (OECD)?

- A) protect the rights of shareholders
- B) disclosure and transparency
- C) the proper role of stakeholders in the governance of the firm
- D) All of the above should be a concern of good corporate governance.

Answer: D

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Recognition

AACSB: Application of knowledge

2) The relationship among stakeholders used to determine and control the strategic direction and performance of an organization is termed:

- A) corporate governance.
- B) Anglo-American activism.
- C) capital structure.
- D) working capital management.

Answer: A

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Recognition

AACSB: Application of knowledge

3) When discussing the structure of corporate governance, the authors distinguish between internal and external factors. _____ is an example of an internal factor, and _____ is an example of an external factor.

- A) Equity markets; executive management
- B) Debt markets; board of directors
- C) Executive management; auditors
- D) Auditors; regulators

Answer: C

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Recognition

AACSB: Application of knowledge

4) Which of the following is NOT commonly associated with a government affiliated form of corporate governance regime?

- A) no minority influence
- B) lack of transparency
- C) state ownership of enterprise
- D) All are associated with this type of corporate governance regime.

Answer: D

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Recognition

AACSB: Application of knowledge

5) Generally speaking, which of the following is NOT considered an important factor in the composition and control of corporate boards of directors?

- A) the number of insider vs. outside directors
- B) the total number of directors on the board
- C) the composition of the compensation committee
- D) All of the above are important factors of board composition.

Answer: D

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Recognition

AACSB: Application of knowledge

6) Signed into law on July 30, 2002, the _____ Act requires CEOs of publicly traded companies to vouch for the veracity of the firm's published financial statements.

- A) Smoot-Hawley
- B) Humphrey-Hawkins
- C) McCain-Merrill
- D) Sarbanes-Oxley

Answer: D

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Recognition

AACSB: Application of knowledge

7) The Sarbanes-Oxley Act, passed by the U.S. Congress in July 2002, was designed to:

- A) reinstitute heavy tariffs on international trade.
- B) reform corporate governance.
- C) limit the Federal Reserve Board's ability to engage in the buying and selling of gold.
- D) limit trade with countries deemed lenient on terrorism.

Answer: B

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Recognition

AACSB: Application of knowledge

8) Anglo-American markets is a term used to describe business markets in:

- A) North, Central, and South America.
- B) the United States, Canada, and Western Europe.
- C) the United States, United Kingdom, Canada, Australia and New Zealand.
- D) the United States, France, Britain, and Germany.

Answer: C

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Recognition

AACSB: Application of knowledge

9) The deliberation of the of the process demonstrated in the European-Japanese system of corporate governance has sometimes been termed:

- A) socialism.
- B) impatient capital.
- C) patient capital.
- D) communism.

Answer: C

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Conceptual

AACSB: Application of knowledge

10) Which of the following is NOT an important concept when distinguishing between international and domestic financial management?

- A) corporate governance
- B) culture, history, and institutions
- C) political risk
- D) All of the above are important distinguishing concepts.

Answer: D

Diff: 2

L.O.: 4.3 Corporate Governance

Skill: Conceptual

AACSB: Application of knowledge

11) The Board of Directors:

- A) consists exclusively of the officers of the corporation.
- B) is the legal body which is accountable for the governance of the corporation.
- C) are not subject to the external forces of the marketplace.
- D) is appointed by the Securities and Exchange Commission (SEC).

Answer: B

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Recognition

AACSB: Application of knowledge

12) Which of the following is NOT a possible and appropriate response by shareholders dissatisfied with existing firm management of a publicly traded firm?

- A) Shareholders could sell their shares of stock.
- B) Shareholders could remain quietly disgruntled.
- C) Shareholders, perhaps with the help of others, could attempt to initiate a takeover.
- D) All of these responses may be possible and appropriate.

Answer: D

Diff: 2

L.O.: 4.3 Corporate Governance

Skill: Conceptual

AACSB: Application of knowledge

13) Regarding comparative corporate governance regimes: Bank-based regimes characterized by government influence in bank lending and a lack of transparency is often found in countries such as Korea and Germany.

Answer: TRUE

Diff: 2

L.O.: 4.3 Corporate Governance

Skill: Recognition

AACSB: Application of knowledge

14) Investor protection is typically better in countries with codified civil law (the Code Napoleon) than in countries with a legal system based in English common law.

Answer: FALSE

Diff: 2

L.O.: 4.3 Corporate Governance

Skill: Conceptual

AACSB: Application of knowledge

15) The relatively low cost of compliance with the Sarbanes-Oxley Act (SOX) has been a surprising benefit of the act.

Answer: FALSE

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Recognition

AACSB: Application of knowledge

16) Having Anglo-Americans as members of the board of directors of a non-Anglo-American firm signals poor corporate governance in the firm.

Answer: FALSE

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Conceptual

AACSB: Application of knowledge

17) Although there are many different cultural and legal approaches used in corporate governance worldwide, there is a growing consensus on what constitutes good corporate governance. List and explain at least three standardized common principles of good corporate governance.

Answer: 1) A board of directors that has both internal and external members. More importantly, it should be staffed by individuals of true experience and knowledge of not only their own rules and responsibilities, but of the nature and conduct of the corporate business. 2) A management compensation system that is aligned with corporate performance (financial and otherwise) and has significant oversight from the board and open disclosure to shareholders and investors. 3) Independent auditing of corporate financial results on a meaningful real-time basis. An audit process with oversight by a Board committee composed primarily of external members would be an additional significant improvement. 4) Timely public reporting of both financial and nonfinancial operating results that may be used by investors to assess the investment outlook. This should also include transparency and reporting around potentially significant liabilities.

Diff: 1

L.O.: 4.3 Corporate Governance

Skill: Conceptual

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 5 The Foreign Exchange Market

5.1 Functions of the Foreign Exchange Market

1) Which of the following is NOT true regarding the market for foreign exchange?

- A) The market provides the physical and institutional structure through which the money of one country is exchanged for another.
- B) The rate of exchange is determined in the market.
- C) Foreign exchange transactions are physically completed in the foreign exchange market.
- D) All of the above are true.

Answer: D

Diff: 1

L.O.: 5.1 Functions of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

2) A/An _____ is an agreement between a buyer and seller that a fixed amount of one currency will be delivered at a specified rate for some other currency.

- A) Eurodollar transaction
- B) import/export exchange
- C) foreign exchange transaction
- D) interbank market transaction

Answer: C

Diff: 1

L.O.: 5.1 Functions of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

3) The _____ is the mechanism by which participants transfer **purchasing power** between countries, obtain or provide credit for international trade transactions, and minimize exposure to the risks of exchange rate changes.

- A) futures market
- B) federal open market
- C) foreign exchange market
- D) LIBOR

Answer: C

Diff: 1

L.O.: 5.1 Functions of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

4) Which of the following is NOT a motivation identified by the authors as a function of the foreign exchange market?

- A) the transfer of purchasing power between countries
- B) obtaining or providing **credit** for international trade transactions
- C) minimizing the risks of exchange rate changes
- D) All of the above were identified as functions of the foreign exchange market.

Answer: D

Diff: 1

L.O.: 5.1 Functions of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

5) Business firms in countries with **exchange controls**, for example, China (mainland), often must **surrender foreign exchange earned from exports to the central bank at the daily fixing price**.

Answer: TRUE

Diff: 1

L.O.: 5.1 Functions of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

6) The foreign exchange market provides the physical and institutional structure through which three typical functions are accomplished. List and explain three functions of the foreign exchange market.

Answer: The foreign exchange market is the mechanism by which participants transfer purchasing power between countries by exchanging money, obtain or provide credit for international trade transactions, and minimize exposure to the risks of exchange rate changes.

1) The transfer of purchasing power is necessary because international trade and capital transactions normally involve parties living in countries with different national currencies. Usually each party wants to deal in its own currency, but the trade or capital transaction can be invoiced in only one currency. Hence, one party must deal in a foreign currency. 2) Because the movement of goods between countries takes time, inventory in transit must be financed. The foreign exchange market provides a **source of credit**. Specialized instruments, such as bankers' acceptances and letters of credit are available to finance international trade. 3) The foreign exchange market provides "**hedging**" facilities for transferring **foreign exchange risk** to someone else more willing to carry risk.

Diff: 1

L.O.: 5.1 Functions of the Foreign Exchange Market

Skill: Conceptual

AACSB: Application of knowledge

5.2 Structure of the Foreign Exchange Market

1) While trading in foreign exchange takes place worldwide, the major currency trading centers are located in:

- A) London, New York, and Tokyo.
- B) New York, Zurich, and Bahrain.
- C) Paris, Frankfurt, and London.
- D) Los Angeles, New York, and London.

Answer: A

Diff: 2

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

2) The authors identify **two tiers of foreign exchange markets**:

- A) bank and nonbank foreign exchange.
- B) commercial and investment transactions.
- C) **interbank and client markets.**
- D) client and retail market.

Answer: C

Diff: 2

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

3) It is characteristic of foreign exchange **dealers** to:

- A) bring buyers and sellers of currencies together but never to buy and hold an inventory of currency for resale.
- B) act as **market makers**, willing to buy and sell the currencies in which they specialize.
- C) trade only with clients in the retail market and never operate in the wholesale market for foreign exchange.
- D) All of the above are characteristics of foreign exchange dealers.

Answer: B

Diff: 2

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

4) Which of the following may be participants in the foreign exchange markets?

- A) bank and nonbank foreign exchange dealers
- B) central banks and treasuries
- C) speculators and arbitrageurs
- D) all of the above

Answer: D

Diff: 1

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

5) _____ seek to **profit** from trading in the market itself rather than having the foreign exchange transaction being incidental to the execution of a commercial or investment transaction.

- A) **Speculators and arbitrageurs**
- B) Foreign exchange brokers
- C) Central banks
- D) Treasuries

Answer: A

Diff: 1

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

6) In the foreign exchange market, _____ seek all of their profit from exchange rate changes while _____ seek to profit from simultaneous exchange rate differences in different markets.

- A) wholesalers; retailers
- B) central banks; treasuries
- C) speculators; arbitrageurs
- D) dealers; brokers

Answer: C

Diff: 2

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

7) Foreign exchange _____ **earn a profit by a bid-ask spread** on currencies they purchase and sell. Foreign exchange _____, on the other hand, earn a profit by **bringing together** buyers and sellers of foreign currencies and earning a commission on each sale and purchase.

A) central banks; treasuries

B) **dealers; brokers**

C) brokers; dealers

D) speculators; arbitrageurs

Answer: B

Diff: 2

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

8) _____ are agents who facilitate trading between dealers without themselves becoming principals in the transaction.

A) Central banks

B) **Foreign exchange brokers**

C) Arbitrageurs

D) Foreign exchange dealers

Answer: B

Diff: 1

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

9) Because the market for foreign exchange is worldwide, the volume of foreign exchange currency transactions is level throughout the 24-hour day.

Answer: FALSE

Diff: 1

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

10) Foreign exchange markets are a relatively recent phenomenon, beginning with the agreement at Bretton Woods.

Answer: FALSE

Diff: 1

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Conceptual

AACSB: Application of knowledge

11) Dealers in foreign exchange departments at large international banks act as market makers and maintain inventories of the securities in which they specialize.

Answer: TRUE

Diff: 1

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

12) Currency trading lacks profitability for large commercial and investment banks but is maintained as a service for corporate and institutional customers.

Answer: FALSE

Diff: 2

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

13) The primary motive of foreign exchange activities by most central banks is profit.

Answer: FALSE

Diff: 2

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

14) Banks, and a few nonbank foreign exchange dealers, operate ONLY in the interbank markets.

Answer: FALSE

Diff: 2

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

15) Dealers in the foreign exchange departments of large international banks often function as "market makers." Such dealers stand willing at all times to buy and sell those currencies in which they specialize and thus maintain an "inventory" position in those currencies.

Answer: TRUE

Diff: 2

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

16) Currency trading is a service center rather than a profit center for commercial and investment banks.

Answer: FALSE

Diff: 2

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

17) For individuals and firms involved in the import and export of goods and services, using the foreign exchange market is necessary, but incidental, to their underlying commercial or investment purpose.

Answer: TRUE

Diff: 2

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

18) Most transactions in the interbank foreign exchange trading are primarily conducted via telecommunication techniques and little is conducted face-to-face.

Answer: TRUE

Diff: 1

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

19) What are some of the reasons central banks and treasuries enter the foreign exchange markets, and in what important ways are they different from other foreign exchange participants?

Answer: Central banks and treasuries enter the foreign exchange market to acquire/spend their own foreign exchange reserves and to influence the price at which their own currency is traded. Unlike other market participants, they are not profit oriented. Instead, they may willingly take a loss if they think it is in their best national interest.

Diff: 3

L.O.: 5.2 Structure of the Foreign Exchange Market

Skill: Conceptual

AACSB: Application of knowledge

5.3 Transactions in the Foreign Exchange Market

1) _____ is NOT one of the three categories reported for foreign exchange.

A) Spot transactions

B) Swap transactions

C) Strip transactions

D) Futures transactions

Answer: C

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

2) A _____ transaction in the foreign exchange market requires an almost immediate delivery (typically within two days) of foreign exchange.

- A) spot
- B) forward
- C) futures
- D) none of the above

Answer: A

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

3) A _____ transaction in the foreign exchange market requires delivery of foreign exchange at some future date.

- A) spot
- B) forward
- C) swap
- D) currency

Answer: B

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

4) A forward contract to deliver British pounds for U.S. dollars could be described either as _____ or _____.

- A) buying dollars forward; buying pounds forward
- B) selling pounds forward; selling dollars forward
- C) selling pounds forward; buying dollars forward
- D) selling dollars forward; buying pounds forward

Answer: C

Diff: 2

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Conceptual

AACSB: Application of knowledge

5) A common type of swap transaction in the foreign exchange market is the _____ where the dealer buys the currency in the spot market and sells the same amount back to the same bank in the forward market.

- A) "forward against spot"
- B) "forspot"
- C) "repurchase agreement"
- D) "spot against forward"

Answer: D

Diff: 2

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

6) The _____ is a derivative forward contract that was created in the 1990s. It has the same characteristics and documentation requirements as traditional forward contracts except that they are only settled in U.S. dollars and the foreign currency involved in the transaction is not delivered.

- A) **nondeliverable forward**
- B) dollar only forward
- C) virtual forward
- D) internet forward

Answer: A

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

7) Which of the following is NOT true regarding nondeliverable forward (NDF) contracts?

- A) NDFs are used primarily for emerging market currencies.
- B) Pricing of NDFs reflects basic interest rate differentials plus an additional premium charged for dollar settlement.
- C) NDFs can only be traded by central banks.
- D) All of the above are true.

Answer: C

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Conceptual

AACSB: Application of knowledge

8) A _____ transaction in the interbank market is the **simultaneous** purchase and sale of a given amount of foreign exchange for **two different value dates**.

- A) spot
- B) forward-forward
- C) swap
- D) futures

Answer: C

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

9) Daily trading volume in the foreign exchange market was about _____ per _____ in 2015.

- A) \$5,100 billion; month
- B) \$3,100 billion; month
- C) **\$5,100 billion; day**
- D) \$3,100 billion; day

Answer: C

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

10) The greatest volume of daily foreign exchange transactions are:

- A) spot transactions.
- B) forward transactions.
- C) swap transactions.
- D) This question is inappropriate because the volume of transactions are approximately equal across the three categories above.

Answer: C

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

11) The **United Kingdom and United States** together make up nearly _____ of daily currency trading.

- A) 30%
- B) 40%
- C) 50%
- D) **60%**

Answer: D

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

12) The top three currency pairs traded with the U.S. dollar are:

- A) U.K. pound, Chinese Yuan, Japanese yen.
- B) Swiss franc, euro, Japanese yen.
- C) U.K. pound, euro, Japanese yen.
- D) euro, Chinese Yuan, Japanese yen.

Answer: C

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

13) The greatest amount of foreign exchange trading takes place in the following three cities:

- A) New York, London, and Tokyo.
- B) New York, Singapore, and London.
- C) London, Frankfurt, and Paris.
- D) London, Tokyo, and Zurich.

Answer: B

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

14) The four currencies that constitute about 80% of all foreign exchange trading are:

- A) U.K pound, Chinese yuan, euro, and Japanese yen.
- B) U.S. dollar, euro, Chinese yuan, and U.K. pound.
- C) U.S. dollar, Japanese yen, euro, and U.K. pound.
- D) U.S. dollar, U.K. pound, yen, and Chinese yuan.

Answer: C

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

15) A spot transaction in the interbank market for foreign exchange would typically involve a two-day delay in the actual delivery of the currencies, while such a transaction between a bank and its commercial customer would not necessarily involve a two-day wait.

Answer: TRUE

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

16) Nondeliverable Forwards were originally envisioned as a method of currency speculation, but it is now estimated that 70% of NDFs are trading for hedging purposes.

Answer: FALSE

Diff: 2

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

17) In general, NDF markets normally develop for country currencies having large cross-border capital movements, but still subject to convertibility restrictions.

Answer: TRUE

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Conceptual

AACSB: Application of knowledge

18) NDFs are traded and settled inside the country of the subject currency, and therefore are within the control of the country's government.

Answer: FALSE

Diff: 2

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

19) A contract to deliver dollars for euros in six months is both "buying euros forward for dollars" and "selling dollars forward for euros."

Answer: TRUE

Diff: 2

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

20) As you might expect, the foreign exchange daily trading volume in New York City is roughly twice as large as the daily trading volume in London.

Answer: FALSE

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

21) The low level of interest rates around the globe in recent years, combined with slowing economic growth and new debt issuances, has had a dampening impact on the swap market.

Answer: FALSE

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

22) Since the global financial crisis of 2008-2009, the Chinese renminbi (yuan) has become the most widely traded currency with the U.S. dollar surpassing the euro, yen, and pound as dollar trading pairs.

Answer: FALSE

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

23) Swap and forward transactions account for an insignificant portion of the foreign exchange market.

Answer: FALSE

Diff: 1

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Recognition

AACSB: Application of knowledge

24) Define spot, forward, and swap transactions in the foreign exchange market and give an example of how each could be used.

Answer: Spot transactions are exchanging one currency for another right now. Spot transactions are typically entered into because the parties need to exchange foreign currencies that they have received into their domestic currency, or because they have an obligation that requires them to obtain foreign currency.

Forward foreign exchange transactions are agreements entered into today to exchange currencies at a particular price at some point in the future. Forwards may be speculative or a hedge against unexpected changes in the price of the other currency.

Swaps are the simultaneous purchase and sale of a given amount of a foreign exchange for two different dates. Both transactions are conducted with the same counterparty. A swap may be considered a technique for borrowing another currency on a fully collateralized basis.

Diff: 2

L.O.: 5.3 Transactions in the Foreign Exchange Market

Skill: Conceptual

AACSB: Application of knowledge

5.4 Foreign Exchange Rates and Quotations

1) A foreign exchange _____ is the price of one currency expressed in terms of another currency. A foreign exchange _____ is a willingness to buy or sell at the announced rate.

- A) quote; rate
- B) quote; quote
- C) rate; quote
- D) rate; rate

Answer: C

Diff: 1

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Conceptual

AACSB: Application of knowledge

2) Most foreign exchange transactions are through the U.S. dollar. If the transaction is expressed as the foreign currency per dollar this known as _____ whereas _____ are expressed as dollars per foreign unit.

- A) European terms; indirect
- B) American terms; direct
- C) American terms; European terms
- D) European terms; American terms

Answer: D

Diff: 1

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Conceptual

AACSB: Application of knowledge

3) The following is an example of an American term foreign exchange quote:

- A) \$20/£
- B) €0.85/\$
- C) ¥100/€
- D) none of the above

Answer: A

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Conceptual

AACSB: Application of knowledge

4) From the viewpoint of a British investor, which of the following would be a direct quote in the foreign exchange market?

- A) SF2.40/£
- B) \$1.50/£
- C) £0.55/€
- D) \$0.90/€

Answer: C

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Conceptual

AACSB: Application of knowledge

5) A/an _____ quote in the United States would be foreign units per dollar, while a/an _____ quote would be in dollars per foreign currency unit.

- A) direct; direct
- B) direct; indirect
- C) indirect; indirect
- D) indirect; direct

Answer: D

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Recognition

AACSB: Application of knowledge

6) If the direct quote for a U.S. investor for British pounds is \$1.43/£, then the indirect quote for the U.S. investor would be _____ and the direct quote for the British investor would be _____.

- A) £0.699/\$; £0.699/\$
- B) \$0.699/£; £0.699/\$
- C) £1.43/£; £0.699/\$
- D) £0.699/\$; \$1.43/£

Answer: A

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Analytical

AACSB: Analytical thinking

7) _____ make money on currency exchanges by the difference between the _____ price, or the price they offer to pay, and the _____ price, or the price at which they offer to sell the currency.

A) Dealers; ask; bid

B) Dealers; bid; ask

C) Brokers; ask; bid

D) Brokers; bid; ask

Answer: B

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Conceptual

AACSB: Application of knowledge

TABLE 5.1

Use the table to answer following question(s).

	<u>Yen: Spot and Forward (¥/\$)</u>			<u>Pound: Spot and Forward (\$/£)</u>		
	Mid Rates	Bid	Ask	Mid Rates	Bid	Ask
Spot	129.87	129.82	129.92	1.4484	1.4481	1.4487
Forward Rates						
1 month	129.68	-20	-18	1.4459	-26	-24
6 months	128.53	-136	-132	1.4327	-160	-154
Swaps						
2 year	117.65	1232	1212	1.4250	-238	-230
3 year	115.50	1452	1422	1.4225	-265	-253

8) Refer to Table 5.1. The current spot rate of dollars per pound as quoted in a newspaper is _____ or _____.

A) £1.4484/\$; \$0.6904/£

B) \$1.4481/£; £0.6906/\$

C) \$1.4484/£; £0.6904/\$

D) £1.4487/\$; \$0.6903/£

Answer: C

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Analytical

AACSB: Analytical thinking

9) Refer to Table 5.1. The one-month forward bid price for dollars as denominated in Japanese yen is:

- A) -¥20.
- B) -¥18.
- C) ¥129.74/\$.
- D) ¥129.62/\$.

Answer: D

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Analytical

AACSB: Analytical thinking

10) Refer to Table 5.1. The ask price for the two-year swap for a British pound is:

- A) \$1.4250/£.
- B) \$1.4257/£.
- C) -\$230.
- D) -\$238.

Answer: B

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Analytical

AACSB: Analytical thinking

11) Refer to Table 5.1. According to the information provided in the table, the 6-month yen is selling at a forward _____ of approximately _____ per annum. (Use the mid rates to make your calculations.)

- A) discount; 2.09%
- B) discount; 2.06%
- C) premium; 2.09%
- D) premium; 2.06%

Answer: C

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Analytical

AACSB: Analytical thinking

12) Given the following exchange rates, which of the multiple-choice choices represents a potentially profitable intermarket arbitrage opportunity?

¥129.87/\$

€1.1226/\$

€0.00864/¥

A) ¥115.69/€

B) ¥114.96/€

C) \$0.8908/€

D) \$0.0077/¥

Answer: B

Diff: 3

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Analytical

AACSB: Analytical thinking

13) The U.S. dollar suddenly changes in value against the euro moving from an exchange rate of 0.8909/€ to \$0.8709/€. Thus, the dollar has _____ by _____.

A) appreciated; 2.30%

B) depreciated; 2.30%

C) appreciated; 2.24%

D) depreciated; 2.24%

Answer: A

Diff: 3

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Analytical

AACSB: Analytical thinking

14) A German firm is attempting to determine the euro/pound exchange rate and has the following exchange rate information: USD/pound = \$1.5509/£ and the USD/euro rate = \$1.2194/€. Therefore, the euro/pound rate must be:

A) £1.2719/€.

B) €1.2719/£.

C) €0.7316/£.

D) €0.7863/£.

Answer: B

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Analytical

AACSB: Analytical thinking

15) The European and American terms for foreign currency exchange are square roots of one another.

Answer: FALSE

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Recognition

AACSB: Application of knowledge

16) When the cross rate for currencies offered by two banks differs from the exchange rate offered by a third bank, a triangular arbitrage opportunity exists.

Answer: TRUE

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Recognition

AACSB: Application of knowledge

17) A confusing "quirk" of international exchange rates occurs when calculating the percentage change in spot rates from one period to another. The percent change in the spot rate from one period to another when quoted using foreign currency terms is always greater than the percent changes quoted when using home currency terms.

Answer: FALSE

Diff: 1

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Conceptual

AACSB: Application of knowledge

18) The most commonly quoted currency exchange is that between the U.S. dollar and the European euro. For example, a quotation of EUR/USD 1.2174. The euro is the base currency and the dollar the price currency.

Answer: TRUE

Diff: 1

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Recognition

AACSB: Application of knowledge

19) Since in the U.S. the home currency is the dollar and the foreign currency is the euro, in New York $\text{USD } 1.2174 = \text{EUR } 1.00$ would be a direct quote on the euro and an indirect quote on the dollar.

Answer: TRUE

Diff: 1

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Conceptual

AACSB: Application of knowledge

20) A bid is the price in one currency at which a dealer will buy another currency. An ask is the price at which a dealer will sell the other currency. Dealers bid (buy) at one price and ask (sell) at a slightly higher price, making their profit from the spread between the prices. List and explain three reasons/factors that could make the spread small.

Answer: The bid-ask spread may be quite large for currencies that are traded infrequently, in small volumes, or both. The spread in wholesale transactions between banks and large corporations is normally smaller than in the retail market. Competition among dealers worldwide narrows the spread between bids and offers and so contributes to making the foreign exchange market "efficient" in the same sense as are securities markets. Other factors that affect the spread are the cost of processing orders, the cost of maintaining an inventory of a particular currency, and the volatility in the value of a currency.

Diff: 2

L.O.: 5.4 Foreign Exchange Rates and Quotations

Skill: Conceptual

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 6 International Parity Conditions

6.1 Prices and Exchange Rates

1) If an identical product can be sold in two different markets, and no restrictions exist on the sale or transportation of product between markets, the product's price should be the same in both markets. This is known as:

- A) relative purchasing power parity.
- B) interest rate parity.
- C) the law of one price.
- D) equilibrium.

Answer: C

Diff: 1

L.O.: 6.1 Prices and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

2) *The Economist* publishes annually the "Big Mac Index" by which they compare the prices of the McDonald's Corporation's Big Mac hamburger around the world. The index estimates the exchange rates for currencies based on the assumption that the burgers in question are the same across the world and therefore, the price should be the same. If a Big Mac costs \$2.54 in the United States and 294 yen in Japan, what is the estimated exchange rate of yen per dollar as hypothesized by the Hamburger index?

- A) \$0.0086/¥
- B) ¥124/\$
- C) \$0.0081/¥
- D) ¥115.75/\$

Answer: D

Diff: 3

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

3) If the current exchange rate is 113 Japanese yen per U.S. dollar, the price of a Big Mac hamburger in the United States is \$3.41, and the price of a Big Mac hamburger in Japan is 280 yen, then other things equal, the Big Mac hamburger in Japan is:

- A) correctly priced.
- B) under priced.
- C) over priced.
- D) There is not enough information to determine if the price is appropriate or not.

Answer: B

Diff: 2

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

4) The price of a Big Mac in the U.S. is \$3.41 and the price in Mexico is Peso 29.0. What is the

implied PPP of the Peso per dollar?

- A) Peso 8.50/\$1
- B) Peso 10.8/\$1
- C) Peso 11.76/\$1
- D) None of the above

Answer: A

Diff: 2

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

5) Assume the implied PPP rate of exchange of Mexican Pesos per U.S. dollar is 8.50 according to the Big Mac Index. Further, assume the current exchange rate is Peso 10.80/\$1. Thus, according to PPP and the Law of One Price, at the current exchange rate the peso is:

- A) overvalued.
- B) undervalued.
- C) correctly valued.
- D) There is not enough information to answer this question.

Answer: B

Diff: 3

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

6) According to the Big Mac Index, the implied PPP exchange rate is Mexican **peso** 8.50/\$1 but the actual exchange rate is peso 10.80/\$1. Thus, at current exchange rates the peso appears to be _____ by _____.

- A) overvalued; approximately 21%
- B) overvalued; approximately 27%
- C) undervalued; approximately 21%
- D) undervalued; approximately 27%

Answer: C

Diff: 3

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

7) Other things equal, and assuming efficient markets, if a Honda Accord costs \$24,682 in the U.S., then at an exchange rate of \$1.57/£, the Honda Accord should cost _____ in Great Britain.

- A) £24,682
- B) £38,751
- C) £10,795
- D) £15,721

Answer: D

Diff: 1

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

8) One year ago the spot rate of U.S. dollars for Canadian dollars was \$1/C\$1. Since that time the rate of inflation in the U.S. has been 4% greater than that in Canada. Based on the theory of Relative PPP, the current spot exchange rate of U.S. dollars for Canadian dollars should be approximately:

- A) \$0.96/C\$.
- B) \$1/C\$.
- C) \$1.04/C\$.
- D) Relative PPP provides no guide for this type of question.

Answer: C

Diff: 2

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

9) _____ states that differential rates of inflation between two countries tend to be offset over time by an equal but opposite change in the spot exchange rate.

- A) The Fisher Effect
- B) The International Fisher Effect
- C) Absolute Purchasing Power Parity
- D) Relative Purchasing Power Parity

Answer: D

Diff: 1

L.O.: 6.1 Prices and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

10) Two general conclusions can be made from the empirical tests of purchasing power parity (PPP):

- A) PPP holds up well over the short run but poorly for the long run, and the theory holds better for countries with relatively low rates of inflation.
- B) PPP holds up well over the short run but poorly for the long run, and the theory holds better for countries with relatively high rates of inflation.
- C) PPP holds up well over the long run but poorly for the short run, and the theory holds better for countries with relatively low rates of inflation.
- D) PPP holds up well over the long run but poorly for the short run, and the theory holds better for countries with relatively high rates of inflation.

Answer: D

Diff: 1

L.O.: 6.1 Prices and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

11) A country's currency that **strengthened** relative to another country's currency by more than that justified by the differential in inflation is said to be _____ in terms of PPP.

- A) overvalued
- B) overcompensating
- C) undervalued
- D) undercompensating

Answer: A

Diff: 2

L.O.: 6.1 Prices and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

12) If we set the *real effective exchange rate index* between Canada and the United States equal to 100 in 1998, and find that the U.S. dollar has risen to a value of 112.6, then from a competitive perspective the U.S. dollar is:

- A) overvalued.
- B) undervalued.
- C) very competitive.
- D) There is not enough information to answer this question.

Answer: A

Diff: 2

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

13) If we set the *real effective exchange rate index* between the United Kingdom and the United States equal to 100 in 2005, and find that the U.S. dollar has changed to a value of 91.4, then from a competitive perspective the U.S. dollar is:

- A) overvalued.
- B) undervalued.
- C) equally valued.
- D) There is not enough information to answer this question.

Answer: B

Diff: 2

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

14) The government just released international exchange rate statistics and reported that the *real effective exchange rate index* for the U.S. dollar vs. the Japanese yen decreased from 105 last year to 95 currently and is expected to fall still further in the coming year. Other things equal, U.S. _____ to/from Japan think this is good news, and U.S. _____ to/from Japan think this is bad news.

- A) importers; exporters
- B) importers; importers
- C) exporters; exporters
- D) exporters; importers

Answer: D

Diff: 3

L.O.: 6.1 Prices and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

15) *Exchange rate pass-through* may be defined as:

- A) the bid/ask spread on currency exchange rate transactions.
- B) the degree to which the prices of imported and exported goods change as a result of exchange rate changes.
- C) the PPP of lesser-developed countries.
- D) the practice by Great Britain of maintaining the relative strength of the currencies of the Commonwealth countries under the current floating exchange rate regime.

Answer: B

Diff: 1

L.O.: 6.1 Prices and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

16) Phillips NV produces DVD players and exports them to the United States. Last year the exchange rate was \$1.25/euro and Phillips charged 120 euro per player in Euroland and \$150 per DVD player in the United States. Currently the spot exchange rate is \$1.45/euro and Phillips is charging \$160 per DVD player. What is the degree of pass through by Phillips NV on their DVD players?

- A) 92%
- B) 33.3%
- C) 41.7%
- D) 4.1%

Answer: C

Diff: 3

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

17) Jaguar has full manufacturing costs of their S-type sedan of £22,803. They sell the S-type in the UK with a 20% margin for a price of £27,363. Today these cars are available in the U.S. for \$55,000 which is the UK price multiplied by the current exchange rate of \$2.01/£. Jaguar has committed to keeping the U.S. price at \$55,000 for the next six months. If the UK pound appreciates against the USD to an exchange rate of \$2.15/£, and Jaguar has not hedged against currency changes, what is the amount the company will receive in pounds at the new exchange rate?

- A) £22,803
- B) £25,581
- C) £27,363
- D) £55,000

Answer: B

Diff: 3

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

18) Jaguar has full manufacturing costs of their S-type sedan of £22,803. They sell the S-type in the UK with a 20% margin for a price of £27,363. Today these cars are available in the U.S. for \$55,000 which is the UK price multiplied by the current exchange rate of \$2.01/£. Jaguar has committed to keeping the U.S. price at \$55,000 for the next six months. If the UK pound appreciates against the USD to an exchange rate of \$2.15/£, and Jaguar has not hedged against currency changes, what is the percentage margin the company will realize given the new exchange rate?

- A) 20.0%
- B) 15.3%
- C) 12.2%
- D) 7.2%

Answer: C

Diff: 3

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

19) The price elasticity of demand for DVD players manufactured by Sony of Japan is greater than one. If the Japanese yen appreciates against the U.S. dollar by 10% and the price of the Sony DVD players in the U.S also rises by 10%, then other things equal, the total dollar sales revenues of Sony DVDs would:

- A) decline.
- B) increase.
- C) stay the same.
- D) insufficient information

Answer: A

Diff: 2

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

20) If a market basket of goods cost \$100 in the U.S. and €70 in France, then the PPP exchange rate would be \$.70/€.

Answer: FALSE

Diff: 2

L.O.: 6.1 Prices and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

21) The assumptions for relative PPP are more rigid than the assumptions for absolute PPP.

Answer: FALSE

Diff: 1

L.O.: 6.1 Prices and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

22) Empirical tests prove that PPP is an accurate predictor of future exchange rates.

Answer: FALSE

Diff: 1

L.O.: 6.1 Prices and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

23) Consider the price elasticity of demand. If a product has price elasticity less than one, it is considered to have relatively *elastic* demand.

Answer: FALSE

Diff: 2

L.O.: 6.1 Prices and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

24) The authors state that empirical tests of purchasing power parity "have, for the most part, not proved PPP to be accurate in predicting future exchange rates." The authors then state that PPP does hold up reasonably well in two situations. What are some reasons why PPP does not accurately predict future exchange rates, and under what conditions might we reasonably expect PPP to hold?

Answer: PPP does not hold because goods and services do not move without cost between countries and markets. Often, goods and services are not perfect substitutes in every market for reasons of availability, taste, quality, and production techniques. Having said that, PPP does appear to work reasonably well over the long run and especially in countries with higher rates of inflation and underdeveloped capital markets.

Diff: 2

L.O.: 6.1 Prices and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

25) The Big Mac is considered a good candidate for the application of the law of one price and measurement of under- or overvaluation of a currency. Develop an argument as to why this is a good idea.

Answer: First, the product itself is nearly identical in each market. This is the result of product consistency, process excellence, and McDonald's brand image and pride. Second, and just as important, the product is a result of predominantly local materials and input costs. This means that its price in each country is representative of domestic costs and prices and not imported ones, which would be influenced by exchange rates themselves. The index, however, still possesses limitations. Big Macs cannot be traded across borders, and costs and prices are influenced by a variety of other factors in each country market, such as real estate rental rates and taxes.

Diff: 2

L.O.: 6.1 Prices and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

26) Explain the logic behind the application of the PPP theory to explain changes in the spot exchange rate.

Answer: The logic behind the application of PPP to changes in the spot exchange rate is that if a country experiences inflation rates higher than those of its main trading partners, and its exchange rate does not change, its exports of goods and services become less competitive with comparable products produced elsewhere. Imports from abroad become more price-competitive with higher-priced domestic products. These price changes lead to a deficit on the current account in the balance of payments unless offset by capital and financial flows.

Diff: 2

L.O.: 6.1 Prices and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

6.2 Interest Rates and Exchange Rates

1) _____ states that nominal interest rates in each country are equal to the required real rate of return plus compensation for expected inflation.

A) Absolute PPP

B) Relative PPP

C) The Law of One Price

D) The Fisher Effect

Answer: D

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

2) In its **approximate** form the Fisher effect may be written as _____, where i = the nominal rate of interest, r = the real rate of return and π = the expected rate of inflation.

A) $i = (r)(\pi)$

B) $i = r + \pi + (r)(\pi)$

C) $i = r + \pi$

D) $i = r + 2\pi$

Answer: C

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

3) Assume a nominal interest rate on one-year U.S. Treasury Bills of 2.60% and a real rate of interest of 1.00%. Using the Fisher Effect Equation, what is the approximate expected rate of inflation in the U.S. over the next year?

- A) 2.10%
- B) 2.05%
- C) 1.60%
- D) 1.00%

Answer: C

Diff: 2

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Analytical

AACSB: Application of knowledge

4) Assume a nominal interest rate on one-year U.S. Treasury Bills of 3.80% and a real rate of interest of 2.00%. Using the Fisher Effect Equation, what is the **exact expected rate** of inflation in the U.S. over the next year?

- A) 1.84%
- B) 1.80%
- C) 1.76%
- D) 1.72%

Answer: C

Diff: 3

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

5) The relationship between the percentage change in the spot exchange rate over time and the differential between comparable interest rates in different national capital markets is known as:

- A) absolute PPP.
- B) the law of one price.
- C) relative PPP.
- D) the international Fisher Effect.

Answer: D

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

6) According to the international Fisher Effect, if an investor purchases a five-year U.S. bond that has an annual interest rate of 5% rather than a comparable British bond that has an annual interest rate of 6%, then the investor must be expecting the _____ to _____ at a rate of at least 1% per year over the next 5 years.

- A) British pound; appreciate
- B) British pound; revalue
- C) U.S. dollar; appreciate
- D) U.S. dollar; depreciate

Answer: C

Diff: 2

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

7) _____ states that the spot exchange rate should change in an equal amount but in the **opposite direction to the** difference in interest rates between two countries.

- A) Fisher-open
- B) Fisher-closed
- C) The Fisher Effect
- D) none of the above

Answer: A

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

8) A _____ is an exchange rate quoted today for settlement at some time in the future.

- A) spot rate
- B) forward rate
- C) currency rate
- D) yield curve

Answer: B

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

9) Assume the current U.S. dollar-British spot rate is £0.6993/\$. If the current nominal one-year interest rate in the U.S. is 5% and the comparable rate in Britain is 6%, what is the approximate forward exchange rate for 360 days?

- A) £1.42/\$
- B) £1.43/\$
- C) £0.6993/\$
- D) £0.7060/\$

Answer: D

Diff: 3

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

10) Assume the current U.S. dollar-yen spot rate is ¥90/\$. Further, the current nominal 180-day rate of return in Japan is 1% and 2% in the United States. What is the approximate forward exchange rate for 180 days?

- A) ¥89.12/\$
- B) ¥89.55/\$
- C) ¥90.89/\$
- D) ¥90.45/\$

Answer: B

Diff: 3

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

11) The current U.S. dollar-yen spot rate is ¥125/\$. If the 90-day forward exchange rate is ¥127/\$ then the yen is selling at a per annum _____ of _____.

- A) premium; 1.57%
- B) premium; 6.30%
- C) discount; 1.57%
- D) discount; 6.30%

Answer: D

Diff: 3

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

12) The forward rate is calculated from all the following observable data items EXCEPT:

- A) the forecast of the future spot exchange rate.
- B) the home currency deposit rate.
- C) the foreign currency deposit rate.
- D) the spot exchange rate.

Answer: A

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

13) The theory of _____ states that the difference in the national interest rates for securities of similar risk and maturity should be equal to but opposite in sign to the forward rate discount or premium for the foreign currency, except for transaction costs.

- A) international Fisher Effect
- B) absolute PPP
- C) interest rate parity
- D) the law of one price

Answer: C

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

14) With covered interest arbitrage:

- A) the market must be out of equilibrium.
- B) a "riskless" arbitrage opportunity exists.
- C) the arbitrageur trades in both the spot and future currency exchange markets.
- D) all of the above

Answer: D

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

15) Arbitragers applying Covered Interest Arbitrage drive the international currency and money markets toward the equilibrium described by:

- A) the effective exchange rate index.
- B) the purchasing power parity.
- C) the nominal effective exchange rate index.
- D) the interest rate parity.

Answer: D

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

16) Covered interest arbitrage moves the market _____ equilibrium because _____.

- A) toward; purchasing a currency on the spot market and selling in the forward market narrows the differential between the two
- B) toward; investors are now more willing to invest in risky securities
- C) away from; purchasing a currency on the spot market and selling in the forward market increases the differential between the two
- D) away from; demand for the stronger currency forces up interest rates on the weaker security

Answer: A

Diff: 2

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

17) The final component of the equation for the Fisher Effect, $(r)(\pi)$, where r = the real rate of return and π = the expected rate of inflation, is often dropped from the equation because the number is simply too large for most Western economies.

Answer: FALSE

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

18) Empirical studies show that the Fisher Effect works best for short-term securities.

Answer: TRUE

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Recognition

AACSB: Application of knowledge

19) The current U.S. dollar-yen spot rate is ¥125/\$. If the 90-day forward exchange rate is ¥127/\$ then the yen is at a forward premium.

Answer: FALSE

Diff: 2

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

20) The premium or discount on forward currency exchange rates between any two countries is visually obvious when you plot the interest rates of each country on the same yield curve. The currency of the country with the higher yield curve should be selling at a forward discount.

Answer: TRUE

Diff: 2

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

21) Use interest rate parity to answer this question. A U.S. investor has a choice between a risk-free one-year U.S. security with an annual return of 4%, and a comparable British security with a return of 5%. If the spot rate is \$1.43/£, the forward rate is \$1.44/£, and there are no transaction costs, the investor should invest in the U.S. security.

Answer: FALSE

Diff: 2

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

22) Both covered and uncovered interest arbitrage are risky operations in the sense that even without default in the securities, the returns are unknown until all transactions are complete.

Answer: FALSE

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

23) All that is required for a covered interest arbitrage profit is for interest rate parity to not hold.

Answer: TRUE

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

24) COVERED interest arbitrage (CIA), is where investors borrow in countries and currencies exhibiting relatively low interest rates and convert the proceeds into currencies that offer much higher interest rates. The transaction is "covered," because the investor does not sell the higher yielding currency proceeds forward.

Answer: FALSE

Diff: 1

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

25) The authors describe an application of uncovered interest arbitrage (UIA) known as "yen carry trade." Define UIA and describe the example of yen carry trade. Why would an investor engage in the practice of yen carry trade and is there any risk of loss or lesser profit from this investment strategy?

Answer: UIA is the practice of investors borrowing money in countries where interest rates are relatively low, converting the loan proceeds into a currency where rates are relatively high, investing at the higher rate, subsequently converting the proceeds back into the original currency to repay the proceeds from the loan and hopefully realizing a greater return from this practice than if the borrowing and investing had all taken place in the original currency. The arbitrage is uncovered because at the time of the investment the investor does not lock in a forward exchange rate and therefore bears the risk that currency exchange rates will change in an unfavorable manner. The yen carry trade exists because rates in Japan are so very low that investors borrow yen, convert to another currency, say U.S. dollars, invest at much higher interest rates, often in default-risk free Treasury securities, then convert back to yen, repay the original loan and walk away with a significantly greater return than otherwise available. The risk in this process is neither from the investment nor from the loan. The risk is that exchange rates may change unfavorably and the investor takes a loss rather than a profit.

Diff: 3

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Analytical

AACSB: Analytical thinking

26) The Fisher Effect is a familiar economic theory in the domestic market. In words, define the Fisher Effect and explain why you think it is also appropriately applied to international markets.

Answer: Irving Fisher was an early 20th century economist who hypothesized that all market determined nominal interest rates had at least two basic components. First, a real return is required to compensate investors for postponing current consumption. This real rate is constant and unaffected by expectations about inflation. Second, an expected inflation component is required so that investors would not expect to lose purchasing power by the act of forgoing current consumption. Intuitively, if capital can move freely among international markets these same requirements must exist in each of the capital markets and the Fisher Effect would apply internationally as well as domestically.

Diff: 2

L.O.: 6.2 Interest Rates and Exchange Rates

Skill: Conceptual

AACSB: Application of knowledge

6.3 Forward Rate as an Unbiased Predictor of the Future Spot Rate

1) If the forward rate is an unbiased predictor of the expected spot rate, which of the following is **NOT true?**

- A) The expected value of the future spot rate at time 2 equals the present forward rate for time 2 delivery, available now.
- B) The distribution of possible actual spot rates in the future is centered on the forward rate.
- C) **The future spot rate will actually be equal to what the forward rate predicts.**
- D) All of the above are true.

Answer: C

Diff: 2

L.O.: 6.3 Forward Rate as an Unbiased Predictor of the Future Spot Rate

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT an assumption of market efficiency?

- A) Instruments denominated in other currencies are perfect substitutes for one another.
- B) Transaction costs are low or nonexistent.
- C) All relevant information is quickly reflected in both spot and forward exchange markets.
- D) All of the above are true.

Answer: D

Diff: 1

L.O.: 6.3 Forward Rate as an Unbiased Predictor of the Future Spot Rate

Skill: Recognition

AACSB: Application of knowledge

3) Empirical tests have yielded _____ evidence about market efficiency with a general consensus that developing foreign markets are _____.

- A) **conflicting**; not efficient
- B) conflicting; efficient
- C) consistent; inefficient
- D) none of the above

Answer: A

Diff: 2

L.O.: 6.3 Forward Rate as an Unbiased Predictor of the Future Spot Rate

Skill: Recognition

AACSB: Application of knowledge

4) If exchange markets were not efficient, it would pay for a firm to spend resources on forecasting exchange rates.

Answer: TRUE

Diff: 1

L.O.: 6.3 Forward Rate as an Unbiased Predictor of the Future Spot Rate

Skill: Conceptual

AACSB: Application of knowledge

5) If the forward exchange rate is an unbiased predictor of future spot rates, then future spot rates will always be equal to current forward rates.

Answer: FALSE

Diff: 1

L.O.: 6.3 Forward Rate as an Unbiased Predictor of the Future Spot Rate

Skill: Conceptual

AACSB: Application of knowledge

6) If exchange markets were efficient, the deviation of the actual future quote and today's forward rate will be zero.

Answer: FALSE

Diff: 1

L.O.: 6.3 Forward Rate as an Unbiased Predictor of the Future Spot Rate

Skill: Conceptual

AACSB: Application of knowledge

7) Some forecasters believe that foreign exchange markets for the major floating currencies are "efficient" and forward exchange rates are unbiased predictors of future spot exchange rates.

Explain the rationale of this statement including the assumptions made, the meaning of "efficient" and "unbiased," and the empirical evidence.

Answer: If the forward rate is an unbiased predictor of the future spot rate, the expected value of the future spot rate at time 2 equals the present forward rate for time 2 delivery, available now, $E_1(S_2) = F_{1,2}$. Intuitively, this means that the distribution of possible actual spot rates in the future is centered on the forward rate. The fact that it is an unbiased predictor, however, does not mean that the future spot rate will actually be equal to what the forward rate predicts. Unbiased prediction simply means that the forward rate will, on average, overestimate and underestimate the actual future spot rate in equal frequency and degree. **The forward rate may, in fact, never actually equal the future spot rate.**

The rationale for this relationship is based on the hypothesis that the foreign exchange market is reasonably efficient. Market efficiency assumes that 1) All relevant information is quickly reflected in both the spot and forward exchange markets; 2) Transaction costs are low; and 3) Instruments denominated in different currencies are perfect substitutes for one another. Empirical studies of the efficient foreign exchange market hypothesis have yielded conflicting results. Nevertheless, a consensus is developing that rejects the efficient market hypothesis. It appears that the forward rate is not an unbiased predictor of the future spot rate and that it does pay to use resources to attempt to forecast exchange rates.

Diff: 2

L.O.: 6.3 Forward Rate as an Unbiased Predictor of the Future Spot Rate

Skill: Conceptual

AACSB: Application of knowledge

6.4 Prices, Interest Rates, and Exchange Rates in Equilibrium

1) According to the International Fisher Effect, the forecast change in the spot rate between two countries is equal to:

- A) the current spot rate multiplied by the ratio of the inflation rates in the respective countries.
- B) but the opposite sign to the difference between nominal interest rates.
- C) but the opposite sign to the difference between inflation rates.
- D) but the opposite sign to the difference between real interest rates.

Answer: B

Diff: 1

L.O.: 6.4 Prices, Interest Rates, and Exchange Rates in Equilibrium

Skill: Recognition

AACSB: Application of knowledge

2) In their approximate form, PPP, IRP, and forward rates as an unbiased predictor of the future spot rate lead to similar forecasts of the future spot rate.

Answer: TRUE

Diff: 1

L.O.: 6.4 Prices, Interest Rates, and Exchange Rates in Equilibrium

Skill: Recognition

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 7 Foreign Currency Derivatives: Futures and Options

7.1 Foreign Currency Futures

1) Financial derivatives are powerful tools that can be used by management for purposes of:

- A) speculation.
- B) hedging.
- C) human resource management.
- D) A and B above

Answer: D

Diff: 1

L.O.: 7.1 Foreign Currency Futures

Skill: Recognition

AACSB: Application of knowledge

2) A foreign currency _____ contract calls for the future delivery of a **standard amount** of foreign exchange at a fixed time, place, and price.

- A) futures
- B) forward
- C) option
- D) swap

Answer: A

Diff: 1

L.O.: 7.1 Foreign Currency Futures

Skill: Recognition

AACSB: Application of knowledge

3) Which of the following is NOT a contract specification for currency futures trading on an organized exchange?

- A) size of the contract
- B) maturity date
- C) last trading day
- D) All of the above are specified.

Answer: D

Diff: 1

L.O.: 7.1 Foreign Currency Futures

Skill: Recognition

AACSB: Application of knowledge

4) About _____ of all futures contracts are settled by physical delivery of foreign exchange between buyer and seller.

- A) 0%
- B) 5%
- C) 50%
- D) 95%

Answer: B

Diff: 2

L.O.: 7.1 Foreign Currency Futures

Skill: Analytical

AACSB: Analytical thinking

5) Futures contracts require that the purchaser deposit an initial sum as collateral. This deposit is called a:

- A) collateralized deposit.
- B) marked market sum.
- C) margin.
- D) settlement.

Answer: C

Diff: 1

L.O.: 7.1 Foreign Currency Futures

Skill: Recognition

AACSB: Application of knowledge

6) A speculator in the futures market wishing to lock in a price at which they could _____ a foreign currency will _____ a futures contract.

- A) buy; sell
- B) sell; buy
- C) buy; buy
- D) none of the above

Answer: C

Diff: 2

L.O.: 7.1 Foreign Currency Futures

Skill: Conceptual

AACSB: Application of knowledge

7) A speculator that has _____ a futures contract has taken a _____ position.

- A) sold; long
- B) purchased; short
- C) sold; short
- D) purchased; sold

Answer: C

Diff: 2

L.O.: 7.1 Foreign Currency Futures

Skill: Recognition

AACSB: Application of knowledge

8) Peter Simpson thinks that the U.K. pound will cost \$1.43/£ in six months. A 6-month currency

futures contract is available today at a rate of \$1.44/£. If Peter was to speculate in the currency futures market, and his expectations are correct, which of the following strategies would earn him a profit?

- A) Sell a pound currency futures contract.
- B) Buy a pound currency futures contract.
- C) Sell pounds today.
- D) Sell pounds in six months.

Answer: A

Diff: 3

L.O.: 7.1 Foreign Currency Futures

Skill: Analytical

AACSB: Analytical thinking

9) Jack Hemmings bought a 3-month British pound futures contract for \$1.4400/£ only to see the dollar appreciate to a value of \$1.4250 at which time he sold the pound futures. If each pound futures contract is for an amount of £62,500, how much money did Jack gain or lose from his speculation with pound futures?

- A) \$937.50 loss
- B) \$937.50 gain
- C) £937.50 loss
- D) £937.50 gain

Answer: A

Diff: 3

L.O.: 7.1 Foreign Currency Futures

Skill: Analytical

AACSB: Analytical thinking

10) Which of the following statements regarding currency futures contracts and forward contracts is NOT true?

- A) A futures contract is a standardized amount per currency whereas the forward contract is for any size desired.
- B) A futures contract is for a fixed maturity whereas the forward contract is for any maturity you like up to one year.
- C) Futures contracts trade on organized exchanges whereas forwards take place between individuals and banks with other banks via telecom linkages.
- D) All of the above are true.

Answer: D

Diff: 1

L.O.: 7.1 Foreign Currency Futures

Skill: Conceptual

AACSB: Application of knowledge

11) Which of the following is NOT a difference between a currency futures contract and a forward contract?

- A) The futures contract is marked to market daily, whereas the forward contract is only due to be settled at maturity.
- B) The counterparty to the futures participant is unknown with the clearinghouse stepping into each transaction, whereas the forward contract participants are in direct contact setting the forward specifications.
- C) A single sales commission covers both the purchase and sale of a futures contract, whereas there is **no specific sales commission with a forward contract** because banks earn a profit through the bid-ask spread.
- D) All of the above are true.

Answer: D

Diff: 1

L.O.: 7.1 Foreign Currency Futures

Skill: Conceptual

AACSB: Application of knowledge

12) Jasper Pernik is a currency speculator who enjoys "betting" on changes in the foreign currency exchange market. Currently the spot price for the Japanese yen is ¥129.87/\$ and the 6-month forward rate is ¥128.53/\$. Jasper thinks the yen will move to ¥128.00/\$ in the next six months. Jasper should _____ at _____ to profit from changing currency values.

- A) buy yen; the forward rate
- B) buy dollars; the forward rate
- C) sell yen; the forward rate
- D) There is not enough information to answer this question.

Answer: A

Diff: 3

L.O.: 7.1 Foreign Currency Futures

Skill: Conceptual

AACSB: Application of knowledge

13) Jasper Pernik is a currency speculator who enjoys "betting" on changes in the foreign currency exchange market. Currently the spot price for the Japanese yen is ¥129.87/\$ and the 6-month forward rate is ¥128.53/\$. Jasper thinks the yen will move to ¥128.00/\$ in the next six months. If Jasper buys \$100,000 worth of yen at today's spot price and sells within the next six months at ¥128/\$, he will earn a profit of:

- A) \$146.09.
- B) \$101,460.94.
- C) \$1460.94.
- D) nothing; he will lose money

Answer: C

Diff: 3

L.O.: 7.1 Foreign Currency Futures

Skill: Analytical

AACSB: Analytical thinking

14) Jasper Pernik is a currency speculator who enjoys "betting" on changes in the foreign currency exchange market. Currently the spot price for the Japanese yen is ¥129.87/\$ and the 6-month forward rate is ¥128.53/\$. Jasper thinks the yen will move to ¥128.00/\$ in the next six months. If Jasper buys \$100,000 worth of yen at today's **spot price** her potential gain is _____ and her potential loss is _____.

- A) \$100,000; unlimited
- B) unlimited; unlimited
- C) \$100,000; \$100,000
- D) unlimited; \$100,000

Answer: D

Diff: 3

L.O.: 7.1 Foreign Currency Futures

Skill: Analytical

AACSB: Analytical thinking

15) Jasper Pernik is a currency speculator who enjoys "betting" on changes in the foreign currency exchange market. Currently the spot price for the Japanese yen is ¥129.87/\$ and the 6-month forward rate is ¥128.53/\$. Jasper thinks the yen will move to ¥128.00/\$ in the next six months. If Jasper's expectations are correct, then he could profit in the forward market by _____ and then _____.

- A) buying yen for ¥128.00/\$; selling yen at ¥128.53/\$
- B) buying yen for ¥128.53/\$; selling yen at ¥128.00/\$
- C) There is not enough information to answer this question.
- D) He could not profit in the forward market.

Answer: B

Diff: 3

L.O.: 7.1 Foreign Currency Futures

Skill: Analytical

AACSB: Analytical thinking

16) Currency futures contracts have become standard fare and trade readily in the world money centers.

Answer: TRUE

Diff: 1

L.O.: 7.1 Foreign Currency Futures

Skill: Recognition

AACSB: Application of knowledge

17) The major difference between currency futures and forward contracts is that futures contracts are standardized for ease of trading on an exchange market whereas forward contracts are specialized and tailored to meet the needs of clients.

Answer: TRUE

Diff: 1

L.O.: 7.1 Foreign Currency Futures

Skill: Recognition

AACSB: Application of knowledge

18) Jasper Pernik is a currency speculator who enjoys "betting" on changes in the foreign

currency exchange market. Currently the spot price for the Japanese yen is ¥129.87/\$ and the 6-month forward rate is ¥128.53/\$. Jasper would earn a higher rate of return by buying yen and selling a forward contract than if he had invested her money in 6-month U.S. Treasury securities at an annual rate of 2.50%.

Answer: FALSE

Diff: 3

L.O.: 7.1 Foreign Currency Futures

Skill: Analytical

AACSB: Analytical thinking

19) Why are foreign currency futures contracts more popular with individuals and banks while foreign currency forwards are more popular with businesses?

Answer: Foreign currency futures are standardized contracts that lend themselves well to speculation purposes but less so for hedging purposes. The standardized nature of the futures contract makes it easy to trade futures and to make bets about general changes in the value of currencies. Forward contracts are better for hedging in that they are tailored to meet the specific needs of the client, typically a business, and can be quite useful in reducing exchange rate risk. Banks are involved in the foreign currency futures market in part to offset positions that they may have taken in the forward markets as dealers.

Diff: 2

L.O.: 7.1 Foreign Currency Futures

Skill: Conceptual

AACSB: Application of knowledge

7.2 Foreign Currency Options

1) A foreign currency _____ gives the purchaser the right, not the obligation, to buy a given amount of foreign exchange at a fixed price per unit for a specified period.

A) future

B) forward

C) option

D) swap

Answer: C

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

2) A foreign currency _____ option gives the holder the right to _____ a foreign currency, whereas a foreign currency _____ option gives the holder the right to _____ an option.

- A) call, buy, put, sell
- B) call, sell, put, buy
- C) put, hold, call, release
- D) none of the above

Answer: A

Diff: 2

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

3) The price at which an option can be exercised is called the:

- A) premium.
- B) spot rate.
- C) strike price.
- D) commission.

Answer: C

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

4) A/An _____ option can be exercised only on its expiration date, whereas a/an _____ option can be exercised anytime between the date of writing up to and including the exercise date.

- A) American; European
- B) American; British
- C) Asian; American
- D) European; American

Answer: D

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

5) A/An _____ option can be exercised only on its expiration date, whereas a/an _____ option can be exercised anytime between the date of writing up to and including the exercise date.

- A) American; European
- B) American; British
- C) Asian; American
- D) European; American

Answer: D

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

6) A call option whose exercise price exceeds the spot price is said to be:

- A) in-the-money.
- B) at-the-money.
- C) out-of-the-money.
- D) over-the-spot.

Answer: C

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

7) A call option whose exercise price is less than the spot price is said to be:

- A) in-the-money.
- B) at-the-money.
- C) out-of-the-money.
- D) under-the-spot.

Answer: A

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

8) An option whose exercise price is equal to the spot rate is said to be:

- A) in-the-money.
- B) at-the-money.
- C) out-of-the-money.
- D) on-the-spot.

Answer: B

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

9) The main advantage(s) of over-the-counter foreign currency options over exchange traded options is (are):

- A) expiration dates tailored to the needs of the client.
- B) amounts that are tailor made.
- C) client desired expiration dates.
- D) all of the above

Answer: D

Diff: 2

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

10) As a general statement, it is safe to say that businesses generally use the _____ for foreign currency option contracts, and individuals and financial institutions typically use the _____.

- A) exchange markets; over-the-counter
- B) over-the-counter; exchange markets
- C) private; government sponsored
- D) government sponsored; private

Answer: B

Diff: 2

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

TABLE 7.1

Use the table to answer following question(s).

April 19, 2009, British Pound Option Prices (cents per pound, 62,500 pound contracts).

Option & Underlying	Strike Price	Calls-Last			Puts-Last		
		May	June	July	May	June	July
1448	1440	0.88	1.42	1.42	0.52	1.06	-
1448	1450	0.42	1.02	-	-	-	-
1448	1460	0.20	0.68	0.72	-	2.32	-

11) Refer to Table 7.1. What was the closing price of the British pound on April 18, 2009?

- A) \$1.448/£
- B) £1.448/\$
- C) \$14.48/£
- D) none of the above

Answer: A

Diff: 3

L.O.: 7.2 Foreign Currency Options

Skill: Analytical

AACSB: Analytical thinking

12) Refer to Table 7.1. The exercise price of _____ giving the purchaser the right to sell

pounds in June has a cost per pound of _____ for a total price of _____.

- A) 1460; 0.68 cents; \$425.00
- B) 1440; 1.06 cents; \$662.50
- C) 1450; 1.02 cents; \$637.50
- D) 1440; 1.42 cents; \$887.50

Answer: B

Diff: 3

L.O.: 7.2 Foreign Currency Options

Skill: Analytical

AACSB: Analytical thinking

13) Refer to Table 7.1. The May call option on pounds with a strike price of 1440 means:

- A) \$88/£ per contract.
- B) \$0.88/£.
- C) \$0.0088/£.
- D) none of the above

Answer: C

Diff: 3

L.O.: 7.2 Foreign Currency Options

Skill: Analytical

AACSB: Analytical thinking

14) Dash Brevenshure works for the currency trading unit of ING Bank in London. He speculates that in the coming months the dollar will rise sharply vs. the pound. What should Dash do to act on his speculation?

- A) Buy a call on the pound.
- B) Sell a call on the pound.
- C) Buy a put on the pound.
- D) Sell a put on the pound.

Answer: C

Diff: 2

L.O.: 7.2 Foreign Currency Options

Skill: Conceptual

AACSB: Application of knowledge

15) A put option on yen is written with a strike price of ¥105.00/\$. Which spot price maximizes your profit if you choose to exercise the option before maturity?

- A) ¥100/\$
- B) ¥105/\$
- C) ¥110/\$
- D) ¥115/\$

Answer: D

Diff: 3

L.O.: 7.2 Foreign Currency Options

Skill: Analytical

AACSB: Analytical thinking

16) A call option on euros is written with a strike price of \$1.30/euro. Which spot price

maximizes your profit if you choose to exercise the option before maturity?

- A) \$1.20/euro
- B) \$1.25/euro
- C) \$1.30/euro
- D) \$1.35/euro

Answer: D

Diff: 3

L.O.: 7.2 Foreign Currency Options

Skill: Analytical

AACSB: Analytical thinking

17) A call option on UK pounds has a strike price of \$2.05/£ and a cost of \$0.02. What is the break-even price for the option?

- A) \$2.03/£
- B) \$2.07/£
- C) \$2.05/£
- D) The answer depends upon if this is a long or a short call option.

Answer: B

Diff: 3

L.O.: 7.2 Foreign Currency Options

Skill: Analytical

AACSB: Analytical thinking

18) Your U.S firm has an accounts payable denominated in UK pounds due in 6 months. To protect yourself against unexpected changes in the dollar/pound exchange rate you should:

- A) buy a pound put option.
- B) sell a pound put option.
- C) buy a pound call option.
- D) sell a pound call option.

Answer: C

Diff: 2

L.O.: 7.2 Foreign Currency Options

Skill: Conceptual

AACSB: Application of knowledge

19) The maximum gain for the purchaser of a call option contract is _____ while the maximum loss is _____.

- A) unlimited; the premium paid.
- B) the premium paid; unlimited.
- C) unlimited; unlimited.
- D) unlimited; the value of the underlying asset.

Answer: A

Diff: 2

L.O.: 7.2 Foreign Currency Options

Skill: Conceptual

AACSB: Application of knowledge

20) The buyer of a long call option:

- A) has a maximum loss equal to the premium paid.
- B) has a gain equal to but opposite in sign to the writer of the option.
- C) has an unlimited maximum gain potential.
- D) all of the above

Answer: D

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Conceptual

AACSB: Application of knowledge

21) Which of the following is NOT true for the writer of a call option?

- A) The maximum loss is unlimited.
- B) The maximum gain is unlimited.
- C) The gain or loss is equal to but of the opposite sign of the buyer of a call option.
- D) All of the above are true.

Answer: B

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Conceptual

AACSB: Application of knowledge

22) Which of the following is NOT true for the writer of a put option?

- A) The maximum loss is limited to the strike price of the underlying asset less the premium.
- B) The gain or loss is equal to but of the opposite sign of the buyer of a put option.
- C) The maximum gain is the amount of the premium.
- D) All of the above are true.

Answer: D

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Conceptual

AACSB: Application of knowledge

23) The buyer (long) of a put option:

- A) has a maximum loss equal to the premium paid.
- B) has a gain equal to but opposite in sign to the writer of the option.
- C) has maximum gain potential limited to the difference between the strike price and the premium paid.
- D) all of the above

Answer: D

Diff: 2

L.O.: 7.2 Foreign Currency Options

Skill: Conceptual

AACSB: Application of knowledge

24) The value of a European style call option is the sum of two components:

- A) the present value plus the intrinsic value.
- B) the time value plus the present value.
- C) the intrinsic value plus the time value.
- D) the intrinsic value plus the standard deviation.

Answer: C

Diff: 2

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

25) The writer of the option is referred to as the seller, and the buyer of the option is referred to as the holder.

Answer: TRUE

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

26) Foreign currency options are available both over-the-counter and on organized exchanges.

Answer: TRUE

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Recognition

AACSB: Application of knowledge

27) Most option profits and losses are realized through taking actual delivery of the currency rather than offsetting contracts.

Answer: FALSE

Diff: 1

L.O.: 7.2 Foreign Currency Options

Skill: Conceptual

AACSB: Application of knowledge

28) Compare and contrast foreign currency options and futures. Identify situations when you may prefer one vs. the other when speculating on foreign exchange.

Answer: Foreign currency futures are derivative securities that allow the holder to lock in a price today for another currency at some point in the future. The foreign currency future contract is an obligation on the part of the parties to fulfill the terms of the contract. Even if prices change in an unanticipated way, the parties are obligated to fulfill the terms of the contract. The foreign currency option contract on the other hand is a right not an obligation to purchase/sell a currency at some point in the future at a price agreed upon today. If prices change in an unexpected manner, the buyer of the contract is under no obligation to exercise the contract. Option contracts are better suited to situations where price changes are anticipated, but the direction of the change is highly uncertain.

Diff: 2

L.O.: 7.2 Foreign Currency Options

Skill: Conceptual

AACSB: Application of knowledge

7.3 Option Pricing and Valuation

1) Which of the following is NOT a factor in determining the premium price of a currency option?

- A) the present spot rate
- B) the time to maturity
- C) the standard deviation of the daily spot price movement
- D) All of the above are factors in determining the premium price.

Answer: D

Diff: 1

L.O.: 7.3 Option Pricing and Valuation

Skill: Recognition

AACSB: Application of knowledge

2) The _____ of an option is the value if the option were to be exercised immediately. It is the option's _____ value.

- A) intrinsic value; maximum
- B) intrinsic value; minimum
- C) time value; maximum
- D) time value; minimum

Answer: B

Diff: 2

L.O.: 7.3 Option Pricing and Valuation

Skill: Recognition

AACSB: Application of knowledge

3) Assume that a call option has an exercise price of \$1.50/£. At a spot price of \$1.45/£, the call option has:

- A) a time value of \$0.04.
- B) a time value of \$0.00.
- C) an intrinsic value of \$0.00.
- D) an intrinsic value of -\$0.04.

Answer: C

Diff: 2

L.O.: 7.3 Option Pricing and Valuation

Skill: Analytical

AACSB: Analytical thinking

4) The time value is asymmetric in value as you move away from the strike price (i.e., the time value at two cents above the strike price is not necessarily the same as the time value two cents below the strike price).

Answer: FALSE

Diff: 2

L.O.: 7.3 Option Pricing and Valuation

Skill: Conceptual

AACSB: Application of knowledge

5) The price of an option is always somewhat greater than its intrinsic value, since there is always some chance that the intrinsic value will rise between the present and the expiration date.

Answer: TRUE

Diff: 2

L.O.: 7.3 Option Pricing and Valuation

Skill: Conceptual

AACSB: Application of knowledge

6) Define and explain the logic for the time value of an option. Explain the value of the time value of an option for deep out-of-the money and deep in-the-money options.

Answer: The time value of an option exists because the price of the underlying currency, the spot rate, can potentially move further and further into the money before the option's expiration.

Time value is the area between the total value of the option and its intrinsic value. An investor will pay something today for an out-of-the-money option (i.e., zero intrinsic value) on the chance that the spot rate will move far enough before maturity to move the option in-the-money.

Consequently, the price of an option is always somewhat greater than its intrinsic value, since there is always some chance — some might say 'hope everlasting' — that the intrinsic value will rise by the expiration date. For deep out-of-the money and deep in-the-money options the value of the time value of an option is insignificant since the chances for the option to increase in value are slim.

Diff: 2

L.O.: 7.3 Option Pricing and Valuation

Skill: Conceptual

AACSB: Application of knowledge

7.4 Currency Option Pricing Sensitivity

1) If the spot rate changes from \$1.70/£ to \$1.71/£ and there is an option with an initial premium of \$0.033/£ and a delta of 0.5, then the new option premium would be:

- A) \$0.043/£.
- B) \$0.038/£.
- C) \$0.005/£.
- D) \$1.715/£.

Answer: B

Diff: 2

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Analytical

AACSB: Analytical thinking

2) As an option moves further in-the-money, delta moves toward _____.

- A) 0
- B) -1
- C) 1
- D) large numbers

Answer: C

Diff: 3

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Analytical

AACSB: Analytical thinking

3) As an option moves further out-of-the-money, delta moves toward _____.

- A) 1
- B) 0
- C) -1
- D) large negative numbers

Answer: B

Diff: 3

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Analytical

AACSB: Analytical thinking

4) Option premiums deteriorate at a/an _____ as they approach expiration.

- A) increasing rate
- B) proportional
- C) decreasing rate
- D) less than proportional rate

Answer: A

Diff: 3

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Analytical

AACSB: Analytical thinking

5) Volatility is viewed the following ways EXCEPT:

- A) historic.
- B) forward-looking.
- C) implied.
- D) spot.

Answer: D

Diff: 2

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

6) For a \$1.50/£ call option with an initial premium of \$0.033/£ and a lambda of 0.4, after an increase in annual volatility of 1 percent point — for example from 10% to 11% — the new option premium would be:

- A) \$0.036/£.
- B) \$0.037/£.
- C) \$0.004/£.
- D) \$1.54/£.

Answer: B

Diff: 2

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Analytical

AACSB: Analytical thinking

7) Traders who believe volatilities will fall significantly in the near-term will:

- A) sell futures now.
- B) buy options now.
- C) sell options now.
- D) buy futures now.

Answer: C

Diff: 2

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Analytical

AACSB: Analytical thinking

8) For a \$1.50/£ call option with an initial premium of \$0.033/£ and a rho value of 0.2, after an increase in the U.S. dollar rate from 8% to 9% — the new ATM option premium would be:

- A) \$0.037/£.
- B) \$1.55/£.
- C) \$0.036/£.
- D) \$0.035/£.

Answer: D

Diff: 2

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Analytical

AACSB: Analytical thinking

9) For a \$1.50/£ call option with an initial premium of \$0.033/£ and a phi value of -0.2, after an increase in the foreign interest (the pound sterling rate) rate from 8% to 9% — the new option

premium would be:

- A) \$0.035/£.
- B) \$1.48/£.
- C) \$0.031/£.
- D) \$0.032/£.

Answer: C

Diff: 2

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Analytical

AACSB: Analytical thinking

10) The *Delta* of an option is defined as:

- A) expected change in the option premium for a small change in time to expiration.
- B) expected change in the option premium for a small change in volatility.
- C) expected change in the option premium for a small change in the spot rate.
- D) expected change in the option premium for a small change in the domestic interest rate.

Answer: C

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

11) The *Theta* of an option is defined as:

- A) expected change in the option premium for a small change in time to expiration.
- B) expected change in the option premium for a small change in volatility.
- C) expected change in the option premium for a small change in the spot rate.
- D) expected change in the option premium for a small change in the domestic interest rate.

Answer: A

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

12) The *Lambda* of an option is defined as:

- A) expected change in the option premium for a small change in time to expiration.
- B) expected change in the option premium for a small change in volatility.
- C) expected change in the option premium for a small change in the spot rate.
- D) expected change in the option premium for a small change in the domestic interest rate.

Answer: B

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

13) The *Rho* of an option is defined as:

- A) expected change in the option premium for a small change in time to expiration.
- B) expected change in the option premium for a small change in volatility.
- C) expected change in the option premium for a small change in the foreign interest rate.
- D) expected change in the option premium for a small change in the domestic interest rate.

Answer: D

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

14) The *Phi* of an option is defined as:

- A) expected change in the option premium for a small change in time to expiration.
- B) expected change in the option premium for a small change in volatility.
- C) expected change in the option premium for a small change in the foreign interest rate.
- D) expected change in the option premium for a small change in the domestic interest rate.

Answer: C

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

15) Which of the following statements is NOT true about currency option pricing sensitivities?

- A) The higher the delta, the more likely the option will move in-the-money.
- B) Premiums rise with increases in volatility.
- C) Premiums are relatively insensitive during the first days.
- D) Increases in domestic interest rates cause decreasing call option premiums.

Answer: D

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

16) The time value is asymmetric in value as you move away from the strike price (i.e., the time value at two cents above the strike price is not necessarily the same as the time value two cents below the strike price).

Answer: FALSE

Diff: 2

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Conceptual

AACSB: Application of knowledge

17) Standard foreign currency options are priced around the forward rate.

Answer: TRUE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

18) As long as the option has time remaining before expiration, the option will possess time the time value element.

Answer: TRUE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

19) If an American-style option possesses time value on any day up to expiration date, the option holder would get more by selling it than exercising it.

Answer: TRUE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

20) The value of any option that is currently in-the-money (ITM) is made up entirely of time value.

Answer: FALSE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Conceptual

AACSB: Application of knowledge

21) The sensitivity of the option premium to a small change in the spot exchange rate is called the gamma.

Answer: FALSE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

22) If the rho of the specific option is known, it is easy to determine how the option's value will change as the spot rate changes.

Answer: FALSE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

23) The higher the delta the greater the probability of the option expiring in-the-money.

Answer: TRUE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

24) Option values increase with the length of time to maturity. The expected change in the option premium from a small change in the time to expiration is termed delta.

Answer: FALSE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

25) The majority of the option premium is lost in the final days prior to expiration.

Answer: TRUE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

26) A trader who is buying options of longer maturities will pay more, and proportionately more, for the longer maturity options.

Answer: FALSE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

27) Option volatility is defined as the square root of the standard deviation of daily percentage changes in the underlying exchange rate.

Answer: FALSE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

28) If the exchange rate's volatility is rising, and therefore the risk of the option not being exercised is decreasing, the option premium would be increasing.

Answer: TRUE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

29) The primary problem with volatility is that it is unobservable; it is the only input into the option pricing formula that is determined subjectively by the trader pricing the option.

Answer: TRUE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

30) Historical volatility is the correct method for the calculation of the option volatility.

Answer: FALSE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

31) Traders by using the historical volatility assume that the immediate future will be the same as the recent past, and the historical volatility will equal the forward-looking volatility.

Answer: TRUE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

32) A trader who is purchasing a call option on foreign currency should do so before the domestic interest rate rises.

Answer: TRUE

Diff: 2

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

33) The expected change in the option premium from a small change in the domestic interest rate (home currency) is term rho.

Answer: TRUE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

34) The expected change in the option premium from a small change in the foreign interest rate (foreign currency) is termed *vega*.

Answer: FALSE

Diff: 1

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Recognition

AACSB: Application of knowledge

35) List and explain three "Greek" elements and their impact on a call option premium.

Answer: 1) *Delta*: is the expected change in the option premium for a small change in the spot rate. The higher the delta, the more likely the option will move in-the-money. 2) *Theta*: is the expected change in the option premium for a small change in time to expiration. Premiums are relatively insensitive until the final 30 or so days. 3) *Lambda*: is the expected change in the option premium for a small change in volatility. Premiums rise with increases in volatility. 4) *Rho*: Expected change in the option premium for a small change in the domestic interest rate. Increases in domestic interest rates cause increasing call option premiums. 5) *Phi*: Expected change in the option premium for a small change in the foreign interest rate. Increases in foreign interest rates cause decreasing call option premiums.

Diff: 3

L.O.: 7.4 Currency Option Pricing Sensitivity

Skill: Conceptual

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 8 Interest Risk and Swaps

8.1 Interest Rate Foundations

1) The single largest interest rate risk of a firm is:

- A) interest sensitive securities.
- B) debt service.
- C) dividend payments.
- D) accounts payable.

Answer: B

Diff: 2

L.O.: 8.1 Interest Rate Foundations

Skill: Recognition

AACSB: Application of knowledge

2) Historically, interest rate movements have shown less variability and greater stability than exchange rate movements.

Answer: TRUE

Diff: 1

L.O.: 8.1 Interest Rate Foundations

Skill: Recognition

AACSB: Application of knowledge

3) Some of the world's largest and most financially sound firms may borrow at variable rates less than LIBOR.

Answer: TRUE

Diff: 1

L.O.: 8.1 Interest Rate Foundations

Skill: Recognition

AACSB: Application of knowledge

4) The London Interbank Offered Rate (LIBOR) is published under the auspices of the British Bankers Association. A panel of 16 major multinational banks self-report their actual borrowing rate.

Answer: FALSE

Diff: 1

L.O.: 8.1 Interest Rate Foundations

Skill: Recognition

AACSB: Application of knowledge

5) Interest rate calculations differ by the number of days used in the period's calculation and in the definition of how many days there are in a year (for financial purposes). One of the practices is to use 260 business days in a year.

Answer: FALSE

Diff: 1

L.O.: 8.1 Interest Rate Foundations

Skill: Conceptual

AACSB: Application of knowledge

8.2 The Cost of Debt

1) _____ is the possibility that the borrower's creditworthiness is reclassified by the lender at the time of renewing credit. _____ is the risk of changes in interest rates charged at the time a financial contract rate is set.

A) Credit risk; Interest rate risk

B) Repricing risk; Credit risk

C) Interest rate risk; Credit risk

D) Credit risk; Repricing risk

Answer: D

Diff: 2

L.O.: 8.2 The Cost of Debt

Skill: Recognition

AACSB: Application of knowledge

2) Individual borrowers – whether they be governments or companies – possess their own individual credit rating, the market's assessment of their ability to repay debt in a timely manner. These credit assessments influence all the following EXCEPT:

A) cost of capital.

B) access to capital.

C) credit risk premium.

D) risk-free rate.

Answer: D

Diff: 2

L.O.: 8.2 The Cost of Debt

Skill: Conceptual

AACSB: Application of knowledge

3) The basis point spreads between credit ratings dramatically rise for borrowers of credit qualities less than BBB.

Answer: TRUE

Diff: 2

L.O.: 8.2 The Cost of Debt

Skill: Recognition

AACSB: Application of knowledge

4) Sovereign credit risk is the global financial market's assessment of the ability of a sovereign borrower to repay USD denominated debt.

Answer: FALSE

Diff: 2

L.O.: 8.2 The Cost of Debt

Skill: Recognition

AACSB: Application of knowledge

5) For a corporate borrower, it is especially important to distinguish between credit risk and repricing risk. Explain both types of risks.

Answer: *Credit risk*, sometimes termed *roll-over risk*, is the possibility that a borrower's creditworthiness at the time of renewing a credit — its credit rating — is reclassified by the lender. This can result in changing fees, changing interest rates, altered credit line commitments, or even denial. *Repricing risk* is the risk of changes in interest rates charged (earned) at the time a financial contract's rate is reset. A borrower that is renewing a credit will face current market conditions on the base rate used for financing, a true floating-rate.

Diff: 2

L.O.: 8.2 The Cost of Debt

Skill: Conceptual

AACSB: Application of knowledge

8.3 Interest Rate Risk

Instruction 8.1:

For the following problem(s), consider these debt strategies being considered by a corporate borrower. Each is intended to provide \$1,000,000 in financing for a three-year period.

- Strategy #1: Borrow \$1,000,000 for three years at a fixed rate of interest of 7%.
- Strategy #2: Borrow \$1,000,000 for three years at a floating rate of LIBOR + 2%, to be reset annually. The current LIBOR rate is 3.50%
- Strategy #3: Borrow \$1,000,000 for one year at a fixed rate, and then renew the credit annually. The current one-year rate is 5%.

1) Refer to Instruction 8.1. Choosing strategy #1 will:

A) guarantee the lowest average annual rate over the next three years.

B) eliminate credit risk but retain repricing risk.

C) maintain the possibility of lower interest costs, but maximizes the combined credit and repricing risks.

D) preclude the possibility of sharing in lower interest rates over the three-year period.

Answer: D

Diff: 2

L.O.: 8.3 Interest Rate Risk

Skill: Analytical

AACSB: Analytical thinking

2) Refer to Instruction 8.1. Choosing strategy #2 will:

- A) guarantee the lowest average annual rate over the next three years.
- B) eliminate credit risk but retain repricing risk.
- C) maintain the possibility of lower interest costs, but maximizes the combined credit and repricing risks.
- D) preclude the possibility of sharing in lower interest rates over the three-year period.

Answer: B

Diff: 2

L.O.: 8.3 Interest Rate Risk

Skill: Analytical

AACSB: Analytical thinking

3) Refer to Instruction 8.1. Choosing strategy #3 will:

- A) guarantee the lowest average annual rate over the next three years.
- B) eliminate credit risk but retain repricing risk.
- C) maintain the possibility of lower interest costs, but maximizes the combined credit and repricing risks.
- D) preclude the possibility of sharing in lower interest rates over the three-year period.

Answer: C

Diff: 2

L.O.: 8.3 Interest Rate Risk

Skill: Analytical

AACSB: Analytical thinking

4) Refer to Instruction 8.1. Which strategy (strategies) will eliminate credit risk?

- A) Strategy #1
- B) Strategy #2
- C) Strategy #3
- D) Strategies #1 and #2

Answer: D

Diff: 2

L.O.: 8.3 Interest Rate Risk

Skill: Analytical

AACSB: Analytical thinking

5) Refer to Instruction 8.1. If your firm felt very confident that interest rates would fall or, at worst, remain at current levels, and were very confident about the firm's credit rating for the next 10 years, which strategy would you likely choose? (Assume your firm is borrowing money.)

- A) Strategy #3
- B) Strategy #2
- C) Strategy #1
- D) Strategy #1, #2, or #3; you are indifferent among the choices.

Answer: A

Diff: 2

L.O.: 8.3 Interest Rate Risk

Skill: Analytical

AACSB: Analytical thinking

6) Refer to Instruction 8.1. The risk of strategy #1 is that interest rates might go down or that your credit rating might improve. The risk of strategy #2 is: (Assume your firm is borrowing money.)

- A) that interest rates might go down or that your credit rating might improve.
- B) that interest rates might go up or that your credit rating might improve.
- C) that interest rates might go up or that your credit rating might get worse.
- D) none of the above

Answer: B

Diff: 2

L.O.: 8.3 Interest Rate Risk

Skill: Analytical

AACSB: Analytical thinking

7) Refer to Instruction 8.1. The risk of strategy #1 is that interest rates might go down or that your credit rating might improve. The risk of strategy #3 is: (Assume your firm is borrowing money.)

- A) that interest rates might go down or that your credit rating might improve.
- B) that interest rates might go up or that your credit rating might improve.
- C) that interest rates might go up or that your credit rating might get worse.
- D) none of the above

Answer: C

Diff: 2

L.O.: 8.3 Interest Rate Risk

Skill: Analytical

AACSB: Analytical thinking

8) Refer to Instruction 8.1. After the fact, under which set of circumstances would you prefer strategy #1? (Assume your firm is borrowing money.)

- A) Your credit rating stayed the same and interest rates went up.
- B) Your credit rating stayed the same and interest rates went down.
- C) Your credit rating improved and interest rates went down.
- D) Not enough information to make a judgment.

Answer: A

Diff: 2

L.O.: 8.3 Interest Rate Risk

Skill: Conceptual

AACSB: Analytical thinking

9) Refer to Instruction 8.1. After the fact, under which set of circumstances would you prefer strategy #2? (Assume your firm is borrowing money.)

- A) Your credit rating stayed the same and interest rates went up.
- B) Your credit rating stayed the same and interest rates went down.
- C) Your credit rating improved and interest rates went down.
- D) Not enough information to make a judgment.

Answer: B

Diff: 2

L.O.: 8.3 Interest Rate Risk

Skill: Analytical

AACSB: Analytical thinking

10) Refer to Instruction 8.1. After the fact, under which set of circumstances would you prefer strategy #3? (Assume your firm is borrowing money.)

- A) Your credit rating stayed the same and interest rates went up.
- B) Your credit rating stayed the same and interest rates went down.
- C) Your credit rating improved and interest rates went down.
- D) Not enough information to make a judgment.

Answer: C

Diff: 2

L.O.: 8.3 Interest Rate Risk

Skill: Analytical

AACSB: Analytical thinking

11) Unlike the situation with exchange rate risk, there is no uncertainty on the part of management for shareholder preferences regarding interest rate risk. Shareholders prefer that managers hedge interest rate risk rather than having shareholders diversify away such risk through portfolio diversification.

Answer: FALSE

Diff: 1

L.O.: 8.3 Interest Rate Risk

Skill: Conceptual

AACSB: Application of knowledge

8.4 Interest Rate Futures and FRAs

1) An interbank-traded contract to buy or sell interest rate payments on a notional principal is called a/an:

- A) forward rate agreement.
- B) interest rate future.
- C) interest rate swap.
- D) none of the above

Answer: A

Diff: 1

L.O.: 8.4 Interest Rate Futures and FRAs

Skill: Recognition

AACSB: Application of knowledge

2) A/an _____ is a contract to lock in today interest rates over a given period of time.

- A) forward rate agreement
- B) interest rate future
- C) interest rate swap
- D) none of the above

Answer: B

Diff: 1

L.O.: 8.4 Interest Rate Futures and FRAs

Skill: Recognition

AACSB: Application of knowledge

3) The financial manager of a firm has a variable rate loan outstanding. If she wishes to protect the firm against an unfavorable increase in interest rates she could:

- A) sell an interest rate futures contract of a similar maturity to the loan.
- B) buy an interest rate futures contract of a similar maturity to the loan.
- C) swap the adjustable rate loan for another of a different maturity.
- D) none of the above

Answer: A

Diff: 2

L.O.: 8.4 Interest Rate Futures and FRAs

Skill: Conceptual

AACSB: Application of knowledge

4) If a financial manager with an interest liability on a future date were to sell Futures and interest rates end up going up, the position outcome would be:

- A) Futures price falls; short earns a profit.
- B) Futures price rises; short earns a loss.
- C) Future price falls; long earns a loss.
- D) Futures price rises; long earns a profit.

Answer: A

Diff: 2

L.O.: 8.4 Interest Rate Futures and FRAs

Skill: Analytical

AACSB: Analytical thinking

5) If a financial manager with an interest liability on a future date were to sell Futures and interest rates end up going down, the position outcome would be:

- A) Futures price falls; short earns a profit.
- B) Futures price rises; short earns a loss.
- C) Future price falls; long earns a loss.
- D) Futures price rises; long earns a profit.

Answer: B

Diff: 2

L.O.: 8.4 Interest Rate Futures and FRAs

Skill: Analytical

AACSB: Analytical thinking

6) If a financial manager earning interest on a future date were to buy Futures and interest rates

end up going up, the position outcome would be:

- A) Futures price falls; short earns a profit.
- B) Futures price rises; short earns a loss.
- C) Future price falls; long earns a loss.
- D) Futures price rises; long earns a profit.

Answer: C

Diff: 2

L.O.: 8.4 Interest Rate Futures and FRAs

Skill: Analytical

AACSB: Analytical thinking

7) If a financial manager earning interest on a future date were to buy Futures and interest rates end up going down, the position outcome would be:

- A) Futures price falls; short earns a profit.
- B) Futures price rises; short earns a loss.
- C) Future price falls; long earns a loss.
- D) Futures price rises; long earns a profit.

Answer: D

Diff: 2

L.O.: 8.4 Interest Rate Futures and FRAs

Skill: Analytical

AACSB: Analytical thinking

8) Interest rate futures are relatively unpopular among financial managers because of their relative illiquidity and their difficulty of use.

Answer: FALSE

Diff: 1

L.O.: 8.4 Interest Rate Futures and FRAs

Skill: Recognition

AACSB: Application of knowledge

9) A basis point is one-tenth of one percent.

Answer: FALSE

Diff: 1

L.O.: 8.4 Interest Rate Futures and FRAs

Skill: Recognition

AACSB: Application of knowledge

10) Your firm is faced with paying a variable rate debt obligation with the expectation that interest rates are likely to go up. Identify two strategies using interest rate futures and interest rate swaps that could reduce the risk to the firm.

Answer: Sell a futures position. If rates change the payoff from the futures position offsets the gain or loss on the variable rate debt obligation. Swap a variable rate debt obligation for a fixed futures payable contract.

Diff: 3

L.O.: 8.4 Interest Rate Futures and FRAs

Skill: Conceptual

AACSB: Application of knowledge

8.5 Interest Rate Swaps

1) An agreement to swap a fixed interest payment for a floating interest payment would be considered a/an:

- A) currency swap.
- B) forward swap.
- C) interest rate swap.
- D) none of the above

Answer: C

Diff: 1

L.O.: 8.5 Interest Rate Swaps

Skill: Recognition

AACSB: Application of knowledge

2) An agreement to exchange interest payments based on a fixed payment for those based on a variable rate (or vice versa) is known as a/an:

- A) forward rate agreement.
- B) interest rate future.
- C) interest rate swap.
- D) none of the above

Answer: C

Diff: 1

L.O.: 8.5 Interest Rate Swaps

Skill: Recognition

AACSB: Application of knowledge

3) An agreement to swap the currencies of a debt service obligation would be termed a/an:

- A) currency swap.
- B) forward swap.
- C) interest rate swap.
- D) none of the above

Answer: A

Diff: 1

L.O.: 8.5 Interest Rate Swaps

Skill: Recognition

AACSB: Application of knowledge

4) Which of the following would be considered an example of a currency swap?

- A) exchanging a dollar interest obligation for a British pound obligation
- B) exchanging a eurodollar interest obligation for a dollar obligation
- C) exchanging a eurodollar interest obligation for a British pound obligation
- D) All of the above are examples of a currency swap.

Answer: D

Diff: 2

L.O.: 8.5 Interest Rate Swaps

Skill: Recognition

AACSB: Application of knowledge

5) A firm with fixed-rate debt that expects interest rates to fall may engage in a swap agreement to:

- A) pay fixed-rate interest and receive floating rate interest.
- B) pay floating rate and receive fixed rate.
- C) pay fixed rate and receive fixed rate.
- D) pay floating rate and receive floating rate.

Answer: B

Diff: 2

L.O.: 8.5 Interest Rate Swaps

Skill: Conceptual

AACSB: Application of knowledge

6) A firm with variable-rate debt that expects interest rates to rise may engage in a swap agreement to:

- A) pay fixed-rate interest and receive floating rate interest.
- B) pay floating rate and receive fixed rate.
- C) pay fixed rate and receive fixed rate.
- D) pay floating rate and receive floating rate.

Answer: A

Diff: 2

L.O.: 8.5 Interest Rate Swaps

Skill: Conceptual

AACSB: Application of knowledge

7) The interest rate swap strategy of a firm with fixed rate debt and that expects rates to go up is to:

- A) do nothing.
- B) pay floating and receive fixed.
- C) receive floating and pay fixed.
- D) none of the above

Answer: A

Diff: 2

L.O.: 8.5 Interest Rate Swaps

Skill: Conceptual

AACSB: Application of knowledge

8) Which of the following is an unlikely reason for firms to participate in the swap market?

- A) To replace cash flows scheduled in an undesired currency with cash flows in a desired currency.
- B) Firms may raise capital in one currency but desire to repay it in another currency.
- C) Firms desire to swap fixed and variable payment or receipt of funds.
- D) All of the above are likely reasons for a firm to enter the swap market.

Answer: D

Diff: 2

L.O.: 8.5 Interest Rate Swaps

Skill: Recognition

AACSB: Application of knowledge

9) The potential exposure that any individual firm bears that the second party to any financial contract will be unable to fulfill its obligations under the contract is called:

- A) interest rate risk.
- B) credit risk.
- C) counterparty risk.
- D) clearinghouse risk.

Answer: C

Diff: 2

L.O.: 8.5 Interest Rate Swaps

Skill: Recognition

AACSB: Application of knowledge

10) A swap agreement may involve currencies or interest rates, but never both.

Answer: FALSE

Diff: 1

L.O.: 8.5 Interest Rate Swaps

Skill: Conceptual

AACSB: Application of knowledge

11) One of the reasons companies use interest rate swaps is because they pursue a target debt structure that combines maturity, currency of composition, and fixed/floating pricing.

Answer: TRUE

Diff: 1

L.O.: 8.5 Interest Rate Swaps

Skill: Conceptual

AACSB: Application of knowledge

12) One of the reasons companies use interest rate swaps is because they are interested in opportunities to lower the cost of their debt.

Answer: TRUE

Diff: 1

L.O.: 8.5 Interest Rate Swaps

Skill: Conceptual

AACSB: Application of knowledge

13) Counterparty risk is greater for exchange-traded derivatives than for over-the-counter derivatives.

Answer: FALSE

Diff: 2

L.O.: 8.5 Interest Rate Swaps

Skill: Recognition

AACSB: Application of knowledge

14) Swap rates are derived from the yield curves in each major currency.

Answer: TRUE

Diff: 2

L.O.: 8.5 Interest Rate Swaps

Skill: Recognition

AACSB: Application of knowledge

15) A firm entering into a currency or interest rate swap agreement holds no responsibility for the timely servicing of its own debt obligations since that responsibility now is born by the second party to the contract.

Answer: FALSE

Diff: 2

L.O.: 8.5 Interest Rate Swaps

Skill: Recognition

AACSB: Application of knowledge

16) The real exposure of an interest or currency swap is not the total notional principal, but the mark-to-market values of differentials in interest or currency interest payments since the inception of the swap agreement.

Answer: TRUE

Diff: 2

L.O.: 8.5 Interest Rate Swaps

Skill: Recognition

AACSB: Application of knowledge

17) Your firm is faced with paying a variable rate debt obligation with the expectation that interest rates are likely to go up. Identify two strategies using interest rate futures and interest rate swaps that could reduce the risk to the firm.

Answer: Sell a futures position. If rates change the payoff from the futures position offsets the gain or loss on the variable rate debt obligation. Swap a variable rate debt obligation for a fixed futures payable contract.

Diff: 3

L.O.: 8.5 Interest Rate Swaps

Skill: Conceptual

AACSB: Application of knowledge

18) How does counterparty risk influence a firm's decision to trade exchange-traded derivatives rather than over-the-counter derivatives?

Answer: With exchange-traded derivatives, the exchange is the clearinghouse. Thus, firms do not need to worry about the other party making good on its obligations and it is easier to trade the derivative products.

Diff: 3

L.O.: 8.5 Interest Rate Swaps

Skill: Conceptual

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 9 Foreign Exchange Rate Determination and Intervention

9.1 Exchange Rate Determination: The Theoretical Thread

1) An important thing to remember about foreign exchange rate determination is that parity conditions, asset approach, and balance of payments approaches are _____ theories rather than _____ theories.

- A) competing; complementary
- B) competing; contemporary
- C) complementary; contiguous
- D) complementary; competing

Answer: D

Diff: 2

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following did NOT contribute to the exchange rate collapse in emerging markets in the 1990s?

- A) infrastructure weaknesses
- B) speculation on the part of market participants
- C) the sharp reduction of cross-border foreign direct investment
- D) All of the above contributed to the emerging markets exchange rate collapse of the 1990s.

Answer: D

Diff: 2

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

3) The _____ provides a means to **account** for international **cash flows** in a standardized and systematic manner.

- A) parity conditions
- B) asset approach
- C) **balance of payments**
- D) International Fisher Effect

Answer: C

Diff: 2

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

4) The _____ approach argues that equilibrium exchange rates are achieved when the net inflow of foreign exchange arising from current account activities is equal to the net outflow of foreign exchange arising from financial account activities.

A) balance of payments

B) monetary

C) asset market

D) law of one price

Answer: A

Diff: 2

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

5) The _____ approach states that the exchange rate is determined by the supply and demand for national currency stocks, as well as the expected future levels and rates of growth of monetary stock.

A) balance of payments

B) monetary

C) asset market

D) law of one price

Answer: B

Diff: 2

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

6) The _____ approach argues that exchange rates are determined by the supply and demand for a **wide variety of financial assets**

A) balance of payments

B) monetary

C) **asset market**

D) law of one price

Answer: C

Diff: 2

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

7) The _____ approach to the determination of spot exchange rates hypothesizes that the most important factors are the **relative real interest rate** and a country's outlook for economic growth and profitability.

- A) balance of payments
- B) parity conditions
- C) managed float
- D) asset market

Answer: D

Diff: 2

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

8) The asset market approach to forecasting assumes that whether foreigners are willing to hold claims in monetary form depends on an extensive set of investment considerations. These include all but which of the following choices?

- A) relative real interest rates
- B) capital market liquidity
- C) political safety
- D) All of the above are considered by investors in their decision process.

Answer: D

Diff: 2

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

9) _____ is defined as the spread of a crisis in one country to its neighboring countries and other countries with similar characteristics.

- A) Speculation
- B) **Contagion**
- C) Capital market liquidity
- D) Political science

Answer: B

Diff: 2

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

10) Critics of the balance of payments approach to exchange rate determination point to the emphasis on _____ of currency and capital rather than _____ of money or financial assets.

- A) flows; stocks
- B) stocks; flows
- C) import; export
- D) export; import

Answer: A

Diff: 2

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

11) Which of the following versions of PPP is thought to be the most relevant to possibly explaining what drives exchange rate values?

- A) The Law of One Price
- B) Absolute Purchasing Power Parity
- C) Relative Purchasing Power Parity
- D) The International Fisher Effect

Answer: C

Diff: 2

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Conceptual

AACSB: Application of knowledge

12) It is safe to say that most determinants of the spot exchange rate are also affected by changes in the spot rate, i.e., they are linked AND mutually determined.

Answer: TRUE

Diff: 1

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Conceptual

AACSB: Application of knowledge

13) The balance of payments approach of exchange rate theory is largely dismissed by the academic community today, while the practitioner public still rely on different variations of the theory for their decision making.

Answer: TRUE

Diff: 1

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

14) Technical analysis of exchange rates developed in part due to the forecasting inadequacies of fundamental exchange rate theories.

Answer: TRUE

Diff: 1

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Conceptual

AACSB: Application of knowledge

15) The authors claim that theoretical and empirical studies appear to show that fundamentals do apply to the long-term for foreign exchange.

Answer: TRUE

Diff: 1

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

16) The authors claim that random events, institutional frictions, and technical factors may cause currency values to deviate significantly from their long-term fundamental path.

Answer: TRUE

Diff: 1

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

17) The asset market approach to forecasting is not applicable to emerging markets.

Answer: FALSE

Diff: 1

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

18) Most theories of technical analysis differentiate fair value from market value.

Answer: TRUE

Diff: 1

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Recognition

AACSB: Application of knowledge

19) Describe the asset market approach to exchange rate determination. How is this consistent with economic theory of (say, security) prices in general?

Answer: The asset market approach to exchange rate determination looks at relative interest rates and prospects for economic growth and profitability. This is consistent with the pricing of equity securities in that the price of a share of stock should reflect expectations about the timing, magnitude, and risk of future cash flows. In other words, expectations about what is to come is more important to the price of an asset, including currency prices, than what has occurred in the past.

Diff: 3

L.O.: 9.1 Exchange Rate Determination: The Theoretical Thread

Skill: Conceptual

AACSB: Application of knowledge

9.2 Currency Market Intervention

1) _____ is the active buying and selling of the domestic currency against foreign currencies.

A) Indirect Intervention

B) Direct Intervention

C) Foreign Direct Investment

D) Federal Funding

Answer: B

Diff: 1

L.O.: 9.2 Currency Market Intervention

Skill: Recognition

AACSB: Application of knowledge

2) _____ is the alteration of economic or financial fundamentals that are thought to be drivers of capital to flow in and out of specific currencies.

A) Indirect Intervention

B) Direct Intervention

C) Foreign Direct Investment

D) Capital Controls

Answer: A

Diff: 1

L.O.: 9.2 Currency Market Intervention

Skill: Recognition

AACSB: Application of knowledge

3) _____ is the restriction of access to foreign currency by government.

- A) Indirect Intervention
- B) Direct Intervention
- C) Foreign Direct Investment
- D) Capital Controls

Answer: D

Diff: 1

L.O.: 9.2 Currency Market Intervention

Skill: Recognition

AACSB: Application of knowledge

4) Which of the following is NOT a technique used by governments or central banks to impact domestic currency valuation?

- A) Indirect Intervention
- B) Direct Intervention
- C) Capital Controls
- D) All of the above are techniques used to control currency valuation.

Answer: D

Diff: 1

L.O.: 9.2 Currency Market Intervention

Skill: Recognition

AACSB: Application of knowledge

5) Which of the following is NOT a motivation for a government or central bank to manipulate domestic currency valuation?

- A) fight inflation
- B) slow too rapid economic growth
- C) spur too slow economic growth
- D) All of the above are motivations for the government or central bank to manipulate currency values.

Answer: D

Diff: 1

L.O.: 9.2 Currency Market Intervention

Skill: Recognition

AACSB: Application of knowledge

6) If the goal were to decrease the value of a country's currency — to fight an appreciation of the domestic currency in exchange for foreign currency — the central bank would:

- A) buy its own currency in exchange for foreign currency.
- B) follow a restrictive monetary policy.
- C) drive real rates of interest up.
- D) sell its own currency in exchange for foreign currency.

Answer: D

Diff: 2

L.O.: 9.2 Currency Market Intervention

Skill: Conceptual

AACSB: Application of knowledge

7) If the goal were to increase the value of a country's currency — to fight an depreciation of the domestic currency in exchange for foreign currency — the central bank would:

- A) buy its own currency in exchange for foreign currency.
- B) follow a expansive monetary policy.
- C) drive real rates of interest down.
- D) sell its own currency in exchange for foreign currency.

Answer: A

Diff: 2

L.O.: 9.2 Currency Market Intervention

Skill: Conceptual

AACSB: Application of knowledge

8) Slow economic growth and continued unemployment problems are common reasons for central banks to hold currency values down.

Answer: TRUE

Diff: 1

L.O.: 9.2 Currency Market Intervention

Skill: Recognition

AACSB: Application of knowledge

9) The fall in the value of the domestic currency will sharply reduce the purchasing power of foreign tourists in the country whose currency values are falling.

Answer: FALSE

Diff: 1

L.O.: 9.2 Currency Market Intervention

Skill: Recognition

AACSB: Application of knowledge

10) The International Monetary Fund, as one of its basic principles (Article IV), encourages members to pursue "currency manipulation" to gain competitive advantages over other members as opposed to engaging in military action to achieve the same advantage.

Answer: FALSE

Diff: 2

L.O.: 9.2 Currency Market Intervention

Skill: Conceptual

AACSB: Application of knowledge

11) If a central bank wishes to "defend its currency," it might follow an *expansive* monetary policy, which would drive real rates of interest up.

Answer: FALSE

Diff: 2

L.O.: 9.2 Currency Market Intervention

Skill: Conceptual

AACSB: Application of knowledge

12) A country wishing for its currency to fall in value, particularly when confronted with a continual appreciation of its value against major trading partner currencies, the central bank may work to lower real interest rates, reducing the returns to capital.

Answer: TRUE

Diff: 2

L.O.: 9.2 Currency Market Intervention

Skill: Conceptual

AACSB: Application of knowledge

13) Indirect intervention for domestic currency valuation typically uses tools of monetary policy as opposed to using tools of fiscal policy.

Answer: TRUE

Diff: 1

L.O.: 9.2 Currency Market Intervention

Skill: Recognition

AACSB: Application of knowledge

14) Direct intervention for currency valuation involves limiting the ability to exchange domestic currency for foreign currency.

Answer: FALSE

Diff: 1

L.O.: 9.2 Currency Market Intervention

Skill: Recognition

AACSB: Application of knowledge

15) Explain how a central bank would engage in direct intervention to decrease the value of its domestic currency. Since the 1970s, it has been difficult for central banks alone to engage in direct intervention to alter the value of their domestic currency. Identify and explain at least two other activities in which a central bank could engage to alter the value of their domestic currency.

Answer: To decrease the value of its domestic currency, a central bank could choose to sell its own currency, thus making more of its currency available and driving down its value. Because markets have become so large, it is difficult to effectively move the market in this manner.

Alternative strategies may be to enlist other central banks to make a coordinated effort to sell the currency into the market, thus putting more currency into play and having a greater negative impact on its value. Indirect intervention to drive down real interest rates is a second alternative, and the reduction of capital controls may be able to render a currency less valuable as well.

Diff: 3

L.O.: 9.2 Currency Market Intervention

Skill: Conceptual

AACSB: Application of knowledge

9.3 Disequilibrium: Exchange Rates in Emerging Markets

1) Which of the following was NOT an international currency crisis in the 1990s and early 2000s?

- A) the Asian Crisis
- B) the Canadian Crisis
- C) the Argentine Crisis
- D) All of the above were currency crises in the 1990s and 2000s.

Answer: B

Diff: 1

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

2) The Asian Currency crisis appeared to begin in:

- A) South Korea.
- B) Taiwan.
- C) Thailand.
- D) Japan.

Answer: C

Diff: 2

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

3) The "tequila effect" is a slang term used to describe a form of financial panic called:

- A) run on the market.
- B) speculation.
- C) contrary investing.
- D) contagion.

Answer: D

Diff: 2

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

4) Prior to July 2, 1997, the Thai government:

- A) allowed the Thai Bhat to float against major currencies.
- B) fixed the Bhat's value against the Korean won only.
- C) fixed the Bhat's value against major currencies especially the U.S. dollar.
- D) none of the above

Answer: C

Diff: 2

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

5) The authors did NOT identify which of the following as a root of the Asian currency crisis?

- A) the collapse of some Asian currencies
- B) the rate of inflation in the United States
- C) corporate socialism
- D) banking stability and management

Answer: B

Diff: 3

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Conceptual

AACSB: Application of knowledge

6) The authors refer to the practice of many Asian firms being largely controlled by families of groups related to the governing body of the country as:

- A) illegal.
- B) insider trading.
- C) cronyism.
- D) not in my back yard.

Answer: C

Diff: 2

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

7) The principle focus of the IMF bailout efforts during the Asian financial crisis was:

- A) banking liquidity.
- B) shareholder's wealth.
- C) reestablishing fixed currency exchange rates in Asia.
- D) dollarization of Asian currencies.

Answer: A

Diff: 3

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

8) The _____ is the Argentine currency unit.

- A) peso
- B) dollar
- C) real
- D) peseta

Answer: A

Diff: 1

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

9) A currency board is:

- A) a structure, rather than a mere commitment, to limiting the growth of the money supply in the economy.
- B) a recipe for conservative and prudent financial management.
- C) designed to eliminate the power of politicians to exercise judgment by relying on an automatic and unbendable rule.
- D) all of the above

Answer: D

Diff: 3

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

10) Argentina's economic performance in the 1990s while their peso was pegged to the U.S.

dollar can be characterized as _____ rates of inflation and _____ rates of unemployment.

- A) high; high
- B) low; low
- C) low; high
- D) high; low

Answer: C

Diff: 2

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Conceptual

AACSB: Application of knowledge

11) By 2001, crisis conditions had revealed three very important underlying problems

Argentina's economy EXCEPT:

- A) The Argentine peso was overvalued.
- B) The currency board regime had eliminated monetary policy alternatives for macroeconomic policy.
- C) The printing of paper money without restrictions, resulting in hyperinflation.
- D) The Argentina government budget deficit was out of control - government spending continued to increase but tax receipts did not.

Answer: C

Diff: 2

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Conceptual

AACSB: Application of knowledge

- 12) Which of the following did NOT contribute to the Russian currency crisis of 1998?
- A) an accelerated flight of capital
 - B) generally deteriorating economic conditions
 - C) a surprisingly healthy government surplus that was neither funding internal investment nor external debt service
 - D) all of the above

Answer: D

Diff: 2

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

- 13) In 1991 the Argentine peso was fixed to the value of the U.S. dollar on a one-to-one basis.

Answer: TRUE

Diff: 1

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

- 14) Leading up to the Russian currency collapse of 1998, Russia followed a currency policy of managed float that allowed their currency to slide daily at a 1.5% per month rate.

Answer: TRUE

Diff: 1

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

- 15) The large and liquid capital and currency markets follow many of the principles outlined by the different schools of thought on exchange rate determination (parity conditions, balance of payments approach, and asset approach) relatively well in the medium to long term.

Answer: TRUE

Diff: 1

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

- 16) The smaller and less liquid markets and currency markets frequently demonstrate behaviors that follow the principles outlined by the different schools of thought on exchange rate determination (parity conditions, balance of payments approach, and asset approach) relatively well in the medium to long term.

Answer: FALSE

Diff: 1

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

17) The roots of the Asian currency crisis extended from a fundamental change in the economics of the region, the transition of many Asian nations from being net importers to net exporters.

Answer: FALSE

Diff: 1

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

18) The most visible roots of the crisis were in the excesses of capital inflows into Thailand extending credit to a variety of domestic investments and enterprises beyond what the Thai economy could support and creating an investment "bubble."

Answer: TRUE

Diff: 1

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

19) As economic conditions continued to deteriorate in Argentina by the end of 2001, banks suffered increasing runs. The government, fearing that the increasing financial drain on banks would cause their collapse, closed the banks for weeks.

Answer: TRUE

Diff: 1

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Recognition

AACSB: Application of knowledge

20) In 1991, Argentina adopted a currency board (the Argentine peso had been pegged to the U.S. dollar at a one-to-one rate of exchange) to fight hyperinflation. This currency board lasted for a decade until the economic crisis of 2001. Discuss: 1) the pros and cons of a currency board policy, 2) the crisis condition of the Argentina's economy by 2001, and 3) the lessons to be drawn from the Argentina story.

Answer: Under a currency board, the central bank may increase the money supply in the banking system only with increases in its holdings of hard currency reserves. By removing the ability of government to expand the rate of growth of the money supply, Argentina believed it was eliminating the source of inflation that had devastated its standard of living. It was both a recipe for conservative and prudent financial management, and a decision to eliminate the power of politicians, elected and unelected, to exercise judgment both good and bad. It was an automatic and unbendable rule.

This "cure" was a restrictive monetary policy that slowed economic growth. The country's unemployment rate rose to double-digit levels in 1994 and stayed there. The real GDP growth rate settled into recession in late 1998, and the economy continued to shrink through 2000. Argentine banks allowed depositors to hold their money in either pesos or dollars. This was intended to provide a market-based discipline to the banking and political systems, and to demonstrate the government's unwavering commitment to maintaining the peso's value parity with the dollar. Although intended to build confidence in the system, in the end it proved disastrous to the Argentine banking system. The 1998 recession proved to be unending. Three-and-a-half years later, Argentina was still in recession. By 2001, crisis conditions had revealed three very important underlying problems with Argentina's economy: 1) The Argentine peso was overvalued; 2) The currency board regime had eliminated monetary policy alternatives for macroeconomic policy; and 3) The Argentine government budget deficit was out of control. Inflation had not been eliminated, and the world's markets were watching.

As the unemployment rate grew higher, as poverty and social unrest grew government was faced with pressure to close the economic and social gaps. Government spending continued to increase, but tax receipts did not. Argentina turned to the international markets to aid in the financing of its government's deficit spending. The total foreign debt of the country began rising dramatically. As economic conditions continued to deteriorate, banks suffered increasing runs. The government, fearing that the increasing financial drain on banks would cause their collapse, closed the banks.

On Sunday, January 6, 2002 the peso was devalued from 1.00 Argentine peso per U.S. dollar to 1.40. But the economic pain continued. On February 3, 2002, the Argentine government announced that the peso would be floated and the government would no longer attempt to fix or manage its value to any specific level, allowing the market to find or set the exchange rate.

Diff: 3

L.O.: 9.3 Disequilibrium: Exchange Rates in Emerging Markets

Skill: Conceptual

AACSB: Application of knowledge

9.4 Currency Forecasting in Practice

1) _____, traditionally referred to as chartists, focus on price and volume data to determine past trends that are expected to continue into the future.

- A) Mappists
- B) Trappist monks
- C) Filibusters
- D) Technical analysts

Answer: D

Diff: 2

L.O.: 9.4 Currency Forecasting in Practice

Skill: Recognition

AACSB: Application of knowledge

2) Examples of a business motivation for long-run exchange rate forecasts include all but which of the following?

- A) a major capital investment in a foreign country
- B) the desire to hedge a 90-day security
- C) a portfolio manager considering investing in foreign securities
- D) All of the above are examples of a business motivation for long-run exchange rate forecast.

Answer: B

Diff: 3

L.O.: 9.4 Currency Forecasting in Practice

Skill: Recognition

AACSB: Application of knowledge

3) Short-term foreign exchange forecasts are often motivated by such activities as _____ whereas long-term forecasts are more likely motivated by _____.

- A) long-term investment; long-term capital appreciation
- B) long-term capital appreciation; desire to hedge a receivable
- C) the desire to hedge a payable; the desire for long-term investment
- D) the desire for long-term investment; the desire to hedge a payable

Answer: C

Diff: 3

L.O.: 9.4 Currency Forecasting in Practice

Skill: Recognition

AACSB: Application of knowledge

4) A major U.S. multinational firm has forecast the euro/dollar rate to be €1.10/\$ one year hence, and an exchange rate of \$1.40 for the British pound (£) in the same time period. What does this imply the company's expected rate for the euro per pound to be in one year?

A) €1.40/£

B) £1.40/€

C) £1.54/€

D) €1.54/£

Answer: D

Diff: 3

L.O.: 9.4 Currency Forecasting in Practice

Skill: Analytical

AACSB: Analytical thinking

5) The longer the time horizon of the technical analyst the more accurate the prediction of foreign exchange rates is likely to be.

Answer: FALSE

Diff: 1

L.O.: 9.4 Currency Forecasting in Practice

Skill: Conceptual

AACSB: Application of knowledge

6) The single most important element of technical analysis is that future exchange rates are based on the current exchange rate.

Answer: TRUE

Diff: 2

L.O.: 9.4 Currency Forecasting in Practice

Skill: Recognition

AACSB: Application of knowledge

7) The more efficient the foreign exchange market is, the more likely it is that exchange rate movements are random walks.

Answer: TRUE

Diff: 1

L.O.: 9.4 Currency Forecasting in Practice

Skill: Conceptual

AACSB: Application of knowledge

8) Technical analysts, traditionally referred to as *chartists*, focus on *fundamental* data to determine past trends that are expected to continue into the future.

Answer: FALSE

Diff: 2

L.O.: 9.4 Currency Forecasting in Practice

Skill: Conceptual

AACSB: Application of knowledge

9) Foreign exchange forecasting can be either long-term, or short-term in duration. Compare and contrast the motivation for and the techniques a forecaster might use for each of the time periods.

Answer: Short-run forecasts are usually more tactical in nature as a firm may desire to reduce exchange rate risk associated with foreign receivable or payables. Technical factors and short-term market expectations are often more important for short-run forecasters than long-run parity or fundamental economic conditions.

Long-run forecasts are more strategic in nature as firms make key decisions about entering new foreign markets. Longer time horizons tend to be less accurate but also require less accuracy.

What forecasters typically desire is a general long-run understanding of the relationships between markets. Fundamental analysis and parity conditions tend to be more important than technical factors in this type of forecasting.

Diff: 3

L.O.: 9.4 Currency Forecasting in Practice

Skill: Analytical

AACSB: Analytical thinking

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 10 Transaction Exposure

10.1 Types of Foreign Exchange Exposure

1) _____ exposure deals with cash flows that result from existing contractual obligations.

- A) Operating
- B) Transaction
- C) Translation
- D) Economic

Answer: B

Diff: 2

L.O.: 10.1 Types of Foreign Exchange Exposure

Skill: Recognition

AACSB: Application of knowledge

2) _____ exposure measures the change in the present value of the firm resulting from unexpected changes in exchange rates.

- A) Operating
- B) Transaction
- C) Translation
- D) Accounting

Answer: A

Diff: 2

L.O.: 10.1 Types of Foreign Exchange Exposure

Skill: Recognition

AACSB: Application of knowledge

3) Each of the following is another name for operating exposure EXCEPT:

- A) economic exposure.
- B) strategic exposure.
- C) accounting exposure.
- D) competitive exposure.

Answer: C

Diff: 2

L.O.: 10.1 Types of Foreign Exchange Exposure

Skill: Recognition

AACSB: Application of knowledge

4) Transaction exposure and operating exposure exist because of unexpected changes in future cash flows. The difference between the two is that _____ exposure deals with cash flows already contracted for, while _____ exposure deals with future cash flows that might change because of changes in exchange rates.

- A) transaction; operating
- B) operating; transaction
- C) operating; accounting
- D) none of the above

Answer: A

Diff: 2

L.O.: 10.1 Types of Foreign Exchange Exposure

Skill: Recognition

AACSB: Application of knowledge

5) _____ exposure is the potential for accounting-derived changes in owner's equity to occur because of the need to translate foreign currency financial statements into a single reporting currency.

- A) Transaction
- B) Operating
- C) Economic
- D) Accounting (aka translation)

Answer: D

Diff: 2

L.O.: 10.1 Types of Foreign Exchange Exposure

Skill: Recognition

AACSB: Application of knowledge

6) Losses from _____ exposure generally reduce taxable income in the year they are realized. _____ exposure losses may reduce taxes over a series of years.

- A) accounting; Operating
- B) operating; Transaction
- C) transaction; Operating
- D) transaction; Accounting

Answer: C

Diff: 2

L.O.: 10.1 Types of Foreign Exchange Exposure

Skill: Recognition

AACSB: Application of knowledge

7) Losses from _____ exposure generally reduce taxable income in the year they are realized. _____ exposure losses are not cash losses and therefore, are not tax deductible.

- A) transaction; Operating
- B) accounting; Operating
- C) accounting; Transaction
- D) transaction; Translation

Answer: D

Diff: 2

L.O.: 10.1 Types of Foreign Exchange Exposure

Skill: Recognition

AACSB: Application of knowledge

10.2 Why Hedge?

1) MNE cash flows may be sensitive to changes in which of the following?

- A) exchange rates
- B) interest rates
- C) commodity prices
- D) all of the above

Answer: D

Diff: 1

L.O.: 10.2 Why Hedge?

Skill: Recognition

AACSB: Application of knowledge

2) Assuming no transaction costs (i.e., hedging is "free"), hedging currency exposures should _____ the **variability** of expected cash flows to a firm and at the same time, the expected **value** of the cash flows should _____.

- A) increase; not change
- B) **decrease; not change**
- C) not change; increase
- D) not change; not change

Answer: B

Diff: 2

L.O.: 10.2 Why Hedge?

Skill: Conceptual

AACSB: Application of knowledge

- 3) Which of the following is NOT cited as a good reason for hedging currency exposures?
- A) Reduced risk of future cash flows is a good planning tool.
 - B) Reduced risk of future cash flows reduces the probability that the firm may not meet required cash flows.
 - C) Currency risk management increases the expected cash flows to the firm.
 - D) Management is in a better position to assess firm currency risk than individual investors.

Answer: C

Diff: 2

L.O.: 10.2 Why Hedge?

Skill: Recognition

AACSB: Application of knowledge

- 4) Which of the following is cited as a good reason for NOT hedging currency exposures?
- A) Shareholders are more capable of diversifying risk than management.
 - B) Currency risk management through hedging does not increase expected cash flows.
 - C) Hedging activities are often of greater benefit to management than to shareholders.
 - D) All of the above are cited as reasons NOT to hedge.

Answer: D

Diff: 2

L.O.: 10.2 Why Hedge?

Skill: Recognition

AACSB: Application of knowledge

- 5) A _____ hedge refers to an **offsetting operating cash flow** such as a payable arising from the conduct of business.

A) financial

B) **natural**

C) contractual

D) futures

Answer: B

Diff: 2

L.O.: 10.2 Why Hedge?

Skill: Recognition

AACSB: Application of knowledge

- 6) As a generalized rule, only realized foreign exchange losses are deductible for tax purposes.

Answer: TRUE

Diff: 1

L.O.: 10.2 Why Hedge?

Skill: Recognition

AACSB: Application of knowledge

7) Many MNE s manage foreign exchange exposure centrally, thus gains or losses are always matched with the country of origin.

Answer: FALSE

Diff: 2

L.O.: 10.2 Why Hedge?

Skill: Recognition

AACSB: Application of knowledge

8) Hedging, or reducing risk, is the same as adding value or return to the firm.

Answer: FALSE

Diff: 2

L.O.: 10.2 Why Hedge?

Skill: Conceptual

AACSB: Application of knowledge

9) There is considerable question among investors and managers about whether hedging is a good and necessary tool.

Answer: TRUE

Diff: 1

L.O.: 10.2 Why Hedge?

Skill: Recognition

AACSB: Application of knowledge

10) The key arguments in opposition to currency hedging such as market efficiency, agency theory, and diversification do not have financial theory at their core.

Answer: FALSE

Diff: 1

L.O.: 10.2 Why Hedge?

Skill: Conceptual

AACSB: Application of knowledge

11) Management often conducts hedging activities that benefit management at the expense of the shareholders. The field of finance called *agency theory* frequently argues that management is generally LESS risk averse than are shareholders.

Answer: FALSE

Diff: 1

L.O.: 10.2 Why Hedge?

Skill: Conceptual

AACSB: Application of knowledge

12) Managers CAN outguess the market. If and when markets are in equilibrium with respect to parity conditions, the expected net present value of hedging should be POSITIVE.

Answer: FALSE

Diff: 1

L.O.: 10.2 Why Hedge?

Skill: Conceptual

AACSB: Application of knowledge

13) Shareholders are LESS capable of diversifying currency risk than is the management of the firm.

Answer: FALSE

Diff: 1

L.O.: 10.2 Why Hedge?

Skill: Conceptual

AACSB: Application of knowledge

14) Hedging can be advantageous to shareholders because management is in a better position than shareholders to recognize disequilibrium conditions and to take advantage of single opportunities to enhance firm value through *selective hedging*.

Answer: TRUE

Diff: 1

L.O.: 10.2 Why Hedge?

Skill: Conceptual

AACSB: Application of knowledge

15) Does foreign currency exchange hedging both reduce risk and increase expected value?

Explain, and list several arguments in favor of currency risk management and several against.

Answer: Foreign exchange currency hedging can reduce the variability of foreign currency receivables or payables by locking in a specific exchange rate in the future via a forward contract, converting currency at the current spot rate using a money market hedge, or minimizing unfavorable exchange rate movement with a currency option. None of these hedging techniques, however, increases the expected value of the foreign currency exchange. In fact, expected value should fall by an amount equal to the cost of the hedge.

Generally, those in favor of currency risk management find value in the reduction of variability of uncertain cash flows. Those opposed to currency risk management argue the NPV of such activities are \$0 or less and that shareholders can reduce risk themselves more efficiently. For a more complete answer to this question, see page 4 where the author outlines several arguments for and against currency risk management.

Diff: 3

L.O.: 10.2 Why Hedge?

Skill: Conceptual

AACSB: Application of knowledge

10.3 Transaction Exposure

1) The stages in the life of a transaction exposure can be broken into three distinct time periods. The first time period is the time between quoting a price and reaching an actual sale agreement or contract. The next time period is the time lag between taking an order and actually filling or delivering it. Finally, the time it takes to get paid after delivering the product. In order, these stages of transaction exposure may be identified as:

- A) backlog, quotation, and billing exposure.
- B) billing, backlog, and quotation exposure.
- C) quotation, backlog, and billing exposure.
- D) quotation, billing, and backlog exposure.

Answer: C

Diff: 2

L.O.: 10.3 Transaction Exposure

Skill: Recognition

AACSB: Application of knowledge

2) A U.S. firm sells merchandise today to a British company for £150,000. The current exchange rate is \$1.55/£, the account is payable in three months, and the firm chooses to avoid any hedging techniques designed to reduce or eliminate the risk of changes in the exchange rate. The U.S. firm is at risk today of a loss if:

- A) the exchange rate changes to \$1.52/£.
- B) the exchange rate changes to \$1.58/£.
- C) the exchange rate doesn't change.
- D) all of the above

Answer: D

Diff: 3

L.O.: 10.3 Transaction Exposure

Skill: Analytical

AACSB: Application of knowledge

3) A U.S. firm sells merchandise today to a British company for £150,000. The current exchange rate is \$1.55/£, the account is payable in three months, and the firm chooses to avoid any hedging techniques designed to reduce or eliminate the risk of changes in the exchange rate. If the exchange rate changes to \$1.58/£ the U.S. firm will realize a _____ of _____.

- A) loss; \$4,500
- B) gain; \$4,500
- C) loss; £4,500
- D) gain; £4,500

Answer: B

Diff: 3

L.O.: 10.3 Transaction Exposure

Skill: Analytical

AACSB: Analytical thinking

4) A U.S. firm sells merchandise today to a British company for £150,000. The current exchange rate is \$1.55/£, the account is payable in three months, and the firm chooses to avoid any hedging techniques designed to reduce or eliminate the risk of changes in the exchange rate. If the exchange rate changes to \$1.52/£ the U.S. firm will realize a _____ of _____.

- A) loss; \$4,500
- B) gain; \$4,500
- C) loss; £4,500
- D) gain; £4,500

Answer: A

Diff: 3

L.O.: 10.3 Transaction Exposure

Skill: Analytical

AACSB: Analytical thinking

5) TRANSACTION exposure measures gains or losses that arise from the settlement of existing financial obligations whose terms are stated in a foreign currency.

Answer: TRUE

Diff: 1

L.O.: 10.3 Transaction Exposure

Skill: Recognition

AACSB: Application of knowledge

6) Transaction exposure could arise when borrowing or lending funds when repayment is to be made in the firm's *domestic* currency.

Answer: FALSE

Diff: 1

L.O.: 10.3 Transaction Exposure

Skill: Recognition

AACSB: Application of knowledge

10.4 Transaction Exposure Management

1) _____ is NOT a commonly used **contractual hedge** against foreign exchange transaction exposure.

- A) Forward market hedge
- B) Money market hedge
- C) Options market hedge
- D) All of the above are contractual hedges.

Answer: D

Diff: 2

L.O.: 10.4 Transaction Exposure Management

Skill: Recognition

AACSB: Application of knowledge

Instruction 10.1:

Use the information for the following problem(s).

Central Valley Transit Inc. (CVT) has just signed a contract to purchase light rail cars from a manufacturer in Germany for €3,000,000. The purchase was made in June with payment due six months later in December. Because this is a sizable contract for the firm and because the contract is in euros rather than dollars, CVT is considering several hedging alternatives to reduce the exchange rate risk arising from the sale. To help the firm make a hedging decision you have gathered the following information.

- The spot exchange rate is \$1.250/euro
- The six-month forward rate is \$1.22/euro
- CVT's cost of capital is 11%
- The Euro zone 6-month borrowing rate is 9% (or 4.5% for 6 months)
- The Euro zone 6-month lending rate is 7% (or 3.5% for 6 months)
- The U.S. 6-month borrowing rate is 8% (or 4% for 6 months)
- The U.S. 6-month lending rate is 6% (or 3% for 6 months)
- December call options for euro 750,000; strike price \$1.28, premium price is 1.5%
- CVT's forecast for 6-month spot rates is \$1.27/euro
- The budget rate, or the highest acceptable purchase price for this project, is \$3,900,000 or \$1.30/euro

2) Refer to Instruction 10.1. If CVT chooses NOT to hedge their euro payable, the amount they pay in six months will be:

- A) \$3,500,000.
- B) \$3,900,000.
- C) €3,000,000.
- D) unknown today

Answer: D

Diff: 3

L.O.: 10.4 Transaction Exposure Management

Skill: Analytical

AACSB: Analytical thinking

3) Refer to Instruction 10.1. If CVT chooses to hedge its transaction exposure in the forward market, it will _____ €3,000,000 forward at a rate of _____.

- A) buy; \$1.22
- B) buy; \$1.25
- C) sell; \$1.22
- D) sell; €1.25

Answer: A

Diff: 3

L.O.: 10.4 Transaction Exposure Management

Skill: Analytical

AACSB: Analytical thinking

4) Refer to Instruction 10.1. CVT chooses to hedge its transaction exposure in the forward market at the available forward rate. The required amount in dollars to pay off the accounts payable in 6 months will be:

- A) \$3,000,000.
- B) \$3,660,000.
- C) \$3,750,000.
- D) \$3,810,000.

Answer: B

Diff: 3

L.O.: 10.4 Transaction Exposure Management

Skill: Analytical

AACSB: Analytical thinking

5) Refer to Instruction 10.1. If CVT locks in the forward hedge at \$1.22/euro, and the spot rate when the transaction was recorded on the books was \$1.25/euro, this will result in a "foreign exchange accounting transaction _____ of _____.

- A) loss; \$90,000
- B) loss; €90,000
- C) gain; \$90,000
- D) gain; €90,000

Answer: C

Diff: 3

L.O.: 10.4 Transaction Exposure Management

Skill: Analytical

AACSB: Analytical thinking

6) Refer to Instruction 10.1. CVT would be _____ by an amount equal to _____ with a forward hedge than if they had NOT hedged and their predicted exchange rate for 6 months had been correct.

- A) better off; \$150,000
- B) better off; €150,000
- C) worse off; \$150,000
- D) worse off; €150,000

Answer: A

Diff: 3

L.O.: 10.4 Transaction Exposure Management

Skill: Analytical

AACSB: Analytical thinking

7) Refer to Instruction 10.1. What is the cost of a call option hedge for CVT's euro receivable contract? (Note: Calculate the cost in future value dollars and assume the firm's cost of capital as the appropriate interest rate for calculating future values.)

A) \$57,600

B) \$59,904

C) \$62,208

D) \$63,936

Answer: B

Diff: 3

L.O.: 10.4 Transaction Exposure Management

Skill: Analytical

AACSB: Analytical thinking

8) Refer to Instruction 10.1. The cost of a put option to CVT would be:

A) \$52,500.

B) \$55,388.

C) \$58,275.

D) There is not enough information to answer this question.

Answer: D

Diff: 3

L.O.: 10.4 Transaction Exposure Management

Skill: Analytical

AACSB: Analytical thinking

9) When attempting to manage an account payable denominated in a foreign currency, the firm's only choice is to remain unhedged.

Answer: FALSE

Diff: 1

L.O.: 10.4 Transaction Exposure Management

Skill: Recognition

AACSB: Application of knowledge

10) Remaining unhedged is NOT an option when dealing with foreign exchange transaction exposure.

Answer: FALSE

Diff: 1

L.O.: 10.4 Transaction Exposure Management

Skill: Recognition

AACSB: Application of knowledge

11) A *forward hedge* involves a put or call option contract and a source of funds to fulfill that contract.

Answer: FALSE

Diff: 1

L.O.: 10.4 Transaction Exposure Management

Skill: Recognition

AACSB: Application of knowledge

12) Like a forward market hedge, a *money market hedge* also involves a contract and a source of funds to fulfill that contract. In this instance, **the contract is a loan agreement.**

Answer: TRUE

Diff: 1

L.O.: 10.4 Transaction Exposure Management

Skill: Recognition

AACSB: Application of knowledge

13) Hedging transaction exposure with option contracts allows the firm to benefit if exchange rates are favorable but protects the firm if exchange rates turn unfavorable.

Answer: TRUE

Diff: 1

L.O.: 10.4 Transaction Exposure Management

Skill: Recognition

AACSB: Application of knowledge

14) A firm's *risk tolerance* is a combination of management's philosophy toward transaction exposure and the specific goals of treasury activities.

Answer: TRUE

Diff: 1

L.O.: 10.4 Transaction Exposure Management

Skill: Recognition

AACSB: Application of knowledge

15) The structure of a money market hedge is similar to a forward hedge. The difference is the cost of the money market hedge is determined by the differential interest rates, while the forward hedge is a function of the forward rates quotation.

Answer: TRUE

Diff: 2

L.O.: 10.4 Transaction Exposure Management

Skill: Conceptual

AACSB: Application of knowledge

16) In efficient markets, interest rate parity should assure that the costs of a forward hedge and money market hedge should be approximately the same.

Answer: TRUE

Diff: 1

L.O.: 10.4 Transaction Exposure Management

Skill: Conceptual

AACSB: Application of knowledge

17) Currency risk management techniques include forward hedges, money market hedges, and option hedges. Draw a diagram showing the possible outcomes of these hedging alternatives for a foreign currency receivable contract. In your diagram, be sure to label the X and Y-axis, the put option strike price, and show the possible results for a money market hedge, a forward hedge, a put option hedge, and an uncovered position. (Note: Assume the forward currency receivable is British pounds and the put option strike price is \$1.50/£, the price of the option is \$0.04 the forward rate is \$1.52/£ and the current spot rate is \$1.48/£.)

Answer: The student should draw and label a diagram that looks similar to the one found in Exhibit 10.5.

Diff: 3

L.O.: 10.4 Transaction Exposure Management

Skill: Analytical

AACSB: Analytical thinking

10.5 Transaction Exposure Management in Practice

1) _____ are transactions for which there are, at present, **no contracts or agreements** between parties.

A) Backlog exposure

B) Quotation exposure

C) **Anticipated exposure**

D) none of the above

Answer: C

Diff: 2

L.O.: 10.5 Transaction Exposure Management in Practice

Skill: Recognition

AACSB: Application of knowledge

2) According to a survey by Bank of America, the type of foreign exchange risk most often hedged by firms is:

A) translation exposure.

B) transaction exposure.

C) contingent exposure.

D) economic exposure.

Answer: B

Diff: 2

L.O.: 10.5 Transaction Exposure Management in Practice

Skill: Recognition

AACSB: Application of knowledge

3) The treasury function of most firms, the group typically responsible for transaction exposure management, **is NOT usually considered a profit center.**

Answer: TRUE

Diff: 1

L.O.: 10.5 Transaction Exposure Management in Practice

Skill: Recognition

AACSB: Application of knowledge

4) According to the authors, firms that employ proportional hedges increase the percentage of forward-cover as the maturity of the exposure lengthens.

Answer: FALSE

Diff: 1

L.O.: 10.5 Transaction Exposure Management in Practice

Skill: Recognition

AACSB: Application of knowledge

5) Although rarely acknowledged by the firms themselves, selective hedging is essentially speculation.

Answer: TRUE

Diff: 1

L.O.: 10.5 Transaction Exposure Management in Practice

Skill: Recognition

AACSB: Application of knowledge

6) There are as many different approaches to foreign exchange transaction exposure management as there are firms and no real consensus exists regarding the best approach. List and discuss three different exposures you can hedge and three different types of hedges (for example option hedges versus non-option hedges).

Answer: Foreign exchange exposure is a measure of the potential for a firm's profitability, net cash flow, and market value to change because of a change in exchange rates. There are two distinct categories of foreign exchange exposure for the firm: 1) Accounting exposure (transaction exposure and translation exposure) arises from contracts and accounts being denominated in foreign currency, 2) Economic exposure is the potential change in the value of the firm from its changing global competitiveness as determined by exchange rates.

A transaction exposure is created at the first moment the seller quotes a price in foreign currency terms to a potential buyer (quotation exposure). When the order is placed, the potential exposure created at the time of the quotation is converted into actual exposure, called backlog exposure, because the product has not yet been shipped or billed. Backlog exposure lasts until the goods are shipped and billed, at which time it becomes billing exposure. Billing exposure remains until payment is received by the seller.

Transaction exposure management programs are generally divided along an "option-line," those that use options (calls and puts) and those that do not (forward/futures contracts and money market hedges).

Diff: 2

L.O.: 10.5 Transaction Exposure Management in Practice

Skill: Conceptual

AACSB: Application of knowledge

7) Many MNEs have established rigid transaction exposure risk management policies which mandate proportional hedging (a percentage of existing transaction exposures). Explain the pros and cons of proportional hedging.

Answer: First of all, hedging is expensive. These policies generally require the use of forward contract hedges on a percentage (e.g., 50, 60, or 70%) of existing transaction exposures. As the maturity of the exposures lengthens, the percentage forward-cover required decreases. The remaining portion of the exposure is then selectively hedged on the basis of the firm's risk tolerance, view of exchange rate movements, and confidence level. Although rarely acknowledged by the firms themselves, selective hedging is essentially speculation. A significant question remains as to whether a firm or a financial manager can consistently predict the future direction of exchange rates.

Diff: 2

L.O.: 10.5 Transaction Exposure Management in Practice

Skill: Conceptual

AACSB: Application of knowledge

Appendix B — The Optimal Hedge Ratio and Hedge Effectiveness

1) When there is a full forward cover with the spot rate equal to the forward rate all of the following are true EXCEPT:

- A) The hedge is asymmetric.
- B) There is no uncovered exposure remaining.
- C) The total position is a perfect hedge.
- D) The currency hedge ratio is equal to 1.

Answer: A

Diff: 3

L.O.: Appendix B - The Optimal Hedge Ratio and Hedge Effectiveness

Skill: Conceptual

AACSB: Application of knowledge

2) The objective of *currency hedging* is to eliminate the change in the value of the exposed asset or cash flow from a change in exchange rates.

Answer: FALSE

Diff: 1

L.O.: Appendix B - The Optimal Hedge Ratio and Hedge Effectiveness

Skill: Conceptual

AACSB: Application of knowledge

3) *Hedging* is accomplished by combining the *exposed asset* with a *hedge asset* to create a two-asset portfolio in which the two assets react in relatively equal directions to an exchange rate change.

Answer: FALSE

Diff: 1

L.O.: Appendix B - The Optimal Hedge Ratio and Hedge Effectiveness

Skill: Conceptual

AACSB: Application of knowledge

4) With the use of forwards, a perfect hedge is possible.

Answer: TRUE

Diff: 1

L.O.: Appendix B - The Optimal Hedge Ratio and Hedge Effectiveness

Skill: Conceptual

AACSB: Application of knowledge

5) With a perfect hedge, there is no uncovered exposure remaining.

Answer: TRUE

Diff: 1

L.O.: Appendix B - The Optimal Hedge Ratio and Hedge Effectiveness

Skill: Conceptual

AACSB: Application of knowledge

6) A hedge constructed using puts foreign currency options would be symmetric.

Answer: FALSE

Diff: 1

L.O.: Appendix B - The Optimal Hedge Ratio and Hedge Effectiveness

Skill: Conceptual

AACSB: Application of knowledge

7) The commonly used 100% forward contract cover is a symmetric hedge.

Answer: TRUE

Diff: 1

L.O.: Appendix B - The Optimal Hedge Ratio and Hedge Effectiveness

Skill: Conceptual

AACSB: Application of knowledge

8) The effectiveness of a hedge is determined to what degree the change in spot asset's value is correlated with the equal change in the hedge asset's value to a change in the underlying spot exchange rate.

Answer: FALSE

Diff: 1

L.O.: Appendix B - The Optimal Hedge Ratio and Hedge Effectiveness

Skill: Conceptual

AACSB: Application of knowledge

9) The hedge ratio, β , is an individual exposure's nominal amount covered by a financial instrument such as a forward contract or currency option.

Answer: FALSE

Diff: 1

L.O.: Appendix B - The Optimal Hedge Ratio and Hedge Effectiveness

Skill: Conceptual

AACSB: Application of knowledge

10) A hedge constructed using a put foreign currency option would protect you against value losses, but allow, at the same time, the possibly reap value increases in the event the exchange rate moved in your favor.

Answer: TRUE

Diff: 1

L.O.: Appendix B - The Optimal Hedge Ratio and Hedge Effectiveness

Skill: Conceptual

AACSB: Application of knowledge

11) The various hedging alternatives explored (the forward, money market, and purchase option hedges) only work to protect the value of the exposed asset at the time of maturity.

Answer: FALSE

Diff: 1

L.O.: Appendix B - The Optimal Hedge Ratio and Hedge Effectiveness

Skill: Conceptual

AACSB: Application of knowledge

12) There are as many different approaches to exposure management as there are firms and no real consensus exists regarding the best approach. Discuss the following theoretical dimensions to currency hedging: optimal hedge ratio, hedge symmetry, hedge effectiveness and hedge timing.

Answer: The objective of currency hedging is to minimize the change in the value of the exposed asset or cash flow from a change in exchange rates. Hedging is accomplished by combining the exposed asset with a hedge asset to create a two-asset portfolio in which the two assets react in relatively equal but opposite directions to an exchange rate change. If the entire exposure was covered, that is a hedge ratio of 1.0 or 100%. The hedge ratio, β , is the percentage of an individual exposure's nominal amount covered by a financial instrument such as a forward contract or currency option.

Some hedges can be constructed to result in no change in value to any and all exchange rate changes. The hedge is constructed so that whatever spot value is lost (or gained) as a result of adverse (or favorable) exchange rate movements (Δ Spot), that value is replaced by an equal but opposite change in the value of the hedge asset, (Δ Hedge). The 100% forward contract cover is symmetrical hedge.

The effectiveness of a hedge is determined to what degree the change in spot asset's value is correlated with the equal but opposite change in the hedge asset's value to a change in the underlying spot exchange rate. The less than perfect correlation is termed basis risk.

The hedger must also determine the timing of the hedge objective. The hedger can protect the value of the exposed asset only at the time of its maturity or settlement, or at various points in time over the life of the exposure.

Diff: 2

L.O.: Appendix B - The Optimal Hedge Ratio and Hedge Effectiveness

Skill: Conceptual

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 11 Translation Exposure

11.1 Overview of Translation

1) Translation exposure may also be called _____ exposure.

- A) transaction
- B) operating
- C) accounting
- D) currency

Answer: C

Diff: 1

L.O.: 11.1 Overview of Translation

Skill: Recognition

AACSB: Application of knowledge

2) _____ exposure is the potential for an increase or decrease in the parent company's net worth and reported net income caused by a change in exchange rates since the last transaction.

- A) Transaction
- B) Operating
- C) Currency
- D) Translation

Answer: D

Diff: 1

L.O.: 11.1 Overview of Translation

Skill: Recognition

AACSB: Application of knowledge

3) Translation exposure measures:

- A) changes in the value of outstanding financial obligations incurred prior to a change in exchange rates.
- B) the potential for an increase or decrease in the parent company's net worth and reported net income caused by a change in exchange rates since the last consolidation of international operations.
- C) an unexpected change in exchange rates impact on short run expected cash flows.
- D) none of the above

Answer: B

Diff: 2

L.O.: 11.1 Overview of Translation

Skill: Recognition

AACSB: Application of knowledge

- 4) According to your authors, the main purpose of translation is:
- A) to prepare consolidated financial statements.
 - B) to help management assess the performance of foreign subsidiaries.
 - C) to act as an interpreter for managers without foreign language skills.
 - D) none of the above

Answer: A

Diff: 1

L.O.: 11.1 Overview of Translation

Skill: Recognition

AACSB: Application of knowledge

- 5) Historical exchange rates may be used for _____, while current exchange rates may be used for _____.

- A) fixed assets and current assets; income and expense items
- B) equity accounts and fixed assets; current assets and liabilities
- C) current assets and liabilities; equity accounts and fixed assets
- D) equity accounts and current liabilities; current assets and fixed assets

Answer: B

Diff: 2

L.O.: 11.1 Overview of Translation

Skill: Conceptual

AACSB: Application of knowledge

- 6) If an imbalance results from the accounting method used for translation, the imbalance is taken either to _____ or _____.

- A) the bank; the post office
- B) depreciation; the market for foreign exchange swaps
- C) current income; equity reserves
- D) current liabilities; equity reserves

Answer: C

Diff: 2

L.O.: 11.1 Overview of Translation

Skill: Conceptual

AACSB: Application of knowledge

- 7) Generally speaking, translation methods by country define the translation process as a function of what two factors?

- A) size; location
- B) a firm's functional currency; location
- C) location; foreign subsidiary independence
- D) foreign subsidiary independence; a firm's functional currency

Answer: D

Diff: 2

L.O.: 11.1 Overview of Translation

Skill: Recognition

AACSB: Application of knowledge

- 8) A/An _____ subsidiary is one in which the firm operates as an extension of the parent

company with cash flows highly interrelated with the parent.

- A) self-sustaining foreign
- B) integrated foreign entity
- C) foreign
- D) none of the above

Answer: B

Diff: 2

L.O.: 11.1 Overview of Translation

Skill: Recognition

AACSB: Application of knowledge

9) Consider two different foreign subsidiaries of Georgia-Pacific Wood Products Inc. The first subsidiary mills trees in Canada and ships its entire product to the Georgia-Pacific U.S. The second subsidiary is also owned by the parent firm but is located in Japan and retails tropical hardwood furniture that it buys from many different sources. The first subsidiary is likely a/an _____ foreign entity with most of its cash flows in U.S. dollars, and the second subsidiary is more of a/an _____ foreign entity.

- A) domestic; integrated
- B) self-sustaining; domestic
- C) integrated; self-sustaining
- D) self-sustaining; integrated

Answer: C

Diff: 2

L.O.: 11.1 Overview of Translation

Skill: Conceptual

AACSB: Application of knowledge

10) A foreign subsidiary's _____ currency is the currency used in the firm's day-to-day operations.

- A) local
- B) integrated
- C) notational dollar
- D) functional

Answer: D

Diff: 1

L.O.: 11.1 Overview of Translation

Skill: Recognition

AACSB: Application of knowledge

11) The _____ determines accounting policy for U.S. firms.

- A) Securities and Exchange Commission (SEC)
- B) Federal Reserve System (Fed)
- C) Financial Accounting Standards Board (FASB)
- D) General Agreement on Tariffs and Trade (GATT)

Answer: C

Diff: 1

L.O.: 11.1 Overview of Translation

Skill: Recognition

AACSB: Application of knowledge

12) It is possible to use different exchange rates for different line items on a financial statement.

Answer: TRUE

Diff: 1

L.O.: 11.1 Overview of Translation

Skill: Conceptual

AACSB: Application of knowledge

13) If the same exchange rate were used to remeasure every line on a financial statement, then there would be no imbalances from remeasuring.

Answer: TRUE

Diff: 1

L.O.: 11.1 Overview of Translation

Skill: Conceptual

AACSB: Application of knowledge

14) A foreign subsidiary's *functional currency* is the currency of the primary economic environment in which the subsidiary operates and in which it generates cash flows.

Answer: TRUE

Diff: 1

L.O.: 11.1 Overview of Translation

Skill: Conceptual

AACSB: Application of knowledge

15) It is *highly unusual* for a multinational firm to have both *integrated foreign entities* AND *self-sustaining foreign entities*.

Answer: FALSE

Diff: 1

L.O.: 11.1 Overview of Translation

Skill: Recognition

AACSB: Application of knowledge

16) Most countries specify the translation method to be used by a foreign subsidiary based on its business operations or the functional currency. Explain both subsidiary characterization criteria and the one adopted in the United States.

Answer: A foreign subsidiary's business can be categorized as either an integrated foreign entity or a self-sustaining foreign entity. An *integrated foreign entity* is one that operates as an extension of the parent company, with cash flows and general business lines that are highly interrelated with those of the parent. A *self-sustaining foreign entity* is one that operates in the local economic environment independent of the parent company. The differentiation is important to the logic of translation. A foreign subsidiary should be valued principally in terms of the currency that is the basis of its economic viability. It is not unusual for a single company to have both types of foreign subsidiaries, integrated and self-sustaining.

A foreign subsidiary's *functional currency* is the currency of the primary economic environment in which the subsidiary operates and in which it generates cash flows. In other words, it is the dominant currency used by that foreign subsidiary in its day-to-day operations. It is important to note that the geographic location of a foreign subsidiary and its functional currency may be different.

The United States, rather than distinguishing a foreign subsidiary as either integrated or self-sustaining, requires that the functional currency of the subsidiary be determined. Management must evaluate the nature and purpose of each of its individual foreign subsidiaries to determine the appropriate functional currency for each. If a foreign subsidiary of a U.S.-based company is determined to have the U.S. dollar as its functional currency, it is essentially an extension of the parent company (equivalent to the integrated foreign entity designation used by most countries). If, however, the functional currency of the foreign subsidiary is determined to be different from the U.S. dollar, the subsidiary is considered a separate entity from the parent (equivalent to the self-sustaining entity designation).

Diff: 2

L.O.: 11.1 Overview of Translation

Skill: Conceptual

AACSB: Application of knowledge

11.2 Translation Methods

1) The two basic methods for the translation of foreign subsidiary financial statements are the _____ method and the _____ method.

- A) current rate; temporal
- B) temporal; proper timing
- C) current rate; future rate
- D) none of the above

Answer: A

Diff: 1

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

2) Gains or losses caused by translation adjustments when using the current rate method are reported separately on the:

- A) consolidated statement of cash flow.
- B) consolidated income statement.
- C) consolidated balance sheet.
- D) none of the above

Answer: C

Diff: 1

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

3) The basic advantage of the _____ method of foreign currency translation is that foreign nonmonetary assets are carried at their original cost in the parent's consolidated statement while the most important advantage of the _____ method is that the gain or loss from translation does not pass through the income statement.

- A) monetary; current rate
- B) temporal; current rate
- C) temporal; monetary
- D) current rate; temporal

Answer: D

Diff: 2

L.O.: 11.2 Translation Methods

Skill: Conceptual

AACSB: Application of knowledge

4) Under the U.S. method of translation procedures, if the financial statements of the foreign subsidiary of a U.S. company are maintained in U.S. dollars:

- A) translation is accomplished through the current rate method.
- B) translation is accomplished through the temporal method.
- C) translation is not required.
- D) the translation method to be used is not obvious.

Answer: C

Diff: 1

L.O.: 11.2 Translation Methods

Skill: Conceptual

AACSB: Application of knowledge

5) Under the U.S. method of translation procedures, if the financial statements of the foreign subsidiary of a U.S. company are maintained in the local currency, and the local currency is the functional currency, then:

- A) the translation method to be used is not obvious.
- B) translation is accomplished through the temporal method.
- C) translation is not required.
- D) translation is accomplished through the current rate method.

Answer: D

Diff: 2

L.O.: 11.2 Translation Methods

Skill: Conceptual

AACSB: Application of knowledge

6) Under the U.S. method of translation procedures, if the financial statements of the foreign subsidiary of a U.S. company are maintained in the local currency, and the U.S. dollar is the functional currency, then:

- A) translation is not required.
- B) translation is accomplished through the current rate method.
- C) translation is accomplished through the temporal method.
- D) none of the above

Answer: C

Diff: 2

L.O.: 11.2 Translation Methods

Skill: Conceptual

AACSB: Application of knowledge

7) Under U.S. accounting and translation practices, use of the current rate method is termed _____ while use of the temporal method is termed _____.

- A) translation; the same
- B) translation; remeasurement
- C) remeasurement; the same
- D) remeasurement; translation

Answer: B

Diff: 2

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

8) Which of the following primary principles of U.S. translation procedures is NOT true?

A) If the financial statements of the foreign subsidiary of a U.S. company are maintained in U.S. dollars, translation is not required.

B) If the financial statements of the foreign subsidiary are maintained in the local currency and the local currency is the functional currency, they are translated by the *temporal method*.

C) If the financial statements of the foreign subsidiary are maintained in the local currency and the U.S. dollar is the functional currency, they are remeasured by the *temporal method*.

D) All of the above are true.

Answer: B

Diff: 2

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

9) _____ occur as a result of changes in the value of currency, whereas _____ occur as a result of ongoing business activities.

A) Operating gains or losses; translation gains or losses

B) Swap losses; translation gains or losses

C) Translation gains or losses; operating gains or losses

D) all of the above

Answer: C

Diff: 1

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

10) Exchange rate imbalances that are passed through the balance sheet affect a firm's reported income, but imbalances transferred to the income statement do not.

Answer: FALSE

Diff: 1

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

11) The current rate method is the most prevalent method today for the translation of financial statements.

Answer: TRUE

Diff: 1

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

12) The temporal rate method is the most prevalent method today for the translation of financial statements.

Answer: FALSE

Diff: 1

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

13) The biggest advantage of the current rate method of reporting translation adjustments is the fact that the gain or loss goes directly to the reserve account on the consolidated balance sheet and does not pass through the consolidated income statement.

Answer: TRUE

Diff: 2

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

14) Under the temporal rate method, specific assets and liabilities are translated at exchange rates consistent with the timing of the item's creation.

Answer: TRUE

Diff: 1

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

15) The temporal method of foreign currency translation gains or losses resulting from remeasurement are carried directly to current consolidated income and thus introduces volatility to consolidated earnings.

Answer: TRUE

Diff: 2

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

16) The current rate method and the temporal method are two basic methods for translation that are employed worldwide.

Answer: TRUE

Diff: 2

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

17) Under U.S. accounting and translation practices, use of the current rate method is termed "translation" while use of the temporal method is termed "remeasurement."

Answer: TRUE

Diff: 2

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

18) If the financial statements of the foreign subsidiary are maintained in the local currency and the U.S. dollar is the functional currency, they are remeasured by the temporal method.

Answer: TRUE

Diff: 2

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

19) Translation gains or losses can be quite different from operating gains or losses not only in magnitude but also in sign.

Answer: TRUE

Diff: 1

L.O.: 11.2 Translation Methods

Skill: Recognition

AACSB: Application of knowledge

20) The two methods for the translation of foreign subsidiary financial statements are the current rate and temporal methods. Briefly, describe how each of these methods translates the foreign subsidiary financial statements into the parent company's consolidated statements. Identify when each technique should be used and the major advantage(s) of each.

Answer: The current rate method translates almost all line items from the foreign subsidiary to the parent consolidated statements at the current exchange rate. This is the most commonly used method in the world today. Assets and liabilities are translated at current exchange rate and items found on the income statement are translated at the actual exchange rate on the date of transaction, or as an average over the statement period where appropriate. Equity accounts are translated at historical costs.

Any gains or losses caused by translation adjustments are typically placed into a special reserve account (such as a CTA). Thus, gains or losses do not go through the income statement and do not increase the volatility of net income. This is perhaps the biggest advantage to using the current rate method.

By contrast, the temporal method assumes that several individual financial statement items are periodically restated to reflect their market value. The temporal method translates individual line items based on monetary/nonmonetary criteria where monetary assets such as cash and marketable securities are translated at current exchange rates, but nonmonetary assets such as fixed assets are translated at historical rates. The gains or losses that result from translation remeasurement are recorded on the consolidated income statement and impact upon the volatility of net income. The temporal method of using historical costs may be more consistent with the practice of carrying domestic items at cost on the financial statements.

Diff: 2

L.O.: 11.2 Translation Methods

Skill: Conceptual

AACSB: Application of knowledge

11.3 Ganado Corporation's Translation Exposure

1) If the European subsidiary of a U.S. firm has net exposed assets of €750,000, and the euro drops in value from \$1.30/euro to \$1.20/€ the U.S. firm has a translation:

- A) gain of \$75,000.
- B) loss of \$75,000.
- C) gain of \$625,000.
- D) loss of €576,923.

Answer: B

Diff: 3

L.O.: 11.3 Ganado Corporation's Translation Exposure

Skill: Analytical

AACSB: Analytical thinking

2) If the European subsidiary of a U.S. firm has net exposed assets of €200,000, and the euro increases in value from \$1.22/€ to \$1.26/€ the U.S. firm has a translation:

- A) gain of \$8,000.
- B) loss of \$8,000.
- C) gain of \$252,000.
- D) loss of €252,000.

Answer: A

Diff: 3

L.O.: 11.3 Ganado Corporation's Translation Exposure

Skill: Analytical

AACSB: Analytical thinking

3) If the British subsidiary of a European firm has net exposed assets of £125,000, and the pound increases in value from €1.40/£ to €1.44/£, the European firm has a translation:

- A) loss of €5,000.
- B) gain of €5,000.
- C) gain of £5,000.
- D) loss of £5,000.

Answer: B

Diff: 3

L.O.: 11.3 Ganado Corporation's Translation Exposure

Skill: Analytical

AACSB: Analytical thinking

4) If the British subsidiary of a European firm has net exposed assets of £250,000, and the pound drops in value from €1.35/£ to €1.30/£, the European firm has a translation:

- A) gain of €12,500.
- B) loss of €12,500.
- C) loss of £12,500.
- D) gain of £12,500.

Answer: B

Diff: 3

L.O.: 11.3 Ganado Corporation's Translation Exposure

Skill: Analytical

AACSB: Analytical thinking

5) The value contribution of a subsidiary of a multinational firm to the firm can be reported in the income statement or balance sheet of the consolidated firm. Explain the reporting of the changes in the value of a subsidiary as a result of the change in an exchange rate — changes to the income and the assets of the subsidiary — in the consolidated financial statements of the parent company.

Answer: The earnings of the subsidiary, once remeasured into the home currency of the parent company, contributes directly to the consolidated income of the firm. An exchange rate change results in fluctuations in the value of the subsidiary's income to the global corporation. If the individual subsidiary in question constitutes a relatively significant or material component of consolidated income, the multinational firm's reported income (and earnings per share, EPS) may be seen to change purely as a result of translation.

Changes in the reporting currency value of the net assets of the subsidiary are passed into consolidated income or equity. If the foreign subsidiary was designated as "dollar functional," remeasurement results in a transaction exposure, which is passed through current consolidated income. If the foreign subsidiary was designated as "local currency functional," translation results in a translation adjustment and is reported in consolidated equity as a translation adjustment. It does not alter reported consolidated net income.

Diff: 2

L.O.: 11.3 Ganado Corporation's Translation Exposure

Skill: Conceptual

AACSB: Application of knowledge

11.4 Managing Translation Exposure

1) The main technique to minimize translation exposure is called a/an _____ hedge.

- A) balance sheet
- B) income statement
- C) forward
- D) translation

Answer: A

Diff: 1

L.O.: 11.4 Managing Translation Exposure

Skill: Recognition

AACSB: Application of knowledge

2) A balance sheet hedge requires that the amount of exposed foreign currency assets and liabilities:

- A) have a 2:1 ratio of assets to liabilities.
- B) have a 2:1 ratio of liabilities to assets.
- C) have a 2:1 ratio of liabilities to equity.
- D) be equal.

Answer: D

Diff: 1

L.O.: 11.4 Managing Translation Exposure

Skill: Conceptual

AACSB: Application of knowledge

3) If a firm's balance sheet has an equal amount of exposed foreign currency assets and liabilities and the firm translates by the temporal method, then:

A) the net exposed position is called monetary balance.

B) the change in value of liabilities and assets due to a change in exchange rates will be of equal but opposite direction.

C) Both A and B are true.

D) none of the above

Answer: C

Diff: 2

L.O.: 11.4 Managing Translation Exposure

Skill: Conceptual

AACSB: Application of knowledge

4) If a firm's subsidiary is using the local currency as the functional currency, which of the following is NOT a circumstance that could justify the use of a balance sheet hedge?

A) The foreign subsidiary is about to be liquidated, so that the value of its Cumulative Translation Adjustment (CTA) would be realized.

B) The firm has debt covenants or bank agreements that state the firm's debt/equity ratio will be maintained within specific limits.

C) The foreign subsidiary is operating in a hyperinflationary environment.

D) All of the above are appropriate reasons to use a balance sheet hedge.

Answer: D

Diff: 2

L.O.: 11.4 Managing Translation Exposure

Skill: Conceptual

AACSB: Application of knowledge

5) If the parent firm and all subsidiaries denominate all exposed assets and liabilities in the parent's reporting currency this will _____ exposure but each subsidiary would have _____ exposure.

A) maximize translation; no transaction

B) eliminate translation; transaction

C) maximize transaction; no translation

D) eliminate transaction; translation

Answer: B

Diff: 2

L.O.: 11.4 Managing Translation Exposure

Skill: Conceptual

AACSB: Application of knowledge

6) A Canadian subsidiary of a U.S. parent firm is instructed to bill an export to the parent in U.S. dollars. The Canadian subsidiary records the accounts receivable in Canadian dollars and notes a profit on the sale of goods. Later, when the U.S. parent pays the subsidiary the contracted U.S. dollar amount, the Canadian dollar has appreciated 10% against the U.S. dollar. In this example, the Canadian subsidiary will record a:

- A) 10% foreign exchange loss on the U.S. dollar accounts receivable.
- B) 10% foreign exchange gain on the U.S. dollar accounts receivable.
- C) Since the Canadian firm is a U.S. subsidiary, neither a gain nor loss will be recorded.
- D) Any gain or loss will be recorded only by the parent firm.

Answer: A

Diff: 2

L.O.: 11.4 Managing Translation Exposure

Skill: Conceptual

AACSB: Application of knowledge

7) _____ gains and losses are "realized" whereas _____ gains and losses are only "paper."

- A) Translation; transaction
- B) Transaction; translation
- C) Translation; operating
- D) none of the above

Answer: B

Diff: 2

L.O.: 11.4 Managing Translation Exposure

Skill: Recognition

AACSB: Application of knowledge

8) It is possible that efforts to decrease translation exposure may result in an increase in transaction exposure.

Answer: TRUE

Diff: 1

L.O.: 11.4 Managing Translation Exposure

Skill: Conceptual

AACSB: Application of knowledge

9) One possible reason for a balance sheet hedge could be because the foreign subsidiary is about to be liquidated, so that value of its Cumulative Translation Adjustment (CTA) would be realized.

Answer: TRUE

Diff: 1

L.O.: 11.4 Managing Translation Exposure

Skill: Conceptual

AACSB: Application of knowledge

10) One possible reason for a balance sheet hedge could be because the firm has debt covenants or bank agreements that state the firm's debt/equity ratios will be maintained within specific limits.

Answer: TRUE

Diff: 1

L.O.: 11.4 Managing Translation Exposure

Skill: Recognition

AACSB: Application of knowledge

11) If management expects a foreign currency to *depreciate*, it could minimize translation exposure by *increasing* net exposed assets.

Answer: FALSE

Diff: 1

L.O.: 11.4 Managing Translation Exposure

Skill: Recognition

AACSB: Application of knowledge

12) If management anticipates an *appreciation* of the foreign currency, it should *decrease* net exposed assets to benefit from a gain.

Answer: FALSE

Diff: 1

L.O.: 11.4 Managing Translation Exposure

Skill: Recognition

AACSB: Application of knowledge

13) Describe a balance sheet hedge and give at least two examples of when such a hedge could be justified.

Answer: A balance sheet hedge attempts to equalize the amount of assets and liabilities of a foreign subsidiary exposed to translation risk. Thus, the gain to the firm from a change in exchange rates will be perfectly offset by an equal and opposite loss. Firms may engage in balance sheet hedges under conditions of hyperinflation, or when the subsidiary is about to be liquidated and the value of the CTA account would be realized. The author on page 16 lists other examples.

Diff: 3

L.O.: 11.4 Managing Translation Exposure

Skill: Conceptual

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 12 Operating Exposure

12.1 A Multinational's Operating Exposure

1) Another name for operating exposure is _____ exposure.

- A) economic
- B) competitive
- C) strategic
- D) all of the above

Answer: D

Diff: 1

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

2) What type of international risk exposure measures the change in present value of a firm resulting from changes in future operating cash flows caused by any unexpected change in exchange rates?

- A) transaction exposure
- B) accounting exposure
- C) operating exposure
- D) translation exposure

Answer: C

Diff: 1

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

3) _____ cash flows arise from intracompany and intercompany receivables and payments, while _____ cash flows are payments for the use of loans and equity.

- A) Financing; operating
- B) Operating; financing
- C) Operating; accounting
- D) Accounting; financing

Answer: B

Diff: 2

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

4) Which of the following is NOT an example of a financial cash flow?

- A) parent invested equity capital
- B) interest on intrafirm lending
- C) payment for goods and services
- D) intrafirm principal payments

Answer: C

Diff: 2

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

5) Which of the following is NOT an example of an operating cash flow?

- A) management fees and distributed overhead
- B) royalties and license fees
- C) rent and lease payments
- D) dividend paid to parent company

Answer: D

Diff: 2

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

6) _____ exposure is far more important for the long-run health of a business than changes caused by _____ or _____ exposure.

- A) Operating; translation; transaction
- B) Transaction; operating; translation
- C) Accounting; translation; transaction
- D) Translation; operating; transaction

Answer: A

Diff: 2

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

7) Simpson Sign Company based in Frostbite Falls, Minnesota has a 6-month C\$100,000 contract to complete sign work in Winnipeg, Manitoba, Canada. The current spot rate is \$1.02/C\$ and the forward rate is \$1.01/C\$. Under conditions of equilibrium, management would use _____ today when preparing operating budgets.

- A) \$102,000
- B) \$101,000
- C) \$100,000
- D) none of the above

Answer: B

Diff: 3

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Analytical

AACSB: Analytical thinking

8) When considering the phases of adjustment and response to operating exposure in the LONG RUN, price changes tend to be _____ and volume changes tend to be _____.

- A) fixed/contracted; contracted.
- B) fixed/contracted; completely flexible.
- C) completely flexible; completely flexible.
- D) completely flexible; contracted.

Answer: C

Diff: 2

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

9) The goal of operating exposure analysis is to identify strategic operating techniques the firm might adopt to enhance value in the face of unanticipated exchange rate changes.

Answer: TRUE

Diff: 1

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

10) Operating cash flows may occur in different currencies and at different times, but financing cash flows may occur only in a single currency.

Answer: FALSE

Diff: 1

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

11) Expected changes in foreign exchange rates should already be factored into anticipated operating results by management and investors.

Answer: TRUE

Diff: 1

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

12) Even though contracts are often fixed in the short run, as time passes, prices and costs can be changed to reflect the new competitive realities caused by a change in exchange rates.

Answer: TRUE

Diff: 1

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

13) The higher the price elasticity of demand, the higher the degree of pass-through.

Answer: FALSE

Diff: 1

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

14) An unexpected change in exchange rates impacts a firm's expected cash flows at three levels, depending on the time horizon used (Short Run, Medium Run, and Long Run). Describe the three operating exposure's phases of adjustment assuming that parity conditions do not hold among foreign exchange rates, national inflation rates, and national interest rates (disequilibrium).

Answer: The first level impact is on expected cash flows in the one-year operating budget. The gain or loss depends on the currency of denomination of expected cash flows. These are both existing transaction exposures and anticipated exposures. The currency of denomination cannot be changed for existing obligations, or even for implied obligations such as purchase or sales commitments. In the short run it is difficult to change sales prices or renegotiate factor costs. Therefore, realized cash flows will differ from those expected in the budget.

The second level impact is on expected medium-run cash flows assuming disequilibrium conditions. In this case, the firm may not be able to adjust prices and costs to reflect the new competitive realities caused by a change in exchange rates. The primary problem may be the reactions of existing competitors. The firm's realized cash flows will differ from its expected cash flows. The firm's market value may change because of the unanticipated results.

The third level impact is on expected long-run cash flows, meaning those beyond five years. At this strategic level a firm's cash flows will be influenced by the reactions of both existing competitors and potential competitors-possible new entrants-to exchange rate changes under disequilibrium conditions. In fact, all firms that are subject to international competition, whether they are purely domestic or multinational, are exposed to foreign exchange operating exposure in the long run whenever foreign exchange markets are not continuously in equilibrium.

Diff: 1

L.O.: 12.1 A Multinational's Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

12.2 Measuring Operating Exposure: Ganado Germany

1) Recently the British Pound suffered an unexpected depreciation in value. Which of the following actions being considered by Coventry Furniture of London, a purely domestic furniture manufacturer and retailer, would be considered a *highly unlikely* response to the depreciation of the pound?

- A) Coventry might choose to maintain its domestic sales prices constant in pound terms.
- B) Coventry might try to raise domestic prices because competing imports are now priced higher in England.
- C) Coventry might try to lower domestic prices because competing imports are now priced higher in England.
- D) none of the above

Answer: C

Diff: 2

L.O.: 12.2 Measuring Operating Exposure: Ganado Germany

Skill: Recognition

AACSB: Application of knowledge

2) Recently the Canadian dollar realized an unexpected appreciation in value. Which of the following actions being considered by Tall Timber Exports, a Canadian logging firm specializing in exporting raw forest products, would be considered a *highly unlikely* response to the appreciation of the Canadian dollar?

- A) Tall Timber Exports might lower export prices in an effort to maintain market share.
- B) Tall Timber Exports might raise export prices only slightly in an effort to increase market share.
- C) Tall Timber Exports might leave export prices as they are and wait to determine what actions to take if any in the future.
- D) all of the above

Answer: B

Diff: 2

L.O.: 12.2 Measuring Operating Exposure: Ganado Germany

Skill: Recognition

AACSB: Application of knowledge

3) For a firm that competes internationally to sell its products, a depreciation of its domestic currency relative to markets where the firm exports goods, should eventually result in _____ sales at home and _____ sales abroad, other things equal.

- A) fewer; greater
- B) fewer; fewer
- C) greater; greater
- D) greater; fewer

Answer: C

Diff: 2

L.O.: 12.2 Measuring Operating Exposure: Ganado Germany

Skill: Conceptual

AACSB: Application of knowledge

4) Brimmo Motorcycles Inc., a U.S.-based firm, manufactures and sells electric motorcycles both

domestically and internationally. A sudden and unexpected appreciation of the U.S. dollar should allow sales to _____ at home and _____ abroad. (Assume other factors remain unchanged.)

- A) increase; increase
- B) decrease; decrease
- C) increase; decrease
- D) decrease; increase

Answer: B

Diff: 2

L.O.: 12.2 Measuring Operating Exposure: Ganado Germany

Skill: Conceptual

AACSB: Application of knowledge

5) The strategy management undertakes in response to unexpected changes in exchange rates depends to a large measure on their opinion about the price elasticity of demand.

Answer: TRUE

Diff: 1

L.O.: 12.2 Measuring Operating Exposure: Ganado Germany

Skill: Recognition

AACSB: Application of knowledge

6) Unexpected changes in exchange rates is never good news for a firm's operating income.

Answer: FALSE

Diff: 1

L.O.: 12.2 Measuring Operating Exposure: Ganado Germany

Skill: Conceptual

AACSB: Application of knowledge

12.3 Strategic Management of Operating Exposure

1) Which of the following is NOT an example of diversifying operations?

- A) diversifying sales
- B) diversifying location of operations
- C) raising funds in more than one country
- D) sourcing raw materials in more than one country

Answer: C

Diff: 2

L.O.: 12.3 Strategic Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT an example of diversification in financing?

- A) raising funds in more than one market
- B) raising funds in more than one country
- C) diversifying sales
- D) All of the above qualify.

Answer: C

Diff: 2

L.O.: 12.3 Strategic Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

3) When disequilibria in international markets occur, management can take advantage by:

- A) doing nothing if they are already diversified and able to realize beneficial portfolio effects.
- B) recognizing disequilibria faster than purely domestic competitors.
- C) shifting operational or financing activities to take advantage of the disequilibria.
- D) all of the above

Answer: D

Diff: 2

L.O.: 12.3 Strategic Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

4) Purely domestic firms will be at a disadvantage to MNEs in the event of market disequilibria because:

- A) domestic firms lack comparative data from its own sources.
- B) international firms are already so large.
- C) all of the domestic firm's raw materials are imported.
- D) None of the above; domestic firms are not at a disadvantage.

Answer: A

Diff: 2

L.O.: 12.3 Strategic Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

5) Which of the following is probably NOT an advantage of foreign exchange risk management?

- A) the reduction of the variability of cash flows due to domestic business cycles
- B) increased availability of capital
- C) reduced cost of capital
- D) All of the above are potential advantages of foreign exchange risk management.

Answer: D

Diff: 2

L.O.: 12.3 Strategic Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

6) Which of the following is NOT an example of a form of *political* risk that might be avoided or reduced by foreign exchange risk management?

- A) expropriation of assets
- B) destruction of raw materials through natural disaster
- C) war
- D) unfavorable legal changes

Answer: B

Diff: 2

L.O.: 12.3 Strategic Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

7) Moral hazard may occur when a firm or individual takes on more risk when it knows that someone else will "pick up the tab."

Answer: TRUE

Diff: 1

L.O.: 12.3 Strategic Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

8) Management must be able to predict disequilibria in international markets to take advantage of diversification strategies.

Answer: FALSE

Diff: 1

L.O.: 12.3 Strategic Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

9) If a firm diversifies its financing sources, it will be pre-positioned to take advantage of temporary deviations from the International Fisher Effect.

Answer: TRUE

Diff: 2

L.O.: 12.3 Strategic Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

10) Diversifying the *financing base* means diversifying sales, location of production facilities, and raw material sources.

Answer: FALSE

Diff: 1

L.O.: 12.3 Strategic Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

11) The variability of a firm's operating cash flows is probably reduced by international diversification of its production, sourcing, and sales because exchange rate changes under disequilibrium conditions are likely to increase the firm's competitiveness in some markets while reducing it in others.

Answer: TRUE

Diff: 2

L.O.: 12.3 Strategic Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

12) Diversification is possibly the best technique for reducing the problems associated with international transactions. Provide one example each of international financial diversification and international operational diversification and explain how the action reduces risk.

Answer: An MNE well known in the financial markets could borrow money in a country in which the firm receives foreign currency. The MNE could then use the receivables to repay the loan in the foreign currency and avoid uncertainties in exchange rates.

An MNE could establish production facilities in several countries. This could be beneficial in at least two ways. First, such diversification reduces the probability of unfavorable changes in exchange rates for one country from significantly reducing the firm's profitability. Second, an MNE with facilities in several countries is well positioned by using internal sources to recognize when a disequilibrium in the market arises.

Diff: 3

L.O.: 12.3 Strategic Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

12.4 Proactive Management of Operating Exposure

1) Which of the following is NOT identified by your authors as a proactive management technique to reduce exposure to foreign exchange risk?

A) matching currency cash flows

B) cross-currency swaps

C) remaining a purely domestic firm

D) parallel loans

Answer: C

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

2) Which one of the following management techniques is likely to best offset the risk of long-run exposure to receivables denominated in a particular foreign currency?

- A) Borrow money in the foreign currency in question.
- B) Lend money in the foreign currency in question.
- C) Increase sales to that country.
- D) Increase sales in this country.

Answer: A

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

3) Which one of the following management techniques is likely to best offset the risk of long-run exposure to payables denominated in a particular foreign currency?

- A) Borrow money in the foreign currency in question.
- B) Lend money in the foreign currency in question.
- C) Rely on the Federal Reserve Board to enact monetary policy favorable to your exposure risk.
- D) none of the above

Answer: B

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

4) The particular strategy of trying to offset stable inflows of cash from one country with outflows of cash in the same currency is known as:

- A) hedging.
- B) diversification.
- C) matching.
- D) balancing.

Answer: C

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

5) Which of the following is NOT an acceptable hedging technique to reduce risk caused by a relatively predictable long-term foreign currency inflow of Japanese yen?

- A) Import raw materials from Japan denominated in yen to substitute for domestic suppliers.
- B) Pay suppliers from other countries in yen.
- C) Import raw materials from Japan denominated in dollars.
- D) Acquire debt denominated in yen.

Answer: C

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

6) An MNE has a contract for a relatively predictable long-term inflow of Japanese yen that the firm chooses to hedge by seeking out potential suppliers in Japan. This hedging strategy is referred to as:

- A) a natural hedge.
- B) currency-switching.
- C) matching.
- D) diversification.

Answer: A

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

7) An MNE has a contract for a relatively predictable long-term inflow of Japanese yen that the firm chooses to hedge by paying for imports from Canada in Japanese yen. This hedging strategy is known as:

- A) a natural hedge.
- B) currency-switching.
- C) matching.
- D) diversification.

Answer: B

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

8) A U.S. timber products firm has a long-term contract to import unprocessed logs from Canada. To avoid occasional and unpredictable changes in the exchange rate between the U.S. dollar and the Canadian dollar, the firms agree to split between the two firms the impact of any exchange rate movement. This type of agreement is referred to as:

- A) risk-sharing.
- B) currency-switching.
- C) matching.
- D) a natural hedge.

Answer: A

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

9) A _____ occurs when two business firms in separate countries arrange to borrow each other's currency for a specified period of time.

- A) natural hedge loan
- B) forward loan
- C) currency switch loan
- D) back-to-back loan

Answer: D

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

10) A Canadian firm with a U.S. subsidiary and a U.S. firm with a Canadian subsidiary agree to a parallel loan agreement. In such an agreement, the Canadian firm is making a/an _____ loan to the _____ subsidiary while effectively financing the _____ subsidiary.

- A) indirect; U.S.; Canadian
- B) indirect; Canadian; U.S.
- C) direct; U.S.; Canadian
- D) direct; Canadian; U.S.

Answer: C

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

11) Which of the following is NOT an important impediment to widespread use of parallel loans?

- A) difficulty in finding an appropriate counterparty
- B) the risk that one of the parties will fail to return the borrowed funds when agreed
- C) the process does not avoid exchange rate risk
- D) All of the above are significant impediments.

Answer: C

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

12) A _____ resembles a back-to-back loan except that it does not appear on a firm's balance sheet.

- A) forward loan
- B) currency hedge
- C) counterparty
- D) currency swap

Answer: D

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

13) A _____ is the term used to describe a foreign currency agreement between two parties to exchange a given amount of one currency for another, and after a period of time, to give back the original amounts.

- A) matched flow
- B) currency swap
- C) back-to-back loan
- D) none of the above

Answer: B

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

14) A British firm and a U.S. Corporation each wish to enter into a currency swap hedging agreement. The British firm is receiving U.S. dollars from sales in the U.S. but wants pounds. The U.S. firm is receiving pounds from sales in Britain but wants dollars. Which of the following choices would best satisfy the desires of the firms?

- A) The British firm pays dollars to a swap dealer and receives pounds from the dealer. The U.S. firm pays pounds to the swap dealer and receives dollars.
- B) The U.S. firm pays dollars to a swap dealer and receives pounds from the dealer. The British firm pays pounds to the swap dealer and receives dollars.
- C) The British firm pays pounds to a swap dealer and receives pounds from the dealer. The U.S. firm pays dollars to the swap dealer and receives dollars.
- D) The British firm pays dollars to a swap dealer and receives dollars from the dealer. The U.S. firm pays pounds to the swap dealer and receives pounds.

Answer: A

Diff: 3

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

15) NorthRim Inc. (NRI), imports extreme condition outdoor wear and equipment from the Allofit Territories Company (ATC) located in Canada. With the steady decline of the U.S dollar against the Canadian dollar NRI is finding a continued relationship with ATC to be an increasingly difficult proposition. In response to NRI's request, ATC has proposed the following risk-sharing arrangement. First, set the current spot rate as the base rate. As long as spot rates stay within 5% (up or down) NRI will pay at the base rate. Any rate outside of the 5% range, ATC will share equally with NRI the difference between the spot rate and the base rate. If the current spot rate is C\$1.20/\$, what are the upper and lower limits for trading to take place at C\$1.20?

- A) C\$1.205/\$ - C\$1.195/\$
- B) C\$1.15/\$ - C\$1.25/\$
- C) C\$1.14/\$ - C\$1.26/\$
- D) none of the above

Answer: C

Diff: 3

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Analytical

AACSB: Analytical thinking

16) NorthRim Inc. (NRI), imports extreme condition outdoor wear and equipment from The Allofit Territories Company (ATC) located in Canada. With the steady decline of the U.S dollar against the Canadian dollar NRI is finding a continued relationship with ATC to be an increasingly difficult proposition. In response to NRI's request, ATC has proposed the following risk-sharing arrangement. First, set the current spot rate of C\$1.20/\$ as the base rate. As long as spot rates stay within 5% (up or down) NRI will pay at the base rate. Any rate outside of the 5% range, ATC will share equally with NRI the difference between the spot rate and the base rate. If NRI had a payable of C\$100,000 due today and the current spot rate were C\$1.17/\$, how much would NRI owe in U.S. dollars?

- A) \$83,333
- B) \$85,470
- C) \$85,837
- D) \$117,000

Answer: A

Diff: 3

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Analytical

AACSB: Analytical thinking

17) Costs associated with the purchase of sizeable put options positions include each of the following EXCEPT:

- A) the purchase price of the options.
- B) the opportunity cost of buying the options rather than diversifying operations to reduce risk.
- C) executive salaries of having corporate offices in more than one country.
- D) none of the above

Answer: C

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

18) Currency swaps are exclusively for periods of time under one year.

Answer: FALSE

Diff: 1

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

19) Most swap dealers arrange swaps so that each firm that is a party to the transaction does not know who the counterparty is.

Answer: TRUE

Diff: 1

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

20) Most swap dealers arrange swaps so that each firm that is a party to the transaction knows who the counterparty is.

Answer: FALSE

Diff: 1

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

21) Swap agreements are treated as off-balance sheet transactions via U.S. accounting methods.

Answer: TRUE

Diff: 1

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

22) Swap agreements are treated as line items on the balance sheet via U.S. accounting methods.

Answer: FALSE

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

23) After being introduced in the 1980s, currency swaps have remained a relatively insignificant financial derivative instrument.

Answer: FALSE

Diff: 1

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

24) After being introduced in the 1980s, currency swaps have gained increasing importance as financial derivative instruments.

Answer: TRUE

Diff: 1

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

25) The empirical evidence strongly supports the proposition that contractual hedges can effectively eliminate operating exposure.

Answer: FALSE

Diff: 2

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Recognition

AACSB: Application of knowledge

26) A British firm has a subsidiary in the U.S., and a U.S. firm, known to the British firm, has a subsidiary in Britain. Define and then provide an example for each of the following management techniques for reducing the firm's operating cash flows. The following are techniques to consider:

- a) matching currency cash flows
- b) risk-sharing agreements
- c) back-to-back or parallel loans

Answer:

- a) Matching currency cash flows requires that the British firm with dollar receivables must establish an equivalent dollar payable. They could do this by borrowing dollars and repaying the loan with the proceeds from the receivables account. Or they could move all or part of their operations to the U.S. so that both receivables and payables would be in U.S. dollars.
- b) Risk-sharing agreements are contractual clauses whereby both parties agree to an acceptable range of exchange rates at the time the international sale is made. A spot rate at time of exchange outside of the agreed upon range results in an adjustment made to the actual exchange rate that shares the difference between the spot rate and the acceptable range of exchange rates.
- c) Back-to-back loans provide for parent-subsidary cross border financing without incurring direct currency exposure. For example, using our British and U.S. firms, the British firm could lend pounds to the U.S. subsidiary in Britain at the same time that the U.S. firm lends an equivalent amount of dollars to the British subsidiary in the U.S. Later, the loans would be simultaneously repaid.

Diff: 3

L.O.: 12.4 Proactive Management of Operating Exposure

Skill: Conceptual

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 13 Global Cost and Availability of Capital

13.1 Financial Globalization and Strategy

1) If a firm lies within a country with _____ or _____ domestic capital markets, it can achieve lower global cost and greater availability of capital with a properly designed and implemented strategy to participate in international capital markets.

- A) liquid; segmented
- B) liquid; large
- C) illiquid; segmented
- D) large; illiquid

Answer: C

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

2) Other things equal, a firm that must obtain its long-term debt and equity in a highly illiquid domestic securities market will probably have a:

- A) relatively low cost of capital.
- B) relatively high cost of capital.
- C) relatively average cost of capital.
- D) cost of capital that we cannot estimate from this question.

Answer: B

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

3) Relatively high costs of capital are more likely to occur in:

- A) highly illiquid domestic securities markets.
- B) highly liquid domestic securities markets.
- C) unsegmented domestic securities markets.
- D) none of the above

Answer: A

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

- 4) Reasons that firms may find themselves with relatively high costs of capital include:
- A) The firms reside in emerging countries with undeveloped capital markets.
 - B) The firms are too small to easily gain access to their own national securities market.
 - C) The firms are family owned and they choose not to access public markets and lose control of the firm.
 - D) all of the above

Answer: D

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

- 5) Which of the following is NOT a contributing factor to the segmentation of capital markets?
- A) excessive regulatory control
 - B) perceived political risk
 - C) anticipated foreign exchange risk
 - D) All of the above are contributing factors.

Answer: D

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

- 6) Which of the following is NOT a contributing factor to the segmentation of capital markets?
- A) lack of transparency
 - B) asymmetric availability of information
 - C) insider trading
 - D) All of the above are contributing factors.

Answer: D

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

- 7) The weighted average cost of capital (WACC) is:
- A) the required rate of return for all of a firm's capital investment projects.
 - B) the required rate of return for a firm's average risk projects.
 - C) not applicable for use by MNE.
 - D) equal to 13%.

Answer: B

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

- 8) The capital asset pricing model (CAPM) is an approach:
- A) to determine the price of equity capital.
 - B) used by marketers to determine the price of saleable product.
 - C) that can be applied only to domestic markets.
 - D) none of the above

Answer: A

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Conceptual

AACSB: Application of knowledge

- 9) Which of the following is NOT a key variable in the equation for the capital asset pricing model?

- A) the risk-free rate of interest
- B) the expected rate of return on the market portfolio
- C) the marginal tax rate
- D) All are important components of the CAPM.

Answer: C

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

- 10) _____ risk is a function of the variability of expected returns of the **firm's stock relative to the market index** and the measure of correlation between the expected returns of the firm and the market.

- A) Systematic
- B) Unsystematic
- C) Total
- D) Diversifiable

Answer: A

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

- 11) Systematic risk:

- A) is the standard deviation of a security's return.
- B) is measured with beta.
- C) is measured with standard deviation.
- D) none of the above

Answer: B

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

- 12) Which of the following is generally unnecessary in measuring the cost of debt?

- A) a forecast of future interest rates
- B) the proportions of the various classes of debt a firm proposes to use
- C) the corporate income tax rate
- D) All of the above are necessary for measuring the cost of debt.

Answer: D

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

13) The after-tax cost of debt is found by:

- A) dividing the before-tax cost of debt by $(1 - \text{the corporate tax rate})$.
- B) subtracting $(1 - \text{the corporate tax rate})$ from the before-tax cost of debt.
- C) multiplying the before-tax cost of debt by $(1 - \text{the corporate tax rate})$.
- D) subtracting the corporate tax rate from the before-tax cost of debt.

Answer: C

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Conceptual

AACSB: Application of knowledge

14) A firm whose equity has a beta of 1.0:

- A) has greater systematic risk than the market portfolio.
- B) stands little chance of surviving in the international financial market place.
- C) has less systematic risk than the market portfolio.
- D) None of the above is true.

Answer: D

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Conceptual

AACSB: Application of knowledge

15) The difference between the expected (or required) return for the market portfolio and the risk-free rate of return is referred to as:

- A) beta.
- B) the geometric mean.
- C) the market risk premium.
- D) the arithmetic mean.

Answer: C

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

16) If a company fails to accurately predict its cost of equity, then:

- A) the firm's WACC will also be inaccurate.
- B) the firm may not be using the proper interest rate to estimate NPV.
- C) the firm may incorrectly accept or reject projects based on decisions made using the cost of capital computed with an incorrect cost of equity.
- D) All of the above are true.

Answer: D

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Conceptual

AACSB: Application of knowledge

17) Which of the following statements is NOT true regarding beta?

- A) *Beta* will have a value of less than 1.0 if the firm's returns are less volatile than the market.
- B) *Beta* will have a value of greater than 1.0 if the firm's returns are more volatile than the market.
- C) *Beta* will have a value of equal to 1.0 if the firm's returns are of equal volatility to the market.
- D) All of the statements above are true.

Answer: D

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

18) Which of the following will NOT affect a firm's beta?

- A) the choice of the market portfolio against which to compare the variability of a firm's returns
- B) the choice of the risk-free security
- C) the choice of the time period used to calculate the firm's beta
- D) None of the above, because each of them affects the calculation of a firm's beta.

Answer: B

Diff: 1

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

19) Beta may be defined as:

- A) the measure of systematic risk.
- B) a risk measure of a portfolio.
- C) the ratio of the variance of the portfolio to the variance of the market.
- D) all of the above

Answer: D

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

20) _____ risk is measured with beta.

- A) Systematic
- B) Unsystematic
- C) International
- D) Domestic

Answer: A

Diff: 1

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

21) A fully diversified domestic portfolio has a beta of:

- A) 0.0.
- B) 1.0.
- C) -1.0.
- D) There is not enough information to answer this question.

Answer: B

Diff: 1

L.O.: 13.1 Financial Globalization and Strategy

Skill: Conceptual

AACSB: Application of knowledge

22) Unsystematic risk:

- A) is the remaining risk in a well-diversified portfolio.
- B) is measured with beta.
- C) can be diversified away.
- D) all of the above

Answer: C

Diff: 1

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

23) A national securities market is segmented if the required rate of return on securities in that market differs from comparable securities traded in other, unsegmented markets.

Answer: TRUE

Diff: 1

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

24) Other things equal, an increase in the firm's tax rate will increase the WACC for a firm that has both debt and equity financing.

Answer: FALSE

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Conceptual

AACSB: Application of knowledge

25) If a firm's expected returns are more volatile than the expected return for the market portfolio, it will have a beta less than 1.0.

Answer: FALSE

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Conceptual

AACSB: Application of knowledge

26) The WACC is usually used as the risk-adjusted required rate of return for new projects that are of the same average risk as the firm's existing projects.

Answer: TRUE

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Conceptual

AACSB: Application of knowledge

27) Firms acquire debt in either the form of loans from commercial banks, or by selling new common stock.

Answer: FALSE

Diff: 1

L.O.: 13.1 Financial Globalization and Strategy

Skill: Recognition

AACSB: Application of knowledge

28) When estimating an average corporate after-tax cost of capital, the component cost of equity is multiplied by $(1-t)$ to allow for the tax-deductibility of dividend payments.

Answer: FALSE

Diff: 2

L.O.: 13.1 Financial Globalization and Strategy

Skill: Conceptual

AACSB: Application of knowledge

29) What are the components of the weighted average cost of capital (WACC) and how do they differ for an MNE compared to a purely domestic firm?

Answer: The WACC considers the proportion or weight of assets financed with debt and the proportion financed with equity. It also looks at the costs of debt and equity financing and the firm's corporate tax rate. The difficulty of such a computation is compounded for an MNE because there are several additional sources of debt financing with different required rates of return and tax rates for an MNE than for a domestic firm. Also, equity may be sourced in several different markets and subject to several different regulations of several different countries.

Adding regulatory oversight, multiple sourcing locations, and differing investor expectations may significantly complicate the process of determining an MNE's cost of capital.

Diff: 3

L.O.: 13.1 Financial Globalization and Strategy

Skill: Conceptual

AACSB: Application of knowledge

13.2 International Portfolio Theory and Diversification

1) In general, the geometric mean will be _____ the arithmetic mean for a series of returns.

A) less than

B) greater than

C) equal to

D) greater than or equal to

Answer: A

Diff: 1

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Recognition

AACSB: Application of knowledge

2) The beginning share price for a security over a three-year period was \$50. Subsequent year-end prices were \$62, \$58 and \$64. The arithmetic average annual rate of return and the geometric average annual rate of return for this stock were:

A) 9.30% and 8.58% respectively.

B) 9.30% and 7.89% respectively.

C) 9.30% and 7.03% respectively.

D) 9.30% and 6.37% respectively.

Answer: A

Diff: 3

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Analytical

AACSB: Application of knowledge

3) A well-diversified portfolio has about _____ of the risk of the typical individual stock.

- A) 8%
- B) 19%
- C) 27%
- D) 52%

Answer: C

Diff: 1

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Recognition

AACSB: Application of knowledge

4) An internationally diversified portfolio:

- A) should result in a portfolio with a lower beta than a purely domestic portfolio.
- B) has the same overall risk shape as a purely domestic portfolio.
- C) is only about 12% as risky as the typical individual stock.
- D) all of the above

Answer: D

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

5) In some respects, internationally diversified portfolios are the same in principle as a domestic portfolio because:

- A) the investor is attempting to combine assets that are perfectly correlated.
- B) investors are trying to reduce systematic risk.
- C) investors are trying to reduce the total risk of the portfolio.
- D) all of the above

Answer: C

Diff: 1

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

6) In some respects, internationally diversified portfolios are different from a domestic portfolio because:

- A) investors may also acquire foreign exchange risk.
- B) international portfolio diversification increases expected return but does not decrease risk.
- C) investors must leave the country to acquire foreign securities.
- D) all of the above

Answer: A

Diff: 1

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

Instruction 13.1:

Use the information to answer the following question(s).

In September 2009 a U.S. investor chooses to invest \$500,000 in German equity securities at a then current spot rate of \$1.30/euro. At the end of one year the spot rate is \$1.35/euro.

7) Refer to Instruction 13.1. How many euros will the U.S. investor acquire with his initial \$500,000 investment?

A) €650,000

B) €370,370

C) €500,000

D) €384,615

Answer: D

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Analytical

AACSB: Application of knowledge

8) Refer to Instruction 13.1. At an average price of €60/share, how many shares of stock will the investor be able to purchase?

A) 8333 shares

B) 6410 shares

C) 6173 shares

D) 10,833 shares

Answer: B

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Analytical

AACSB: Application of knowledge

9) Refer to Instruction 13.1. At the end of the year the investor sells his stock that now has an average price per share of €57. What is the investor's average rate of return before converting the stock back into dollars?

A) 5.0%

B) -3.0%

C) -5.0%

D) 3.0%

Answer: C

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Analytical

AACSB: Application of knowledge

10) Refer to Instruction 13.1. At the end of the year the investor sells his stock that now has an average price per share of €57. What is the investor's average rate of return after converting the stock back into dollars?

- A) -1.35%
- B) 5.0%
- C) -5.0%
- D) -7.24%

Answer: A

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Analytical

AACSB: Application of knowledge

11) A U.S. investor makes an investment in Britain and earns 14% on the investment while the British pound appreciates against the U.S. dollar by 8%. What is the investor's total return?

- A) 22.00%
- B) 23.12%
- C) 6.00%
- D) 4.88%

Answer: B

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Analytical

AACSB: Application of knowledge

12) Which of the following statements is NOT true?

- A) International diversification benefits induce investors to demand foreign securities.
- B) An international security adds value to a portfolio if it reduces risk without reducing return.
- C) Investors will demand a security that adds value.
- D) All of the above are true.

Answer: D

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

13) *International CAPM* (ICAPM) assumes that there is a global market in which the firm's equity trades, and estimates of the firm's *beta*, and the market risk premium, must then reflect this global portfolio.

Answer: TRUE

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

14) Use of the *International CAPM* (ICAPM) assures that the WACC will be lower than if a purely domestic market portfolio had been used in the estimation of the cost of equity.

Answer: FALSE

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

15) A *global portfolio* is an index of all the securities in the world, whereas a *world portfolio* represents those securities actually available to an investor.

Answer: FALSE

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Recognition

AACSB: Application of knowledge

16) The CAPM has now become very widely accepted in global business as the preferred method of calculating the cost of equity for a firm. As a result of this, there is now *little debate* over what numerical values should be used in its application.

Answer: FALSE

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

17) The geometric mean will, in all but a few extreme circumstances, yield a *larger* return than the arithmetic mean return.

Answer: FALSE

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Recognition

AACSB: Application of knowledge

18) Portfolio diversification can eliminate 100% of risk.

Answer: FALSE

Diff: 1

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

19) Increasing the number of securities in a portfolio reduces the unsystematic risk but not the systematic risk.

Answer: TRUE

Diff: 1

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

20) International diversification benefits may induce investors to demand foreign securities.

Answer: TRUE

Diff: 1

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

21) If the addition of a foreign security to the portfolio of the investor aids in the reduction of risk for a given level of return, then the security adds value to the portfolio.

Answer: TRUE

Diff: 1

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

22) If the addition of a foreign security to the portfolio of the investor decreases the expected return for a given level of risk, then the security adds value to the portfolio.

Answer: FALSE

Diff: 1

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

23) One of the elegant beauties of international equity markets is that over the last 100 or so years, the average market risk premium is almost identical across major industrial countries.

Answer: FALSE

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Recognition

AACSB: Application of knowledge

24) There are potential benefits and risks from raising capital on global markets. Discuss the pros and cons in terms of risk of raising capital on global markets.

Answer: A portfolio of international stocks represents a portfolio in which foreign securities have been added. It has the same overall risk shape as the U.S. stock portfolio, but it has a lower portfolio beta. This means that the international portfolio's market risk is lower than that of a domestic portfolio. This situation arises because the returns on the foreign stocks are not perfectly correlated with U.S. stocks (the benefits of international diversification).

The foreign exchange risks of a portfolio, whether it is a securities portfolio or the general portfolio of activities of the MNE, are reduced through international diversification. But international portfolio construction is also different in that when the investor acquires assets or securities from outside the investor's host-country market, the investor may also be acquiring a *foreign currency-denominated asset*. Thus, the investor has actually acquired two additional assets—the currency of denomination and the asset subsequently purchased with the currency—one asset in principle, but two in expected returns and risks. You should see, however, that the presence of currency risk may alter the correlations associated with securities in different countries and currencies.

Diff: 2

L.O.: 13.2 International Portfolio Theory and Diversification

Skill: Conceptual

AACSB: Application of knowledge

13.3 The Role of International Portfolio Investors

1) The primary goal of both domestic and international portfolio managers is:

- A) to maximize return for a given level of risk, or to minimize risk for a given level of return.
- B) to minimize the number of unique securities held in their portfolio.
- C) to maximize their WACC.
- D) all of the above

Answer: A

Diff: 1

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Conceptual

AACSB: Application of knowledge

2) Which of the following is NOT a portfolio diversification technique used by portfolio managers?

- A) diversify by type of security
- B) diversify by the size of capitalization of the securities held
- C) diversify by country
- D) All of the above are diversification techniques.

Answer: D

Diff: 2

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Recognition

AACSB: Application of knowledge

3) If all capital markets are fully integrated, securities of comparable expected return and risk should have the same required rate of return in each national market after adjusting for:

- A) time of day and language requirements.
- B) political risk and time lags.
- C) foreign exchange risk and political risk.
- D) foreign exchange risk and the spot rate.

Answer: C

Diff: 2

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Recognition

AACSB: Application of knowledge

4) Capital market segmentation is a financial market imperfection caused mainly by:

- A) government constraints.
- B) institutional practices.
- C) investor perceptions.
- D) all of the above

Answer: D

Diff: 2

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Recognition

AACSB: Application of knowledge

5) Capital market imperfections leading to financial market segmentation include:

- A) asymmetric information between domestic and foreign-based investors.
- B) high securities transaction costs.
- C) foreign exchange risks.
- D) all of the above

Answer: D

Diff: 2

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Recognition

AACSB: Application of knowledge

6) Capital market imperfections leading to financial market segmentation include:

- A) political risks.
- B) corporate governance differences.
- C) regulatory barriers.
- D) all of the above

Answer: D

Diff: 2

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Recognition

AACSB: Application of knowledge

7) The authors refer to companies that have access to a _____ as MNEs, and firms without such access are identified as _____.

- A) global cost and availability of capital; domestic firms
- B) large domestic capital market; geographically challenged
- C) world financial markets; antiquated
- D) none of the above

Answer: A

Diff: 2

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Recognition

AACSB: Application of knowledge

8) The MNE can _____ its _____ by gaining access to markets that are more liquid and/or less segmented than its own.

- A) increase; MCC
- B) decrease; MCC
- C) maintain; MRR
- D) none of the above

Answer: B

Diff: 2

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Recognition

AACSB: Application of knowledge

9) Portfolio theory assumes that investors are risk-averse. This means that investors:

- A) cannot be induced to make risky investments.
- B) prefer more risk to less for a given return.
- C) will accept some risk, but not unnecessary risk.
- D) All of the above are true.

Answer: C

Diff: 1

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Conceptual

AACSB: Application of knowledge

10) The optimal capital budget:

A) occurs where the marginal cost of capital equals the marginal rate of return of the opportunity set of projects.

- B) is typically larger for purely domestic firms than for MNEs.
- C) is an illusion found only in international finance textbooks.
- D) none of the above

Answer: A

Diff: 1

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Recognition

AACSB: Application of knowledge

11) Internationally diversified portfolios often have a lower rate of return and almost always

have a higher level of portfolio risk than their domestic counterparts.

Answer: FALSE

Diff: 2

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Conceptual

AACSB: Application of knowledge

12) Empirical tests of market efficiency fail to show that most major national markets are reasonably efficient.

Answer: FALSE

Diff: 1

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Recognition

AACSB: Application of knowledge

13) A MNE's marginal cost of capital is constant for considerable ranges in its capital budget, but this statement cannot be made for most domestic firms.

Answer: TRUE

Diff: 1

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Conceptual

AACSB: Application of knowledge

14) Capital market segmentation is a financial market imperfection caused mainly by government constraints, institutional practices, and investor perceptions.

Answer: TRUE

Diff: 1

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Recognition

AACSB: Application of knowledge

15) Since the 1980s and 1990s, segmentation in global financial markets has been reduced. As a result of this, the correlation among securities markets has increased, thereby reducing, but not eliminating, the benefits of international portfolio diversification.

Answer: TRUE

Diff: 1

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Recognition

AACSB: Application of knowledge

16) Capital market segmentation is a financial market imperfection caused mainly by government constraints, institutional practices, and investor perceptions. List and explain three imperfections.

Answer: The following are the most important imperfections: 1) Asymmetric information between domestic and foreign-based investors, 2) Lack of transparency, 3) High securities transaction costs, 4) Foreign exchange risks, 5) Political risks, 6) Corporate governance differences, 7) Regulatory barriers.

Diff: 2

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Conceptual

AACSB: Application of knowledge

17) Market imperfections do not necessarily imply that national securities markets are inefficient. Develop an argument as to why this is possible.

Answer: A national securities market can be efficient in a domestic context and yet segmented in an international context. According to finance theory, **a market is efficient if security prices in that market reflect all available relevant information and adjust quickly to any new relevant information.** According to finance theory, a market is efficient if security prices in that market reflect all available relevant information and adjust quickly to any new relevant information.

Diff: 2

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Conceptual

AACSB: Application of knowledge

18) Most observers believe that for better or for worse, we have achieved a global market for securities. Discuss the major changes in the international markets of securities: during the 1980s, during the 1990s and the current conditions.

Answer: During the 1980s, numerous firms cross-listed on major foreign exchanges and were successful in lowering their WACC and increasing its availability. During the 1990s, national restrictions on cross-border portfolio investment were gradually eased under pressure from the Organization for Economic Cooperation and Development. Liberalization of European securities markets was accelerated because of the European Union's efforts to develop a single European market without barriers. Emerging nation markets followed suit, as did the former Eastern Bloc countries after the breakup of the Soviet Union. Emerging national markets have often been motivated by the need to source foreign capital to finance large-scale privatization.

Now, market segmentation has been significantly reduced, although the liquidity of individual national markets remains limited. The good news is that many firms have been assisted to become MNEs because they now have access to a global cost and availability of capital. The bad news is that **the correlation among securities markets has increased, thereby reducing, but not eliminating, the benefits of international portfolio diversification.** Globalization of securities markets has also led to **more volatility and speculative behavior**, as shown by the emerging market crises of the 1995-2001 period, and the 2008-2009 global credit crisis.

Diff: 2

L.O.: 13.3 The Demand for Foreign Securities: The Role of International Portfolio Investors

Skill: Conceptual

AACSB: Application of knowledge

13.4 The Cost of Capital for MNEs Compared to Domestic Firms

1) Theoretically, most MNEs should be in a position to support higher _____ than their domestic counterparts because their cash flows are diversified internationally.

- A) equity ratios
- B) debt ratios
- C) temperatures
- D) none of the above

Answer: B

Diff: 2

L.O.: 13.4 The Cost of Capital for MNEs Compared to Domestic Firms

Skill: Conceptual

AACSB: Application of knowledge

2) According to your authors, diversifying cash flows internationally may help MNEs reduce the variability of cash flows because:

- A) of a lack of competition among international firms.
- B) of an offset to cash flow variability caused by exchange rate variability.
- C) returns are not perfectly correlated between countries.
- D) none of the above

Answer: C

Diff: 2

L.O.: 13.4 The Cost of Capital for MNEs Compared to Domestic Firms

Skill: Recognition

AACSB: Application of knowledge

3) Which of the following statements is NOT true regarding MNEs when compared to purely domestic firms?

- A) MNEs tend to rely more on short and intermediate term debt.
- B) MNEs have greater foreign exchange risk.
- C) MNEs have greater costs of asymmetric information.
- D) MNEs have higher agency costs.

Answer: A

Diff: 2

L.O.: 13.4 The Cost of Capital for MNEs Compared to Domestic Firms

Skill: Conceptual

AACSB: Application of knowledge

4) Empirical research has found that systematic risk for MNEs is greater than that for their domestic counterparts. This could be due to:

A) the fact that the increase in the correlation of returns between the market and the firm is less than the increase in the standard deviation of returns of the firm.

B) the fact that the decrease in the correlation of returns between the market and the firm is greater than the increase in the standard deviation of returns of the firm.

C) the reduction in the correlation of returns between the firm and the market is less than the increase in the variability of returns caused by factors such as asymmetric information, foreign exchange risk, and the like.

D) None of the above; systematic risk is less for MNEs than for their domestic counterparts.

Answer: C

Diff: 2

L.O.: 13.4 The Cost of Capital for MNEs Compared to Domestic Firms

Skill: Conceptual

AACSB: Application of knowledge

5) Empirical studies indicate that MNEs have higher costs of capital than purely domestic firms. This could be due to higher levels of:

A) political risk.

B) exchange rate risk.

C) agency costs.

D) all of the above

Answer: D

Diff: 2

L.O.: 13.4 The Cost of Capital for MNEs Compared to Domestic Firms

Skill: Recognition

AACSB: Application of knowledge

6) Despite the theoretical elegance of this hypothesis, empirical studies have come to the opposite conclusion. Despite the favorable effect of international diversification of cash flows, bankruptcy risk was only about the same for MNEs as for domestic firms. However, MNEs faced higher costs for each of the following EXCEPT:

A) agency costs.

B) political risk.

C) asymmetric information.

D) In fact, each of these costs were higher for the MNE than for the domestic firm.

Answer: D

Diff: 2

L.O.: 13.4 The Cost of Capital for MNEs Compared to Domestic Firms

Skill: Recognition

AACSB: Application of knowledge

7) Empirical studies indicate that WACC for an MNE is higher than for their domestic competitors. Reasons cited for this increased cost include all of the following EXCEPT:

- A) agency costs.
- B) foreign exchange risk.
- C) political risk.
- D) All of the above are cited as reasons for an MNE's increased WACC.

Answer: D

Diff: 2

L.O.: 13.4 The Cost of Capital for MNEs Compared to Domestic Firms

Skill: Recognition

AACSB: Application of knowledge

8) Because of the international diversification of cash flows, the risk of bankruptcy for MNEs is significantly lower than that for purely domestic firms.

Answer: FALSE

Diff: 1

L.O.: 13.4 The Cost of Capital for MNEs Compared to Domestic Firms

Skill: Recognition

AACSB: Application of knowledge

9) The opportunity set of projects is typically smaller for MNEs than for purely domestic firms because international markets are typically specialized niches.

Answer: FALSE

Diff: 1

L.O.: 13.4 The Cost of Capital for MNEs Compared to Domestic Firms

Skill: Recognition

AACSB: Application of knowledge

10) Surprisingly, empirical studies find that MNEs have a higher level of systematic risk than their domestic counterparts.

Answer: TRUE

Diff: 1

L.O.: 13.4 The Cost of Capital for MNEs Compared to Domestic Firms

Skill: Recognition

AACSB: Application of knowledge

11) Empirical studies indicate that MNEs have a lower debt/capital ratio than domestic counterparts, indicating that MNEs have a lower cost of capital.

Answer: FALSE

Diff: 2

L.O.: 13.4 The Cost of Capital for MNEs Compared to Domestic Firms

Skill: Recognition

AACSB: Application of knowledge

12) What do theory and empirical evidence say about capital structure and the cost of capital for MNEs versus their domestic counterparts?

Answer: In theory, MNEs should be able to support greater amounts of debt due to reduced variability of cash flows brought about by diversification across countries. And, because of this reduced risk borne by MNEs, they should also have a lower cost of capital. However, empirical research finds that domestic firms tend to use greater amounts of short and intermediate debt than do MNEs and that the cost of capital is greater for MNEs due to increased agency costs, political risk, exchange rate risk, and asymmetric information.

Diff: 3

L.O.: 13.4 The Cost of Capital for MNEs Compared to Domestic Firms

Skill: Conceptual

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 14 Funding the Multinational Firm

14.1 Designing a Strategy to Source Capital Globally

1) The choice of when and how to source capital globally is usually aided early on by the advice of:

- A) an investment banker.
- B) your stock broker.
- C) a commercial banker.
- D) an underwriter.

Answer: A

Diff: 1

L.O.: 14.1 Designing a Strategy to Source Capital Globally

Skill: Recognition

AACSB: Application of knowledge

2) Investment banking services include which of the following?

- A) advising when a security should be cross-listed
- B) preparation of stock prospectuses
- C) help to determine the price of the issue
- D) all of the above

Answer: D

Diff: 1

L.O.: 14.1 Designing a Strategy to Source Capital Globally

Skill: Conceptual

AACSB: Application of knowledge

3) Which of the following is the typical order of sourcing capital abroad?

- A) an international bond issue, then cross-listing the outstanding issues on other exchanges, then an international bond issue in the target market
- B) an international bond issue in the target market, then cross-listing the outstanding issues on other exchanges, then an international bond issue
- C) an international bond issue in less prestigious markets, then an international bond issue in the target market, and ultimately a eurobond issue
- D) cross-listing the outstanding issues on other exchanges, then an international bond issue, then an international bond issue in the target market

Answer: C

Diff: 2

L.O.: 14.1 Designing a Strategy to Source Capital Globally

Skill: Conceptual

AACSB: Application of knowledge

4) Which of the following is the typical first step sourcing capital abroad?
A) an international bond issue placed on a more prestigious foreign market
B) an international bond issue in the eurobond market
C) an international bond issue placed on a less prestigious foreign market
D) issue equity in one of the less prestigious markets to attract the attention of international investors first

Answer: C

Diff: 2

L.O.: 14.1 Designing a Strategy to Source Capital Globally

Skill: Recognition

AACSB: Application of knowledge

5) By cross listing and selling its shares on a foreign stock exchange, a firm typically tries to accomplish which of the following?

- A) improve the liquidity of its existing shares
- B) increase its share price
- C) increase the firm's visibility
- D) all of the above

Answer: D

Diff: 2

L.O.: 14.1 Designing a Strategy to Source Capital Globally

Skill: Conceptual

AACSB: Application of knowledge

6) Most firms raise their initial capital in foreign markets.

Answer: FALSE

Diff: 1

L.O.: 14.1 Designing a Strategy to Source Capital Globally

Skill: Conceptual

AACSB: Application of knowledge

7) The ultimate step sourcing capital abroad would be to place a directed equity issue in a prestigious target market or a euroequity issue in global equity markets.

Answer: TRUE

Diff: 1

L.O.: 14.1 Designing a Strategy to Source Capital Globally

Skill: Recognition

AACSB: Application of knowledge

8) Sourcing capital abroad usually follows a logic path. List in sequential order three corporate strategies in internationalizing the cost of capital.

Answer: Most firms raise their initial capital in their own domestic market. Most firms should start sourcing abroad with an international bond issue. It could be placed on a less prestigious foreign market. This could be followed by an international bond issue in a target market or in the eurobond market. The next step might be to cross-list and issue equity in one of the less prestigious markets in order to attract the attention of international investors. The next step could be to cross-list shares on a highly liquid prestigious foreign stock exchange such as London (LSE), NYSE, Euronext, or NASDAQ. The ultimate step sourcing capital abroad could be to place a directed equity issue in a prestigious target market or a euroequity issue in global equity markets.

Diff: 2

L.O.: 14.1 Designing a Strategy to Source Capital Globally

Skill: Conceptual

AACSB: Application of knowledge

14.2 Optimal Financial Structure

1) Which financial economists are most closely associated with the financial theory of optimal capital structure?

- A) Modigliani and Miller
- B) Fama, Fisher, Jensen, and Roll
- C) Black and Scholes
- D) Markowitz and Sharpe

Answer: A

Diff: 1

L.O.: 14.2 Optimal Financial Structure

Skill: Recognition

AACSB: Application of knowledge

2) For most firms, the cost of capital decreases to a low point as the firm _____ debt financing. At some point beyond this optimal level, the cost of capital increases as the amount of debt _____.

- A) decreases; increases
- B) decreases; decreases
- C) increases; increases
- D) increases; decreases

Answer: C

Diff: 2

L.O.: 14.2 Optimal Financial Structure

Skill: Conceptual

AACSB: Application of knowledge

3) One of the most important factors in making debt less expensive than equity is:

- A) the tax deductibility of depreciation.
- B) the tax deductibility of equity.
- C) the tax deductibility of dividends.
- D) the tax deductibility of interest.

Answer: D

Diff: 2

L.O.: 14.2 Optimal Financial Structure

Skill: Recognition

AACSB: Application of knowledge

4) One of the most important factors in making debt less expensive than equity is:

- A) the seniority of equity obligations to debt claims.
- B) the tax deductibility of dividends.
- C) the tax deductibility of equity.
- D) the seniority of debt obligations to equity claims.

Answer: D

Diff: 2

L.O.: 14.2 Optimal Financial Structure

Skill: Recognition

AACSB: Application of knowledge

5) Which of the following is NOT a factor offsetting the tax advantage of debt as a source of financing?

- A) increased agency costs
- B) increased probability of financial distress (bankruptcy) due to fixed interest payments
- C) alternative tax shields to those supplied by interest payments
- D) All of the above offset the tax advantage of debt as a source of financing.

Answer: D

Diff: 2

L.O.: 14.2 Optimal Financial Structure

Skill: Recognition

AACSB: Application of knowledge

6) Most financial theorists believe that the optimal capital structure is a _____ with a debt to total value ratio somewhere around _____.

- A) point; 50%
- B) point; 25%
- C) range; 30%-60%
- D) range; 10%-40%

Answer: C

Diff: 2

L.O.: 14.2 Optimal Financial Structure

Skill: Recognition

AACSB: Application of knowledge

7) Not all firms have the same optimal capital structure. Factors that might influence a firm's capital structure include:

- A) the industry in which it operates.
- B) the volatility of its sales and operating income.
- C) the collateral value of its assets.
- D) all of the above

Answer: D

Diff: 2

L.O.: 14.2 Optimal Financial Structure

Skill: Recognition

AACSB: Application of knowledge

8) MNEs situated in countries with small illiquid and segmented markets are most like:

A) small domestic U.S. firms in that they must rely on internally generated funds and bank borrowing.

B) large U.S. MNEs in that they are all MNEs and have worldwide markets and sources of financing.

C) small domestic U.S. firms in that they have a strong niche market in the U.S.

D) None of the above is true.

Answer: A

Diff: 2

L.O.: 14.2 Optimal Financial Structure

Skill: Conceptual

AACSB: Application of knowledge

9) Which of the following were NOT identified by the authors as a variable that needs to be modified in the domestic theory of optimal financial structures to accommodate the case of the multinational enterprise?

- A) financial distress
- B) availability of capital
- C) diversification of cash flows
- D) foreign exchange risk

Answer: A

Diff: 2

L.O.: 14.2 Optimal Financial Structure

Skill: Recognition

AACSB: Application of knowledge

10) In theory, the MNE should support _____ debt ratios than a purely domestic firm because their cash flows are _____.

- A) lower; more stable due to international diversification
- B) lower; less stable due to international diversification
- C) higher; more stable due to international diversification
- D) higher; less stable due to international diversification

Answer: C

Diff: 2

L.O.: 14.2 Optimal Financial Structure

Skill: Conceptual

AACSB: Application of knowledge

11) TropiKana Inc., a U.S firm, has just borrowed \$1,000,000 to make improvements to an Italian fruit plantation and processing plant. If the interest rate is 6.00% per year, how much interest will they pay in the first year?

- A) \$6,000
- B) \$60,000
- C) \$600,000
- D) €60,000

Answer: B

Diff: 3

L.O.: 14.2 Optimal Financial Structure

Skill: Analytical

AACSB: Analytical thinking

12) TropiKana Inc., a U.S firm, has just borrowed euro 1,000,000 to make improvements to an Italian fruit plantation and processing plant. If the interest rate is 5.50% per year and the Euro depreciates against the dollar from \$1.40/€ at the time the loan was made to \$1.35/€ at the end of the first year, how much interest will TropiKana pay at the end of the first year (rounded)?

- A) \$55,000
- B) €74,250
- C) \$74,250
- D) \$77,000

Answer: C

Diff: 3

L.O.: 14.2 Optimal Financial Structure

Skill: Analytical

AACSB: Analytical thinking

13) TropiKana Inc., a U.S firm, has just borrowed euro 1,000,000 to make improvements to an Italian fruit plantation and processing plant. If the interest rate is 5.50% per year and the Euro appreciates against the dollar from \$1.40/€ at the time the loan was made to \$1.45/€ at the end of the first year, how much interest will TropiKana pay at the end of the first year (rounded)?

A) \$55,000

B) \$79,750

C) \$77,000

D) \$37,931

Answer: B

Diff: 3

L.O.: 14.2 Optimal Financial Structure

Skill: Analytical

AACSB: Analytical thinking

14) TropiKana Inc., a U.S firm, has just borrowed euro 1,000,000 to make improvements to an Italian fruit plantation and processing plant. If the interest rate is 5.50% per year and the Euro appreciates against the dollar from \$1.40/€ at the time the loan was made to \$1.45/€ at the end of the first year, how much interest and principle will TropiKana pay at the end of the first year if they repay the entire loan plus interest (rounded)?

A) \$1,529,750

B) €1,529,750

C) \$1,055,000

D) \$1,477,000

Answer: A

Diff: 3

L.O.: 14.2 Optimal Financial Structure

Skill: Analytical

AACSB: Analytical thinking

15) TropiKana Inc., a U.S firm, has just borrowed euro 1,000,000 to make improvements to an Italian fruit plantation and processing plant. If the interest rate is 5.50% per year and the Euro depreciates against the dollar from \$1.40/€ at the time the loan was made to \$1.35/€ at the end of the first year, how much interest and principle will TropiKana pay at the end of the first year if they repay the entire loan plus interest (rounded)?

A) \$1,477,000

B) \$1,055,000

C) €1,424,250

D) \$1,424,250

Answer: D

Diff: 3

L.O.: 14.2 Optimal Financial Structure

Skill: Analytical

AACSB: Analytical thinking

16) TropiKana Inc., a U.S firm, has just borrowed euro 1,000,000 to make improvements to an Italian fruit plantation and processing plant. If the interest rate is 5.50% per year and the Euro appreciates against the dollar from \$1.40/€ at the time the loan was made to \$1.45/€ at the end of the first year, what is the **before tax cost of capital** if the firm repays the entire loan plus interest (rounded)?

- A) 1.73%
- B) 5.50%
- C) 10.50%
- D) 9.27%

Answer: D

Diff: 3

L.O.: 14.2 Optimal Financial Structure

Skill: Analytical

AACSB: Analytical thinking

17) Financial theory has at last provided us with a single optimal capital structure for domestic firms.

Answer: FALSE

Diff: 1

L.O.: 14.2 Optimal Financial Structure

Skill: Conceptual

AACSB: Application of knowledge

18) Financial practice suggests that there is a range for an optimal capital structure for a firm within an industry rather than a specific optimal ratio of debt to equity.

Answer: TRUE

Diff: 1

L.O.: 14.2 Optimal Financial Structure

Skill: Conceptual

AACSB: Application of knowledge

19) In part because of access to global markets, MNEs are better able than their domestic counterparts to maintain their desired debt ratio even when raising new capital.

Answer: TRUE

Diff: 1

L.O.: 14.2 Optimal Financial Structure

Skill: Recognition

AACSB: Application of knowledge

20) **When a firm borrows in a foreign currency, the effective cost is the foreign interest rate plus an adjustment for changes in the exchange rate.**

Answer: TRUE

Diff: 1

L.O.: 14.2 Optimal Financial Structure

Skill: Conceptual

AACSB: Application of knowledge

21) The domestic theory of optimal capital structure does not need to be modified for MNEs.

Answer: FALSE

Diff: 1

L.O.: 14.2 Optimal Financial Structure

Skill: Recognition

AACSB: Application of knowledge

22) Portfolio diversification of domestic firms reduces risk because cash flows are not perfectly correlated. The same reasoning is often argued for MNEs diversifying into international markets.

Answer: TRUE

Diff: 1

L.O.: 14.2 Optimal Financial Structure

Skill: Conceptual

AACSB: Application of knowledge

23) In theory multinational firms are in a better position than domestic firms to support higher debt ratios.

Answer: TRUE

Diff: 1

L.O.: 14.2 Optimal Financial Structure

Skill: Conceptual

AACSB: Application of knowledge

24) A significant advantage of borrowing foreign currency-denominated bonds is that the borrower need not worry about relative changes in the value of the home currency.

Answer: FALSE

Diff: 1

L.O.: 14.2 Optimal Financial Structure

Skill: Conceptual

AACSB: Application of knowledge

25) For firms to raise capital in international markets, it is more important to adhere to capital structure ratios similar to those found in the United States and United Kingdom than to those in the firm's home country.

Answer: TRUE

Diff: 1

L.O.: 14.2 Optimal Financial Structure

Skill: Recognition

AACSB: Application of knowledge

26) In theory multinational firms are in a better position than domestic firms to support higher debt ratios. Provide an argument as to why this could be true and discuss the empirical research findings about U.S.-based MNEs.

Answer: Access to capital in global markets allows an MNE to lower its cost of equity and debt compared with most domestic firms. The theoretical possibility exists that multinational firms are in a better position than domestic firms to support higher debt ratios because their cash flows are diversified internationally. The probability of a firm's covering fixed charges under varying conditions in product, financial, and foreign exchange markets should increase if the variability of its cash flows is minimized. The diversification argument has been challenged by empirical research findings that MNEs in the United States actually have lower debt ratios than their domestic counterparts. The agency costs of debt were higher for the MNEs, as were political risks, foreign exchange risks, and asymmetric information.

Diff: 1

L.O.: 14.2 Optimal Financial Structure

Skill: Conceptual

AACSB: Application of knowledge

14.3 Raising Equity Globally

1) A/An _____ is defined as one that is targeted at investors in a single country and underwritten in whole or part by investment institutions from that country.

- A) SEC rule 144a placement
- B) directed public share issue
- C) Euroequity public issue
- D) strategic alliance

Answer: B

Diff: 2

L.O.: 14.3 Raising Equity Globally

Skill: Recognition

AACSB: Application of knowledge

2) The term "euro" as used in the euro equity market implies:

- A) the issuers are located in Europe.
- B) the investors are located in Europe.
- C) both A and B
- D) none of the above

Answer: D

Diff: 1

L.O.: 14.3 Raising Equity Globally

Skill: Recognition

AACSB: Application of knowledge

3) Strategic alliances are normally formed by firms that expect to gain synergies from which of the following?

- A) economies of scale
- B) economies of scope
- C) complementary marketing
- D) all of the above

Answer: D

Diff: 1

L.O.: 14.3 Raising Equity Globally

Skill: Conceptual

AACSB: Application of knowledge

4) A multinational firm that proceeds to raise capital outside of its domestic market is ultimately in search of an issuance — the IPO or SPO. But often issuances must be preceded by listings, in which the shares are traded on an exchange and, therefore, in a specific country market. The listing serves the following purposes EXCEPT:

- A) gaining name recognition.
- B) reducing the compliance costs.
- C) gaining visibility.
- D) preparing the market for an issuance.

Answer: B

Diff: 1

L.O.: 14.3 Raising Equity Globally

Skill: Recognition

AACSB: Application of knowledge

5) The public pathway to raise equity capital outside of its home market includes the following EXCEPT:

- A) Euroequity issue.
- B) Strategic Partner/Alliance.
- C) shares sold to a specific market or exchange.
- D) seasoned offering.

Answer: B

Diff: 1

L.O.: 14.3 Raising Equity Globally

Skill: Conceptual

AACSB: Application of knowledge

6) The initial issuance of shares by a company in an IPO typically represents no more than:

- A) 25%.
- B) 35%.
- C) 45%.
- D) 55%.

Answer: A

Diff: 1

L.O.: 14.3 Raising Equity Globally

Skill: Recognition

AACSB: Application of knowledge

7) Which of the following is a characteristic of an euroequity issue?

- A) an initial public offering of euro denominated securities
- B) the issuers are located in Europe
- C) the investors are located in Europe
- D) is an offering on multiple exchanges in multiple countries at the same time

Answer: D

Diff: 1

L.O.: 14.3 Raising Equity Globally

Skill: Recognition

AACSB: Application of knowledge

8) Which of the following high profile euroequity issues was NOT also a privatization?

- A) British Telecommunications
- B) Gucci
- C) YPF Sociedad Anónima
- D) Telefonos de Mexico

Answer: B

Diff: 1

L.O.: 14.3 Raising Equity Globally

Skill: Recognition

AACSB: Application of knowledge

9) Once a firm has "gone public," it is open to a considerably higher level of public scrutiny.

Answer: TRUE

Diff: 1

L.O.: 14.3 Raising Equity Globally

Skill: Recognition

AACSB: Application of knowledge

10) A distinction about the publicly traded firm's shares is that they raise capital with the daily rise and fall of their share prices.

Answer: TRUE

Diff: 1

L.O.: 14.3 Raising Equity Globally

Skill: Recognition

AACSB: Application of knowledge

11) A euroequity issue is an initial public offering of euro denominated securities.

Answer: FALSE

Diff: 1

L.O.: 14.3 Raising Equity Globally

Skill: Recognition

AACSB: Application of knowledge

12) List and discuss three public pathway strategies for a MNE for raising equity capital outside its home market.

Answer: A *euroequity* or *euroequity issue* is an initial public offering on multiple exchanges in multiple countries at the same time. A *directed public share issue* or *directed issue* is defined as one that is targeted at investors in a single country and underwritten in whole or in part by investment institutions from that country. *Depository receipts* (DRs) are negotiable certificates issued by a bank to represent the underlying shares of stock that are held in trust at a foreign custodian bank.

Diff: 1

L.O.: 14.3 Raising Equity Globally

Skill: Conceptual

AACSB: Application of knowledge

14.4 Depository Receipts

1) _____ are negotiable certificates issued by a bank to represent the underlying shares of stock, which are held in trust at a foreign custodian bank.

A) Negotiable CDs

B) International mutual funds

C) Depository receipts

D) Eurodeposits

Answer: C

Diff: 2

L.O.: 14.4 Depository Receipts

Skill: Recognition

AACSB: Application of knowledge

2) Depository receipts traded outside the United States are called _____ depository receipts.

A) Euro

B) Global

C) American

D) none of the above

Answer: B

Diff: 1

L.O.: 14.4 Depository Receipts

Skill: Recognition

AACSB: Application of knowledge

3) Each ADR represents _____ of the shares of the underlying foreign stock.

A) a multiple

B) 100

C) 1

D) ADRs have nothing to do with foreign stocks.

Answer: A

Diff: 2

L.O.: 14.4 Depositary Receipts

Skill: Recognition

AACSB: Application of knowledge

4) Which of the following is NOT an advantage of ADRs to U.S. shareholders?

A) Transfer of ownership is done in the U.S. in accordance with U.S. laws.

B) In the event of the death of the shareholder, the estate does not go through a foreign court.

C) Settlement for trading is generally faster in the United States.

D) All of the above are advantages of ADRs.

Answer: D

Diff: 2

L.O.: 14.4 Depositary Receipts

Skill: Recognition

AACSB: Application of knowledge

5) ADRs that are created at the request of a foreign firm wanting its shares traded in the United States are:

A) facilitated.

B) unfacilitated.

C) sponsored.

D) unsponsored.

Answer: C

Diff: 2

L.O.: 14.4 Depositary Receipts

Skill: Recognition

AACSB: Application of knowledge

6) Who pays the costs of creating a sponsored ADR?

A) the foreign firm whose stocks underlie the ADR

B) the U.S. bank creating the ADR

C) both the U.S. bank and the foreign firm

D) the SEC since they require the regulation

Answer: A

Diff: 2

L.O.: 14.4 Depositary Receipts

Skill: Recognition

AACSB: Application of knowledge

7) Level I ADRs trade primarily:

- A) on the New York Stock Exchange.
- B) on the American Stock Exchange.
- C) over the counter or pink sheets.
- D) Level I ADRs typically do not trade at all, but instead are privately issued and held until maturity.

Answer: C

Diff: 2

L.O.: 14.4 Depositary Receipts

Skill: Recognition

AACSB: Application of knowledge

8) Level II ADRs must meet:

- A) U.S. GAAP standards.
- B) home country accounting standards.
- C) both U.S. GAAP and home country standards.
- D) none of the above

Answer: A

Diff: 2

L.O.: 14.4 Depositary Receipts

Skill: Conceptual

AACSB: Application of knowledge

9) Level _____ is the easiest standard to satisfy for issuing ADRs.

- A) 144a
- B) III
- C) II
- D) I

Answer: D

Diff: 1

L.O.: 14.4 Depositary Receipts

Skill: Recognition

AACSB: Application of knowledge

10) Level III ADR commitment applies to:

- A) firms that want to list existing shares on the NYSE.
- B) banks issuing foreign mutual funds.
- C) ADR issues of under \$25,000.
- D) the sale of a new equity issued in the United States.

Answer: D

Diff: 2

L.O.: 14.4 Depositary Receipts

Skill: Recognition

AACSB: Application of knowledge

11) ADRs cannot be exchanged for the underlying shares of the foreign stock, therefore, arbitrage cannot keep the prices in line with the foreign price of the stock.

Answer: FALSE

Diff: 2

L.O.: 14.4 Depositary Receipts

Skill: Conceptual

AACSB: Application of knowledge

12) An unsponsored ADR may be initiated without the approval of the foreign firm with the underlying stock.

Answer: FALSE

Diff: 1

L.O.: 14.4 Depositary Receipts

Skill: Recognition

AACSB: Application of knowledge

13) ADRs are considered an effective way for firms to improve the liquidity of their stock, especially if the home market is small and illiquid.

Answer: TRUE

Diff: 2

L.O.: 14.4 Depositary Receipts

Skill: Conceptual

AACSB: Application of knowledge

14) Depositary Receipts intra-market trades account for more than 90% of all DR trading today.

Answer: TRUE

Diff: 2

L.O.: 14.4 Depositary Receipts

Skill: Conceptual

AACSB: Application of knowledge

15) One of the benefits of investing in Global Registered Shares (GRS) is that GRS allow to invest in foreign companies without foreign exchange risk.

Answer: FALSE

Diff: 2

L.O.: 14.4 Depositary Receipts

Skill: Conceptual

AACSB: Application of knowledge

16) ADRs are a popular investment tool for many U.S. investors. In recent years several alternatives for investing in foreign equity securities have become available for U.S. investors, yet ADRs remain popular. Define what an ADR is and provide at least three examples of the advantages they may hold over alternative foreign investment vehicles for U.S. investors.

Answer: Depositary receipts are negotiable certificates issued by a bank to represent the underlying shares of stock held in trust at a foreign custodian bank. Those receipts traded in the U.S. and denominated in dollars are called American depositary receipts (ADR). Because ADRs can be exchanged for the underlying foreign security, **arbitrage keeps the prices in line**. Even though U.S. investors can invest directly into some foreign equity markets, ADRs do offer some technical advantages. Among those advantages are that dividends are received in dollars rather than a foreign currency, **ADRs are in registered form rather than bearer form**, transfer of ownership is done in accordance with U.S. laws, and in the event of death, probate is in the U.S. and not abroad. Taxes are easier, **trading costs are typically lower, and settlement is also faster**.

Diff: 3

L.O.: 14.4 Depositary Receipts

Skill: Conceptual

AACSB: Application of knowledge

17) List and describe three differences and advantages of Global Registered Shares (GRS) over American Depositary Receipts (ADRs).

Answer: *Depositary receipts* are negotiable certificates issued by a bank to represent the underlying shares of stock held in trust at a foreign custodian bank. Those receipts traded in the U.S. and denominated in dollars are called American depositary receipts (ADR). ADRs do offer some technical advantages: dividends are received in dollars rather than a foreign currency, ADRs are in registered form rather than bearer form, transfer of ownership is done in accordance with U.S. laws, and in the event of death, probate is in the U.S. and not abroad. Taxes are easier, trading costs are typically lower, and settlement is also faster.

A *global registered share* (GRS) is a share of equity that is traded across borders and markets **without conversion**, where one share on the home exchange equals one share on the foreign exchange. If target pricing is important in key markets like that of the U.S., then the ADR offers better opportunities for a foreign firm to gain greater presence and activity. There are two fundamental arguments in favor of GRSs over ADRs, both based on pure forces of globalization: 1) Investors and markets alike will continue to grow, 2) Regulations governing security trading across country markets will continue to converge towards a common set of global principles, eliminating the need for securities customized for local market attributes or requirements. Other potential distinctions include the possibility of retaining all voting rights (GRSs do by definition while some ADRs may not) and the general principle that ADRs are designed for one singular cultural and legal environment—the United States.

Diff: 3

L.O.: 14.4 Depositary Receipts

Skill: Conceptual

AACSB: Application of knowledge

14.5 Private Placement

1) Which of the following was NOT identified by the authors as an alternative instrument to source equity in global markets?

- A) sale of a directed public share issue to investors in a target market
- B) private placements under SEC rule 144a
- C) sale of shares to private equity funds
- D) All of the above are alternatives to source equity instruments.

Answer: D

Diff: 2

L.O.: 14.5 Private Placement

Skill: Recognition

AACSB: Application of knowledge

2) Private equity funds (PEF) differ from traditional venture capital (VC) funds in that:

- A) VC operates mainly in lesser-developed countries while PEF do not.
- B) VC typically invests in family business whereas PEF do not.
- C) VC is almost unavailable to emerging markets while PEF capital is available.
- D) All of the above are true.

Answer: C

Diff: 2

L.O.: 14.5 Private Placement

Skill: Conceptual

AACSB: Application of knowledge

3) By cross-listing shares on a foreign exchange, you can expect:

- A) no share price effect for foreign firms that cross-list on major U.S. exchanges.
- B) a positive share price effect for foreign firms that cross-list on major U.S. exchanges.
- C) a negative share price effect for foreign firms that cross-list on major U.S. exchanges.
- D) none of the above

Answer: B

Diff: 2

L.O.: 14.5 Private Placement

Skill: Recognition

AACSB: Application of knowledge

4) In addition to gaining liquidity, which of the following could also be considered a legitimate reason for cross-listing equity?

- A) enhance a firm's local image
- B) become more familiar with the local financial community
- C) get better local press coverage
- D) all of the above

Answer: D

Diff: 2

L.O.: 14.5 Private Placement

Skill: Conceptual

AACSB: Application of knowledge

5) The worldwide trend toward fuller and more standardized disclosure rules should _____ the cost of equity capital.

- A) increase
- B) decrease
- C) have no impact on
- D) none of the above

Answer: B

Diff: 2

L.O.: 14.5 Private Placement

Skill: Recognition

AACSB: Application of knowledge

6) SEC rule 144A permits institutional buyers to trade privately placed securities without the previous holding periods restrictions and without requiring SEC registration.

Answer: TRUE

Diff: 1

L.O.: 14.5 Private Placement

Skill: Recognition

AACSB: Application of knowledge

7) Private equity funds are best known for buying control of private owned firms, taking them publicly, improving management, and then reselling them after one to three years.

Answer: FALSE

Diff: 1

L.O.: 14.5 Private Placement

Skill: Recognition

AACSB: Application of knowledge

8) Private equity funds appear to have a longer time horizon than traditional venture capital funds.

Answer: TRUE

Diff: 1

L.O.: 14.5 Private Placement

Skill: Recognition

AACSB: Application of knowledge

9) The least liquid stock markets offer little liquidity for their own domestic firms, and are of little value to foreign firms.

Answer: TRUE

Diff: 1

L.O.: 14.5 Private Placement

Skill: Conceptual

AACSB: Application of knowledge

10) Private equity funds differ from traditional venture capital funds. List and discuss three differences between them.

Answer: Private equity funds differ from traditional venture capital funds. VC funds usually 1) operate mainly in highly developed countries, 2) invest in start-up firms with the goal of exiting the investment with an IPO placed in those same highly liquid markets, 3) very little VC is available in emerging markets, partly because it would be difficult to exit with an IPO in an illiquid market. The same exiting problem faces the private equity funds, but they appear to have a longer time horizon, 4) VC funds appear to have a shorter time horizon, 5) Private equity funds invest in already mature and profitable companies, 6) Private equity funds are content with growing companies through better management and mergers with other firms.

Diff: 3

L.O.: 14.5 Private Placement

Skill: Conceptual

AACSB: Application of knowledge

14.6 Raising Debt Globally

1) _____ are domestic currencies of one country on deposit in a second country.

A) LIBORs

B) Eurocurrencies

C) Federal funds

D) Discount window deposits

Answer: B

Diff: 1

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

2) Of the following, which was NOT cited by the authors as a valuable function provided by the Eurocurrency market?

A) Eurocurrency deposits are an efficient and convenient money market device for holding excess corporate liquidity.

B) Eurocurrency deposits are a tool used by the Federal Reserve to regulate the money supply of countries that peg their currency against the U.S. dollar.

C) The Eurocurrency market is a major source of short-term bank loans to finance corporate working capital needs.

D) All of the above were cited by the authors.

Answer: B

Diff: 2

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

3) Eurobanks are:

- A) banks where Eurocurrencies are deposited.
- B) major world banks that conduct a Eurocurrency business in addition to normal banking activities.
- C) financial intermediaries that simultaneously bid for time deposits in and make loans in a currency other than that of the currency of where it is located.
- D) All of the above are descriptions of a Eurobank.

Answer: D

Diff: 2

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

4) Eurocredits are:

- A) bank loans to MNEs and others denominated in a currency other than that of the country where the bank is located.
- B) typically variable rate and tied to the LIBOR.
- C) usually for maturities of six months or less.
- D) All of the above are true.

Answer: D

Diff: 2

L.O.: 14.6 Raising Debt Globally

Skill: Conceptual

AACSB: Application of knowledge

5) In general, which has the shorter maturity and is more appropriate for funding short-term inventory needs?

- A) commercial paper
- B) Euro-Medium-Term notes (EMTNs)
- C) the international bond market
- D) all of the above

Answer: A

Diff: 2

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

6) Foreign bonds sold in the United States are nicknamed "Yankee bonds," foreign bonds sold in Japan are called "Samurai bonds." What are foreign bonds sold in the United Kingdom nicknamed?

- A) "Union Jacks"
- B) "Royalty"
- C) "Bulldogs"
- D) "Churchill's"

Answer: C

Diff: 1

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

7) A _____ is a bond underwritten by a syndicate from a single country, sold within in that country, denominated in that country's currency, but the issuer is from outside that country.

- A) foreign bond
- B) Eurobond
- C) domestic bond
- D) none of the above

Answer: A

Diff: 2

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

8) The eurobond market owes its existence to all of the following reasons unique factors EXCEPT:

- A) free bond ratings.
- B) the absence of regulatory interference.
- C) less stringent disclosure practices.
- D) favorable tax treatment.

Answer: A

Diff: 2

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

9) Eurocurrencies are NOT the same as the euro developed for the common European currency.

Answer: TRUE

Diff: 1

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

10) The Eurocurrency market continues to thrive because it is a large international money market relatively free of governmental regulation and interference.

Answer: TRUE

Diff: 1

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

11) Moody's rates international bonds at the request of the issuer with the stipulation that Moody's will publish the ratings even if the ratings are unfavorable.

Answer: FALSE

Diff: 2

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

12) Eurobonds offer tax anonymity.

Answer: TRUE

Diff: 2

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

13) Eurobonds are usually issued in registered form.

Answer: FALSE

Diff: 1

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

14) Moody's assesses the investor's risk caused by changing exchange rates in the investment.

Answer: FALSE

Diff: 1

L.O.: 14.6 Raising Debt Globally

Skill: Recognition

AACSB: Application of knowledge

15) The Euro-medium-term-note (EMTN) has filled a substantial niche market in global financing. What are the distinguishing characteristics of the EMTN and why is it such a popular form of financing for MNEs?

Answer: EMTNs have maturity between the long-lived international bonds and the short-term Euro-commercial paper, thus they have an appealing time horizon to many investors. EMTNs are like international bonds in that they pay periodic interest. The distinguishing features of an EMTN are: They are similar to a shelf registration in that the entire order for the securities does not have to be issued on the same day. Coupon payments are paid continuously, and the relatively small denominations allow for some flexibility in the market.

Diff: 3

L.O.: 14.6 Raising Debt Globally

Skill: Conceptual

AACSB: Application of knowledge

14.7 Financing Foreign Subsidiaries

1) External sources of financing available for foreign subsidiaries include all of the following EXCEPT:

- A) debt from the parent's country.
- B) debt from countries outside the parent's country.
- C) local or global equity.
- D) intercompany and intracompany loans.

Answer: D

Diff: 2

L.O.: 14.7 Financing Foreign Subsidiaries

Skill: Recognition

AACSB: Application of knowledge

2) The financial structure and financing of a foreign subsidiary change over time as it passes through the following stages of its business life cycle EXCEPT:

- A) maturing.
- B) growth.
- C) startup.
- D) discovery.

Answer: D

Diff: 2

L.O.: 14.7 Financing Foreign Subsidiaries

Skill: Recognition

AACSB: Application of knowledge

3) Internal financing includes all potential sources of fund arising from the MNE itself.

Answer: TRUE

Diff: 1

L.O.: 14.7 Financing Foreign Subsidiaries

Skill: Recognition

AACSB: Application of knowledge

4) External financing includes debt from any source that is not the MNE itself and equity from

any potential partner.

Answer: TRUE

Diff: 1

L.O.: 14.7 Financing Foreign Subsidiaries

Skill: Recognition

AACSB: Application of knowledge

5) In early stages of a foreign subsidiary's life, local host country debt is the only possible source of funding.

Answer: FALSE

Diff: 1

L.O.: 14.7 Financing Foreign Subsidiaries

Skill: Recognition

AACSB: Application of knowledge

6) Multinationals often strive to maximize the amount of equity from the parent company in foreign subsidiaries in order to reduce capital risk.

Answer: FALSE

Diff: 1

L.O.: 14.7 Financing Foreign Subsidiaries

Skill: Recognition

AACSB: Application of knowledge

7) Host country government would, in the extreme, prefer all inward investment be financed with local debt.

Answer: FALSE

Diff: 1

L.O.: 14.7 Financing Foreign Subsidiaries

Skill: Recognition

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 15 Multinational Tax Management

15.1 Tax Principles and Practices

1) The issue of ethics in the reporting of income and the payment of taxes is a considerable one. The authors state that most MNEs operating in foreign countries tend to follow the general principle of:

- A) "when in Rome, do as the Romans do."
- B) full disclosure to the tax authorities.
- C) maintain a competitive playing field by cheating as much as the local competition, no more, no less.
- D) none of the above

Answer: B

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Conceptual

AACSB: Application of knowledge

2) Which of the following is an unlikely objective of U.S. government policy for the taxation of foreign MNEs?

- A) to raise revenues
- B) to provide an incentive for U.S. private investment in developing countries
- C) to improve the U.S. balance of payments
- D) All of the above are objectives.

Answer: D

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

3) A _____ tax policy is one that has no impact on private decision-making, while a _____ policy is designed to encourage specific behavior.

- A) flat; tax incentive
- B) neutral; flat tax
- C) neutral; tax incentive
- D) none of the above

Answer: C

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Conceptual

AACSB: Application of knowledge

4) Which of the following is NOT an example of a tax incentive policy?

- A) The federal government gives a tax credit to MNEs that make domestic capital improvements but not foreign capital improvements.
- B) Corporations are allowed to take a direct tax credit for each dollar of matching donations they make to institutions of higher education.
- C) A tax law is passed that makes interest on property non-tax-deductible, but interest payments on durable goods are.
- D) All are examples of a tax incentive policy.

Answer: D

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Conceptual

AACSB: Application of knowledge

5) Toyota Motor Company operates in many different countries and pays taxes at many different rates. However, they always pay the same rate as their local competitors. Toyota Motor Company is operating in an environment of _____ tax policy.

- A) domestic neutrality
- B) foreign neutrality
- C) territorial approach
- D) none of the above

Answer: B

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

6) The United States taxes the domestic and remitted foreign earnings of U.S. based MNEs no matter where the earnings occurred. This is an example of a/an _____ approach to levying taxes.

- A) worldwide
- B) territorial
- C) neutral
- D) equitable

Answer: A

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

7) The United States taxes all earnings on U.S. soil by both domestic and foreign firms. This is an example of a _____ approach to levying taxes.

- A) worldwide
- B) neutral
- C) territorial
- D) none of the above

Answer: C

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Conceptual

AACSB: Application of knowledge

8) Bacon Signs Inc. is based in a country with a territorial approach to taxation but generates 100% of its income in a country with a worldwide approach to taxation. The tax rate in the country of incorporation is 25%, and the tax rate in the country where they earn their income is 50%. In theory, and barring any special provisions in the tax codes of either country, Bacon should pay taxes at a rate of _____ in the country of incorporation.

- A) 75%.
- B) 62.5%.
- C) 0%.
- D) 50%.

Answer: C

Diff: 3

L.O.: 15.1 Tax Principles and Practices

Skill: Analytical

AACSB: Analytical thinking

9) The *territorial* approach to taxation policy is also termed the _____ approach.

- A) source
- B) ethical
- C) greedy
- D) location

Answer: A

Diff: 1

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

10) A tax that is effectively a sales tax at each stage of production is defined as a/an _____ tax.

- A) flat
- B) equitable
- C) value-added tax
- D) none of the above

Answer: C

Diff: 1

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

11) What is the total value of taxes paid in the following example if the value added tax is 10%? A farmer raises wheat that he sells for \$1.50 to the grain company. The grain company sells to the processor for \$2.00 per bushel. The processor turns the wheat into a breakfast cereal and wholesales it for \$3.00 per bushel. The retailer sells the cereal for \$4.00 per bushel.

- A) \$0.15
- B) \$0.20
- C) \$0.30
- D) \$0.40

Answer: D

Diff: 3

L.O.: 15.1 Tax Principles and Practices

Skill: Analytical

AACSB: Analytical thinking

12) A tax that is a form of social redistribution of income is defined as a/an _____ tax.

- A) un-American
- B) transfer
- C) flat
- D) none of the above

Answer: B

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

13) Tax treaties typically result in _____ between the two countries in question.

- A) lower property taxes for U.S. citizens overseas
- B) elimination of differential tax rates
- C) increased double taxation
- D) reduced withholding tax rates

Answer: D

Diff: 1

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

14) The primary objective of multinational tax planning is to minimize the firm's worldwide tax burden.

Answer: TRUE

Diff: 1

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

15) A country CANNOT have both a territorial and a worldwide approach as a national tax policy.

Answer: FALSE

Diff: 1

L.O.: 15.1 Tax Principles and Practices

Skill: Conceptual

AACSB: Application of knowledge

16) Tax treaties generally have the effect of increasing the withholding taxes between the countries that are negotiating the treaties.

Answer: FALSE

Diff: 1

L.O.: 15.1 Tax Principles and Practices

Skill: Conceptual

AACSB: Application of knowledge

17) A value-added tax has gained widespread usage in Western Europe, Canada, and parts of Latin America.

Answer: TRUE

Diff: 1

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

18) All indications are that the value-added tax will soon be the dominant form of taxation in the U.S.

Answer: FALSE

Diff: 1

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

19) Among the G7 nations, the U.S. has a below average corporate income tax rate that makes it attractive for other countries to invest in the U.S.

Answer: FALSE

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

20) In the mid-1980s, the U.S. led the way to higher corporate income tax rates worldwide. Today, most of the G7 nations have surpassed the U.S. and have higher corporate income tax rates than the U.S.

Answer: FALSE

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

21) The ideal tax should not only raise revenue efficiently but also have as few negative effects on economic behavior as possible.

Answer: TRUE

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Conceptual

AACSB: Application of knowledge

22) The *worldwide approach*, also referred to as the residential or national approach to tax policy, levies taxes on the income earned by firms that are incorporated in the host country, regardless of where the income was earned (domestically or abroad).

Answer: TRUE

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

23) The *territorial approach*, also referred to as the source approach to tax policy, levies taxes on the income earned by firms that are incorporated in the host country, regardless of where the income was earned (domestically or abroad).

Answer: FALSE

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

24) Of the OECD 30 countries, most employ a worldwide approach to tax policy, but a few, including the United States, use the worldwide approach.

Answer: TRUE

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

25) FEW governments rely on income taxes, both personal and corporate, for their primary revenue source.

Answer: FALSE

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

26) Between 2006-2012, global corporate tax rates have trended upward.

Answer: FALSE

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

27) Tax treaties typically result in reduced withholding tax rates between the two signatory countries.

Answer: TRUE

Diff: 2

L.O.: 15.1 Tax Principles and Practices

Skill: Recognition

AACSB: Application of knowledge

28) Explain the worldwide and territorial approaches of national taxation. The authors state that the United States uses both approaches. How can this be? Give an example of each taxation approach.

Answer: The worldwide approach taxes the income of firms based on their place of residence rather than on where the income was earned. Thus, a U.S. based MNE will owe U.S. taxes on income earned in, say, Britain. The territorial approach to taxation taxes all of the income earned within the borders of the country by both domestic and foreign-based firms. Thus, a British-based firm making sales in New York will owe taxes in the U.S.

Through a series of bilateral tax agreements, the U.S. and several trading partners have tried to workout tax issues. Generally, the taxes a U.S. based MNE pays abroad will help offset any required taxes the firm might have on funds remitted to the United States.

Diff: 3

L.O.: 15.1 Tax Principles and Practices

Skill: Analytical

AACSB: Analytical thinking

29) What is a value-added tax? Where is this type of tax in wide usage? Why do you suppose

this form of taxation has NOT been widely accepted in the United States?

Answer: A value-added tax (VAT) is a form of national sales tax, where goods are taxed at each step of extraction, production, wholesale, and retail. A VAT tax is considered regressive because those with lower incomes pay the same taxes on a particular commodity as those with more money. Americans have never taken to this type of national tax because the most similar type of state and local tax is the sales tax, and that has always been the domain of the states. Plus the fact that it is regressive make the tax a tough sell to taxpayers.

Diff: 3

L.O.: 15.1 Tax Principles and Practices

Skill: Conceptual

AACSB: Application of knowledge

15.2 Multinational Tax Management

TABLE 15.1

Use the information to answer following question(s).

BayArea Designs Inc., located in Northern California, has two international subsidiaries, one located in the Ukraine, the other in Korea. Consider the information below to answer the next several questions.

	Ukraine	Korea	United States
Earnings Before Taxes	\$2,000,000	\$2,500,000	
Corporate Income Tax Rate	40%	26%	35%
Dividend Withholding Tax Rate	10%	5%	0%

1) Refer to Table 15.1. If BayArea pays out 50% of its earnings from each subsidiary, what are the additional U.S. taxes due on the foreign sourced income from the Ukraine and Korea respectively?

A) Ukraine = \$0; Korea = (\$30,000)

B) Ukraine = \$100,000; Korea = \$0

C) Ukraine = \$0; Korea = \$66,250

D) none of the above

Answer: D

Diff: 3

L.O.: 15.2 Multinational Tax Management

Skill: Analytical

AACSB: Analytical thinking

2) Refer to Table 15.1. The additional U.S. taxes due on the repatriation of income from the Ukraine to the United States, alone, assuming a 50% payout rate, is:

- A) excess foreign tax credits of \$110,000.
- B) additional U.S. taxes due of \$97,000.
- C) additional U.S. taxes due of \$36,500.
- D) excess foreign tax credits of \$18,500.

Answer: A

Diff: 3

L.O.: 15.2 Multinational Tax Management

Skill: Analytical

AACSB: Analytical thinking

3) Refer to Table 15.1. How much in additional U.S. taxes would be due if BayArea averaged the tax credits and liabilities of the two foreign units, assuming a 50% payout rate from each?

- A) \$3,750
- B) \$13,750
- C) \$2,500
- D) \$0

Answer: C

Diff: 3

L.O.: 15.2 Multinational Tax Management

Skill: Analytical

AACSB: Analytical thinking

4) Refer to Table 15.1. If BayArea set the payout rate from the Ukraine subsidiary at 25%, how should BayArea set the payout rate of the Korean subsidiary (approximately) to more efficiently manage its total foreign tax bill?

- A) 28.5%
- B) 24.5%
- C) 42.6%
- D) 82.3%

Answer: B

Diff: 3

L.O.: 15.2 Multinational Tax Management

Skill: Analytical

AACSB: Analytical thinking

5) Refer to Table 15.1. What is the minimum effective tax rate that BayArea can achieve on its foreign-sourced income?

- A) 26%
- B) 35%
- C) 40%
- D) 0%

Answer: B

Diff: 3

L.O.: 15.2 Multinational Tax Management

Skill: Analytical

AACSB: Analytical thinking

6) A _____ is a direct reduction of taxes whereas a _____ reduces the taxable income before taxes.

- A) foreign tax credit; domestic tax credit
- B) tax deduction; tax credit
- C) tax credit; tax deduction
- D) none of the above

Answer: C

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

Instruction 15.2:

Use the information to answer the following question(s).

Green Valley Exporters USA has \$100,000 of before-tax foreign income. The host country has a corporate income tax rate of 25% and the U.S. has a corporate income tax rate of 35%.

7) Refer to Instruction 15.2. If the U.S. has no bilateral trade agreement with the host country, what is the total amount of income taxes Green Valley Exporters will pay?

- A) \$25,000
- B) \$35,000
- C) \$51,250
- D) \$60,000

Answer: C

Diff: 3

L.O.: 15.2 Multinational Tax Management

Skill: Analytical

AACSB: Analytical thinking

8) Refer to Instruction 15.2. If the U.S. has a bilateral trade agreement with the host country that calls for the total tax paid to be equal to the maximum amount that could be paid in the highest taxing country, what is the total amount of income taxes Green Valley Exporters will pay to the host country, and how much will they pay in U.S. income taxes on the foreign earned income?

- A) \$25,000; \$10,000
- B) \$25,000; \$26,250
- C) \$35,000; \$0
- D) none of the above

Answer: A

Diff: 3

L.O.: 15.2 Multinational Tax Management

Skill: Analytical

AACSB: Analytical thinking

9) Refer to Instruction 15.2. If the U.S. treated the taxes paid on income earned in the host country as a tax-deductible expense, then Green Valley's total U.S. corporate tax on the foreign earnings would be:

- A) \$10,000.
- B) \$26,250.
- C) \$35,000.
- D) \$51,250.

Answer: B

Diff: 3

L.O.: 15.2 Multinational Tax Management

Skill: Analytical

AACSB: Analytical thinking

10) Refer to Instruction 15.2. If the U.S. treated the taxes paid on income earned in the host country as a tax-credit, then Green Valley's total U.S. corporate tax on the foreign earnings would be:

- A) \$51,250.
- B) \$35,000.
- C) \$26,250.
- D) \$10,000.

Answer: D

Diff: 3

L.O.: 15.2 Multinational Tax Management

Skill: Analytical

AACSB: Analytical thinking

11) Transfer pricing is a strategy that may be used by MNEs to:

- A) reduce consolidated corporate income taxes.
- B) partially finance a subsidiary in another country.
- C) transfer funds from a subsidiary to the parent corporation.
- D) all of the above

Answer: D

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

12) _____ is the pricing of goods, services, and technology between related companies.

- A) Among pricing
- B) Retail pricing
- C) Transfer pricing
- D) Wholesale pricing

Answer: C

Diff: 1

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

13) Tax-haven subsidiaries are typically established in a country that can meet the following requirements:

- A) a low tax on foreign investment or sales income earned by resident corporations and a low dividend withholding tax on dividends paid to the parent firm.
- B) the facilities to support financial services, for example, good communications, professional qualified office workers, and reputable banking services.
- C) a stable government that encourages the establishment of foreign-owned financial and service facilities within its borders.
- D) all of the above

Answer: D

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

14) The rapid evolution of corporate inversions for U.S.-based multinationals over the past 20 years has been attributed to all of the following EXCEPT:

- A) lack of foreign tax credits.
- B) relatively high U.S. corporate tax rate.
- C) U.S. lack of global competitiveness.
- D) the worldwide tax principles.

Answer: A

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

15) Of the following, which is NOT cited by the authors as an example of tax haven?

- A) Ireland
- B) Bermuda
- C) Cayman Islands
- D) Bahamas

Answer: A

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

16) Tax credits are less valuable on a dollar-for-dollar basis than are tax-deductible expenses.

Answer: FALSE

Diff: 1

L.O.: 15.2 Multinational Tax Management

Skill: Conceptual

AACSB: Application of knowledge

17) The U.S. Internal Revenue Service can reallocate revenues and expenses between parent corporations and their subsidiaries to more clearly reflect a proper allocation of income. In such instances it is the responsibility of the corporation to prove that the IRS has been arbitrary in its decision-making, thus establishing a "guilty until proved innocent" tax approach.

Answer: TRUE

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

18) When a firm is organized with decentralized profit centers, transfer pricing between centers can help in the evaluation of each subsidiary performance.

Answer: FALSE

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

19) If a U.S. multinational remits profits from two different countries (subsidiaries) back to the parent company (U.S.), the excess foreign tax credit from one subsidiary can only be cross-credited against another subsidiary from the same country.

Answer: FALSE

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

20) Tax haven subsidiaries of MNEs are categorically referred to as international offshore financial centers.

Answer: TRUE

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

21) Maximizing local profits in joint ventures overseas could be suboptimal from the overall view of the MNE.

Answer: TRUE

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

22) In a typical naked corporate inversion transaction, the corporation's effective global tax liability is reduced, but the effective control does not change.

Answer: TRUE

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

23) The 80% rule added in the American Jobs Creation Act (AJCA) of 2004 makes less likely that the former parent company would continue to be treated as domestic.

Answer: FALSE

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

24) One case of inversion is when a U.S. company is merged with a large foreign firm and the new combined entity is incorporated in the foreign country. The added stipulation to be a valid inversion is that the previous U.S. ownership must have a position of less than 80% ownership in the new combined entity.

Answer: FALSE

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

25) Finance ministers of the G20 in conjunction with the OECD created an action plan to stop basis erosion and profit shifting (BEPS) in an effort to stop illegal activity.

Answer: FALSE

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Recognition

AACSB: Application of knowledge

26) What is a transfer price, and can a government regulate it? What difficulties and motives does a parent multinational firm face in setting transfer prices?

Answer: A transfer price is the amount paid by one unit of a company (domestic or international) for goods or services purchased from another unit of the same firm. As such, a transfer price is needed for every intrafirm transaction. Where buyer and seller are in different tax jurisdictions (i.e., countries), governments are concerned with the possibility that transfer prices are raised or lowered from a "normal" or "appropriate" level in order to avoid taxes. In most countries tax authorities have the right to declare a given international transfer price as a tax avoidance device. Such countries have the right to reset taxable income to a higher level. The motives for the parent MNE are to minimize taxes, and the difficulty is that the burden of proof is on the MNE, not the tax collector, to show proof as to why a given transfer price is reasonable.

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Conceptual

AACSB: Application of knowledge

27) What are the desired characteristics for a country if it expects to be used as a tax haven?

Answer: Tax-haven subsidiaries are typically established in a country that can meet the following requirements: 1) A low tax on foreign investment or sales income earned by resident corporations and a low dividend withholding tax on dividends paid to the parent firm. 2) A stable currency to permit easy conversion of funds into and out of the local currency. 3) The facilities to support financial services: good communications, professional qualified office workers, and reputable banking services. 4) A stable government that encourages the establishment of foreign-owned financial and service facilities within its borders.

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Conceptual

AACSB: Application of knowledge

28) Why do the U.S. tax authorities tax passive income generated offshore differently from

active income?

Answer: One type of passive income would simply be the distributed profits of another company, dividends, if the foreign company owned it. Without the differential treatment, it would only make sense for most U.S. multinationals to create a holding company in a tax haven, which would then own all the foreign subsidiaries of the company. Then, all the profits earned by the Holding Company would be retained in a low tax environment without incurring any U.S. tax liabilities.

Diff: 2

L.O.: 15.2 Multinational Tax Management

Skill: Conceptual

AACSB: Application of knowledge

15.3 Google: An Illustrative Case of Profit Repositioning

1) Why is it core to Google's tax planning to fix a tax base (also known as *permanent establishment*) in Ireland?

Answer: *Permanent establishment* rules allow firms such as Google to fix a tax base in a low-tax country like Ireland, while generating lots of business in a country where tax rates are higher, like France. Companies in principle are taxed not on "where they do business," but on "where they finalize their business deals with customers" —the country or jurisdiction where the final contract is signed. In the case of Google, that means most sales throughout the European Union are finalized in Ireland. It is estimated that 75% of the top 50 U.S. software, Internet, and computer hardware companies use similar PE structures that help them avoid taxes.

Diff: 2

L.O.: 15.3 Google: An Illustrative Case of Profit Repositioning

Skill: Conceptual

AACSB: Application of knowledge

15.4 Global Tax Competitiveness

1) The changing global tax environment for multinational firms has been attributed to all of the following EXCEPT:

- A) rapid expansion of the global digital economy.
- B) aggressiveness of governments to increase their individual tax competitiveness.
- C) increase cost of capital.
- D) all of the above

Answer: C

Diff: 2

L.O.: 15.4 Global Tax Competitiveness

Skill: Conceptual

AACSB: Application of knowledge

2) Governments worldwide compete for global investment on all of the following grounds EXCEPT:

- A) availability of skilled labor.
- B) labor cost.
- C) regulatory requirements.
- D) all of the above

Answer: D

Diff: 2

L.O.: 15.4 Global Tax Competitiveness

Skill: Conceptual

AACSB: Application of knowledge

3) In the context of the digital economy many tax authorities are redefining the location of a taxable transaction from the county of the supplier to the country of the buyer.

Answer: TRUE

Diff: 1

L.O.: 15.4 Global Tax Competitiveness

Skill: Recognition

AACSB: Application of knowledge

4) All the OECD countries depend on individual income taxes for a very large part of their tax proceeds.

Answer: FALSE

Diff: 1

L.O.: 15.4 Global Tax Competitiveness

Skill: Recognition

AACSB: Application of knowledge

5) Tax analysts and authorities believe that in the years ahead most of the world will move towards increased use of direct taxes — income taxes.

Answer: FALSE

Diff: 1

L.O.: 15.4 Global Tax Competitiveness

Skill: Recognition

AACSB: Application of knowledge

15.5 U.S. Tax Law Change in 2017

1) The Act of 2017 has multiple provisions; the following are likely of the most significant to all U.S. companies EXCEPT:

- A) U.S. corporate income tax rate is reduced to 21%.
- B) Limits the net interest deductions.
- C) Allows companies to deduct the entire cost of equipment purchases from their taxable income.
- D) all of the above

Answer: D

Diff: 2

L.O.: 15.5 U.S. Tax Law Change in 2017

Skill: Conceptual

AACSB: Application of knowledge

2) As part of the Act of 2017, the taxation of Foreign-Source Income will not create tax credits or deficits when declared as dividends to the U.S. parent.

Answer: TRUE

Diff: 1

L.O.: 15.5 U.S. Tax Law Change in 2017

Skill: Recognition

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 16 International Trade Finance

16.1 The Trade Relationship

1) The exporter-importer relationship to a corporation of a foreign importer that has not previously conducted business with the firm would be an:

- A) unaffiliated known.
- B) affiliated party.
- C) unaffiliated unknown.
- D) any of the above

Answer: C

Diff: 2

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following relationships between importing and exporting parties would require the least detailed contract to conduct business?

- A) affiliated party
- B) unaffiliated unknown party
- C) known unaffiliated party
- D) domestic supplier

Answer: B

Diff: 2

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

3) Polaris Corporation has made an agreement to ship goods to a foreign firm with whom they have not entered into a contract for three years. However, the firms have communicated regularly since the last sale three years ago. This is an example of an:

- A) unaffiliated known party transaction.
- B) unaffiliated unknown party transaction.
- C) affiliated party transaction.
- D) none of the above

Answer: A

Diff: 2

L.O.: 16.1 The Trade Relationship

Skill: Conceptual

AACSB: Application of knowledge

4) Which of the following is NOT a financial instrument that may be included in an international trade transaction?

- A) Letter of Credit
- B) Sight Draft
- C) Order bill of lading
- D) Federal funds transaction

Answer: D

Diff: 2

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

5) The combination of a letter of credit, a sight draft, and an order bill of lading protect both parties in international transactions from which of the following?

- A) the risk of noncompletion
- B) the risk of foreign exchange risk (when combined with a various hedging techniques)
- C) the risk that financing will not be available due to foreign exchange risk
- D) All of these risks are reduced when using these trade implements.

Answer: D

Diff: 1

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

6) **The risk of noncompletion is most important:**

- A) when the international trade is recurrent in nature.
- B) when there is a sustained relationship between the buyer and seller.
- C) with an outstanding agreement for recurring shipments.
- D) when the relationship is between countries whose currencies are considered strong.

Answer: D

Diff: 2

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

7) From a financial management perspective, all of the following are primary risks associated with an **international trade transaction** EXCEPT:

- A) currency risk.
- B) default risk.
- C) noncompletion risk.
- D) interest rate risk.

Answer: D

Diff: 1

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

8) The risk of default on the part of the importer—risk of noncompletion—is present as soon as:

- A) a price quote is given.
- B) goods are received.
- C) the export contract is signed.
- D) the financing period begins.

Answer: D

Diff: 1

L.O.: 16.1 The Trade Relationship

Skill: Conceptual

AACSB: Application of knowledge

9) Today, international trade is dominated by transactions between unaffiliated parties (known or unknown).

Answer: FALSE

Diff: 1

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

10) Because most international transactions are between affiliated parties, international transaction contracts are less complex, but the management of the total value of the MNE is more complex.

Answer: TRUE

Diff: 1

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

11) An advantage of trading with an affiliated party for an MNE, compared to an unaffiliated party, could be reduced contracting costs and less to even no need to protect against nonpayment.

Answer: TRUE

Diff: 1

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

12) The fundamental dilemma of foreign trade is being unwilling to trust a stranger in a foreign land.

Answer: TRUE

Diff: 2

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

13) If a foreign exchange transaction calls for payment in the importer's currency, the exporter has the foreign exchange risk.

Answer: TRUE

Diff: 2

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

14) If a foreign exchange transaction calls for payment in the exporter's currency, the importer has the foreign exchange risk.

Answer: TRUE

Diff: 1

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

15) In the case of international trade, the risk of nonpayment is essentially eliminated with the use of a letter of credit issued through a trustworthy bank.

Answer: TRUE

Diff: 1

L.O.: 16.1 The Trade Relationship

Skill: Recognition

AACSB: Application of knowledge

16) Why might different documentation be used for an export to a nonaffiliated foreign buyer who is a new customer, as compared with an export to a nonaffiliated foreign buyer to whom the exporter has been selling for many years?

Answer: A new nonaffiliated buyer presents a credit risk for the exporter, because the exporter may be unable to assess the creditworthiness of that importer due to geographic distance, language, culture, or lack of a record of payments to other suppliers. A letter of credit, accompanied by other documents, allows the exporter to rely on the credit standing of a bank, which is presumed to be of greater creditworthiness than just an unknown manufacturing firm.

After successful trade goes on for some time the importer becomes a known entity, in which case the exporter will have more faith in the importer's willingness and ability to pay. Because the letter of credit and other documents have both a financial cost and a cost for the time and energy involved in handling the documents, direct billing for exports is easier, faster, and lowers the final end-cost to the ultimate customer.

Diff: 2

L.O.: 16.1 The Trade Relationship

Skill: Conceptual

AACSB: Application of knowledge

17) For what reason might an exporter use standard international trade documentation (letter of credit, draft, order bill of lading) on an intrafirm export to its parent or sister subsidiary?

Answer: An export to a parent or sister subsidiary has no credit risk because both exporter and importer are part of the same corporate unit. **Non-payment to an exporter in this situation is just a matter of keeping the firm's cash in another corporate account.** In fact, very late payment for an export to an affiliated importer might be desirable, because the firm wants to keep cash in one location and not in another. Nevertheless, an export to an affiliated buyer might pass through the standard documentation as a way to obtain financing that is easy to obtain, is possibly cheaper than alternative sources of short-term financing, or provides some protection against political or country-based interruption to payment for the transaction.

Diff: 2

L.O.: 16.1 The Trade Relationship

Skill: Conceptual

AACSB: Application of knowledge

18) What is the major difference between **"currency risk"** and **"risk of noncompletion"**? How are these risks handled in a typical international trade transaction?

Answer: *Currency risk* is the risk that the currency designated for payment of the import changes in value relative to the other currency. A U.S. firm exporting to France wants dollars, while the French importer wants to pay euros. If the sale contract specifies payment in dollars, the French importer has a currency risk—more euros than expected might be needed when payment is due. If the sales contract specifies payment in euros, the U.S. exporter has a currency risk—fewer dollars than expected might be received when the euros are exchanged for dollars. *Risk of noncompletion* is the risk that one of the parties fails to fulfill its obligations. The importer may refuse to pay for the goods, or the exporter may fail to ship the goods. Events not under the control of the parties to the trade, such as major storms, disease epidemics, terrorist acts, or war, may make completion of the trade impossible. The several documents involved in international trade are intended to reduce financial loss from noncompletion.

Diff: 2

L.O.: 16.1 The Trade Relationship

Skill: Conceptual

AACSB: Application of knowledge

16.2 Key Documents

1) Which of the following is NOT true regarding a letter of credit?

A) The importer and exporter agree on a transaction.

B) The importer applies to its local bank for the issuance of a letter of credit.

C) The exporter applies to its local bank for the issuance of a letter of credit.

D) The importer's bank **cuts a sales contract** based on its assessment of the creditworthiness of the importer.

Answer: C

Diff: 2

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

2) A/An _____ letter of credit is intended to serve as a means of arranging payment, but not

as a guarantee of payment.

- A) irrevocable
- B) revocable
- C) confirmed
- D) unconfirmed

Answer: B

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

3) A/An _____ letter of credit is an obligation only of the issuing bank whereas other banks honor a/an _____ letter of credit.

- A) irrevocable; unconfirmed
- B) revocable; confirmed
- C) confirmed; irrevocable
- D) unconfirmed; confirmed

Answer: D

Diff: 2

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

4) A letter of credit that is **confirmed** in the _____ country has the additional advantage of eliminating the problem of _____.

- A) exporter's; portfolio risk
- B) importer's; blocked foreign exchange
- C) **exporter's; blocked foreign exchange**
- D) none of the above

Answer: C

Diff: 2

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

5) **The draft is the instrument normally used in international commerce to:**

- A) transfer product.
- B) prove ownership.
- C) **transfer title.**
- D) initiate the sale.

Answer: C

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

6) The _____ is the instrument normally used to actually effect payment in international commerce.

- A) banker's acceptance
- B) bill of exchange
- C) bill of lading
- D) letter of credit

Answer: B

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

7) The person or company initiating the draft or bill of exchange is known as the:

- A) maker.
- B) drawer.
- C) originator.
- D) any of the above

Answer: D

Diff: 2

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

8) The person or company to whom the draft or bill of exchange is addressed is the:

- A) drawee.
- B) drawer.
- C) maker.
- D) originator.

Answer: A

Diff: 2

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

9) Drafts that have been accepted by banks become:

- A) clean drafts.
- B) nonmarketable.
- C) banker's acceptances.
- D) none of the above

Answer: C

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

10) Which of the following purposes is NOT served by the bill of lading?

- A) It acts as a receipt.
- B) It acts as a contract.
- C) It acts as a document of title.
- D) It acts as all of the above.

Answer: D

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

11) The _____ is issued to the exporter by a common carrier transporting the merchandise.

- A) bill of lading
- B) draft
- C) banker's acceptance
- D) line of credit

Answer: A

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

12) A straight bill of lading is most likely to be used under which of the following circumstances?

- A) when the merchandise has not been paid for in advance
- B) when the transaction is being financed by a bank
- C) when the shipment is to an affiliate
- D) none of the above

Answer: C

Diff: 2

L.O.: 16.2 Key Documents

Skill: Conceptual

AACSB: Application of knowledge

13) To become a negotiable instrument, a draft must conform to the following requirements EXCEPT:

- A) it must be in writing and signed by the maker or drawer.
- B) it must be payable to order or to bearer.
- C) it must be written in English.
- D) it must be payable on demand or at a fixed or determinable future date.

Answer: C

Diff: 2

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

14) In a typical international trade transaction, the order of activity would be which of the following?

A) The foreign buyer places an order; The domestic manufacturer ships to the buyer; The manufacturer's bank presents a draft and documents to the buyer's bank for acceptance; The buyer's bank submits payment to the manufacturer's bank.

B) The domestic manufacturer ships to the buyer; The buyer's bank submits payment to the manufacturer's bank; The foreign buyer places an order; The domestic manufacturer ships to the buyer; The manufacturer's bank presents a draft and documents to the buyer's bank for acceptance.

C) The foreign buyer places an order; The manufacturer's bank presents a draft and documents to the buyer's bank for acceptance; The domestic manufacturer ships to the buyer; The buyer's bank submits payment to the manufacturer's bank.

D) The domestic manufacturer ships to the buyer; The manufacturer's bank presents a draft and documents to the buyer's bank for acceptance; The foreign buyer places an order; The buyer's bank submits payment to the manufacturer's bank.

Answer: A

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

15) A letter of credit is an agreement by the bank to pay against documents rather than the actual merchandise.

Answer: TRUE

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

16) The primary advantage of a letter of credit is that it reduces risk.

Answer: TRUE

Diff: 1

L.O.: 16.2 Key Documents

Skill: Conceptual

AACSB: Application of knowledge

17) The major advantage of a letter of credit to the exporter is that the exporter does not receive any funds until the documents have arrived at a local port or airfield.

Answer: FALSE

Diff: 2

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

18) To constitute a true letter of credit transaction, the issuing bank must receive a fee or other valid business consideration for issuing the L/C.

Answer: TRUE

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

19) To constitute a true letter of credit transaction, the bank's L/C must contain a specified expiration date or a definite maturity.

Answer: TRUE

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

20) To constitute a true letter of credit transaction, the bank's commitment must be open-ended and cannot have a stated maximum amount of money.

Answer: FALSE

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

21) A *revocable* L/C is intended to serve as a means of arranging payment but not as a guarantee of payment.

Answer: TRUE

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

22) A sight draft is payable on presentation to the drawee; a time draft allows a delay in payment.

Answer: FALSE

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

23) A *draft* is sometimes called a *revocable letter of credit*.

Answer: FALSE

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

24) A *time draft* is payable on presentation to the drawee; the drawee must pay at once or

dishonor the draft. A *sight draft*, allows a delay in payment.

Answer: FALSE

Diff: 1

L.O.: 16.2 Key Documents

Skill: Conceptual

AACSB: Application of knowledge

25) The *bill of lading* is issued to the exporter by a common carrier transporting the merchandise. It serves three purposes: a receipt, a contract, and a document of title.

Answer: TRUE

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

26) Because of the risks involved in international trade, most transactions follow conventional methods and rarely require flexibility or creativity on the part of management.

Answer: FALSE

Diff: 1

L.O.: 16.2 Key Documents

Skill: Recognition

AACSB: Application of knowledge

27) Explain what a letter of credit (L/C) is, who the principle parties are, what the principle advantage is, and how the L/C facilitates international trade.

Answer: A letter of credit (L/C) is a bank's conditional promise to pay issued by a bank at the request of an importer. The primary advantage of an L/C is the reduction in risk. This reduction in risk makes it easier for the exporter to sell goods to the importer because it no longer need rely on the ability of the importing firm to pay for the goods, but rather it can rely on the bank. There are three primary parties involved with a letter of credit. Party number one is the exporter, who makes a sale to the importer in exchange for the bank's L/C. Party number two is the importer who receives the goods and promises to pay the bank. And third, the bank that contracts with the importer and agrees to pay the exporter upon presentation of documents as specified in the L/C.

The advantage to an exporter is the increased likelihood of receiving payment because funds are due from a known international commercial bank as opposed to a relatively unknown importer. Furthermore, an exporter with a good reputation for delivery may be able to sell the L/C at a discount in the secondary market prior to shipping and speed up cash flow.

The importer benefits because it doesn't need to pay for goods purchased until they actually reach port. The bank benefits from the fees they charge.

Diff: 3

L.O.: 16.2 Key Documents

Skill: Conceptual

AACSB: Application of knowledge

16.3 Government Programs to Help Finance Exports

1) The Export-Import Bank is an independent agency of the U.S. government established in 1981 to:

- A) ship money abroad.
- B) import agricultural products during the recession.
- C) facilitate and stimulate foreign trade of the United States.
- D) none of the above

Answer: C

Diff: 2

L.O.: 16.3 Government Programs to Help Finance Exports

Skill: Recognition

AACSB: Application of knowledge

2) In the United States, the Foreign Credit Insurance Corporation:

- A) is a subsidiary of the Export-Import Bank.
- B) provides letters of credit for U.S. importers.
- C) provides letters of credit for U.S. exporters.
- D) provides policies that protect U.S. exporters against default by foreign importers.

Answer: D

Diff: 2

L.O.: 16.3 Government Programs to Help Finance Exports

Skill: Recognition

AACSB: Application of knowledge

3) The Eximbank does all of the following EXCEPT:

- A) guarantees lease transactions.
- B) supplies counseling for exporters in finding financing for U.S. goods.
- C) finances the cost involved in the preparation of feasibility studies for non-U.S. clients
- D) provides letters of credit for U.S. exporters.

Answer: D

Diff: 2

L.O.: 16.3 Government Programs to Help Finance Exports

Skill: Recognition

AACSB: Application of knowledge

4) The Foreign Credit Insurance Association is a branch of the U.S. federal government.

Answer: FALSE

Diff: 1

L.O.: 16.3 Government Programs to Help Finance Exports

Skill: Recognition

AACSB: Application of knowledge

5) The Export-Import Bank (also called Eximbank) is an independent agency of the U.S. government, established in 1934 to stimulate and facilitate the foreign trade of the United States.

Answer: TRUE

Diff: 1

L.O.: 16.3 Government Programs to Help Finance Exports

Skill: Recognition

AACSB: Application of knowledge

6) Essentially, the Eximbank lends dollars to borrowers *inside* the United States for the purchase of U.S. goods and services.

Answer: FALSE

Diff: 1

L.O.: 16.3 Government Programs to Help Finance Exports

Skill: Recognition

AACSB: Application of knowledge

7) In the United States, domestic taxpayers bear the cost of export credit insurance and export financing provided by institutions like the FCIA and Eximbank to foreign buyers in order to create employment and maintain a technological edge.

Answer: TRUE

Diff: 1

L.O.: 16.3 Government Programs to Help Finance Exports

Skill: Recognition

AACSB: Application of knowledge

8) Export credit insurance provides assurance to the exporter or the exporter's bank that, should the foreign customer default on payment, the insurance company will pay for a major portion of the loss.

Answer: TRUE

Diff: 1

L.O.: 16.3 Government Programs to Help Finance Exports

Skill: Recognition

AACSB: Application of knowledge

9) One way a nation can improve its exports is by shortening the period for which credit transactions can be insured.

Answer: FALSE

Diff: 1

L.O.: 16.3 Government Programs to Help Finance Exports

Skill: Recognition

AACSB: Application of knowledge

10) The European Union recommends maximum credit terms for many items including, for example, heavy capital goods (five years), light capital goods (three years), and consumer durable goods (one year).

Answer: FALSE

Diff: 1

L.O.: 16.3 Government Programs to Help Finance Exports

Skill: Recognition

AACSB: Application of knowledge

16.4 Trade Financing Alternatives

Instruction 16.1:

Use the information to answer the following question(s).

Cypress Systems Inc., of Florida, agrees to sell specialized hydroponic growing equipment to Landcaster's of Australia. Because the two companies have never done business with each other, Cypress requires a banker's acceptance as payment for the \$1,000,000 order. The banker's acceptance carries a 1.4% commission per annum and payment is to be received in 6 months. If Cypress Inc. chooses to discount or sell the banker's acceptance to its bank, the discount rate is 1.00% per annum.

1) Refer to Instruction 16.1. What is the size of the discount (not including the commission fee) Cypress must take for receiving the proceeds of the sale today rather than waiting for six months?

A) \$7,000

B) **\$5,000**

C) \$12,000

D) \$14,000

Answer: B

Diff: 3

L.O.: 16.4 Trade Financing Alternatives

Skill: Analytical

AACSB: Analytical thinking

2) Refer to Instruction 16.1. What is the size of the commission Cypress will pay the bank for the banker's acceptance?

A) \$7,000

B) \$5,000

C) \$12,000

D) \$14,000

Answer: A

Diff: 3

L.O.: 16.4 Trade Financing Alternatives

Skill: Analytical

AACSB: Analytical thinking

3) Refer to Instruction 16.1. What is the total Cypress can expect to receive if the firm takes payment today?

- A) \$993,000
- B) \$995,000
- C) \$988,000
- D) \$996,000

Answer: C

Diff: 3

L.O.: 16.4 Trade Financing Alternatives

Skill: Analytical

AACSB: Analytical thinking

4) Refer to Instruction 16.1. _____ is an unsecured promissory note.

- A) A banker's acceptance
- B) An overdraft
- C) A securitized loan
- D) Commercial paper

Answer: D

Diff: 3

L.O.: 16.4 Trade Financing Alternatives

Skill: Recognition

AACSB: Application of knowledge

5) Rogue Spices Inc. has a Canadian receivables contract for \$200,000 due in 270 days. The firm has been approached by a factoring firm that offers to purchase the receivables at a 12% per annum discount plus a 1% charge for a nonrecourse clause. What is the annualized percentage all-in-cost of this factoring alternative?

- A) 14.82%
- B) 13.00%
- C) 12.00%
- D) 9.09%

Answer: A

Diff: 3

L.O.: 16.4 Trade Financing Alternatives

Skill: Analytical

AACSB: Analytical thinking

6) Export receivables are normally sold at a discount. The size of the discount depends on the following factors EXCEPT:

- A) overdraft fees.
- B) collection risk.
- C) cost of credit insurance.
- D) size of financing and services fees.

Answer: A

Diff: 3

L.O.: 16.4 Trade Financing Alternatives

Skill: Analytical

AACSB: Application of knowledge

7) Banker's acceptances are used to finance *only* international trade receivables but not domestic trade receivables.

Answer: FALSE

Diff: 1

L.O.: 16.4 Trade Financing Alternatives

Skill: Recognition

AACSB: Application of knowledge

8) The first owner of the bankers' acceptance created from an international trade transaction will be the importer, who receives the endorsed draft back after the bank has stamped it "accepted."

Answer: FALSE

Diff: 2

L.O.: 16.4 Trade Financing Alternatives

Skill: Recognition

AACSB: Application of knowledge

9) An overdraft agreement allows a firm to overdraw its bank account up to the limit of its credit line.

Answer: TRUE

Diff: 2

L.O.: 16.4 Trade Financing Alternatives

Skill: Recognition

AACSB: Application of knowledge

10) Issuing commercial papers to finance accounts receivable or short-term financing needs lies at the low end of the pecking order of trade financing alternatives.

Answer: FALSE

Diff: 2

L.O.: 16.4 Trade Financing Alternatives

Skill: Recognition

AACSB: Application of knowledge

11) Recourse means that the factor assumes the credit, political, and foreign exchange risk for the receivables it purchases.

Answer: FALSE

Diff: 2

L.O.: 16.4 Trade Financing Alternatives

Skill: Recognition

AACSB: Application of knowledge

12) The firm selling the recourse receivables avoids the cost of determining the creditworthiness of its customers.

Answer: FALSE

Diff: 2

L.O.: 16.4 Trade Financing Alternatives

Skill: Recognition

AACSB: Application of knowledge

13) What is a banker's acceptance? How are they initiated? Why are they desirable for the exporter?

Answer: A draft, or bill of exchange, is a written order from the exporter telling the importer when and how much to pay. When properly contracted, a draft can become a negotiable instrument and trade in the secondary market. If the draft provides a specific payment date and is presented to the importer's bank, it becomes a banker's acceptance (BA) and the bank makes an unconditional promise to make payment upon maturity. A BA may sell in the secondary market like any other marketable security and the holder need not wait until maturity to liquidate. Thus, BAs facilitate trade by reducing risk and potentially speeding cash flows to the exporter.

Diff: 3

L.O.: 16.4 Trade Financing Alternatives

Skill: Conceptual

AACSB: Application of knowledge

16.5 Forfeiting: Medium- and Long-Term Financing

1) _____ is a specialized technique to eliminate the risk of nonpayment by importers in instances where the importing firm and/or its government is perceived by the exporter to be too risky for open account credit.

A) Forfeiting

B) Marketable Bank Shares

C) Forfeiting

D) Banker's Acceptances

Answer: C

Diff: 1

L.O.: 16.5 Forfeiting: Medium- and Long-Term Financing

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT true about forfaiting?

- A) The exporter is responsible for the quality of delivered goods.
- B) Exporter receives an unconditional cash payment at the time of the transaction.
- C) The exporter sells bank-guaranteed promissory notes at its face value.
- D) The political and commercial risk is carried by the guaranteeing bank.

Answer: C

Diff: 2

L.O.: 16.5 Forfaiting: Medium- and Long-Term Financing

Skill: Recognition

AACSB: Application of knowledge

3) A typical forfaiting transaction involves the following parties EXCEPT:

- A) importer.
- B) exporter.
- C) carrier.
- D) importer's Bank.

Answer: C

Diff: 1

L.O.: 16.5 Forfaiting: Medium- and Long-Term Financing

Skill: Recognition

AACSB: Application of knowledge

4) The following parties are usually guarantors in forfaiting EXCEPT:

- A) commercial banks.
- B) government ministries of finance.
- C) large commercial enterprises.
- D) government banks.

Answer: C

Diff: 1

L.O.: 16.5 Forfaiting: Medium- and Long-Term Financing

Skill: Recognition

AACSB: Application of knowledge

5) In effect, the forfaiter functions both as a money market firm and a specialist in packaging financial deals involving country risk.

Answer: TRUE

Diff: 1

L.O.: 16.5 Forfaiting: Medium- and Long-Term Financing

Skill: Recognition

AACSB: Application of knowledge

6) Success of the forfaiting technique springs from the belief that the aval can be depended on.

Answer: TRUE

Diff: 1

L.O.: 16.5 Forfaiting: Medium- and Long-Term Financing

Skill: Recognition

AACSB: Application of knowledge

7) The liability of the aval is an "on balance sheet" obligation for the endorsing bank.

Answer: FALSE

Diff: 1

L.O.: 16.5 Forfaiting: Medium- and Long-Term Financing

Skill: Recognition

AACSB: Application of knowledge

Multinational Business Finance, 15e (Eiteman/Stonehill/Moffett)
Chapter 17 Foreign Direct Investment and Political Risk

17.1 The Foreign Direct Investment Decision

1) Based on observations of firms that have successfully invested abroad, we can conclude that one of the competitive advantages enjoyed by MNEs is:

- A) managerial expertise.
- B) financial strength.
- C) competitiveness of their home markets.
- D) All of the above are competitive advantages.

Answer: D

Diff: 2

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Recognition

AACSB: Application of knowledge

2) Based on observations of firms that have successfully invested abroad, we can conclude companies are more competitive when:

- A) facing sophisticated and demanding customers in the home market.
- B) surrounded by a critical mass of related industries and suppliers.
- C) located in countries that are naturally endowed with the appropriate factors of production.
- D) All of the above are true.

Answer: D

Diff: 2

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Recognition

AACSB: Application of knowledge

3) The OLI paradigm is an attempt to create a framework to explain why MNEs choose _____ rather than some other form of international venture.

- A) licensing
- B) joint ventures
- C) foreign direct investment
- D) strategic alliances

Answer: C

Diff: 1

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Recognition

AACSB: Application of knowledge

4) The O in OLI refers to an advantage in a firm's home market that is:

- A) operator independent.
- B) owner-specific.
- C) open-market.
- D) official designation.

Answer: B

Diff: 2

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Recognition

AACSB: Application of knowledge

5) The owner-specific advantages of OLI must be:

- A) firm-specific.
- B) not easily copied.
- C) transferable to foreign subsidiaries.
- D) all of the above

Answer: D

Diff: 2

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Recognition

AACSB: Application of knowledge

6) A/An _____ would be an example of an owner-specific advantage for an MNE.

- A) patent
- B) economy of scale
- C) economy of scope
- D) all of the above

Answer: A

Diff: 2

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Conceptual

AACSB: Application of knowledge

7) The L in OLI refers to an advantage in a firm's home market that is a:

- A) liability in the domestic market.
- B) location-specific advantage.
- C) longevity in a particular market.
- D) none of the above

Answer: B

Diff: 2

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Recognition

AACSB: Application of knowledge

8) A/An _____ would be an example of a location-specific advantage for an MNE.

- A) patent
- B) economy of scale
- C) unique source of raw materials
- D) possession of proprietary information

Answer: C

Diff: 1

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Conceptual

AACSB: Application of knowledge

9) The I in OLI refers to an advantage in a firm's home market that is an:

- A) internalization.
- B) industry-specific advantage.
- C) international abnormality.
- D) none of the above

Answer: A

Diff: 2

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Recognition

AACSB: Application of knowledge

10) A/An _____ would be an example of an internalization advantage for an MNE.

- A) patent
- B) economy of scale
- C) unique source of raw materials
- D) possession of proprietary information

Answer: D

Diff: 1

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Conceptual

AACSB: Application of knowledge

11) In deciding whether to invest abroad, management must first determine whether the firm has a sustainable competitive advantage that enables it to compete effectively in the home market.

The competitive advantage must be:

- A) firm specific.
- B) not easily copied.
- C) in a transferable form.
- D) all of the above

Answer: D

Diff: 1

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Conceptual

AACSB: Application of knowledge

12) Which of the following is NOT a market imperfection or genuine comparative advantage that attracts FDI to particular locations?

- A) low cost and productive labor force
- B) unique sources of raw materials
- C) defensive investments
- D) an expansive monetary policy

Answer: D

Diff: 1

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Conceptual

AACSB: Application of knowledge

13) A strongly competitive home market tends to dull the competitive advantage relative to firms located in less competitive home markets.

Answer: FALSE

Diff: 3

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Recognition

AACSB: Application of knowledge

14) Reactive financial strategies can be formulated in advance by the MNE's financial managers.

Answer: FALSE

Diff: 2

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Recognition

AACSB: Application of knowledge

15) Proactive financial strategies depend on discovering market imperfections.

Answer: FALSE

Diff: 2

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Recognition

AACSB: Application of knowledge

16) List and explain three strategic motives why firms could become multinationals and give an example of each.

Answer: The strategic motives for firms to become multinationals could be: market seekers, raw materials seekers, production efficiency seekers, knowledge seekers, and political safety seekers. Market seekers are looking for more consumers for their products such as automobiles, or steel. Knowledge seekers may be looking for an educated workforce similar to the way firms seeking R and D set up shop in university towns. Raw materials seekers may be after commodities such as oil or copper. Production efficiencies may occur in countries like Mexico that have capable workers and lower wages. Political safety seekers are looking for countries that will not expropriate their assets, so they may stay away from countries that in the past have engaged in such activities.

Diff: 3

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Conceptual

AACSB: Application of knowledge

17) What does the OLI Paradigm propose to explain? Define each component and provide an example of each.

Answer: The OLI Paradigm is an attempt to develop an overall framework to explain why MNEs choose FDI to serve foreign markets rather than alternatives such as licensing or exporting. The letters of the paradigm are O for owner-specific advantages, L for location-specific advantages, and I for internalization.

Owner-specific advantages require that the firm have a comparative advantage in its home market that it feels it can exploit internationally. To be most effective, the advantages should be difficult to copy. Location specific advantages may be due to market imperfections or genuine comparative advantages such as a source of a particularly high quality natural resource. With internalization the firm has in its possession some proprietary information or product such as software or personnel that may provide an advantage in the international marketplace.

Diff: 3

L.O.: 17.1 The Foreign Direct Investment Decision

Skill: Conceptual

AACSB: Application of knowledge

17.2 Structural Choices for Foreign Market Entry

1) Which of the following is NOT true regarding behavioral observations of firms making a decision to invest internationally?

A) MNEs initially invest in countries with a similar "national psychic."

B) Firms eventually take greater risks in terms of the national psychic of countries in which they invest.

C) Initial investments tend to be much larger than subsequent ones.

D) All of the above have been observed.

Answer: C

Diff: 2

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT an advantage to exporting goods to reach international markets rather than entering into some form of FDI?

- A) fewer political risks
- B) greater agency costs
- C) lower front-end investment
- D) All of the above are advantages.

Answer: B

Diff: 2

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Conceptual

AACSB: Application of knowledge

3) Which of the following is an advantage to exporting goods to reach international markets rather than entering into some form of FDI?

- A) fewer agency costs
- B) fewer direct advantages from research and development
- C) a greater risk of losing markets to copycat goods producers
- D) an inability to exploit R&D as effectively as if also invested abroad

Answer: A

Diff: 2

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Conceptual

AACSB: Application of knowledge

4) Which of the following is NOT a form of FDI?

- A) wholly-owned affiliate
- B) joint venture
- C) exporting
- D) greenfield investment

Answer: C

Diff: 1

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Recognition

AACSB: Application of knowledge

5) With licensing the _____ is likely to be lower than with FDI because of lower profits; however, the _____ is likely to be higher due to a greater return per dollar invested.

- A) IRR; NPV
- B) NPV; IRR
- C) cost of capital; NPV
- D) IRR; cost of capital

Answer: B

Diff: 2

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Conceptual

AACSB: Application of knowledge

6) Which of the following is NOT a potential disadvantage of licensing relative to FDI?

- A) possible loss of quality control
- B) establishment of a potential competitor in third-country markets
- C) possible improvement of the technology by the local licensee, which then enters the original firm's home market
- D) All of the above are potential disadvantages to licensing.

Answer: D

Diff: 2

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Recognition

AACSB: Application of knowledge

7) A _____ is a **shared ownership** in a foreign business.

- A) licensing agreement
- B) greenfield investment
- C) **joint venture**
- D) wholly-owned affiliate

Answer: C

Diff: 1

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Recognition

AACSB: Application of knowledge

8) Which of the following is NOT an advantage to a joint venture?

- A) Possible loss of opportunity to enter the foreign market with FDI later.
- B) The local partner understands the customs and mores of the foreign market.
- C) The local partner can provide competent management at many levels.
- D) May be a realistic alternative when 100% foreign ownership is not allowed.

Answer: A

Diff: 2

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Recognition

AACSB: Application of knowledge

9) Greenfield investments are typically _____ and _____ than cross-border acquisition.

- A) **slower; more uncertain**
- B) faster; of greater certainty
- C) slower; of greater certainty
- D) faster; more uncertain

Answer: A

Diff: 2

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Conceptual

AACSB: Application of knowledge

10) All of the following may be justification for a strategic alliance EXCEPT:

- A) takeover defense.
- B) a joint venture to pool resources for research and development.
- C) joint marketing and serving agreements.
- D) All of the above are legitimate reasons for strategic alliances.

Answer: D

Diff: 2

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Recognition

AACSB: Application of knowledge

11) In practice, when expanding into other countries, firms have been observed to follow a **sequential search pattern** as described in the behavioral theory of the firm.

Answer: TRUE

Diff: 2

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Conceptual

AACSB: Application of knowledge

12) As a general rule, the decision about where to invest abroad for the first time is the same as the decision about where to reinvest abroad.

Answer: FALSE

Diff: 2

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Recognition

AACSB: Application of knowledge

13) Economists have observed that firms tend to invest first in countries that are too far distant in psychic distance (similar cultural, legal, and institutional environment).

Answer: FALSE

Diff: 2

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Recognition

AACSB: Application of knowledge

14) Transnationals are firms that have operations in more than one country and conduct their business through branches, foreign subsidiaries, or joint ventures with host country firms.

Answer: FALSE

Diff: 2

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Recognition

AACSB: Application of knowledge

15) Licensing is a popular form of foreign investment because it does not need a sizable commitment of funds, and political risk is often minimized.

Answer: TRUE

Diff: 1

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Conceptual

AACSB: Application of knowledge

16) MNEs typically used licensing with independent firms rather than with their own foreign subsidiaries.

Answer: FALSE

Diff: 1

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Conceptual

AACSB: Application of knowledge

17) Joint ventures are a more common FDI than wholly owned subsidiaries.

Answer: FALSE

Diff: 1

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Recognition

AACSB: Application of knowledge

18) Local partners in a foreign country and in a joint venture with an MNE are likely to make decisions that maximize the value of the subsidiary. Such actions probably will not maximize the value of the entire firm.

Answer: TRUE

Diff: 1

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Conceptual

AACSB: Application of knowledge

19) The decision about where to invest abroad is influenced by behavioral factors. Explain the behavioral approach to FDI.

Answer: The behavioral approach to analyzing the FDI decision is typified by the so-called Swedish School of economists. The Swedish School has rather successfully explained not just the initial decision to invest abroad, but also later decisions to reinvest elsewhere, and to change the structure of a firm's international involvement over time. Based on the internationalization process of a sample of Swedish MNEs, the economists observed that these firms tended to invest first in countries that were not too far distant in psychic terms. Close psychic distance defined countries with a cultural, legal, and institutional environment similar to Sweden's, such as Norway, Denmark, Finland, Germany, and the United Kingdom. The initial investments were modest in size, to minimize the risk of an uncertain foreign environment. As the Swedish firms learned from their initial investments, they became willing to take greater risks with respect to both the psychic distance of the countries, and the size of the investments.

Diff: 3

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Conceptual

AACSB: Application of knowledge

20) What are the advantages and disadvantages of serving a foreign market through a greenfield foreign direct investment compared to an acquisition of a local firm in the target market?

Answer: A greenfield investment is defined as establishing a production or service facility starting from the ground up, i.e., from a green field. Compared to greenfield investment, a cross-border acquisition has a number of significant advantages. First and foremost, it is **quicker**. Greenfield investment frequently requires extended periods of physical construction and organizational development. By acquiring an existing firm, the MNE can shorten the time required to gain a presence and facilitate competitive entry into the market. Second, acquisition may be a **cost-effective way of gaining competitive advantages** such as technology, brand names valued in the target market, and logistical and distribution advantages, while simultaneously **eliminating a local competitor**. Third, international economic, political, and foreign exchange conditions may result in market imperfections, allowing target firms to be undervalued. Many enterprises throughout Asia have been the target of acquisition as a result of the Asian economic crisis's impact on their financial health. Many enterprises were in dire need of capital injections for competitive survival.

Cross-border acquisitions are not, however, without their pitfalls. As with all acquisitions—domestic or international—there are the frequent problems of **paying too high a price, or suffering a method of financing that is too costly**. Meshing different corporate cultures can be traumatic. Managing the post-acquisition process is frequently characterized by downsizing to gain economies of scale and scope in overhead functions. This results in nonproductive impacts on the firm as individuals attempt to save their own jobs. Internationally, additional difficulties arise from host governments intervening in pricing, financing, employment guarantees, market segmentation, and general nationalism and favoritism. In fact, the ability to complete international acquisitions successfully may itself be a test of the MNE's competence in the twenty-first century.

Diff: 3

L.O.: 17.2 Structural Choices for Foreign Market Entry

Skill: Conceptual

AACSB: Application of knowledge

17.3 Political Risk: Definition and Classification

1) _____ risks are those that affect the MNE at the local or project level, but originate at the country level.

- A) Country-specific
- B) Firm-specific
- C) Global-specific
- D) none of the above

Answer: A

Diff: 2

L.O.: 17.3 Political Risk: Definition and Classification

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT an example of a country-specific risk?

- A) transfer risk
- B) war and ethnic strife
- C) cultural and religious heritage
- D) All of the above are examples of country-specific risk.

Answer: D

Diff: 2

L.O.: 17.3 Political Risk: Definition and Classification

Skill: Recognition

AACSB: Application of knowledge

3) _____ is NOT one of the three main country-specific risks as outlined by your authors.

- A) Transfer risk
- B) Cultural differences
- C) Thin equity base
- D) Protectionism

Answer: C

Diff: 2

L.O.: 17.3 Political Risk: Definition and Classification

Skill: Recognition

AACSB: Application of knowledge

4) A number of institutional services provide updated country risk ratings on a regular basis. This is an example of micro-risk information for MNEs using this data.

Answer: FALSE

Diff: 2

L.O.: 17.3 Political Risk: Definition and Classification

Skill: Recognition

AACSB: Application of knowledge

17.4 Financial Impacts of Political Risk

1) According to your authors, MNEs can anticipate government regulations that are discriminatory or wealth depriving from a/an _____ or _____ level view.

- A) foreign; domestic
- B) micro; macro
- C) internal; external
- D) local; global

Answer: B

Diff: 2

L.O.: 17.4 Financial Impacts of Political Risk

Skill: Conceptual

AACSB: Application of knowledge

2) Of the following, which would NOT be considered an issue for an investment agreement prior to investing in a foreign country?

- A) the basis for setting transfer prices
- B) the right to export to third-country markets
- C) provision for arbitration of disputes
- D) All of the above could be negotiated prior to investing.

Answer: D

Diff: 2

L.O.: 17.4 Financial Impacts of Political Risk

Skill: Conceptual

AACSB: Application of knowledge

3) _____ is the risk that the host government will take specific steps that prevent the foreign affiliate from exercising control over the firm's assets.

- A) Inconvertibility
- B) Expropriation
- C) Business income risk
- D) none of the above

Answer: B

Diff: 1

L.O.: 17.4 Financial Impacts of Political Risk

Skill: Recognition

AACSB: Application of knowledge

17.5 Political Risk Mitigation

1) Blocked funds are cash flows that:

- A) come in regular intervals in standardized amounts or blocks.
- B) have been restricted in transfer out of a local country.
- C) come from a certain sector or region of the world.
- D) none of the above

Answer: B

Diff: 2

L.O.: 17.5 Political Risk Mitigation

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT one of the stages at which MNEs can react to the potential for blocked funds?

- A) prior to investing
- B) during operations
- C) reinvesting in the local country when funds cannot be moved
- D) All of the above are stages at which MNEs can react.

Answer: D

Diff: 2

L.O.: 17.5 Political Risk Mitigation

Skill: Recognition

AACSB: Application of knowledge

3) A _____ loan, also known as _____ is a parent-to-affiliate loan channeled through a financial intermediary such as a large commercial bank.

- A) **fronting; link financing**
- B) parallel; a back-to-back loan
- C) fronting; a back-to-back loan
- D) link financing; parallel loan

Answer: A

Diff: 2

L.O.: 17.5 Political Risk Mitigation

Skill: Recognition

AACSB: Application of knowledge

- 4) Which of the following is NOT a typical characteristic of a fronting loan made to an international subsidiary?
- A) The parent makes a deposit equal to the size of the desired loan into a large commercial bank.
 - B) The bank lends to the subsidiary firm an amount equal to the parent deposit at a slightly higher interest rate.
 - C) The lending bank is located in the subsidiary's country.
 - D) All of the above are typical characteristics of a fronting loan.

Answer: C

Diff: 2

L.O.: 17.5 Political Risk Mitigation

Skill: Recognition

AACSB: Application of knowledge

- 5) Which of the following could be considered an example of forced reinvestment if the blockage of funds was expected to be temporary?
- A) vertical reinvestment by an automobile manufacturer to buy parts suppliers and showrooms
 - B) a lumber cutting company subsequently builds a paper mill with blocked funds
 - C) purchase of local money market instruments and short-term loans
 - D) all of the above

Answer: C

Diff: 2

L.O.: 17.5 Political Risk Mitigation

Skill: Conceptual

AACSB: Application of knowledge

- 6) OPIC stands for:
- A) Organization for the Prevention of Insufficient Capitalization.
 - B) Organization of Petroleum Importing Countries.
 - C) Overseas Private Investment Corporation.
 - D) Overseas Public Insurance Commission.

Answer: C

Diff: 2

L.O.: 17.5 Political Risk Mitigation

Skill: Recognition

AACSB: Application of knowledge

- 7) _____ is a type of political risk that OPIC does NOT cover.
- A) Inconvertibility
 - B) Expropriation
 - C) War
 - D) OPIC covers all of the above.

Answer: D

Diff: 2

L.O.: 17.5 Political Risk Mitigation

Skill: Recognition

AACSB: Application of knowledge

- 8) A country can react to the potential for blocked funds prior to making an investment, during

operations, or by investing in the local country in assets than maintain their value.

Answer: TRUE

Diff: 1

L.O.: 17.5 Political Risk Mitigation

Skill: Conceptual

AACSB: Application of knowledge

9) Banks are very hesitant to engage in fronting loans because of the low probability of repayment and thus their risk exposure up to a 100% loss.

Answer: FALSE

Diff: 1

L.O.: 17.5 Political Risk Mitigation

Skill: Conceptual

AACSB: Application of knowledge

10) What are blocked funds? List and explain two of the three methods the authors list in this chapter for dealing with blocked funds.

Answer: Blocked funds are those that have been restricted from foreign exchange in some fashion by the government of the host country. If this is a potential problem, firms take a number of steps to reduce or minimize the impact of such a governmental action. In this chapter the authors identify three techniques for dealing with the problem of blocked funds. First, using fronting loans. Here the firm deposits money into a large financial institution, typically in a neutral third country, and then has the bank loan the same amount to the foreign subsidiary. There are several reasons why governments are more likely to allow repayments of such loans as opposed to repayment to the parent.

Second, the local firm may create new exports thus increasing the flow of currency into the country and achieving the goals of the government. Third, the authors also mention a special dispensation whereby firms in highly desirable and specialized industries such as telecommunications or pharmaceuticals are contractually guaranteed repatriation of funds at a greater rate than normal.

Diff: 3

L.O.: 17.5 Political Risk Mitigation

Skill: Conceptual

AACSB: Application of knowledge

11) An investment agreement spells out specific rights and responsibilities of both the foreign firm and the host government. What are the main financial policies that should be included in an investment agreement?

Answer: An investment agreement spells out specific rights and responsibilities of both the foreign firm and the host government. The presence of MNEs is as often sought by development-seeking host governments as a particular foreign location is sought by an MNE. All parties have alternatives, and so bargaining is appropriate. An investment agreement should spell out policies on financial and managerial issues, including the following:

- The basis on which fund flows, such as dividends, management fees, royalties, patent fees, and loan repayments, may be remitted.
- The basis for setting transfer prices.
- The right to export to third-country markets.
- Obligations to build, or fund, social and economic overhead projects, such as schools, hospitals, and retirement systems.
- Methods of taxation, including the rate, the type of taxation, and means by which the rate base is determined.
- Access to host-country capital markets, particularly for long-term borrowing.
- Permission for 100% foreign ownership versus required local ownership (joint venture) participation.
- Price controls, if any, applicable to sales in the host-country markets.
- Requirements for local sourcing versus import of raw materials and components.
- Permission to use expatriate managerial and technical personnel, and to bring them and their personal possessions into the country free of exorbitant charges or import duties.
- Provision for arbitration of disputes.
- Provisions for planned divestment, should such be required, indicating how the going concern will be valued and to whom it will be sold.

Diff: 3

L.O.: 17.5 Political Risk Mitigation

Skill: Conceptual

AACSB: Application of knowledge

18.1 Complexities of Budgeting for a Foreign Project

1) The traditional financial analysis applied to foreign or domestic projects, to determine the project's value to the firm is called:

- A) cost of capital analysis.
- B) capital budgeting.
- C) capital structure analysis.
- D) agency theory.

Answer: B

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following is NOT a basic step in the capital budgeting process?

- A) Identify the initial capital invested.
- B) Estimate the cash flows to be derived from the project over time.
- C) Identify the appropriate interest rate at which to discount future cash flows.
- D) All of the above are steps in the capital budgeting process.

Answer: D

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

3) Of the following capital budgeting decision criteria, which does NOT use discounted cash flows?

- A) net present value
- B) internal rate of return
- C) accounting rate of return
- D) All of these techniques typically use discounted cash flows.

Answer: C

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

4) Which of the following is NOT a reason why capital budgeting for a foreign project is more complex than for a domestic project?

- A) Parent cash flows must be distinguished from project cash flows.
- B) Parent firms must specifically recognize remittance of funds due to differing rules and regulations concerning remittance of cash flows, taxes, and local norms.
- C) Differing rates of inflation exist between the foreign and domestic economies.
- D) All of the above add complexity to the international capital budgeting process.

Answer: D

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

5) For purposes of international capital budgeting, which of the following statements is NOT true?

- A) Managers must evaluate political risk because political events can drastically reduce the value or availability of expected cash flows.
- B) Parent cash flows must be distinguished from project cash flows. Each of these two types of flows contributes to a different view of value.
- C) An array of nonfinancial payments can generate cash flows from subsidiaries to the parent, including payment of license fees and payments for imports from the parent.
- D) All of the above are true statements.

Answer: D

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

6) Project evaluation from the _____ viewpoint serves some useful purposes and/but should _____ the _____ viewpoint.

- A) local; be subordinated to; parent's
- B) local; not be subordinated to; parent's
- C) parent's; be subordinated to; local
- D) none of the above

Answer: A

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

7) For financial reporting purposes, U.S. firms must consolidate the earnings of any subsidiary that is over _____ owned.

- A) 20%
- B) 40%
- C) 50%
- D) 75%

Answer: C

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

8) A foreign firm that is 20% to 49% owned by a parent is called a/an:

- A) subsidiary.
- B) affiliate.
- C) partner.
- D) rival.

Answer: B

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

9) Affiliate firms are consolidated on the parent's financial statements on a _____ basis.

- A) pro rated
- B) 50%
- C) 75%
- D) 100%

Answer: A

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

10) When engaged in international capital budgeting, the analyst must identify the initial amount of capital invested or put at risk.

Answer: TRUE

Diff: 1

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

11) In international capital budgeting, the appropriate discount rate for determining the present value of the expected cash flows is always the firm's domestic WACC.

Answer: FALSE

Diff: 1

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Conceptual

AACSB: Application of knowledge

12) For purposes of international capital budgeting, it is NOT important to distinguish between parent and total project cash flows.

Answer: FALSE

Diff: 1

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Conceptual

AACSB: Application of knowledge

13) For purposes of international capital budgeting, parent cash flows often depend on the form of financing. Thus, we cannot clearly separate cash flows from financing decisions, as we can in domestic capital budgeting.

Answer: TRUE

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

14) There are no important differences between domestic and international capital budgeting methods.

Answer: FALSE

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

15) It is important that firms adopt a common standard for the capital budgeting process for choosing among foreign and domestic projects.

Answer: TRUE

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

16) The only proper way to estimate the NPV of a foreign project is to discount the appropriate cash flows first and then convert them to the domestic currency at the current spot rate.

Answer: FALSE

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Conceptual

AACSB: Application of knowledge

17) For purposes of international capital budgeting, evaluation of a project from the PARENT viewpoint serves some useful purposes, but it should be subordinated to evaluation from the LOCAL's viewpoint.

Answer: FALSE

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Recognition

AACSB: Application of knowledge

18) Multinational firms should invest only if they can earn a risk-adjusted return greater than locally based competitors can earn on the same project.

Answer: TRUE

Diff: 2

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Conceptual

AACSB: Application of knowledge

19) The authors highlight a strong theoretical argument in favor of analyzing any foreign project from the viewpoint of the parent. Provide at least three reasons why the parent's viewpoint is superior to the local viewpoint and give an example of when the local viewpoint fails to maximize the value of the firm.

Answer: A project might have a positive NPV from the local viewpoint, but fail to consider relevant cash flows from the parent viewpoint. For example, a positive NPV project in one country may result from the erosion of revenues in another. A local manager would not necessarily be expected to be aware of such erosion. It may not be possible to remit all or part of the local cash flows to the parent company and reinvestment opportunities in the local economy may be inferior to what the parent could do elsewhere, thus, a less than maximum use of funds. Political and exchange rate risk add to the uncertainty of cash flows and thus increase the required rate of return by stockholders. Cash flows may be more difficult to estimate especially long-term cash flows in lesser-developed countries.

Diff: 3

L.O.: 18.1 Complexities of Budgeting for a Foreign Project

Skill: Conceptual

AACSB: Application of knowledge

18.2 Illustrative Case: Cemex Enters Indonesia

1) Which of the following is NOT an example of political risk?

- A) Expropriation of cash flows by a foreign government.
- B) The U.S. government restricts trade with a foreign country where your firm has investments.
- C) The foreign government nationalizes all foreign-owned assets.
- D) All of the above are examples of political risk.

Answer: D

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Recognition

AACSB: Application of knowledge

2) Given a current spot rate of 8.10 Norwegian krone per U.S. dollar, expected inflation rates of 6% in Norway and 3% per annum in the U.S., use the formula for relative purchasing power parity to estimate the one-year spot rate of krone per dollar.

- A) 7.87 krone per dollar
- B) 8.10 krone per dollar
- C) 8.34 krone per dollar
- D) There is not enough information to answer this question.

Answer: C

Diff: 3

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Analytical

AACSB: Analytical thinking

3) When evaluating capital budgeting projects, which of the following would NOT necessarily be an indicator of an acceptable project?

- A) an NPV > \$0
- B) an IRR > the project's required rate of return
- C) an IRR > \$0
- D) All of the above are correct indicators.

Answer: C

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Recognition

AACSB: Application of knowledge

4) Given a current spot rate of 8.10 Norwegian krone per U.S. dollar, expected inflation rates of 3% in Norway and 6% per annum in the U.S., use the formula for relative purchasing power parity to estimate the one-year spot rate of krone per dollar.

- A) 7.87 krone per dollar
- B) 8.10 krone per dollar
- C) 8.34 krone per dollar
- D) There is not enough information to answer this question.

Answer: A

Diff: 3

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Analytical

AACSB: Analytical thinking

5) When determining a firm's weighted average cost of capital (WACC), which of the following terms is NOT necessary?

- A) the firm's tax rate
- B) the firm's cost of debt
- C) the firm's cost of equity
- D) All of the above are necessary.

Answer: D

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Recognition

AACSB: Application of knowledge

6) When determining a firm's weighted average cost of capital (WACC), which of the following terms is NOT necessary?

- A) the firm's weight of equity financing
- B) the risk-free rate of return
- C) the firm's weight of debt financing
- D) All of the above are necessary to determine a firm's WACC.

Answer: B

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Recognition

AACSB: Application of knowledge

Instruction 18.1:

Use the information to answer the following question(s).

The Velo Rapid Revolutions Inc., a company that produces bicycles, elliptical trainers, scooters and other wheeled non-motorized recreational equipment, is considering an expansion of their product line to Europe. The expansion would require a purchase of equipment with a price of €1,200,000 and additional installation of €300,000 (assume that the installation costs cannot be expensed, but rather, must be depreciated over the life of the asset). Because this would be a new product, they will not be replacing existing equipment. The new product line is expected to increase revenues by €600,000 per year over current levels for the next 5 years, however; expenses will also increase by €200,000 per year. (Note: Assume the after-tax operating cash flows in years 1-5 are equal, and that the terminal value of the project in year 5 may change total after-tax cash flows for that year.) The equipment is multipurpose and the firm anticipates that they will sell it at the end of the five years for €500,000. The firm's required rate of return is 12% and they are in the 40% tax bracket. Depreciation is straight-line to a value of euro 0 over the 5-year life of the equipment, and the initial investment (at year 0) also requires an increase in NWC of €100,000 (to be recovered at the sale of the equipment at the end of five years). The current spot rate is \$0.95/euro, and the expected inflation rate in the U.S. is 4% per year and 3% per year in Europe.

7) Refer to Instruction 18.1. What is the initial investment for the Velo Rapid Revolutions project?

- A) \$1,500,000
- B) €1,600,000
- C) \$1,600,000
- D) €1,500,000

Answer: A

Diff: 3

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Analytical

AACSB: Analytical thinking

8) Refer to Instruction 18.1. What are the annual after-tax cash flows for the Velo Rapid Revolutions project?

- A) €400,000
- B) €240,000
- C) €120,000
- D) €360,000

Answer: D

Diff: 3

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Analytical

AACSB: Analytical thinking

9) Refer to Instruction 18.1. What is the NPV of the European expansion if Velo Rapid Revolutions first computes the NPV in euros and then converts that figure to dollars using the current spot rate?

- A) \$1,520,000
- B) \$1,684,210
- C) -\$75,310
- D) -\$71,544

Answer: D

Diff: 3

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Analytical

AACSB: Analytical thinking

10) Refer to Instruction 18.1. In euros, what is the NPV of the Velo Rapid Revolutions expansion?

- A) €1,524,690
- B) \$1,611,317
- C) -€75,310
- D) -€111,317

Answer: C

Diff: 3

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Analytical

AACSB: Analytical thinking

11) Refer to Instruction 18.1. What is the IRR of the Velo Rapid Revolutions expansion?

- A) 14.4%
- B) 10.3%
- C) 12.0%
- D) 8.6%

Answer: B

Diff: 3

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Analytical

AACSB: Analytical thinking

12) If a firm undertakes a project with ordinary cash flows and estimates that the firm has a positive NPV, then the IRR will be:

- A) less than the cost of capital.
- B) greater than the cost of capital.
- C) greater than the cost of the project.
- D) cannot be determined from this information

Answer: B

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Recognition

AACSB: Application of knowledge

13) When estimating a firm's cost of equity capital using the CAPM, you need to estimate:

- A) the risk-free rate of return.
- B) the expected return on the market portfolio.
- C) the firm's beta.
- D) all of the above

Answer: D

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Recognition

AACSB: Application of knowledge

14) _____ is the risk that a foreign government will place restrictions such as limiting the amount of funds that can be remitted to the parent firm, or even expropriation of cash flows earned in that country.

- A) Exchange risk
- B) Foreign risk
- C) Political risk
- D) Unnecessary risk

Answer: C

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Recognition

AACSB: Application of knowledge

15) Generally speaking, a firm wants to receive cash flows from a currency that is _____ relative to their own, and pay out in currencies that are _____ relative to their home currency.

- A) appreciating; depreciating
- B) depreciating; depreciating
- C) appreciating; appreciating
- D) depreciating; appreciating

Answer: A

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Conceptual

AACSB: Application of knowledge

16) When assessing the additional risk that can occur from investing abroad, firms may choose to account for risk via:

- A) adjusting the cash flows.
- B) adjusting the discount rates.
- C) adjusting both cash flows and discount rates.
- D) adjusting all of the above.

Answer: D

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Recognition

AACSB: Application of knowledge

17) When a multinational firm invests abroad, it is common to develop two capital budgets: one from the project viewpoint, and one from the parent viewpoint.

Answer: TRUE

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Recognition

AACSB: Application of knowledge

18) When estimating a capital budget, it is common to separate cash flows into: 1) the initial investment, 2) incremental cash flows over the life of the project, and 3) a terminal value.

Answer: TRUE

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Recognition

AACSB: Application of knowledge

19) Because international capital budgeting is so difficult, time consuming, expensive, and uncertain, firms generally forego any type of additional sensitivity analysis after completing a base-case scenario.

Answer: FALSE

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Conceptual

AACSB: Application of knowledge

20) A criticism of adjusting the discount rate to account for political risk is that adjusting the discount rate for political risk penalizes early cash flows too heavily while not penalizing distant cash flows enough.

Answer: TRUE

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Recognition

AACSB: Application of knowledge

21) When dealing with international capital budgeting projects, the value of the project is NOT sensitive to the firm's cost of capital.

Answer: FALSE

Diff: 2

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Conceptual

AACSB: Application of knowledge

22) Explain how political risk and exchange rate risk increase the uncertainty of international projects for the purpose of capital budgeting.

Answer: The evaluation of foreign projects must consider several risks that are either nonexistent or much less important in domestic capital budgeting. First, if revenues and expenses are in a foreign currency, then the parent firm must estimate the exchange rate at which the foreign currency will be converted into the domestic currency. To estimate future exchange rates, the parent firm must estimate expected rates of inflation and interest rates in both countries, economic growth in each country, as well as consumer preferences and tastes in more than one country. Then, aspects of political risk must be considered. What is the likelihood that all or part of the cash flows accruing to the parent firm will be restricted through some political act? The firm must now consider the possibility of changing tax rates, new taxes, and additional restrictions on the flow of funds. Furthermore, local norms may differ from usual firm practice in terms of financing or dividend policy. Domestic capital budgeting may seem quite easy in comparison.

Diff: 3

L.O.: 18.2 Illustrative Case: Cemex Enters Indonesia

Skill: Conceptual

AACSB: Application of knowledge

18.3 Real Option Analysis

1) Real option analysis allows managers to analyze all of the following EXCEPT:

A) the option to defer.

B) the option to abandon.

C) the option to alter capacity.

D) All of the above may be analyzed using real option analysis.

Answer: D

Diff: 2

L.O.: 18.3 Real Option Analysis

Skill: Recognition

AACSB: Application of knowledge

2) Real option analysis treats cash flows in terms of future value in a positive sense, whereas DCF treats future cash flows negatively.

Answer: TRUE

Diff: 1

L.O.: 18.3 Real Option Analysis

Skill: Conceptual

AACSB: Application of knowledge

3) Real option analysis is a particularly powerful device when addressing potential investment projects with extremely long life spans or investments that do not commence until future dates.

Answer: TRUE

Diff: 1

L.O.: 18.3 Real Option Analysis

Skill: Conceptual

AACSB: Application of knowledge

4) What is real option analysis? How is it a better method of making investment decisions than using traditional capital budgeting analysis?

Answer: Real options is a different way of thinking about investment values. At its core, it is a cross between decision-tree analysis and pure option-based valuation. It is particularly useful when analyzing investment projects that will follow very different value paths at decision points in time where management decisions are made regarding project pursuit. This wide range of potential outcomes is at the heart of real option theory. Real option valuation also allows us to analyze a number of managerial decisions that in practice characterize many major capital investment projects:

1. The option to defer
2. The option to abandon
3. The option to alter capacity
4. The option to start up or shut down (switching)

Real option analysis treats cash flows in terms of future value in a positive sense, whereas DCF treats future cash flows negatively (on a discounted basis). Real option analysis is a particularly powerful device when addressing potential investment projects with extremely long life spans or investments that do not commence until future dates.

Real option analysis acknowledges the way information is gathered over time to support decision-making. Management learns from both active (searching it out) and passive (observing market conditions) knowledge-gathering and then uses this knowledge to make better decisions.

Diff: 2

L.O.: 18.3 Real Option Analysis

Skill: Conceptual

AACSB: Application of knowledge

18.4 Project Financing

1) Which of the following is NOT a factor critical to the success of project financing?

- A) separability of the project from its investors
- B) long-lived and capital intensive singular projects
- C) cash flow predictability from third part commitments
- D) All of the above are critical factors for project financing.

Answer: D

Diff: 2

L.O.: 18.4 Project Financing

Skill: Conceptual

AACSB: Application of knowledge

2) Which of the following is NOT a characteristic of international long-term capital project

financing?

- A) The projects are large in scale.
- B) The projects are long in life.
- C) The projects are generally high in risk.
- D) The projects may be all of the above.

Answer: D

Diff: 2

L.O.: 18.4 Project Financing

Skill: Recognition

AACSB: Application of knowledge

3) The predictability of the project's revenue stream is essential in securing project financing. Which of the following is NOT a typical contract provisions that are intended to assure adequate cash flow?

- A) quantity and quality of the project's output
- B) a pricing formula
- C) circumstances that permit changes in the contract
- D) fronting loan

Answer: D

Diff: 2

L.O.: 18.4 Project Financing

Skill: Recognition

AACSB: Application of knowledge

4) Project financing is the arrangement of financing for very large individual long-term capital projects.

Answer: TRUE

Diff: 1

L.O.: 18.4 Project Financing

Skill: Recognition

AACSB: Application of knowledge

5) Debt is usually a large component of project financing.

Answer: TRUE

Diff: 1

L.O.: 18.4 Project Financing

Skill: Recognition

AACSB: Application of knowledge

6) The level of debt places an enormous burden on cash flow for debt service and requires a number of additional levels of risk reduction.

Answer: TRUE

Diff: 1

L.O.: 18.4 Project Financing

Skill: Recognition

AACSB: Application of knowledge

7) In project finance, retained earnings and the reinvestment of earnings are the most important decisions to guarantee the long-term growth of the project's value.

Answer: FALSE

Diff: 1

L.O.: 18.4 Project Financing

Skill: Recognition

AACSB: Application of knowledge

18.5 Cross-Border Mergers and Acquisitions

1) Which of the following is NOT a reason given for international mergers and acquisitions?

A) gaining access to strategic proprietary assets

B) gaining market power and dominance

C) diversifying and spreading their risks wider

D) All of the above are commonly cited reasons for international mergers and acquisitions.

Answer: D

Diff: 2

L.O.: 18.5 Cross-Border Mergers and Acquisitions

Skill: Recognition

AACSB: Application of knowledge

2) Which of the following changes does NOT create business opportunities for select firms to both enhance and defend their competitive positions in global markets?

A) changes in technology

B) changes in regulation

C) changes in capital markets

D) changes in management

Answer: D

Diff: 2

L.O.: 18.5 Cross-Border Mergers and Acquisitions

Skill: Recognition

AACSB: Application of knowledge

3) The process of acquiring an enterprise anywhere in the world has three common elements EXCEPT:

- A) identification and valuation of the target.
- B) execution of the acquisition offer and purchase—the *tender*.
- C) management of the post-acquisition transition.
- D) All of the above are common elements in acquiring an enterprise anywhere in the world.

Answer: D

Diff: 2

L.O.: 18.5 Cross-Border Mergers and Acquisitions

Skill: Recognition

AACSB: Application of knowledge

4) Which of the following is NOT an advantage of cross-border acquisitions over greenfield investments?

- A) quicker
- B) cost-effective
- C) target firms to be undervalued
- D) melding corporate cultures

Answer: D

Diff: 2

L.O.: 18.5 Cross-Border Mergers and Acquisitions

Skill: Recognition

AACSB: Application of knowledge

5) Which of the following is NOT a typical pitfall of cross-border acquisitions?

- A) paying too much
- B) excessive financing costs
- C) melding corporate cultures
- D) all of the above are pitfalls

Answer: D

Diff: 2

L.O.: 18.5 Cross-Border Mergers and Acquisitions

Skill: Recognition

AACSB: Application of knowledge

6) Currency risk is a concern for any international merger and acquisition activity. For instance, the initial bid, if denominated in a foreign currency, creates a contingent foreign currency exposure for the bidder.

Answer: TRUE

Diff: 1

L.O.: 18.5 Cross-Border Mergers and Acquisitions

Skill: Conceptual

AACSB: Application of knowledge

7) Currency risk is a concern for any international merger and acquisition activity. For instance, once the bidder has successfully won the acquisition, the exposure evolves from a transaction exposure to a contingent exposure.

Answer: FALSE

Diff: 1

L.O.: 18.5 Cross-Border Mergers and Acquisitions

Skill: Recognition

AACSB: Application of knowledge

8) The drivers of international merger and acquisitions are only MACRO in scope.

Answer: FALSE

Diff: 1

L.O.: 18.5 Cross-Border Mergers and Acquisitions

Skill: Recognition

AACSB: Application of knowledge

9) As opposed to greenfield investment, a cross-border acquisition is typically quicker.

Answer: TRUE

Diff: 1

L.O.: 18.5 Cross-Border Mergers and Acquisitions

Skill: Recognition

AACSB: Application of knowledge